MANAGEMENT FUNDAMENTALS

MBA, SEMESTER-I

According to the New Syllabus of 'Savitribai Phule Pune University, Pune'

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to
*my beloved **Family**"*

-Dr Gagan Preet Kaur Ahluwalia

"Dedicated
to
*my beloved Husband, **Mr. Prashant Gandhi,***
*my Son, **Tanishq Gandhi,***
*my **Parents***
&
*my **Family** and my enriched **Friends**"*

-Dr. Kshitija Prashant Gandhi

"Dedicated
to
***Parents**"*

-Dr. Yogesh Uttam Gaikwad

Preface

Management is a complex process and cut across all facets of the organisation. It relates to all activities of the organisation and is undertaken at all levels and is best seen as a process common to all other functions carried-out within the organisation. Management is therefore an integrative activity involving planning, organising, directing, coordination, and controlling human activities and material resources geared towards achieving corporate goals and objectives. However, what is important is the manner in which the management achieves results and the effects on workers – as this may well influence organisation effectiveness and workers performance in the long-term.

This book is divided into five units which covers introduction to basic concepts of management, organisation, planning, decision-making and controlling. The book is designed specifically for the management students and is based on an emerging business perspective, particularly drawn from the Indian context. Those currently in, as well as those aspiring to leadership positions in business and other management domains, would find this textbook a valuable learning tool and an application resource. The very intention of this book is to provide management student with the most current and comprehensive analysis of the field with the help of models and exhibits.

We sincerely believe that students should acquire balanced knowledge of theory as well as practical aspects of the subject. We have structured the fundamentals in concise and accurate form. We are expecting valuable suggestions for improvements from our dear students and lecturers, which will be useful for our next edition.

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Acknowledgement

I would like to express my gratitude to many people who inspired and supported me to bring this book towards the corner of knowledge learners.

I express my sincere admiration to my **Family** who encouraged me at every step.

My special thanks to the **Management** of my Institute, without whom this book would have never found its way to the hub of intellectuals.

I am indebted to **Thakur Publication Pvt. Ltd** especially, **Mrs. Tripti Singh Chowdhury** (Associate Editor), **Mr. Vikrant Verma** (Editor) and **Mrs. Sona Singh** (Marketing Coordinator) for the efforts they have put in for making this book a reality and helping in the neat execution of the text.

- Dr. Gagan Preet Kaur Ahluwalia

I sincerely offer prayers to the almighty for giving me inspiration to work on this book, Management Fundamental. It would help students for understanding the basic fundamental principles of management. I express my sincere thanks and gratitude towards my **College Management**, **Principal** for the motivation to work on this book. The support from my **Family** members, **Parents** and **Friends** are always encourages me to start new activities.

I earnestly thank the entire team of **Thakur Publication Pvt. Ltd.** for their support and cooperation in bringing this book to the market.

-Dr. Kshitija Prashant Gandhi

This book is the fruit of many experience, challenge, and relationship involving many great people to whom I am more indebted than I can possible acknowledge. Some of them, however, deserve special thanks. I must begin by thanking those who have supported me for this book. I wish to thank all who have, directly and indirectly contributed to writing up of this book, making it such an enlightening, enjoyable and momentous intellectual experience.

The best and most profound gratitude must be reserved for my **Students**, **Colleagues** in various organizations and many **Teachers** from whom I got knowledge.

I also thank our entire **Family**, **Relatives** and **Friends** for providing a good environment for me.

Finally let me seize this opportunity to express my sincere gratitude to all those who helped me in course of my every walk of life to furnish and complete the book without whose help this work would not have seen the light of this day.

-Dr. Yogesh Uttam Gaikwad

Syllabus

MBA 107: MANAGEMENT FUNDAMENTALS

Unit-1

Basic Concepts: Manager, Managing, Workplace, Organization, Management Functions, Mintzberg's Managerial Roles, The Universality of Management, Approaches to Management - Early Management, Classical Approach, Behavioral Approach, Quantitative Approach, Contemporary Approaches. Managerial Competencies: Communication, team work, planning and administrative, strategic and global competencies; Managerial Skills; How Is the Manager's Job Changing?, Importance of Customers to the Manager's Job, Importance of Innovation to the Manager's Job, Importance of Sustainability to the Manager's Job. **(05)**

Unit-2

Planning: Concept, need, nature, Management By Objectives (MBO) - Process of MBO - Benefits of MBO, Planning and Performance, Goals and Plans, Types of Goals, Types of Plans, Setting Goals and Developing Plans, Approaches to Setting Goals, Developing Plans, Approaches to Planning, Planning Effectively in Dynamic Environments. **(06)**

Unit-3

Organizing: Organization, Organizing, Organizational Structures, Principles of Work Specialization , Departmentalization, Chain of Command, Span of Control, Centralization and Decentralization, Formalization. Mechanistic and Organic Structures, Factors Affecting Structural Choice - Strategy, Size, Technology, Environmental Uncertainty. Traditional Organizational Designs - Simple Structure, Functional Structure, Divisional Structure, Matrix Structure, Team Structures, Project Structure, Adaptive Organizations – Boundary less Organization, Virtual Organizations, Learning Organization, Flexi Work, Tele-working, Global Organizations. **(07)**

Unit-4

Decision Making: The Decision-Making Process - Identifying a Problem - Identifying Decision Criteria - Allocating Weights to the Criteria - Developing Alternatives - Analyzing Alternatives - Selecting an Alternative - Implementing the Alternative - Evaluating Decision Effectiveness. Making Decisions: Rationality, Bounded Rationality, The Role of Intuition, The Role of Evidence-Based Management. Types of Decisions & Decision-Making Conditions. Decision Making approaches - Quantitative approach, Environmental Approach, System Approach, Ethical Approach, Intuitive Approach, Case Study Approach Decision-Making Styles - Linear–Nonlinear Thinking Style Profile, Decision- Making Biases and Errors. Effective Decision Making in Today's World - Correctness of decision, Decision environment, Timing of decision, Effective communication of Decision, Participation in decision Making-Implementation of decision. **(07)**

Unit-5

Controlling: Controlling, Definition, need and Importance, The Control Process, Managerial Decisions in Controlling, Feed-forward / Concurrent / Feedback Controls. Financial Controls, Information Controls, Benchmarking of Best Practices. **(05)**

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UNIT 1

Introduction to Management and Basics of Managing in Workplace

1.1. MANAGEMENT

1.1.1. Meaning and Definition of Management

The term 'management' stands for the act of planning, organising, directing and controlling the activities of human beings and physical resources with the intention of accomplishing a predefined objective. Being broad in nature the word carries many contextual meanings.

It is looked upon as a 'factor of production', as a 'class of persons', as a 'process' and as an 'exploiting set of people' from the viewpoints of economists, socialists, management practitioners and trade unionists, respectively.

According to Louis Allen, "Management is what a manager does".

According to James D. Mooney and Allan C. Reiley, "Management is the art of directing and inspiring people".

According to Peter Drucker, "Management is a multipurpose organ that manages a business, manages manager and manages workers and work".

According to Koontz and O'Donnel, "Management is the creation and maintenance of an internal environment in an enterprise where individuals, working in groups, can perform efficiently and effectively toward the attainment of group goals. It is the art of getting the work done through and with people in formally organised groups".

In a nutshell, it is portrayed as 'an activity' or 'a process' executed by 'a group of people' dynamically engaged with the authorities to make decisions or policies. Simply, it can be stated that, management is the job of a manager, who exhibits the art of managing the people and getting the things done with the help of formally organised groups of people.

1.1.2. Basic Concepts of Management

Different concepts related to management are as follows:

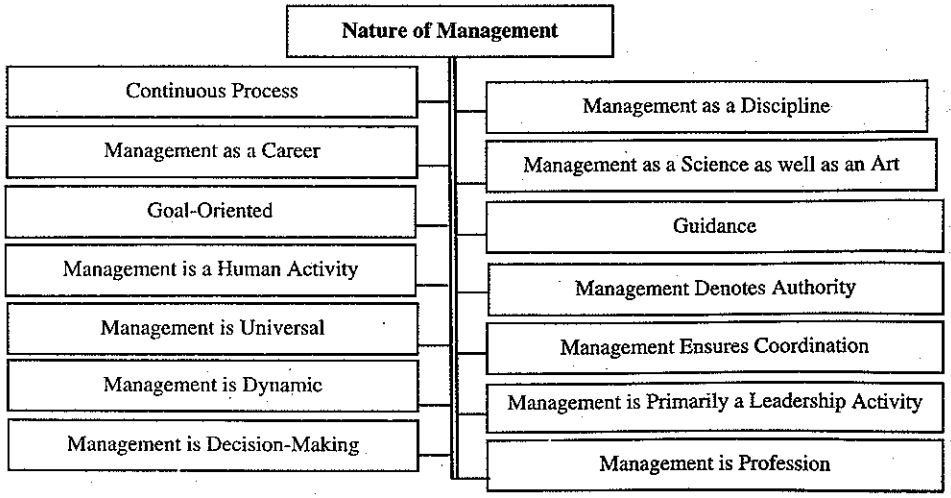
1) **Management as a Process:** Management is considered a process as it comprises of a sequence of activities. Process of management involves setting organisational goals and taking necessary actions ensuring that the set goals are realised. Functions like planning, organising, staffing, directing and controlling are all a part of the management process. Management can thus be understood as a process of setting the objectives and performing different activities for achieving these objectives. Facets of management as a process are as follows:
   i) **Management is a Social Process:** The process of management is generally considered as a social process because while carrying-out the management operations, managers have to deal with people who are involved in attaining the organisational goals. A manager can successfully perform his duties only when there is a positive interaction between employees. Hence, being a social process, management is responsible for ensuring that the employees communicate with each other in a productive way.
   ii) **Management is an Integrating Process:** There is a continuous interaction between human and the non-human resources (materials, assets, buildings, technologies, machineries, etc.) in an organisation. It is the responsibility of the management to combine the efforts of the employees with other organisational resources. Management integrates and synchronises all financial, technological, human and physical resources of the organisation.

iii) **Management is a Continuous Process:** Management is a never-ending process and is not just confined to creating harmony between physical and human resources for specific task. The scope of management duties is quite wide which encompasses solving of different problems and concerns. The process of management focuses on continuous detection and resolution of issues and problems.

2) **Management as an Activity:** Management is considered as a process as it involves a set of activities which in order to be effective should be carried-out in a particular sequence. Management in context of being an activity suggests that, 'management is what managers do'. Management as an activity involves the following aspects:
   i) **Informational Activities:** In order to perform its functions, managers are continuously in touch with their superiors, colleagues and subordinates. Managers perform information sharing activities in verbal and non-verbal format. They provide and receive information regarding different people, processes, circumstances, responsibilities, etc. Different organisational procedures are commenced, continued and concluded on the basis of information communicated by the management.
   ii) **Decisional Activities:** One of the most important activities performed by the managers is decision-making. Managers are required to invest a substantial amount of time in making various decisions. In practice, managers are required to make all sorts of decision in performing the managerial functions. **For example,** when an employee is on leave, the manager has to make a decision to assign his duties to some other employee.
   iii) **Inter-personal Activities:** Managers interact continuously with employees at different positions of the organisation. These relations play a significant role in realising the organisational goals. Different inter-personal activities performed by managers are solving specific problems of employees, sustaining a positive social work environment and developing harmonious relations with the superiors as well as the subordinates.
3) **Management as a Group:** As a group, management is stated as a section of people that holds managerial positions in the organisation. These groups of people collectively perform different managerial operations. Hence, if the management of an organisation is praised, can be said that the managers are good at performing their roles. Top level, middle level and operational level managers together form the 'management' of the organisation.
4) **Management as a Discipline:** Previously management was called as a 'distinct field' and 'body of knowledge'. In present times, management is documented as an 'organised discipline' that can be studied and taught. Recognition of management as a discipline can be witnessed in different parts of the world. There are large number of institutions, universities and colleges in different countries that are well known for their management courses.
5) **Management as an Economic Resource:** Management in general, can be understood as optimum utilisation of scarce resources. These resources are commonly called the 5 Ms, i.e., materials, money, machinery, method and manpower. The primary goal of management is to ensure effective utilisation of these 5 Ms by transforming the inputs into outputs (products and services). Management is said to be an economic resource as it helps in effective utilisation of the 5 Ms with the help of proper planning and coordination.

1.1.3. Nature of Management

Nature of management can be explained with the help of the following points:



1) **Continuous Process:** Management is a never ending process. It continuously follows a series of steps like planning, organising, staffing, directing and controlling for effective utilisation of financial and personnel organisational resources. All these functions are inter-dependent and one function cannot operate without the presence of the other. Hence, management is an unending process that follows a number of steps so that the problems are identified and resolved.

2) **Management as a Discipline:** Management may not fit well in the context of a discipline like other physical sciences but its status is gradually increasing amongst the practitioners of management. In recent times, the status of management as a discipline is increasing as it provides certified information and knowledge to management practitioners and also aims at discovering new aspects of the business world.

3) **Management as a Career:** Management on its own is an excellent career option offering diverse growth opportunities. Management also offers insights in interesting, stimulating and specialised areas like human resources, marketing, finance, supply chain management, etc. These are all the upcoming challenging areas and lucrative career options.

4) **Management as a Science as well as an Art:** Management is a good combination of art as well as science. As it is an organised body of knowledge and states various facts and truths, hence it can be considered as a science. Management is also an art, as it involves managing various processes which requires different set of skills by managers.

5) **Goal-Oriented:** Every organisation has to attain a set of pre-determined goals. The success or failure of the management depends on the extent to which these goals have been achieved.

6) **Guidance:** Management provides guidance and explains the ways in which human and material resources can be utilised in the most efficient manner. It suggests techniques for effective and economic utilisation of scarce resources to achieve the objectives of a business enterprise. It is an art of getting things done by achieving coordination among employees who carry-out specific and diverse business operations.

7) **Management is a Human Activity:** Management can be termed as a human activity and the functions of management can only be performed by the organisational staff members. Thus, no artificial entity or corporate body can perform managerial functions. It is an intangible activity which can be felt but not seen or touched.

8) **Management Denotes Authority:** Authority compels people to work and behave in a particular manner. Authority is the prime base of management, i.e., managerial process cannot function without authority. Management gives the authority to the managers to guide, direct and control. This authority enables the management to attain a higher position in the hierarchy of any business organisation.

9) **Management is Universal:** Application of management is universal, i.e., it can be applied anywhere and everywhere. Every business activity, clubs, government offices, charitable and religious institutions, army, etc., come under the scope of management.

10) **Management Ensures Coordination:** Coordination is important at each and every stage in an organisation. Coordination between every employee and between every department is crucial for smooth functioning of the business. Mutual harmony between employees helps in attaining organisational objectives successfully.

11) **Management is Dynamic:** It is difficult for any business environment to remain constant for a long period of time. Hence, management also changes with every change in the environment of the business. Management tools and techniques help in converting the threats associated with environment into opportunities. Management adapts itself according to the changing goals, requirements and challenges of the business.

12) **Management is Primarily a Leadership Activity:** Management is essentially an art of getting things done by people. One of the main roles of a manager is to exercise leadership practice. Leadership is an important factor for the success of an enterprise. It is the process of influencing people to willingly contribute towards achieving organisational objectives. Some of the qualities of good manager and leader are willpower, knowledge, decisiveness, motivator, integrity, etc. A good leader must be inspiring and be able to guide the group of people towards maximising their potential.

13) **Management is Decision-Making:** Decision-making is an important activity for any business manager. Decisions are based on the available facts and figures and depend on the understanding and analysis of the managers. Various technical methods are used to determine the best decision for the overall betterment of the organisation. **For example,** a finance manager is responsible for taking decisions related to activities like organising funds, preparing budgets, cost control, etc.

14) **Management is Profession:** Management is not an inherent ability, it is a profession. Managers are not born; they are made by proper training and acquiring managerial skills. As management is a discipline and body of knowledge, any qualified person can become a manager.

1.1.4. Scope of Management

The scope of management can be understood with the help of the following points:

1) **Activity Point of View:** Management principles and practices can be used in the following functions and activities:
   i) **Planning:** Planning activities involve formulating rules, objectives, policies, processes, strategies, etc. These activities also help the managers in deciding what, how and when to achieve.
   ii) **Organising:** Organising is the process of assigning designations by distributing work in the form of suitable duties.
   iii) **Staffing:** Staffing activities involve assigning human resource to the designations developed during the organising process.
   iv) **Directing:** While directing, managers are responsible for leading the employees, guiding them and providing them information regarding dos' and don'ts of the organisation.
   v) **Controlling:** Controlling involves comparing the results with the set objectives, detecting deviations if any, taking corrective measures to remove them so that the actual results are equivalent to the set objectives.

2) **Functional Areas of Management:** Scope of management can be visualised in the following functional areas:
   i) **Financial Management:** Financial management involves budgetary control, financial planning, making cost control forecasts, statistical control, managing earnings, management accounting, etc.
   ii) **Personnel Management:** Personnel management involves recruiting and selecting the employees, training them, providing them social security, ensuring labour-welfare, maintaining industrial relations, etc. It is also responsible for conducting activities like promoting, transferring, demoting, terminating and retiring of the employees.
   iii) **Purchasing Management:** Purchasing management deals with material control, inviting tenders for purchasing materials, entering into contracts, placing orders, etc.
   iv) **Production Management:** Production management involves times-study, quality inspection and control, production planning, motion studies, tools and techniques of production control, etc.
   v) **Maintenance Management:** It involves maintaining and taking good care of organisational infrastructure like machinery, plants, buildings, etc.
   vi) **Logistics Management:** Logistics management deals with different components like material handling, warehousing, order processing, transportation, inventory control, etc.
   vii) **Marketing Management:** Marketing management is quite wide in scope and deals with marketing processes, marketing mix decisions, market research, managing risks in marketing, market planning and control, etc.
   viii) **Office Management:** It involves activities like staffing, availability and maintenance of office equipment, preparing office layout, etc.
   ix) **Development Management:** Development management involves conducting researches, experiments, etc.

3) **Management is an Inter-Disciplinary Approach:** Management principles are based on multiple disciplines. For successful application of management principles and practices, study of different fields like psychology, economics, mathematics, commerce, etc., is very crucial.

4) **Universality of Management:** Management principles are universally accepted and hence, can be applied to any collective activity for realising mutual goals.

5) **Agent of Change:** With the help of research and development techniques, management concepts can be applied in different fields for changing traditional methods and implementing modern management practices.

1.1.5. Need of Management

Effective management is indispensable for the successful functioning of an organisation. It ensures optimum utilisation of available physical and human resources to accomplish desired plans and objectives. This results in increased efficiency leading to maximisation of productivity. The need of management is explained under the following points:

1) **Accomplishing Organisational Goals:** Management is essential for ensuring proper arrangement of available physical and human resources for completion of plans or realisation of organisational goals. Management principles and practices help the employees in achieving their objectives in an efficient manner.

2) **Ensures Efficient Use of Resources:** By exercising proper management skills, a manager seeks to reduce wastage and spoilage of resources. As each activity is performed according to the pre-determined standards and goals, this ensures that the physical and human resources are used in the most efficient and effective manner.

3) **Reduction in Costs:** Management is always in search of methods and techniques which maximise output and minimise the operational costs. Efficient management with the aid of proper planning, organising and controlling can lead to reduction in costs and improvement in overall results. Efficient controlling techniques can avoid deviations and minimise cost which can otherwise have adverse effects on the pre-determined or estimated cost structure.

4) **Formation of a Sound Organisation:** A planned structure of hierarchy creates a sound base of an organisation. Allotment of authority and responsibility to right candidates selected under an efficient staffing process helps the managers in balancing the organisational structure. With the help of management practices, these inter-related positions are handled by the efficient personnel, groomed under various skill enhancement programmes conducted by the organisation.

5) **Aids in Maintaining Equilibrium:** The nature of business environment is ever changing and unstable. The future of any organisation is dependent on the risks and opportunities associated with its environment. These risks and opportunities are beyond the control of any organisation. Management helps an organisation to adjust according to these changing external factors. Hence, management helps in adapting with the changes and implementing them into actions so that the organisation can achieve success and growth.

6) **Necessity for a Prosperous Society:** An efficient management process is always in search of various ways and means to provide better quality products to the society. By applying various cost reduction techniques and optimum utilisation of resources, management can offer quality services at affordable and economical prices. This offers a better standard of living to the society. Adapting with changing technological environment and innovating new and beneficial products offers value to the customers and to the society at large.

1.1.6. Purpose of Management

The purpose or objectives of management are explained below:

1) **Organisational Purpose:** Management practices should be such that they help in realising the goals of the organisation. The basic organisational goals are as follows:
   i) Every business activity has certain amount of capital invested by its shareholders and other investors. Hence, the prime objective of any management should be to give fair returns to these investors by earning reasonable profits.
   ii) Survival is the prime aim of any business activity. Continuing existence of the business in the long-run stands to be a major objective for the management of the organisation.
   iii) Expanding the business with the growing demands of the products and searching new business avenues.
   iv) Improving the popularity and goodwill of the business enterprise in the market is one of the main concerns of the management.

2) **Personal Purpose:** There are different people in every organisation and each of them has their own individual purpose. Achievement of these personal objectives encourages the staff to improve their performance and help the organisation to grow and prosper. Some of them are as follows:
   i) Reasonable salary and allowances as per the performance is the basic expectation of an employee from the management of the organisation.
   ii) Proper working environment is also required by the employees.
   iii) Management also aims for providing latest technological updates and training for the employees at regular intervals.
   iv) Employees expect equal and fair opportunity of participation in the management decisions.
   v) Employees need security against termination and prospects of growth.

3) **Social Purpose:** A business enterprise functions in a society. Thus, being a part of the society it has certain obligations towards it. The objectives of the management towards the society are listed below:
   i) The quality and value of the goods and services offered to the consumers should be affordable.
   ii) Taxes and other returns to be filed on time with the government, regulatory and statutory agencies.
   iii) Exploitation of natural resources should not be done for increasing profitability. Hence, management should protect the environment from harmful business activities.
   iv) Management should maintain friendly relations with dealers, suppliers and competitors.
   v) Management should conserve moral and ethical values of the society.

1.1.7. Different Levels of Management

Every organisation has a chain of command which determines the powers and the rank held by the managerial personnel. Levels of management can be divided into following categories:

1) **Top Management:** Top level management consists of people that are at the highest managerial positions. This position is held by the senior most authorities in an organisation including the Board of Directors, Chief Executive Officer (CEO),, sectional heads, etc. They are involved in the long-term planning, laying down policies and strategies for organisational development and selection of methods to be adopted for achieving the objectives. They act as a medium of communication for maintaining relations with the external suppliers and agencies. Being the leaders of the organisation, they are accountable for good or poor performance of the organisation.

2) **Middle Management:** Departmental heads form the middle level management. They are responsible for monitoring the departmental activities, giving instructions and maintaining coordination between the various activities carried-out in the several units and divisions. They act as a mediator between the top level management and lower level management. They convey the decisions taken by the seniors and explain the importance of the same to the lower level management. They also transmit the feedback and suggestions given by the supervisory level to the seniors. Their role is to motivate, inspire and encourage the operational level managers to increase their performance levels.

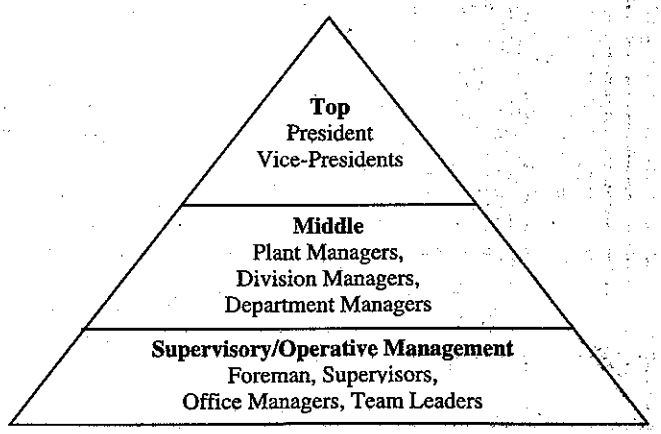


Figure 1.1: Levels of Management

3) **Supervisory or Operative Management:** First line supervisors like – section officer, superintendent, supervisor, foreman, etc., are a part of the operative management level. They follow the instructions and guidelines provided by the middle level of management. They are responsible for getting things done by the workers. Production activities, assignment of jobs amongst workers, arrangement of required machinery and tools, etc., are the activities performed by these managers. It is the responsibility of these managers to get the work done of the desired quality in the specific period of time. They provide technical assistance to the workers; ensure availability of necessary facilities; report problems and feedback to the higher level authorities, etc. It is also a part of their job description to prepare the daily plan of action as per the guidelines specified by senior level managers.

1.1.8. Management Functions

Each and every business endeavour has its own predetermined goals to achieve. The realisation of those goals may not be possible without an intended and incorporated unanimous effort of all the organisational members who follow the instructions of a central coordinating agency. **For example,** in case of a football or hockey team, one cannot win the game until and unless there is a combined attempt by the players under the appropriate guidance of a Captain of the team. The central coordinating agency in this context is **'M-A-N-A-G-E-M-E-N-T'** and the approach of getting the things done is known as the 'management process'. Hence, management is a complex process which includes many activities in a particular sequence. Each activity contributes towards the attainment of the organisational goals. Individual action or activity performed in the management process is designated as 'functions of management'.

In the process of management, individual functions are carried-out according to a time-specific arrangement. Thus, management process can be defined as a process where the manager performs functions in sequential time-bound manner. Management is a social process as it is accountable of achieving the goals of the organisation by regulating its functions and also ensuring that the planning activities are being carried-out in a cost-effective and efficient manner. Management is also a dynamic process containing different components and practices. Practices performed by management are not similar to the operational-level activities like procurement, marketing, production, finance, etc. These dynamic activities are performed by the top, middle and operative level managers.

The main functions of management process are as follows:

1) **Planning:** Planning is the deliberate effort to attain the expected outcome through a determined future course of action. It involves visualisation of activities that need to be done, the methods for doing them, where they are to be done, what will be the outcome and the methods to evaluate the outcomes. As per **Henry Fayol**, every management should visualise a plan that comprises of the desired result, foreseeing the line of action, methods to follow and stages to go through.

2) **Organising:** The second function of management is to prepare and organise. Organising involves division and re-division of work into smaller duties, distributing the tasks among designated work-force and allotting authority to every position for ensuring proper functioning. By organising properly, the effectiveness of the organisation is enhanced, redundancy, repetition and duplication of the activities is avoided; thereby reducing the functioning cost of the organisation. It is the responsibility of the management to organise the required resources beforehand and then to follow the planned activities.

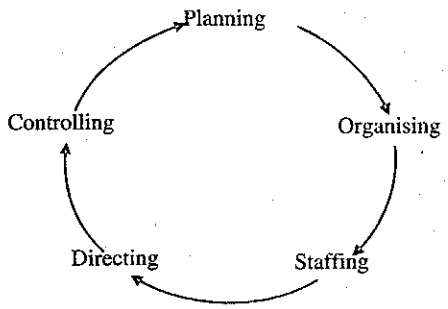


Figure 1.2: Functions of Management

3) **Staffing:** It is the process of appointing people for the positions formed by the process of organisation. Staffing is the process of recruiting, deploying and retaining sufficient and qualified employees or staffs to create and maintain a favourable working environment and thereby improving the organisational effectiveness. In large companies, staffing process is carried-out by coordinating with the human resource department.

4) **Directing:** Direction is the key to achieve required goal. After the orientation of the subordinates, the senior manager is accountable for directing and leading them to achieve enhanced job performance and to motivate them to work with passion, confidence and enthusiasm. Directing motivates the employees to perform their responsibilities in realising the organisational goals. While planning, organising and staffing are the preliminary functions to the actual business activities, direction adds a spark to the organisation by bringing the processes into motion.

5) **Controlling:** Functions of a manager are not complete even when the above elements are in place. It is very important for the manager to review and assess the organisational activities on a regular basis and take necessary steps for ensuring that the plans are being carried-out in compliance with the predetermined path. Controlling is a visualisation process that verifies that the tasks are performed as per expectations and checks for current and future deviations. The control function helps the management in identifying the deviations if any, and makes significant changes in the plans for realising the organisational goals.

1.1.9. Universality of Management

The application and uses of management concepts and principles are universal. This also means that the transfer of management knowledge is possible from organisation to organisation or from country to country. This generally means:

1) The principles of management are applicable in several organisation structures like hospitals, clubs, enterprises, etc.
2) They can also be applied to various nations and economic systems. They therefore have universal applicability.

However, some philosophers and scholars of management do not concur on the universal applicability of the management principles. There are thus two divergent views – one which views management as universal in nature in terms of applicability and another which does not consider it as universal. Those who support the universal aspect of management are **Koontz** and **O'Donnel**, **McFarland**, **Allen**, **Lundy**, **Taylor** and **Fayol**. However, those who do not support the universal nature of management are **Joan Woodward**, **Drucker**, **Ernest Dale**, etc.

1.1.9.1. Arguments for Universality of Management

The following arguments favour the universal application of management:

1) **Management as a Process:** The concept of management is universal, if it considered as a process. This implies that, irrespective of the organisational structure and type, the basic managerial functions of planning, organising, directing and controlling are the same and carried out by all the managers in the same manner.
2) **Distinction between Fundamentals and Techniques:** There is a difference between the fundamentals and the techniques of management. The fundamentals of management refer to the simple theories and principles whereas the means to carry out the functions of management are provided by the management techniques. The fundamentals of management do not change, however their applicable may change according to situations. Therefore, it is only the practices which change; the managerial skills, concepts and principles remain universal.
3) **Common Problems of Effective Use of Inputs:** The objectives of organisations definitely differ. However every organisation still requires some common inputs in the form of managerial concepts, principles and skills which can be utilised in the process of allocation of scarce resources. These resources can be capital, human resources, time, etc. The very fact that managers change jobs and also industries indicate that there are a certain common skills and concepts in play which remain the same.

1.1.9.2. Arguments Against Universality of Management

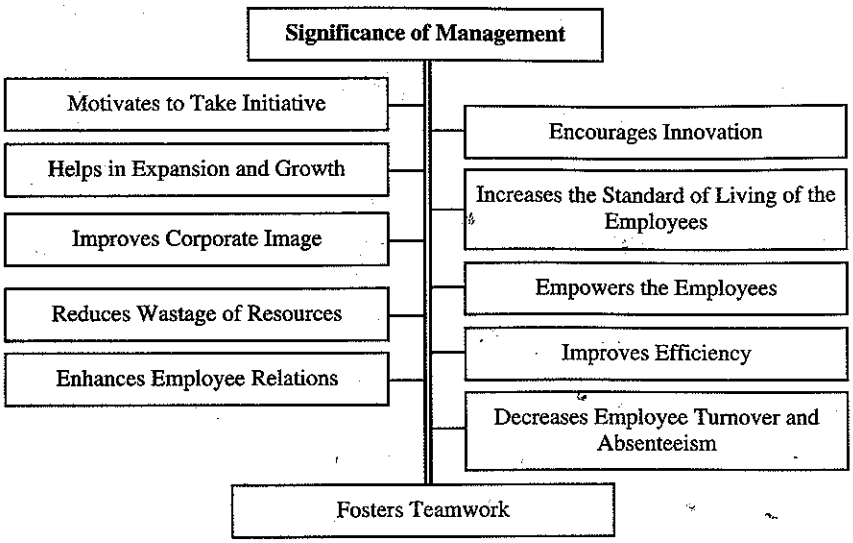
The non-universality of management is based on the theory that much of management practise depends on the prevalent situations and is therefore not transferable. The main arguments against universality of management are as follows:

1) **Differences in Objectives:** The managerial type of an organisation is dependent on the objectives which have been framed. Since the objectives of organisations are different, this implies that the managerial skills and competencies also cannot be transferred from organisation to organisation. It is possible that a person can therefore not show the same level of performance across all organisations.
2) **Differences in Philosophies:** Organisations also differ in terms of philosophies or attitudes that they hold. Due to such different philosophies across different organisations, it is possible that a manager may not perform effectively in all organisational situations. Since the philosophies of organisations are different, they require different techniques of management. Therefore, the organisational philosophies will have different implications on aspects like span of management, communication style, delegation of authority, structure of organisation, productivity, etc.
3) **Differences in Culture:** Culture implies the shared values, beliefs and attitudes. Management philosophies are outcomes of culture and thus cannot be applied universally. The behavioural patterns of management change as per the differences in culture. **For example**, if a company has very traditional and family oriented cultural values, then there will be lot of resistance in modernisation or implementing new management techniques.

1.1.10. Significance of Management

Management plays an important role in the growth and welfare of an organisation. The following points describe the significance of management:

1) **Motivates to Take Initiative:** To do an activity without being influenced or motivated by someone is termed as initiative. Management always encourages the employees to take initiatives to perform activities that are new yet beneficial for the organisation. Management encourages the employees to formulate new plans, strategies and implement them for the benefit of the organisation without being influenced by the higher authorities. Self-induced activities give sense of contentment to the employees, and thus, encourage them to continue doing such work and bring success to the organisation.



2) **Encourages Innovation:** Innovation is a necessity in today's competitive environment. Management facilitates introduction of new ideas and concepts; use of new and productive methodologies; installation of advanced technologies; launch of innovative products and services; etc. Hence, it can be said that management has an important role in maintaining the competitive position of the organisation.

3) **Helps in Expansion and Growth:** By exercising proper managerial skills, a manager can ensure effective and efficient use of resources. Since each activity is performed as per the predetermined norms and standards, there is a reduction in the wastage and spoilage of the resources. Management motivates the employees to give better performance and reduces absenteeism and employee turnover. All these activities in turn enhance the growth and expansion prospects of the business.

4) **Increases the Standard of Living of the Employees:** Management ensures that the profits earned by the organisation are also shared with the employees. Management encourages the employees by improving the working environment and conditions which in turn ensures their productivity. It also offers financial and non-financial incentives to satisfy their monetary and non-monetary needs. Thus, satisfying the monetary needs of the employees, alongwith offering them psychological and emotional satisfaction improves standard of living of the employees.

5) **Improves Corporate Image:** Efficient management helps in providing superior products and services to the consumers. Offering best products and services at reasonable and economic prices creates a good image of the organisation in the industry. This results in improving the brand image and goodwill of the company. Good corporate image creates many opportunities for the organisation and creates a dominant position in the market.

6) **Empowers the Employees:** Employees can be encouraged by providing both financial and non-financial incentives to increase the work efficiency. Financial incentives (like bonus, profit sharing, allowances, etc.,) and non-financial incentives (like including promotion, career advancement opportunity, job security and stability), both contribute positively towards improving performance and efficiency of the employees. These incentives give a feeling of empowerment to the employees regarding their presence in the organisation. This results in increased productivity and profits.

7) **Reduces Wastage of Resources:** There are three main type of resources used in every organisation, *viz.*, physical, human and financial resources. The planning and controlling function of management should be efficient so that the resources are utilised in an efficient manner. Each management activity if conducted as per the predetermined standards and norms will reduce wastage and spoilage of resources and increase organisational productivity. This will enable the organisation to offer quality products at competitive rates to the customers.

8) **Improves Efficiency:** Cost involved in an activity and returns expected are directly proportional to the efficiency with which the activity is conducted. Higher efficiency helps in achieving increased returns at minimum cost. Managers are able to increase the organisational efficiency by using different managerial tools and techniques. Thus, managerial activities bring prosperity to the organisation and provide benefits to the employees.

9) **Enhances Employee Relations:** Management helps in establishing proper coordination between the various divisions, sections and departments of the organisation. Cordial relations between the top level, middle level and lower level management results in a team spirit amongst employees. Each department and employee is governed by the standards laid down by management that are designed to coordinate with one another. Effective coordination and cooperation between employees at different levels results in overall productivity of the organisation.

10) **Decreases Employee Turnover and Absenteeism:** Management is always practicing different ways to reduce absenteeism and employee turnover. Absenteeism means remaining absent from the service without taking prior permission from the senior management. Labour turnover means the rate with which the workers or employees leave the organisation. The main reason for turnover is lack of motivation. If managers identify motivational needs of employees and provide suitable incentives, employees will not think of leaving the organisation. If turnover is reduced, it minimises the cost of new recruitment. Management provides good working conditions which helps in reducing absenteeism.

11) **Fosters Teamwork:** Management motivates its employees to work in a team, likewise the coordination between team members increases productivity. Unity among the team members is essential for achieving common objectives of the organisation.

1.2. MANAGER

1.2.1. Introduction

Individuals who are responsible for carrying out various functions of management are known as managers. It is the manager who supervises all the employees and divisions of an organisation to ensure right performance of assigned tasks. There are different managers for each management level.

There are usually three management levels, i.e., top, middle and lower level, under a large organisation. Each of these management levels includes managers who supervise and undertake managerial operations. A lower level manager operates under basic levels of managerial functions, while a middle level manager supervises lower management employees and reports to senior levels. A top level manager oversees generated reports and represents them to Board of Directors or owners of the company. These reports are helpful in making key decisions and setting organisational goals. Thus, managers are the performers of managerial functions.

A manager has greater responsibilities and is usually paid higher salaries as compared to other employees of the organisation. Likewise, senior level managers possess advanced managerial qualifications and experience.

1.2.2. Functions of Manager

Following are the main functions of a manager:

1) **Setting Goals and Planning:** The main function of setting goals according to the company's vision and mission is performed by the managers. This function also includes planning essential steps required for accomplishing set objectives.

2) **Organising the Group:** Another major function of a manager is to analyse processes, decisions, and steps required for achieving organisational goals. For performing such a task, they divide work into smaller manageable segments and further classify them into simple jobs and activities. Finally, similar group units and jobs are combined together. This helps in organising various groups and also facilitates in identifying right employee for a particular task.

3) **Motivating and Communicating:** Another important function of manager is to motivate employees and subordinates. A manager is responsible for encouraging various teams and workgroups that perform specified managerial functions. Managers are also responsible for minimising communication gaps between employees and departments by ensuring proper flow of information. This avoids organisational conflicts and is very essential for smooth working of an organisation.

4) **Measuring Performance:** This function includes setting performance standards and benchmarks for every employee of the organisation. Managers have to ensure that every employee, and his subordinates, should meet these performance standards. In this manner, managers are able to measure the performance of each individual and can motivate or appraise anyone, if needed.

5) **Developing People:** A manager is primarily responsible for the growth and development of his subordinates. For taking the best inputs from employees, managers help team members and workgroups for getting tasks done in an efficient manner by ensuring growth of every individual.

6) **Establishment of Effective Coordination Control:** This function includes establishing effective coordination and control within the organisation for avoiding any conflict or chaos. Effective coordination ensures smooth working of organisation by maintaining harmony.

7) **Arrangement of Capital:** Another major function of a manager is to assess the right amount of funds required for conducting daily businesses activities. After successful assessment, managers are also responsible for arranging such funds at minimum costs.

1.2.3. Managerial Skills

Individual talent and skills are required to successfully transform an idea into action. It is not possible for any individual to have all the qualities and skills. But an individual who understands these skills and is willing to learn can acquire them through training and conscious efforts. Proper training and development can sharpen the skills of manager.

A manager should possess motivational skills, social skills, communication skills, etc., to discharge his duties and responsibilities effectively. The various skills required by a manager are grouped into three broad heads – technical skills, human-relations skills and conceptual skills. These are discussed below in detail:

1) **Technical Skills:** Technical skills (also termed as hard skills) are mainly concerned with the knowledge of the particular subject or area for which the manager is responsible. These skills are related to the knowledge of the various processes, procedures, techniques and methodologies used in the area of expertise. Technical skills can be enhanced by proper training and on job experience. Professionals like engineers, architects, accountants, etc., possess knowledge required to perform their job but the skills are developed further by actually practicing the work. **For example,** if a person is responsible for maintaining inventory in an organisation then he must possess the required technical skills to efficiently maintain the flow of inventory.

2) **Human Skills:** A manager should be social and friendly towards his subordinates. He should understand people and maintain good human relations with them.
He should have the capacity to clearly explain his ideas to his subordinates. He should have the ability to judge the possible outcomes of his actions. A manager should have self- evaluation skills so that he is able to analyse and develop his behaviour and attitude. Human skills are consistently required by the managers at every level of management.

3) **Conceptual Skills:** These skills are related with ideas. The thought process behind developing new and innovative products is called conceptualising. Conceptual skills are also known as soft skills and they are not easy to identify. These skills are present in the form of vision, inspiration, idealistic ideas, imagination, etc. These skills are also known as general management skills which help the managers in visualising small elements present in a situation as well as the interdependence of these elements. This helps the manager in understanding the situation in a broader perspective.

Thus, technical skills are action-based, human skills are relation-based and conceptual skills are idea-based. However, every person may not necessarily possess these skills in equal proportion in order to become a successful manager. Every skill may be present in varying amount depending upon the personal and professional background of the individual. Thus, a manager should possess management skills in a proportion required to perform his roles and functions. Top level management are expected to possess the skills which may not be expected by the lower level management, and *vice versa*. The importance of these skills differs from top to the bottom of the organisational hierarchy (**figure 1.3),** which can be understood as follows:

1) Managers at operational level should possess more 'technical skills' in comparison with 'conceptual skills' which are rarely used at this management level. The managers at supervisory level are in direct contact with the subordinates for providing proper assistance and guidance. Thus 'human skills' are also extremely significant at operational level for creating cooperation and mutual understanding between the management and the workers.

2) Middle level management acts as a mediator between the high level and supervisory level management. Thus, 'human skills' are very important at this stage. It is the responsibility of the middle level managers to understand the decisions taken by the senior authority and convey the same to the workers. Also, 'conceptual skills' are required at this level as the managers have to develop and implement various techniques to increase production levels.

3) Managers at the highest hierarchy level require 'conceptual skills' to develop novel ideas to accomplish the predetermined standards of the organisation. They need to select various policies and strategies for long-term planning. 'Inter-personal skills' are also required to manage the activities carried out in the organisation and also to maintain cordial relations with external agencies in an efficient and effective manner. However, 'technical skills' are required at a minimal level because they are not in direct contact with the supervisory staff. They deal with planning cost effective techniques for attaining common objectives and offering quality products to the end consumers.

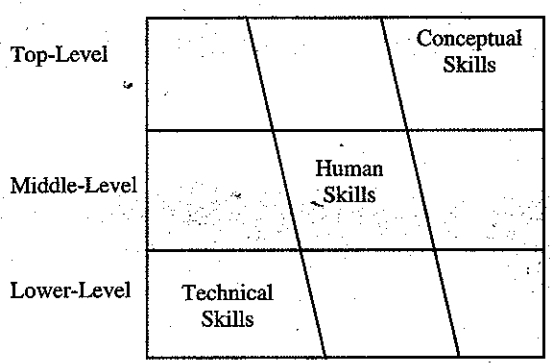


Figure 1.3: Relative Needs for the Main Categories of Skills

1.2.4. Mintzberg's Managerial Roles

Multiple roles are assumed by managers for fulfilling different responsibilities. According to **Henry Mintzberg,** there are ten roles that are commonly performed by all the managers. These roles are grouped into three main categories, namely:

1) **Interpersonal:** It is the link between different managerial works.
2) **Informational:** This role ensures provision of information.
3) **Decisional:** This role facilitates efficient utilisation of information.

Different managers can perform these roles at various circumstances or one manager can perform them according to the situation and the management level. These individual roles are a part of an integrated managerial role as depicted in the **figure 1.4**:

1) **Interpersonal Roles:** A manager has to play different roles as per the requirements of the responsibilities vested upon him. These roles are connected with the interpersonal relations shared by a manager and his subordinates. While performing interpersonal roles the manager acts as a:
   i) **Figurehead:** A manager has a role of a star figure during some events like welcoming foreign business associates or senior personnel, attending personal function of the subordinates, hosting lunch for special customers, etc.
   ii) **Leader:** It the role of the manager as a leader to encourage his subordinates and motivate them to satisfy their individual needs in a way that ensures fulfilment of the overall organisational objectives.
   iii) **Liaison:** Every manager should be a good communicator outside his commanding area to gather information from other sources present in the organisation.

2) **Informational Roles:** Collection and dissemination of information is a major part of managerial work performed by a manager. While performing informational roles the manager acts as a:

i) **Monitor:** A manager has to develop a personal network of contacts inside and outside of the organisation. As a monitor, he has to constantly analyse his business environment for extracting information, questioning his subordinates and receiving unsolicited information from the established contacts.

ii) **Disseminator:** It is the role of a manager to share privilege business information with his department members which otherwise would not be available to them.

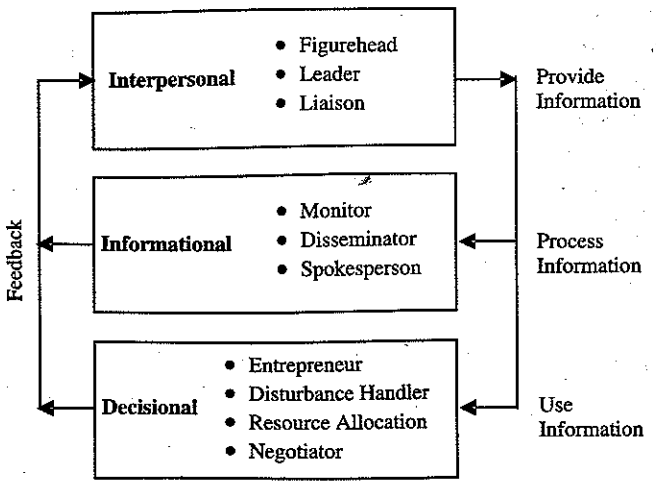


Figure 1.4: Role of Manager

iii) **Spokesperson:** An organisation has several stakeholders like shareholders, investors, consumers, society, etc., who require information about the activities of the enterprise. A manager's role are to recommend the shareholders regarding financial performance, assure the government and regulatory authorities that the enterprise abides by the law, and ensure that social responsibilities are met for the well-being of consumers.

3) **Decisional Roles:** A manager is the key personnel in the decision-making process. As he has access to all the information and can voice his opinions for the benefit of the organisation. While performing decisional roles the manager acts as a/an:

i) **Entrepreneur:** Business environment is dynamic in nature. The environmental factors keep on changing constantly. A successful manager is one who adopts these changes, implements them to improve existing and new products, device innovative business plans, etc.

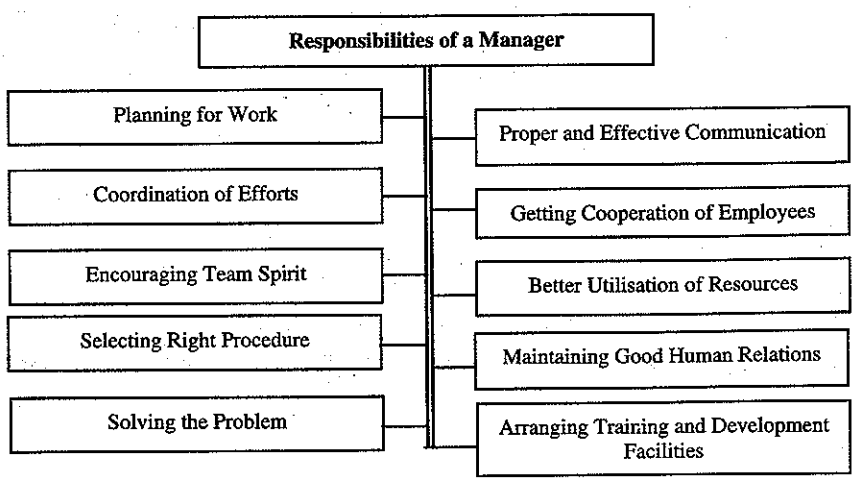
ii) **Disturbance Handler:** A manager must be prepared for handling unanticipated problems in and outside the organisation. He must have contingency plans or prompt solutions in case of strike by the workers, important consumers going bankrupt, a client terminating contract against the terms decided, etc.

iii) **Resource Allocator:** Division of work among subordinates and delegation of authority to perform the given work should be done by the manager. He assigns tasks to employees as per their individual capacities.

iv) **Negotiator:** A manager represents the organisation in case of a dispute that calls for negotiation. A corporate level manager plays a role of a negotiator and takes decisions for the organisation as a whole. Not all negotiations are handled by the top-level manager; issues at executive level are resolved by the executive level managers.

1.2.5. Managing Workplace Responsibilities

A manager has to manage various responsibilities at his workplace. Following are the responsibilities given below:



1) **Planning for Work:** Managers are primarily responsible for planning work by focussing on the organisational objectives. Every work plan should aim towards the achievement of such objectives.
2) **Proper and Effective Communication:** A manager is responsible for maintaining a proper and effective communication within the company. He is also responsible for identifying and eliminating communication gaps and related barriers of communication. This fosters free flow of communication and removes misunderstandings or doubts.
3) **Coordination of Efforts:** A manager is responsible for coordinating the efforts of all the employees. These efforts are considered to have more worth than company's finance. Thus, these efforts are accurately coordinated in a productive manner by developing a system for channelisation.
4) **Getting Cooperation from Employees:** Due to the distinct nature of employees, there is an absence of cooperation at the workplace which often results in low production activities. Thus, a manager is responsible for extracting cooperation from employees by motivating them towards their work.
5) **Encouraging Team Spirit:** Alongwith acting as a mentor, a manager is also responsible for encouraging team spirit within workgroups. By using polite and powerful words, and simultaneously adopting a suitable approach, a manager stimulates positivity and a sense of group morale among employees.
6) **Better Utilisation of Resources:** A manager ensures optimal and better utilisation of resources. He is responsible for accurately measuring the amount of available resources and creatively using them at their maximum level, so that no resource becomes a waste product.
7) **Selecting Right Procedure:** The top level executives establish plans and objectives of the organisation. However, the right procedure of achieving such objectives and plans is identified and developed by managers. They are also responsible for selecting the right course of action among various alternatives.
8) **Maintaining Good Human Relations:** Managers are responsible for maintaining good and healthy human relations with all employees and workers. They also ensure harmony and good working relations between employees of different management levels.
9) **Solving the Problem:** Managers are responsible for taking initiatives towards solving various problems and conflicts that arise within an organisation. They identify and understand the real problems of employees and make them grateful.
10) **Arranging Training and Development Facilities:** A manager is also responsible for organising training and development related facilities for the growth of employees and organisation as a whole, as these facilities are beneficial for both employees and the organisation.

1.3. ORGANISATION

1.3.1. Meaning and Definition of Organisation

An organisation is a group of people, who are organised in a certain structure in order to satisfy a need or to attain a common objective. Every organisation follows a particular structure for its management which specifies that who is going to do what. It allocates different activities to different members, defines their roles and responsibilities. It also states the authorities of different employees. Organisations are referred to as open systems because organisations and its environment are connected to each other in such a way that both influence each other.

A set arrangement for managing a company internally is known as an organisation. It is a technique of management in which efforts of all the group members are utilised in order to achieve a common goal. It is done by dividing the activities into various sub-activities and allotting them to different persons. Organisation is all about distribution of work and allocating it to persons well-suited for it.

According to Gary Johns, "Organisations are social inventions for accomplishing goals through group efforts".

According to Ralph C. Davis, "Organisation is a group of people who cooperate under the direction of leaderships, for the accomplishment of a common end".

1.3.2. Nature of Organisation

The following two points explain the nature of an organisation:

1) **Social System:** Social system can be understood as a set of interrelated and independent components that forms a complete whole. In an organisation, social system consists of people of the society which is organised by a distinctive pattern of relations. Such relations have different norms and values. Social system is thus regarded as a social structure or social organisation. A social system can be further divided into:
   i) **Feudal System:** Established in the 8th Century in Europe, Feudal system is an economic and political system having its foundation on the relation between lord and vassal, and holding of land. This system is usually characterised by forfeiture, homage, legal and military service of tenants.
   ii) **Patriarchate:** Patriarchate is a type of social system under which male is designated with the title of family head, and it is his surname which is further passed to future generations. Under this system, the male is empowered with all the powers.
   iii) **Matriarchate:** Matriarchate is a type of social system under which female is designated with the title of family head, and it is her surname which is further passed to the future generations. Under this system, the female is empowered with all the powers.
   iv) **Meritocracy:** Meritocracy is a type of social system under which the person having superior intelligence and intellects is empowered with all the societal powers.
   v) **Class Structure:** Under the class structure, there exist different classes within a society.
   vi) **Segregation:** Segregation is a type of social system under which separate and distinct facilities are provided to the minority groups.

2) **Mutual Interest:** When various groups are able to negotiate strategies, the organisational relationships tend to be strong. Mutual interests are the interests that are related to the achievement of respective goals and are common to the involved parties. When the mutual interests are shared among different people, the organisation becomes stronger as a shared concern towards the achievement of common goals is developed. For this, it is important that people develop a perspective for other individuals and discuss their issues in an open manner. This promotes harmonious and sustainable actions that work for the organisation's mutual direct interest.

1.3.3. Components of Organisation

Key elements of organisation are shown in **figure 1.5:**

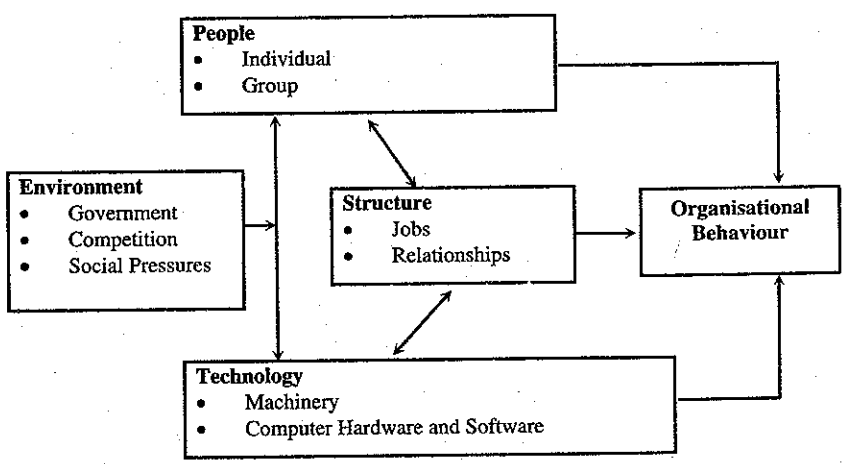


Figure 1.5: Components of Organisation

1) **People:** The internal social system of an organisation is made up of the people who work in it. This comprises of individuals, large and small groups, informal and formal groups. It is the organisation that exists to serve its people and not *vice versa*. Today's organisations have changed and have become more diverse than before. Present day employees come up with a broad range of talents, educational backgrounds and perspectives. Hence, the managers are required to transform themselves with the workforce in order to attain maximum efficiency.

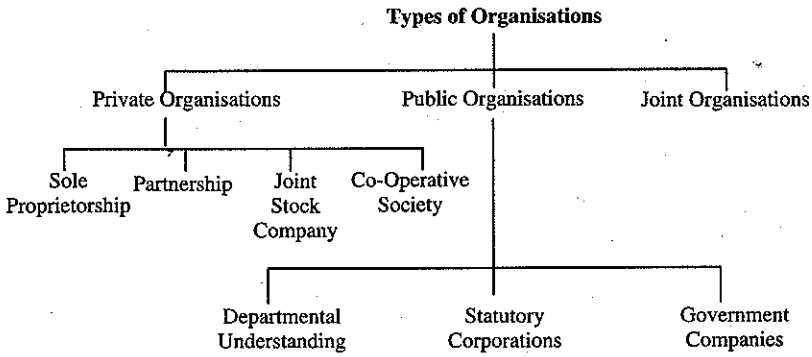
2) **Structure:** Relationships and roles of people in the organisation are defined by structure. People working in an organisation perform different roles and have different relationships with each other. Division of work is done based on the capabilities and designation of the employees so that organisational goals are met efficiently. These may be managers, supervisors, clerks, etc. working in one direction to achieve the organisational goals in an organised manner. Authority-responsibility relationships are the essence of structure.

3) **Technology:** Technology plays a vital role in modern organisations. It empowers people for their work and also influences their activities. Since work cannot be done without equipments, hence organisations use technology to build buildings, design machines, develop work processes and collect resources. Technology in turn helps people to perform better. But technology has some side effects like it is costly and limits people in certain ways, i.e., it makes them dependent on machines. So, technology has both pros and cons.

4) **Environment:** Operations of all organisations take place under internal and external environment. An organisation is a small part of a large system which contains elements such as government, family and other organisations. Changes in the external environment affect the individual organisations such as schools or factories. It also affects working conditions and people's behaviour and provides struggle for resources and power. Thus, organisations should adopt it while studying human behaviour.

1.3.4. Types of Organisation

Classification of organisation is explained below:



1) **Private Organisations:** Private organisations, as its name suggests, are privately owned and managed, i.e., by a person or group of persons. Such organisations do not have any part of management and ownership of government in it. Private organisations include profit as well as non-profit organisations, charities, partnership businesses, etc. **For example**, retail outlets, food chains, credit unions, etc. The main motive of private organisations or businesses is to earn profit by selling its goods or by rendering its services. They may even shut down the business if it no longer can generate profits. Private organisations are of following types:

   i) **Sole Proprietorship:** In this kind of private organisation, entire liability of the business is of single person. Very less paper work is needed for this kind of business. Hence, it is observed that most of the start-ups are generally started as sole proprietorship only. In this case, business and owner are not different entities, i.e., the owner stands liable for the debt created due to the business.

   ii) **Partnership:** In this type of business setting, the business is owned by atleast two people. Partnership itself can be of various kind such as, both the members may have equal share or one partner may have more share than the other. There can also be a silent partner or partners; such partners only invest money in the business and not participate in routine activities of business. Similar to sole proprietorship, in partnership also all the partners individually are liable for the business activities and debts, which is biggest disadvantage of partnership.

   iii) **Joint Stock Company:** In this type of business setting, various persons come together voluntarily and contribute money in order to carry out a business, and to achieve a shared objective. Such organisations do exist legally and are abide by various legal provisions. The persons involved in such businesses are known as its members, and the money they contributed is known as company's capital. Every member

of the company is entitled for certain portion of capital, that portion of capital is known as share of that member. So, such members are known as 'shareholders' and the capital of such companies is referred to as 'share capital'. Number of units in which the total share capital is divided is known as 'shares'.

iv) **Co-operative Societies:** This type of business setting is also based on voluntary relationship of its members. The co-operative societies are based on the notion of self-help or help of its members. The key intent of these businesses is to support its members and to assist in achieving their economic goals. The functioning of these societies is such that volunteers come together to form a group, combine their resources and consume it effectively in order to provide benefits to all the members.

2) **Public Organisations:** Those organisations which are owned and managed either by Central Government or by State Government are known as public organisations. The intent of public organisations is to do welfare of the society and to support the interest of public. Those private organisations which have been nationalised by government, i.e., banks and LIC of India, come in the category of public organisations. Alongwith them, the enterprises established by government also come in this category, e.g., GAIL, HMT, STC, etc.

In India, there are three types of organisations that come in the category of public organisations, which are explained below:

i) **Departmental Undertaking:** This type of business setting provides the services that are vital for the society such as railway, broadcasting, postal services, etc. Various ministries of Government are wholly responsible for financing and managing these organisations. These types of organisations are best for those services in which government want to take public interest into its consideration.

ii) **Statutory Corporation:** When an organisation is formulated by passing a special Act in Parliament or State Legislature, then such organisation is known as Statutory Corporation or public corporation. State Trading Corporation, LIC of India are some of the examples of statutory corporations. Functions, authorities, organisational structure, etc., of these organisations are defined in its Act. Entire capital of these organisations is provided by the government.

iii) **Government Company:** Those companies in which atleast 51 per cent of share capital is held by government are known as government companies. Such companies are registered under Companies Act of India and hence are administered as per the provisions of Companies Act only. Most of the companies owned and controlled by government come in the category of government companies.

3) **Joint Organisations:** As the name suggests, those organisations which are owned and operated privately as well as by government are known as joint organisations. In other words, joint organisations are those in which investment come from the private as well as the public sector and where government actively participate in managing and controlling the organisation. The type of economy practiced in India is mixed economy and concept of joint organisations is a new addition to it.

1.4. APPROACHES TO MANAGEMENT

1.4.1. Introduction

The emergence of management thoughts and principles can be drawn out from pre-historic times. Since then, human beings started living together in organised groups or in a society consisting of different groups. These efforts have helped them to organise their actions and carry-out their activities in an efficient and productive manner. Management principles have evolved with time and are in continuous process of evolution. Management principles are flexible in nature and its application depends widely on the nature of the situation. Management principles have a broad base and help in decision-making process. They are famous and have a worldwide acceptance. As management principles are linked to human behaviour, they keep on constantly changing and evolving.

The evidence of such management practises and theories has been found. **For example,** in 3000 B.C, the Sumerian civilisation followed a well-organised tax collection system under the management of priests. The history of Egyptian civilisation sets an excellent example of organising human and material resources by constructing pyramids. Till now, the organisation of political, economic and social affairs in the Roman Empire is regarded as the most efficient management practice. **Kautilya's Arthashastra** highlights one of the best techniques of managing the State affairs.

The evolution of various formal management theories started in the early 1990's. The era of industrial revolution recognised the need of efficient management of the societal resources. This involved the development of steam engines and other mechanised production means, so as to manage large scale production, utilising physical and human resources.

The development of management thoughts comprises of major schools which can be classified into three major categories as given in **table 1.1**:

Table 1.1: Major Management Gurus and their Contributors

Major Classification of Management Schools		Management Gurus
1) **Classical Approach**	i) Scientific Management	a) Frederick W. Taylor b) Henry Gantt c) Frank and Lillian Gilbreth
	ii) Administrative Management	Henry Fayol
	iii) Bureaucracy	Max Weber
2) **Behavioural Approach**	i) Human Relation Approach	Elton Mayo
	ii) Behavioural Science Approach	a) Maslow b) Herzberg c) McGregor d) Mary Parker Follett e) Blake and Mouton f) Chester Bernard
3) **Modern Approach**	i) Quantitative Approach	a) Russel L. Ackoff. b) F.W. Lanchester c) Thomas A. Edison
	ii) System Approach	Churchman West
	iii) Contingency Theory	Paul Hersey
	iv) Social System Approach	Vilfredo Pareto
	v) Decision-Making Approach	Herbert A. Simon

1.4.2. Early Management Thoughts

Modern management has evolved because of the contributions of several intellectuals. Given below is the list of such intellectuals who have contributed to the field of management in its early stages:

Table 1.2: Early Contributors to Management Thought

Name	Period	Contribution
Robert Owen	1771-1858	Various legislative reforms were suggested with a view to enhance labour working conditions.
Charles Babbage	1792-1871	Scanlon Plan, based on the profit-sharing plan, was formulated by him. Also proposed the popular concept of 'division of labour'.
Andrew Ure	1778-1857	Several management principles and practices were described by him in an effective manner.
Charles Dupin	1784-1873	The study of management was advocated by him.
Henry R. Towne	1844-1924	Significance of business skills required for operating a business was emphasised by him. He also stressed on the need to regard management as an independent discipline of study.

1) **Robert Owen (1771-1858):** An initiator, Charles Robert Owen, is regarded as the front runner in the discipline of human resource management. He was of the opinion that instead of investing capital in purchasing machinery and equipment, it is considerably better to make investments in human resource or personnel. He thought workers of an organisation should do their jobs because they wish to do so and not because they are compelled to do so (as a necessity). He further thought, it is the responsibility of a manager to make a worker aware by letting him know the work expected of him and also the reason of doing so. In this way, the worker will perform in an efficient and better since he/she is aware and

enlightened. All this is possible only if the manager is able to tell information to the worker with the understanding that he will not reveal those details. Robert Owen can be known as a precursor in the evolution of behavioural approach to management due to the concept and ideologies advocated by him.

2) **Charles Babbage (1792-1871):** Another contributor to early management thought, Charles Babbage was convinced by the significance of human element in business. He proposed that there is a direct association between employees and the management. He formulated a profit sharing plan and suggested the concept of participative decision-making, a crucial contribution that brought in science and mathematics in the operations of production. He strongly supported insightful organisation of labourers and the concept of 'division of labour'. Probably, Babbage was foremost intellectual to suggest that instead of individual views and intuition, decisions should be dependent on precise knowledge and examination. The technique of time and motion study was also foreseen by Babbage for which he received lot of acclamation. Under this technique, a job is carried out with the help of least number of motions using least time which will be helpful in decreasing costs and making operations more simplified. **Garbut** was of the view that, Babbage was a founder of Operations Research who utilised methods of industrial engineering and quantitative methods in order to enhance the operations of production. Babbage was the author of a book named, 'On the Economy of Machinery and Manufacturers' where he stressed a lot on reduction in costs through specialisation, wage incentive, optimum employment of tools and machinery and work computation.

3) **Andrew Ure And Charles Dupin**: One of the first few contributors to study of management included Charles Dupin and Andrew Ure (1784-1873). Originally from England, Ure was an academician associated with the Glasgow University who wrote the book, 'The Philosophy of Manufacturing' elucidating the numerous ideas and theories of production. Originally from France, Dupin was an engineer engaged in as a management professor in Paris in the year 1819. From here onwards began his acclaimed career as an economist where his works became famous all across France and may have also exerted an impact on the contributions of Henri Fayol to the management theory.

4) **Henry Robinson Towne (1844-1924):** Proficient business skills are a must for operating any business, was the opinion of Henry R. Towne, a mechanical engineer and the President of the Yale and Towne manufacturing company. He stressed upon the fact that, very much similar to engineering, management also requires to be regarded as an independent discipline of methodical study. In 1886, Towne, in one of his writings 'The Engineer as an Economist', recommended that the subject of management should be learned as a science and management theories should be extended such that those can be employed across different situations in management. Towne's theory had a major influence on Fredrick W. Taylor who was one of the participants in the presentation and eventually, the scientific management principles were developed by him.

1.4.3. Patterns of Management: Management Theory Jungle

In the last few years, a formal and authentic way of writing has been observed. Throughout different time periods, various schools of thought have been developed. The emergence of different management practices, researches and analysis has left everyone confused. The exact definition of management, its theories and its analysis have lost clarity. This situation is termed as "**The management theory jungle**" by **Harold Koontz.**

This has replaced the old approaches by new approaches further adding few new words and meaning, but still the approaches and science of management is referred as the jungle of management theory.

In the famous article on "The Management Theory Jungle" by **Professor Harold Koontz,** six major schools of thought have been observed, which are as follows:

1) The Management Process School,
2) The Empirical School,
3) The Human Behaviour School,
4) The Social System School,
5) The Decision Theory School, and
6) The Mathematical School.

The contributions of scholars from different disciplines have made it difficult to understand the scope of management. As each scholar has left no stone unturned to portray his views and criticise others viewpoints.

Due to the confusions faced in understanding the different views of management, it is much preferred to validate the 'Management Theory Jungle 'given by **Professor Koontz.**

According to the major schools of thought identified by **Professor Koontz,** it is viewed that the philosophy of Mathematical school can be used for planning and controlling functions while Behavioural and Social schools can be best utilised for organising, staffing, and directing activities. The 'Management Theory Jungle' helps the managers to develop interaction between all functional activities.

1.5. CLASSICAL APPROACH

1.5.1. Introduction

The gradually changing Industrial Revolution, this extending from 1700s to the 1900s, brought in a much improved and systematic study of management. In order to manage new factory set-ups which were the vital part of Industrial Revolution, it became essential to introduce different approaches for managing work and human resources. Therefore, the classical school helps to understand the core of management knowledge. This includes planning, organising, leading and controlling. **For example,** in the 1950s, the decentralisation of **General Electric** (GE) took place, which was based on classical school approach of management.

The classical school is considered as the systematic and formalised way of managing work and human resources. This is the major strength of classical school which becomes more adaptable in nature with time. One main drawback of this approach is that, at times it overlooks the differences between people and situation. These classical approaches are rigid in nature and do not apply well with the changing situations.

Various management theorists have contributed towards framing of principles for establishing and managing organisations. The classical theory is the base or an underlying principle in the field of management thought.

The three major schools of thought of classical theory and their contributors are:

1) Scientific Management by Frederick W. Taylor,
2) Administrative Theory by Henry Fayol, and
3) Bureaucratic Management by Max Weber.

1.5.2. Scientific Management: Contribution of F. W. Taylor

Scientific Management was used widely by the managers in the early 1900s. It was defined as the way of conducting business activities using pre-defined standards, information based on systematic observations, experiments and reasoning. In simple words, it is a classical management study which focuses on scientific approaches so as to improve the efficiency level of the workers in an organisation.

In the initial phase of 20th century, the concept of scientific management was announced by **Frederick Winslow Taylor** in U.S.A. This theory of management was strongly recommended by many theorists like **Frank** and **Lillian Gilbreth, Henry Gantt, George Berth, Edward Felen,** etc. Scientific management primarily emphasises on refining the functional activities at the workmen level.

According to Taylor, "Scientific management is concerned with knowing exactly what you want men to do and then see in that they do it in the best and cheapest way".

F. W. Taylor was named as the "Father of Scientific Management". He was a scientist and conducted many researches on the efficient utilisation of workmen. In one of his researches, he found out that improper use of scientific methods by workmen and managers led to the wastage and inefficiency in factories. Therefore, he further developed 'Scientific Management Theory'.

In this theory, he advocated that the efficiency of a factory can be attained by proper surveys, analysis and measurement. The concept of scientific management opposed the rule of thumb and is considered to solve several management problems by applying scientific methods.

The important elements of scientific management are as follows:

1) Management should develop standards which are useful throughout the organisation. This is possible by work study which comprises of work measurement & work improvement. This study can be scientifically focussed by Time and Motion studies, Methods studies and Fatigue studies.
2) Standardisation refers to the process of setting standards for all business related activities. This can be followed by setting standards of tools, equipment, machine speeds and working conditions.
3) A centralised human resource department should be there in an organisation for selection, placement and training of the workers in a scientific manner.

1.5.2.1. Features of Scientific Management

The important features of scientific management are as follows:

1) **Separation of Planning and Doing:** Before the emergence of scientific management theory, the workers themselves decided the plan of action, i.e., how the work has to be done and what machines and equipment would be required to implement the work. However, F.W. Taylor separated the functions of planning and doing. He considered that planning is most crucial task which should be taken up by specialists only. Thus, when the planning is perfect then the process of doing will be smoothly accomplished itself.
2) **Functional Foremanship:** The functional foremanship (introduced by Taylor), deals with the supervising and directing activities of the organisation. Under functional foremanship, Taylor proposed 'Eight-Boss-Scheme' which categorised four persons for planning function, i.e., Route clerk, Instruction card clerk, Time and cost clerk, and Disciplinarian and other four persons for operating function, i.e., Speed-boss, Inspector, Maintenance foreman and Gang-boss. These eight persons help in the carrying out all the functions of the organisation.
3) **Bilateral Mental Revolution:** The mental revolution in scientific management is related to the workmen as well as the management personnel. A complete mental revolution in the duties of the workmen towards their employers, fellow-men and work and a complete mental revolution in the duties of the management personnel (the Board of Directors, the owner of the business, the supervisor, or the foreman) towards their employees, day-to-day business issues and co-workers, both are important elements of scientific management. The scientific management is incomplete without this mental revolution on both sides.
4) **Financial Incentives:** Taylor introduced the differential piece-rate system to motivate and reward the proficient and better workers. This system also helps in improving the performance and quality of work.
5) **Economy:** Scientific management involves scientific and technical aspects. But for the overall growth and prosperity of the company, economy and profits should be given sufficient amount of consideration. Cost estimating and controlling techniques should be used to evaluate the profits. This further contributes in improving the economic growth as well.
6) **Mechanism of Management:** Taylor defined various mechanisms of management which are different from the philosophy of scientific management. These are:
   i) Time study,
   ii) Functional foremanship,
   iii) Standardisation of tools and implements,
   iv) The desirability of planning room,
   v) Instruction cards for the workmen,
   vi) Use of differential rate,
   vii) A routing system,
   viii) Modern cost system, etc.

1.5.2.2. Principles of Scientific Management

Taylor always wanted to signify the power of workmen in the organisation. For this purpose, he conducted various researches which would result in high labour productivity without pressurising the workers. As a consequence, he developed the theory of Scientific Management.

The views and ideas of Taylor can be seen in his books "Scientific Management" and "Shop Management". Mostly, he is recognised for his work "The Principles of Scientific Management" published in 1911. These principles are:

1) **Replacing Rule of Thumb with Science:** Taylor highlighted that through scientific management, organised knowledge can be used to maximise efficiency and this can replace rule of thumb. Scientific method includes investigation of standard method to be utilised in the organisation. Thus, the use of scientific method helps in determining accurate outputs whereas rule of thumb is based on estimations.

2) **Harmony in Group Action:** In every organisation, the group action should be well-coordinated and in harmony so as to attain maximum output. Proper understanding helps to maintain cordial relations between the group members and disagreement in a group may lead to loss. Taylor emphasises that there should be complete harmony between group members and management as a whole.

3) **Cooperation between Management and Workers:** There should be a proper coordination between workers and management. This can be attained through mutual understanding. Therefore, scientific management theory is applied by organisations to bring in cooperation among workers and management. Therefore, goodwill, confidence and cooperation are the three pillars of scientific management.

4) **Maximum Output in Place of Restricted Output:** The application of scientific management theory implicates high production and efficiency by eliminating restricted production. Consequently both, the workers and the management should work with an aim to improve the productivity of the organisation.

5) **Development of Workers through Scientific Selection and Training:** The development of workers is based on the selection and training procedure. Scientific method should be adopted for selection and training process. After the selection process, workers should be assigned jobs as per their intellectual and physical capabilities followed by proper training. Efficient employees will always be beneficial for the company. This helps to boost the success rate of workers as well as of the organisation.

1.5.2.3. Techniques of Scientific Management

The techniques of scientific management are as follows:

1) **Time Study:** This technique measures the amount of time taken by a workman having specific skills and knowledge to perform a certain job. It helps the manager to determine the standard time taken to complete a particular job. In time-study method, every element of the job is studied in detail. For this, a worker with average ability and skill sets is selected. Then a supervisor observes the worker and measures the time taken by the selected worker with the help of a stop watch to note the accurate time. It measures the time taken by a standard worker to do a standard job. In this way, a standard time is fixed to a particular activity.

   Taylor emphasised that by conducting experiments, observations and analysis, a fair day's work can be calculated, keeping in mind an average worker. For this purpose, the formula given below can be used:

   Fair Day's Work = Standard Time × Working Hours

2) **Motion Study:** Motion study is a close observation of body and limbs movement required to perform a job. The main aim of this technique is to ignore useless motions and identify the most efficient ways of doing a specific job. It also refers to the movement of a user on a machine for a specific task. It removes all the inadequate motions and adopts the best possible way of doing a job. The motion study also determines whether the job has to be eliminated, combined or its sequence has to be changed to attain the required pace. It also boosts the productivity of workers by eliminating all unproductive activities.

3) **Functional Foremanship:** Taylor has introduced functional foremanship to enhance the supervision and control activities of workers. Here, a person works under the supervision of several professional foremen. **For example,** Under Taylor's Eight-Boss-Scheme, speed boss is liable to improve the speed of workers, whereas the work related to breakdowns and repairs are supervised by repair boss, etc. Likewise, various professionals are appointed to supervise various functional activities.

4) **Standardisation:** Standardisation refers to the process of setting up standard tools, techniques, equipment, working conditions, etc., for the workers. Alongwith this, workers should also follow quality standards. If the workmen are provided with suitable working conditions, then only they can work efficiently. The major objective of standardisation is to establish performance standards of men and machines.

5) **Differential Piece Rate Plan:** This is a wage payment method introduced by Taylor. In this method, efficient and inefficient workers are paid different rates. The most efficient workers are paid higher rate as compared to inefficient or less performing workers. The payment made to workers is based on the number of pieces produced, i.e., per piece rate. In this technique, the standard output by a worker for a day is calculated. Then every worker's performance is compared with the defined standard. If the worker produces more than the standard then he is awarded with higher rate per piece on the total output. If his output is below the standard then he is paid less for 'per piece'. The difference between the rates is known as 'differential piece rate plan'.

6) **Other Techniques:** Several other techniques are used by the management to improve the planning and standardisation of activities. These techniques can be instruction cards for workers, slide rules, graphs, charts, etc.

1.5.3. Administrative Management: Contribution of Henry Fayol

One of the major contributors to administrative approach of management is **Henry Fayol**. He is considered as the 'Father of Modern Management'. Fayol was a French industrialist and a mining engineer. He had worked at all the positions of the mining company before becoming the Managing Director of the Company. He portrayed his ideas based on real-world experiences in his book, 'Administration Industrialle at Generali' in French language printed in 1916. It was translated in English as "General and Industrial Management" in 1929 and was later on published in U.S.A. in the year 1949.

Henry Fayol explained the importance of managerial efficiency in an organisation and focussed on the management point of view in dealing the company issues whereas Taylor focused on the workers point of view. All the industrial activities were divided by Fayol into six groups, i.e., technical, commercial, financial, security, accounting and managerial. These activities are applicable to organisations whether big or small in size. He entirely concentrated on the sixth activity, i.e., managing.

1.5.3.1. Features of Administrative Management

Following are the salient features of administrative management:

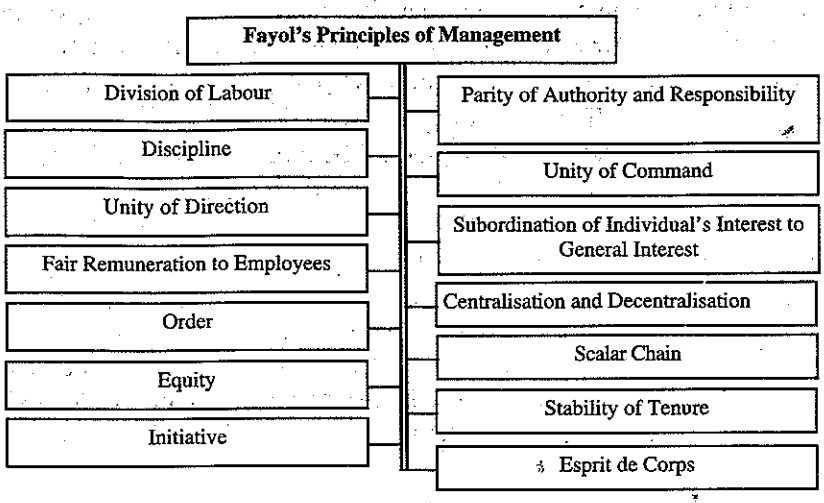
1) **Formalised Administrative Structure:** Every organisation has a formalised administrative structure having definite lines of authority from highest to lowest rank. This is also termed as the 'hierarchical structure'. **For example,** in a large organisation, at the top management is the Board of Directors who is the supreme authority in the company. Under the Board of Directors is the Chief Executive Officer (CEO) of the company, he operates according to the guidelines and rules that are laid down by the Directors. Every division or department has a Vice-President who receives directions from the CEO. The Vice-President heads the middle or intermediary level of the organisation. The middle level managers are in daily contact with the supervisors who control the functioning of workers at the workmen level.

2) **Division of Labour:** In an organisation there are many departments like marketing, production, finance, etc. Each department performs a specific task in order to achieve the organisational objectives. Therefore, a clear division of labour is very essential, which leads to specialisation, and thereby enhancing the organisational performance. **For example,** the production department focuses on manufacturing the products, marketing department looks into the marketing of those products and administrative department provides support to other divisions, etc.

3) **Delegation of Power and Authority:** The power and authority of managers must be equivalent with their responsibilities in the organisation. Proper delegation of authority leads to successful execution of the responsibilities. **For example,** the board of directors is responsible for making all the policy decisions and it is the responsibility of CEO to implement those policies. The CEO delegates the work to the departmental heads that are responsible to get the work done from the respective supervisors and so on. Management as well as the managers should keep in mind that a proper balance between authority and responsibility is always maintained.

1.5.3.2. Fayol's Principles of Management

The 14 principles of management given by Fayol are as follows:



1) **Division of Labour:** 'Division of labour' is the specialisation of various tasks so as to increase the overall efficiency of individual employees. Fayol highlighted that the work of any type, i.e., technical or managerial must be divided and assigned among number of employees. This division makes the task much easier and improves the efficiency of individuals. It also enhances the speed and accuracy of employees. Specialised efforts help the company to achieve its predetermined objectives.

2) **Parity of Authority and Responsibility:** 'Authority' is the legal power inherent in a particular job. A superior in any organisation is entitled to give instructions and orders to his subordinates, take important decisions, plan for optimum utilisation of available resources, provide guidance to subordinates and control the behavioural patterns of subordinates. While, 'responsibility' is the outcome of authority. Responsibility involves duties like performing various functions in order to attain the company's objectives in an effective manner. Based on the principle of parity, there must be parity between authority and responsibility. Managers should be given authority proportionate to their responsibility as this may lead to inappropriate use of authority. Likewise, if a person is given certain responsibility then he must also need to have required authority to execute that task.

3) **Discipline:** 'Discipline' means orderly behaviour of an individual towards abiding the rules and regulations of an organisation. Therefore, it is essential for the smooth functioning of the business. Discipline is not just a role played by the workers but also one of the roles of management. In order to follow and maintain discipline, organisation must have a good supervisor at all levels. The rules should be clearly defined and in case of any indiscipline, imposed penalties should be fair.

4) **Unity of Command:** According to Fayol, a subordinate is accountable to only one superior. Every employee in an organisation is liable to receive orders from only one superior. If a person gets orders from more than one person then it may create confusion and conflict.

5) **Unity of Direction:** As per this rule, every member in an organisation should coordinate and direct his/her efforts to attain common objectives. 'Unity of direction' strives to ensure "unity of action, coordination of strength and focusing of efforts". In consideration of the principle, each group activity should have one plan supervised by one head following the same objective. This ensures focused efforts, unity of action and coordination. **For example,** the production department in an organisation should have one head, to guide and control the activities of the group towards attaining the desired quality and quantity of products to be manufactured. There should be uniformity in the efforts and direction of the activities to achieve the group and organisational targets.

6) **Subordination of Individual's Interest to General Interest:** The interest of the organisation should be kept at the highest priority over the interest of individuals. Every employee has certain individual interests which motivates the employee to work for the organisation. But the individual interest should not supersede the organisational interests under any circumstances. According to Fayol, the management should make efforts to unite the interest in general (both employer and employee). But in case of conflict, interest of individuals should be sacrificed for the larger interest.

7) **Fair Remuneration to Employees:** Every employee in an organisation should receive a fair and reasonable remuneration. The wage structure of the employees should be based on the job assigned, cost of living and average wage rate followed in the industry and the financial situation of the company. In general, the basic pay is fixed as per the work done but the allowances are liable to change with the altering cost of living.

8) **Centralisation and Decentralisation:** The concentration of decision-making authority in the hands of top management leads to 'centralisation'. If the authority is shared with the lower level management then it leads to 'decentralisation'. Fayol suggests that there should be a proper balance between centralisation and decentralisation of authorities. In small organisations, centralisation of authority exists as the number of activities undertaken is less compared to large organisations. Whereas, in large organisations, the level of decentralisation is high.

9) **Order:** The principle of 'order' refers to the arrangement of people and things at the right place. There should be a fixed place for everything in the organisation and everything should be in its own place in the organisation. In the same way, social order involves right person at the right place. These orders demand detailed knowledge of the requirements and resources in the organisation and to maintain a proper balance between them. If the organisation is a large organisation then it is a difficult task to maintain the required balance.

10) **Scalar Chain:** Every organisation has superiors and subordinates. The formal line of authority from highest to lowest ranks is defined as scalar chain. All managers are linked in a chain from highest to lowest level positions. Every manager is superior to a manager working below him but he is a subordinate to his own superior. Hence, this is a step-wise chain of authority. According to Fayol, every organisation should have a distinct chain of authority from top to bottom, linking all the managers at all levels.

Scalar chain also acts as a chain of command and communication. It is considered as chain of command as orders given at higher levels flow to the lower level through the intermediate managers. It is also a type of communication (written or oral) which has to be communicated through the chain in the hierarchy. **For example,** if a supervisor has to submit a report to the head of the department, then the supervisor first needs to submit it to his immediate head who will pass it on to the head of the department. Hence, this scalar chain involves certain limitations, which are as follows:

i) The communication process is very lengthy.
ii) The chances of biased messages may be involved during the flow of information. To avoid such situations, a 'gang plank' can be created, i.e., a shorter route, for smooth and fast communication and action.

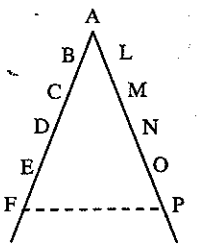


Figure 1.6: Scalar Chain and Gang Plank

The scalar chain principle can be understood with the explanation given below. In an organisation, the scalar chain comprises of two ladders, i.e., A to F and A to P. If communication between F to P has to be held then the communication has to flow upwards through E, D, C and B to reach A, and then downwards through L, M, N, O to reach P. This is a very time consuming process. To avoid this delay a 'gang plank' can be created between F and P as shown with the dotted line. But this can be implemented only in case of emergency and cannot be used as a normal practice as it violates the established line of authority.

11) **Equity:** Under this principle, every person of the similar position should be treated equally. **For example,** the workers carrying out identical jobs should be paid equally without any discrimination. It also suggests that superiors should be fair and unbiased towards each subordinate. They should not favour some and overlook other employees. The judgments of performance should be based on same terms for every employee.

12) **Stability of Tenure:** Employee turnover from their positions should be minimal. The time period of service in a particular position should be fixed and employees should not shift from the allotted position repeatedly. It takes time for a person to get adjusted towards a certain work. Once the employee is selected for a position, then he should remain at that position for a fixed tenure. He should be given reasonable time and opportunity to perform as instability may affect the performance of the employee.

13) **Initiative:** Initiative refers to the first act or initiation to do things independently. Fayol suggests that all employees should be motivated to take initiative in work and develop their own course of actions. Therefore, it needs one to remain in certain limits and be disciplined.

14) ***Esprit de Corps*:** It encourages team spirit, group harmony and mutual understanding amongst the team members. Managers should promote team work to achieve common goals of the company. This will raise the level of trust between the members and create a sense of belongingness among team members.

1.5.3.3. Functions of Management by Fayol

There are five managerial functions which are identified by **Henry Fayol**. These functions are grouped in accordance with their activities. They are:

1) **Planning:** A plan of action is a proposed means of achieving the desired objectives. Planning identifies the course of action, deals with the problems, if any, in the system and takes corrective measures to solve those problems. Planning also highlights the short-term and long-term goals of the organisation.
   According to Henry Fayol, "Planning is deciding the best alternatives among others to perform different managerial operations in order to achieve the pre-determined goals".

2) **Organisation:** Another important function of management is organising. Here, all the men and material required to develop the organisational structure are arranged and made available.
   According to Henry Fayol, "to organise a business is to provide it with everything useful to its functioning, that is, materials, tools, capitals and personnel".

3) **Command:** Command is to ascertain the authority among the employees of the organisation. The art of command depends on the person's ability, knowledge and expertise towards fundamental management principles. The level of ability differs from unit to unit in an organisation.

4) **Coordination:** It is a process of arranging and harmonising of all the activities, so as to ensure smooth functioning of the organisation. It is an effort to maintain consistency between all the departments of the company to attain common objectives. The efforts of one department should be parallel to the efforts of the other departments in accordance with the entire organisational objective.
   According to Henry Fayol, "To coordinate is to harmonise all the activities of a concern so as to facilitate its working and its success. In a well coordination enterprise, each department or division, works in harmony with others and is fully informed of its role in the organisation. The working schedules of various departments are constantly tuned to circumstances".

5) **Control:** Controlling is very crucial to ensure that all the activities in an organisation are performed as per the plan adopted, commands given and principles followed. In this process, all the problems and challenges must be resolved and their recurrence should be prevented. It is also necessary that the control process should be completed in a pre-defined time, followed by the management's consent.
   According to Henry Fayol, "Control consists of verifying whether everything occurs in conformity with the plans adopted, the instructions issued and principles established, it has for its object to point-out weakness and errors in order to rectify them and prevent recurrences".

1.5.3.4. Compare and Contrast F.W. Taylor's and H. Fayol's Approach towards Management

F. W. Taylor and **Henry Fayol** are the main developers of the scientific management. They were trained as scientists and then turn out to be managers. On the basis of their observation regarding everyday problems, they tried to develop a management theory. After experiencing a steady European life pattern, **Fayol** presumed a stable industrial organisation. However, **Taylor** responded to an ever-changing U.S.A.'s capitalist industrial organisation. **Taylor** established particular principles of management which is applicable in the production field while, **Fayol** delivered a general administration theory which is applicable in the top level of management. However, principles of **Taylor** and **Fayol** are different but they are complementary of each other.

In order to develop a structural hierarchy in the organisation, these principles are beneficial as they point towards the arrangement of material, process, people and resources into a structural way. This structure is very important because it provides a starting point for the attainment of organisational objectives.

Therefore, the involvement of **Taylor's** and **Fayol**'s principles in the development of management principles was very essential. They assumed that appropriate resource management is crucial for organisational success. However, the main difference was in their orientation like **Taylor** focused his attention towards the management of operational work and **Fayol** put emphasis on the management of entire organisation.

Similarities between Taylor's Scientific Management and Henry Fayol's Principles of Management

Taylor and Fayol have realised the importance of management. They had evaluated all the managerial issues faced by the managers. Thus, there should be some similarities between these two. The comparisons between Fayol and Taylor principles are expressed on the basis of following points:

1) Both have tried to solve the managerial issues in an organised manner.
2) In order to solve managerial problems, both Taylor and Fayol have established several principles.
3) Both of them have highlighted that activities of management may be effective if it is based on sound principles.
4) Both of them have put their emphasis on managerial qualities. They believed that managerial qualities are achievable and can be learnt through proper training. Hence, every organisation should put their efforts in the development of these qualities.
5) Both have highlighted the harmonious relationship that exists between the workers and the management which is beneficial for the fulfilment of organisational goals.

Distinction between Taylor's Scientific Management and Henry Fayol's Principles of Management

The distinctions between Taylor's scientific management principles and general principles of Henry Fayol can be represented through the following table:

Table 1.3: Distinction between Taylor's Scientific Management and Henry Fayol's Principles of Management

Basis of Distinction	Taylor's Scientific Management	Henry Fayol's Principles of Management
1) **Beginning**	Taylor started from low level (worker) and progressed in upward direction.	Fayol started from high level (top management) and moved in downward direction.
2) **Level of Management Emphasised**	Taylor focuses his attention towards operational level.	Fayol focuses his attention towards top level.
3) **Subject Matter Emphasised**	Taylor put an emphasis on the efficiency of managers and workers in the production process.	Fayol put an emphasis on the functions and principles of management.
4) **Purpose**	The main purpose of Taylor's principles of scientific management is to enhance the productivity of the workers and remove wastages.	The main purpose of Fayol's principles of management is to construct a general theory of management.
5) **Outcome**	The outcomes of Taylor's scientific management principles include certain principles and techniques like, motion study, time study, foremanship differential, standardisation and piece rate plan. These techniques were developed for providing assistance to the applications of scientific management principles. While, training and development, scientific selection and development of a science for each element of a man's work are the principles of Taylor.	14 principles of management are the outcome of Fayol principles which include division of labour, parity of authority and responsibility discipline, unity of command, unity of direction, subordination of individual's interest to general interest, fair remuneration to employees, centralisation and decentralisation, order, scalar chain, equity, stability of tenure, initiative, and *Esprit de corps.*
6) **Rigidity**	Taylor's principles of scientific management are comparatively rigid in nature.	Fayol's principles of management are flexible in nature.
7) **Applicability**	The applicability of Taylor's principles is universal.	The applicability of Taylor's principles is limited to only particular organisations.

1.5.4. Bureaucracy: Contribution of Max Weber

The theory of bureaucracy by **Max Weber** has made a major contribution towards the management schools of thought. He used the theory of bureaucracy for a special kind of administrative organisation. Weber's major contribution towards the management schools of thought is his theory of authority structure. He has also described organisations on the basis of the authority relations shared by them.

Max Weber asserted that there are three different types of authority which are legally justifiable, such as:

1) **Rational-Legal Authority:** Under the legal obligation, obedience holds a well-known position or rank within the hierarchy followed by a business unit, a military unit, government, etc.
2) **Traditional Authority:** A person belonging to a higher position or rank having an authority or recognised conventionally like a member of a royal family, may influence other people in the society to obey his orders or respect his opinions.
3) **Charismatic Authority:** If a person has a charismatic character or an appeal in his behaviour, he may be followed or obeyed by people.

Max Weber's theory of bureaucracy identifies rational-legal authority as the most important type of authority in an organisation. On the other hand, no one follows a leader for his competencies, i.e., people with traditional authority or charismatic authority, are relatively emotional and irrational in nature.

1.5.4.1. Features of Bureaucracy

The features of a bureaucratic organisation are listed below:

1) **Division of Work:** The concept of division of work is practiced at both operative and administrative levels in an organisation. This can be divided into specialised tasks. Thus, division of work leads to specialisation of work.
2) **Hierarchy of Positions:** Every organisation has a hierarchy of authority from top to bottom level. The bottom positions in the hierarchy are under the control of top management positions. Thus, this signifies the concept of unity of command. The nature of bureaucratic structure in an organisation is hierarchical. The amount of authority one holds, keeps on increasing as one climbs the hierarchical ladder in an organisation.
3) **Rules and Regulations:** Under the management of top level, certain rules, regulations and processes are defined. The significance of these rules and regulations are as follows:
   i) They help to standardise the organisational operations and decisions.
   ii) The learning and experiences of past events help to drive future actions.
   iii) They ensure equality among organisational members.
4) **Impersonal Conduct:** Members of an organisation do not have any personal relationships with each other. The decision-making process strictly adheres to the rules and regulations and is entirely impersonal in nature. There is no space for emotions and sentiments in the bureaucratic structure. Another name for bureaucratic organisation is 'depersonalisation'.
5) **Staffing:** An employee enters into a contractual relationship with the employer to serve the company in return of a certain fixed remuneration. The contract includes all the terms and conditions of employment. Thus, the employee is directed by these rules throughout his service. The payment or salary of the employee depends on the designation and the tenure of his service.
6) **Technical Competence:** Technical competence plays a major role in the selection of a bureaucrat. A bureaucrat only gets selected for his technical competencies and not on basis of election or inheritance. Even promotions in bureaucracies are totally based on the technical qualifications and performance.
7) **Official Records:** Good record keeping plays a pivotal role in the administration of a bureaucratic organisation. All the significant decisions and activities conducted in the organisation are properly recorded and kept safely for future references. An efficient record keeping system governs the success of a bureaucratic organisation.

1.5.4.2. Advantages of Bureaucracy

The advantages of bureaucracy are as follows:

1) **Controls Interactions:** A bureaucratic set-up lays down the rules required for planning an organisational hierarchy. These regulations competently control interactions between the different levels in the hierarchy.
2) **Defines Individual's Authority and Relationship Clearly:** Bureaucracy visibly defines the role designated to an employee. It separates the position from the person and clearly states the vertical authority and horizontal tasks of each person in the organisation. Here, the person is held accountable for each activity he performs and this decreases the transaction costs arising out of continuous negotiations and defining of organisational roles.
3) **Reduces Costs:** The costs incurred for performance evaluation is reduced due to rules written by the bureaucrats for promotion and termination. These are written rules in regard with the punishment and reward of employees.

4) **Improves Stakeholders' Interest:** The process of selection, evaluation and reward systems must be fair and equitable in nature. This stimulates the members to advance the interests of all organisational stakeholders and attain the organisational objectives.
5) **Enables Opportunity to Develop Skills:** Bureaucratic structure provides an opportunity to its employees in order to develop their skills and pass them on to their beneficiaries. As a result, bureaucracy strengthens differentiation, increases the efficiencies or abilities of the organisation and enhances the competency levels of the organisation in the market against other organisations.
6) **Provides Organisational Stability:** Stability is also very crucial for the members of an organisation to maintain a long-term organisational perspective. It also helps to create cordial relationship with the environment wherein the organisation operates.

1.6. BEHAVIOURAL APPROACH

1.6.1. Introduction

Human relations approach can be further extended to the "behavioural science approach" or "human resource approach". Various researchers have used several research methods for understanding the human behaviour, some being simple while others being complex in nature. **Elton Mayo** conducted research by using simple methods. However, **Abraham Maslow, Douglas McGregor** and other researchers used research techniques that were complex in nature. All these researchers were called as "Behavioural Scientists". This approach signifies the different attitudes, behaviour and functions of individuals and groups in various organisations.

Behavioural school was formed on the basis of classical theory. The behavioural approach assumes that social and psychological features of an employee on individual basis and as a part of a workgroup needs to be given prime importance.

Points highlighting the features of behavioural approach are as follows:

1) As management is all about getting things done by people; managers in an organisation should try and comprehend the importance of human behaviour in order to achieve efficient and desired results.
2) In this approach, prominence is given to increase productivity through developing human relations and motivating the employees.
3) The core concepts of behavioural approach are leadership, motivation, participative management, communication and group dynamics.

Main contributors to the behavioural science approach are **Elton Mayo** (Hawthorne study), **Douglas McGregor** (theory X and theory Y), **Maslow** (need hierarchy), **Herzberg** (motivation-hygiene theory and job enrichment), **Blake and Mouton** (managerial grid), **Bennis** (organisational development), **Likert** (management systems and linking pin model), **Fiedler** (contingency model of leadership styles), **Argyris** (immaturity-maturity theory, integration of individual and organisational goals and pattern of A B analysis), **Sayles** (interpersonal behaviour) and **Tannenbaum** and others (continuum approach of leadership).

1.6.2. Hawthorne Studies

Human resource is an important managerial function. The behaviour of employees in an organisation is governed by various desires, attitudes and feelings of the employees. **George Elton Mayo** was one of the few theorists who considered the human relations issues and their impact on work performance. George Mayo and his other colleagues conducted experiments, called as **Hawthorne experiments**. Hawthorne experiments are acknowledged all over the world, as these experiments have changed the viewpoint of managers towards workers of the organisation. Hawthorne experiments gave a positive turning point in the history of the human relations movement. These experiments gave a different perspective to the concept of human behaviour and its function in an organisation.

Hawthorne studies governed the human relations movement, although Great Depression and the Labour Movement were initiators of human relations practices. The Hawthorne studies gave academic position to the study of organisational behaviour. The studies were undertaken at the Western Electric Company's Hawthorne Works in Cicero, a suburb of Chicago, and are linked with the name of **Elton Mayo**. **Mayo** was the professor of Industrial Research at the Harvard School of Business Administration. **Mayo** was mainly responsible for executing these studies and spreading the importance of these studies. He is known as the "**Father of Human Relations Movement**".

These experiments were quite similar to the scientific management school of thought that gave emphasis to scientific research for improving the efficiency of processes with the help of better methods and equipment. In case of Hawthorne studies, the major emphasis was on improving the lighting of the working area. The National Research Council conducted experiments to study the relationship between lighting and productivity. As General Electric (GE) wanted to increase the sale of tube-lights, it supported the studies conducted at the National Research Council alongwith other companies in the electronic industry. Hawthorne studies involve four interconnected experiments, which are as follows:

1) **Illumination Experiments:** It was named as illumination experiment because light was selected by researchers for conducting the study and to examine the link between physical factor and productivity. The methods adopted for this experiment were as follows:
   i) First of all, two separate groups of employees were chosen.
   ii) Then, one group was asked to work under steady light and other group was asked to work under inconsistent light.

   Aim of this experiment was to analyse the impact of lighting on productivity. The researchers were amazed by the results as the variation of lights did not influence the productivity. As productivity of both the groups increased, so, they recognised that not the illumination but some other factor affected the productivity.

2) **Relay Room Experiments:** The aim of this experiment was to discover the physical elements that affect the productivity of workers. The methods adopted were as follows:
   i) First of all, six female employees who were responsible for assembling telephones were chosen. Then, researchers modified several factors in physical environment to determine the impact of these factors on their productivity.
   ii) The physical factors that were modified included hours of work (increased or decreased), rest intervals, enhanced physical conditions, temperature and particular type of group incentives.
   iii) These employees were working in isolation, away from the plant.
   iv) Employees were not supervised, but they were under researcher's observation.

   Researchers found that there is no effective relationship between any of these factors and productivity. Even after so many manipulations the productivity increased continuously.

3) **Bank Wiring Observation Room Experiment:** Basic objective of researchers was to identify the actual determinant affecting productivity. The methods adopted by the researchers were as follows:
   i) Fourteen employees were selected by the researchers, and
   ii) Production records of these employees were compared with their earlier production records.

   The outcomes of this experiment were:
   i) Each individual was limiting output.
   ii) Group had decided its own 'informal' performance standards.
   iii) Output of each individual remained somewhat stable for a particular period.
   iv) Records of each department were distorted due to variation between actual and reported output. This variation was also between standard and reported working time.

4) **Interview Programme:** The aim of interview programme was to identify factors affecting productivity. Hence, 20,000 interviews were carried-out by researchers. A questionnaire was given to employees and they were asked to respond without any hesitation. Thus, the results of these interviews explained the relevance of social factors on working environment.

Findings of Hawthorne Experiments

The experiments found that:

1) Workers should primarily be treated as social beings before they are considered as members of an organisation. The management must understand the social factors that govern the attitude of the workers. There are various social requirements both within and outside the working environment that impact the effectiveness and attitude of the workers.
2) Work is essentially a group effort. Workers tend to react as group members rather than as individuals towards management, the organisation and the work itself.

3) There are many factors which govern the productivity level of a worker, like physical, psychological and social factors. Psychological and social factors like security, recognition, sense of belonging, etc., are quite significant in boosting the morale and productivity of an employee. The extent of influence of physical factors or physical working conditions on employee productivity is less in comparison to psychological and social factors.

4) Non-financial incentives like status, social rewards, approval, etc., are important variables that determine the employee motivation level. These factors are linked with the emotional and psychological satisfaction rather than monetary satisfaction. Non-financial variables affect the extent of job satisfaction and security which are far more important than financial incentives provided by the organisation.

5) According to the Hawthorne experiments, the managers can achieve effective results by implementing the concepts of participative management. Every manager should seek the advice of the leaders of the informal groups formed at the workplace before implementing any change in work schedule of the workers. Participative management tries to involve each and every factor in the decision-making process. Thus, participation in the important decisions increases the efficiency of the workers. With increased employee participation the management can overcome the problem of resistance to change and the changes can be introduced it with minimum discontentment. It prevents the problem of isolation among workers and motivates them towards achieving organisational objectives.

Implications of Elton Mayo's Hawthorne Experiment

The implications of Elton Mayo's Hawthorne experiment are as follows:

1) **Social Factors in Output:** Social factors play a major role in every organisation. According to **Elton Mayo** an organisation can be referred as a social system, a system consisting of several groups, a ritual, an informal status system, and a combination of logical, ill-logical and non-logical behaviour. An organisation is not just a formal hierarchy where the all functions are carried out based on the prescribed policies and guidelines. There are many social norms and rituals that may influence the formal organisational activities.

2) **Group Influence:** Workers tend to develop informal groups with people as per their personal likings. These informal groups may or may not be according to the formal group settings. These groups help the workers to overcome the limitation of the official relationships. The usual behaviour of the group members is based on the group norms or rituals. If a group member is not comfortable with a norm or a ritual, he may try to substitute it because opposing a group ritual may not be tolerated. Management must see the worker as a part of a group and not as an individual.

3) **Conflicts:** The groups so formed apart from the formal groups may create conflicts between the workers and the management. These groups may be one of the causes of the difference of opinion between the organisation and its workers. There may be inconsistency between the objectives of the two groups. However, these informal groups formed may also be helpful in achieving the organisational objectives set by the management. These groups may motivate the group members to deliver their best efforts towards achieving the organisational goals. These groups may help to remove the obstructions created by the formal structure in the process of enhancing productivity of the workers. Conflicts may also arise between these two groups because of ineffective efforts of the informal groups towards their adjustment with the changing environment of the organisation. The individual has to develop himself to cope with the constant changes arising at the structural level of the organisation.

4) **Leadership:** Leadership influences the behaviour of people. A good leader helps in directing the group behaviour and may influence the group members to contribute positively towards the overall progress of the organisation. A formally elected leader or superior may not always be a good leader as per the views of the former thinkers of management thought. The bank wiring observation room experiment has proved that informal leaders exist in an organisation. Thus, informal leadership is important in controlling group behaviour as an informal leader may be more accustomed with the attitudes and behaviour of the group members.

5) **Supervision:** Supervisory aspect should be used effectively to maximise the efficiency of the workers and increase productivity. A supervisor can motivate and build employee morale. A good supervisor maintains friendly relations and tries to maintain harmony amongst the workers. It is the responsibility of the supervisor to ensure that the productivity levels and performance of the workers are as per pre-set organisational standards.

6) **Communication:** Hawthorne experiments concluded that communication is an important segment which helps in maintaining positive relations in an organisation. The management with the help of good

communication can explain the reasons behind different tasks and incorporate employee views and suggestions in the decision-making processes. Effective communication can help in identifying the problems faced by workers by taking regular feedbacks from them and accordingly suggesting ways and means to resolve those problems. Hence, proper two-way communication channels can help the management in understanding employee attitude, their ways of working and their issues as well.

1.6.3. Contribution of Mary Parker Follett: Human Relations Approach to Work

Most of the management gurus in the industry have been men, but the contribution of female experts cannot be neglected. The school of management thought has got few but talented and intelligent female contributors towards development of management theories. One of the leading female contributors of management was **Mary Parker Follett**. She was born in the year 1868 in the Quaker family in the city of Massachusetts. Being a woman, she was denied a degree from the **Radcliffe College**, which is a coordinate college of Harvard University.

Contribution of Mary Follett towards the development of theory of management was quite different in comparison with the theories of scientific school of management developed in the early 1900s. The human relations approach developed by **Mary Follett** was quite innovative unlike the time and motion studies developed by **Frederick W. Taylor** in that era. In one of the essay published in the year 1924, she explained the concept of power, and to elaborate it she used the expressions "power-over" and "power-with". The observation concluded that 'groups perform more efficiently when the people feel empowered and the power is shared amongst them'. She wrote, "It seems to me that whereas power usually means power-over, the power of some person or group over some other person or group, it is possible to develop the conception of power-with, a jointly developed power, a co-active, not a coercive power". She published a series of books in the mid-20th century which stressed on human relations movement in midst of various other management theories developed by famous management thinkers like **Mayo**, **Maslow** and **Herzberg**.

The four main principles of coordination by Mary Follett are as below:

1) **Principle of Early Stage:** This principle stresses on necessity of inculcating coordination function at the beginning of the process of management. Coordinating activities should start with the planning stage in the management process. If coordination starts at an early stage, it helps in developing the best plans and implementing them successfully. When coordination function is incorporated in primary stage of management process (planning) then only the performance of all the management functions can be improved and the desired results can be achieved. It can be said that effective coordination can help the management in realising its pre-determined goals in an efficient manner.
2) **Principle of Continuity:** This principle says that coordination should be a never-ending process. Coordination should be instigated from the birth of the organisation and should be continuously incorporated with the organisational functions till the organisation exists. Coordination should be done continuously throughout the stages of the management process, i.e., planning, organising, directing and controlling stage.
3) **Principle of Direct Contact:** This principle explains that every manager should establish a direct contact with his subordinates. This will ensure cordial relations between the manager and his subordinates. It improves the coordination level between the workers and managers resulting in greater efficiency and increase in productivity. Direct contact prevents false communications, confusions, misconceptions and avoids conflicts between managers and subordinates.
4) **Principle of Reciprocal Relations:** The decisions taken by the management and the actions taken by the employees based on those decisions are interrelated. Thus, an action taken by one employee or the department in response to a decision will also affect other employees and departments. Managers should analyse the effects of all the decisions on different departments and individuals before they are implemented. This is termed as principle of 'reciprocal relations'. This principle should be practiced diligently so as to facilitate coordination throughout the organisation.

1.6.4. Contribution of Chester Barnard

Chester Barnard, the author of the famous book "The functions of the Executive", was the president of New Jersey Bell Telephone Company. He considered organisations as a social system. According to him, organisations need the cooperation of human resources to run successfully. Cooperation between the employees and the organisation is a crucial aspect for the successful business activities. He also termed an organisation as a cooperative enterprise in which individuals work in groups.

According to **Barnard**, managers should encourage the employees to willingly cooperate with one another for achieving the common objectives of the organisation. He has coined the acceptance theory of management which focuses on the willingness of employees to accept that managers have the authority to act on behalf of the management.

Some of the prominent contributions of Barnard are explained below:

1) **Concept of Organisation:** According to Barnard, the classical concept of organisation does not properly clarify the various attributes of an organisation. He defined the concept of formal organisation as a system which purposely coordinates the activities of two or more individuals or departments. He insisted that an organisation can exist only if three conditions stated are fulfilled. The three conditions stated by Barnard are:
   i) The people in an organisation should be able to communicate with each other.
   ii) The people should be willing to contribute towards the action, and
   iii) The people should try to attain the mutual objectives.
2) **Formal and Informal Organisations:** Every organisation can be divided into two parts namely; formal and informal. A formal organisation consists of interactions that follow a proper chain of command towards achieving pre-determined common objectives. Whereas, in informal type of organisation there are no deliberately coordinated social interactions for realising mutual objectives. An informal organisation helps in defeating the problems faced by formal organisations. Barnard encourages the development of more informal organisations to act as a medium of communication, to encourage a sense of cohesiveness in the members of the organisation and to protect individuals from any fierce attack or dominance of the formal organisational members.
3) **Elements of Organisation:** Every organisation consists of four elements which are:
   i) A system of functionalisation in which people specialise in a particular area or department. This is termed as departmentation.
   ii) A system which offers incentives to encourage people for contributing towards group activities.
   iii) A system of power where the employees adhere to the decisions taken by the managers.
   iv) A system which follows rational process of decision-making.
4) **Authority:** The classical theory of management explains the importance of chain of authority from top to bottom. Barnard's views were quite different from the classical approach. He came up with an innovative concept called as "acceptance theory of authority" or "bottom-up theory". He viewed that a person does not follow an instruction because it is given by a senior, but follows a command it is an 'authoritative communication'. A communication can be termed as authoritative only when the below given conditions are fulfilled at the same time:
   i) When the employee understands the communication;
   ii) When he believes that the communication is consistent with the organisational objectives;
   iii) When he believes that his personal interest is compatible with the said command; and
   iv) When he is capable to comply with it on both mental and physical levels.
5) **Functions of the Executive:** According to Barnard, an executive performs three types of functions in a formal organisation, which are as follows:
   i) Maintaining organisational communication through a structure of formal interactions;
   ii) Securing assigned services from the individuals for realising organisational goals;
   iii) To develop and clearly state organisational objectives.
6) **Motivation:** Barnard has identified many non-monetary incentives to overcome the shortcomings of monetary incentives in terms of motivating the employees. The major non-financial motivating techniques include pride of workmanship, opportunity to achieve authority and distinction, amicable working conditions, sense of belongingness and involvement of employees in the important activities.
7) **Organisational Equilibrium:** The concept of organisational equilibrium focuses on corresponding individual efforts with organisational efforts to satisfy the individuals. Cooperation among individuals enhances the development of new activities in an organisation. Every organisation should focus on achieving the level of individual satisfaction required to maintain equilibrium in an organisation. As equilibrium is dynamic in nature, the organisation and its employees should continuously work towards maintaining it. An individual's demands and ambitions are constantly changing and the organisation has to deal with this dynamic nature. Organisational equilibrium is affected by several factors like employees in the organisation, other organisations present in the industry and the society at large.

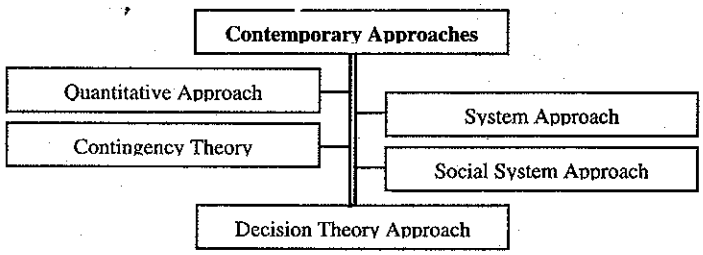
8) **Executive Effectiveness:** An executive is said to be effective when he fulfills his responsibilities and provides adequate leadership to his subordinates. Leadership is an important factor for obtaining cooperation from people. Executive leadership demands qualities like intelligence, technological competence, technical knowledge and social skills. An executive leader should not carry-out his responsibilities based on false notions or preconceived philosophies. Leadership activities of an executive should be free from his own interest and biasness. Effective leadership may be governed by the following four types of mistakes which are as follows:
   i) Over generalisation of economy of organisational life,
   ii) Ignoring the importance and necessity of informal organisations,
   iii) Lack of focus on the objective and subjective aspects of authority; and
   iv) Unclear notions of morality and responsibility.

Every executive should take necessary measures and corrective action to solve these problems.

1.7. CONTEMPORARY APPROACHES

1.7.1. Introduction

The modern approach of management theory focuses on the complex issues of the organisation and the individuals working in that organisation. It highlights the different needs, wants, aspirations, motives and potentials of the employees. Thus, the universal applicability of management principles is difficult to practice in real life situations. New and sophisticated strategies should be formulated for resolving the issues related to employees and the organisation. The modern management theory portrays the view-point of the employees against view of 'rational economic man' defined in the classical theory and the view of 'social person' explained in the neoclassical theory. The modern management theory came into existence in the year 1950. The modern management approach is viewed as an enhancement to the earlier discussed management theories (classical and behavioural approach to management). Thinkers of modern management and their contributions are as follows:



1.7.2. Quantitative Approach

The Quantitative Management or Mathematical School stresses on the fact that decision-making or organising are rational processes that are carried out in every organisation. This process can be conveyed with the help of mathematical symbols and relationships.

Russell L. Ackoff is recognised as one of the most prominent contributors of School of Management Science. **F.W. Lanchester** and **Thomas A. Edison** are other contributors in the field of Operational Research (OR).

The general formula of operations research model is as follows:

$$E = f(X_1, Y_1);$$

Where,

'E' represents system effectiveness (cost, profit and the like),
X_1 represents the variables of the system that are subject to control,
Y_1 represents the variables that are not subject to control.

The Management Science School believes that management is a rational or logical process. This thought came into existence around World War II. According to quantitative school, many of the corporate issues and corporate activities can be handled with the help of mathematical models and expressions. Although there are several complex issues involved in the management of a business firm like motivation, control, problem-solving, communication, leadership, etc., the quantitative approach mainly concentrates on the aspects related to analysis and decision-making.

Various streams of management like Operations Research (OR) and management science are combined under the quantitative management approach for finding efficient explanations to the defined problems. Combined knowledge from different disciplines would lead to scientific and operational results. Thus, the explanations discovered would be more practical and achievable.

According to the quantitative school of thought, a business organisation is a techno-economic system which has pre-determined definite goals or objectives that are economical and can be evaluated. All the resources and efforts of the management are focused on the achievement of these objectives. These efforts are combined with a decision-making process which is logical, rational, optimal and formal in nature. Here 'optimal decision' means a decision which maximise profits and the term ' rational decision' means that the decision maker is inclined towards establishing a relation between resources and the end results within the organisational environment.

The quantitative school measures the problems, evaluates the answer to the problems, examines the solution before selecting the most feasible one and then finally suggests it. The decisions are the best and perfect in comparison with the decisions in the behavioural approach where the decisions are 'satisfying' in nature. This approach does not include any personal prejudices, opinions, emotions and instinct.

1.7.3. Systems Approach

A system comprises of several interconnected parts which have a distinct identity and purpose. Every organisation should organise these elements in proper sequence. These elements should be properly connected with the help of effective communication channels. This interaction between the elements should help in attaining the common objectives or targets determined by the organisation. **Churchman West** is one of the first few developers of the systems approach of management.

Systems approach of management is of the view that all organisational decisions should be implemented only when the managers have determined their impact on the entire organisation and its functional areas. The systems approach is based on the principle that managers in an organisation cannot perform their responsibilities in isolation. Managers should establish proper communication channels with other departments in the organisation and they should link the objectives of their respective departments with the entire organisation. Proper communication with the employees and the functional areas is essential for maintaining a systematic flow of information within and outside the organisation.

The concepts of systems approach are now being assimilated into the general management school of thought. Managers need to get acquainted with the terminologies and concepts of systems approach to be a part of the current developments in the industry. The vocabulary of systems approach includes the following terms:

1) **Sub-Systems:** Sub-systems are the distinct separate parts that form a system. Each system may be a sub-system for a larger system and so on. Hence, it can be said that each department is a sub-system of a unit, a unit is a sub-system to company which in turn is a sub-system of a parent company. This company is a sub-system in the industry in which it functions and industry is a sub-system of the national economy, which is a sub-system of the world system.

2) **Synergy:** Synergy can be defined as a combined effort of separate parts which is greater than their individual efforts. In business context, synergy implies that rather than by working in isolation, each department in an organisation can function in an effective and efficient manner by interacting and cooperating with other departments. **For example,** small scale organisations have a separate finance department that coordinates with every other department in the organisation. It is better to have a central finance department instead of having an independent finance department for each department.

3) **Open and Closed Systems:** Every system which interacts with its environment is called as an open system. A system that does not interact with its environment is termed as closed system. Every organisation needs to interact with its environment but the scope of interaction for each organisation is different. **For example,** an automobile plant is an open system whereas a monastery or prison is an example of closed system.

4) **System Boundary:** Every system consists of a boundary which helps in distinguishing it from its environment. An open system has a very flexible boundary whereas a closed system has an inflexible boundary. In the recent past, organisations have adopted the flexible system boundary approach.

5) **Flow:** A system consists of flows of various types, namely; material flow, information flow, human energy and material energy flow, etc. These energies enter the system as raw materials and undergo a transformation process, i.e., they get converted into finished goods by undergoing different processes. They exit the system in the form of finished goods or services.

6) **Feedback:** Feedback is a controlling factor in the systems approach. Feedback is essential for determining the success of system operations. An effective feedback mechanism ensures that tasks are evaluated, corrections are made and the information is delivered back to concerned area/department or individual.

Figure 1.7 shows the flows of information, materials, energy and feedback in an open system:

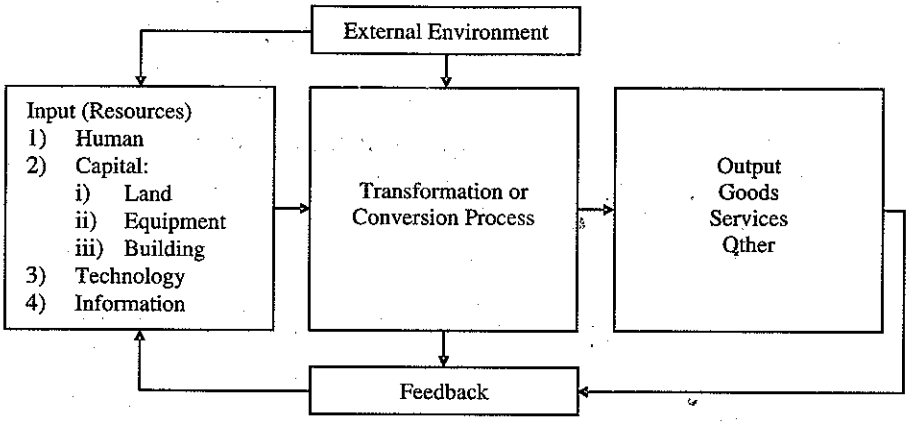


Figure 1.7: Flows and Feedback in an Open System

Management responsibilities and the nature of organisation is characterised by constant change and cooperation. This ever-changing and integrated nature of an organisation is emphasised in the systems approach to management. It can be said that the systems theory helps the managers in developing plan of actions and in predicting their immediate and long-term effects. The systems theory helps the managers to strike a balance between the various goals of organisational departments and overall goals of the organisation.

Types of Systems

There are mainly four types of system:

1) **Physical Systems:** The basic parts or sub-systems of the nature are called as physical systems. These systems are influenced or controlled by the nature. Few **examples** of physical systems are different seasons, rivers, the solar system, etc.

2) **Mechanical Systems:** These systems are technology driven equipment. Mechanical systems are developed by human beings for improving their standard of living. These are closed systems which do not interact with its environment. Systems like motor cars, machines, consumer durables, electric appliances, etc., are **examples** of mechanical systems and they do not interact with the external environment.

3) **Biological Systems:** These systems control and influence the existence and survival of all living beings. Human beings and plants are perfect **examples** of biological systems. These systems have a definite life cycle which consists of several stages like conception, birth, growth, maturity, decay, death, etc.

4) **Social Systems:** These systems have been developed by human beings to deal with the issues of isolation and distress and to work with cooperation. There are several examples of social systems which include organisations like small, big, formal, informal, economic, non-economic, etc.

These systems can be open or closed systems or they may be partially opened or partially closed systems. Physical and mechanical systems are examples of **closed** systems as they are not associated with the external environment. These systems are able to provide the inputs without any major help for the outside sources. Biological and social systems are **open** systems dependent on external environment. They rely on the external sources for the supply of basic inputs and raw materials. These systems supply finished goods and services to the environment on behalf of the inputs given by the environment. Open and closed systems are interrelated and cannot be separated.

As social system is an open system, hence an organisation can also be called as an open system. Being an open system, the organisation has to continuously interact with the dynamic external environment. An organisation can succeed only if it is able to modify its policies and strategies in accordance with the changes in environment. Organisations receive inputs, raw materials, power and strength from the surrounding environment. These inputs facilitate the smooth functioning of the organisation. An organisation cannot become a full open system as it has to retain its individuality, maintain its stability and nurture its independence.

Strengths of Systems Approach

The strengths of systems approach are as follows:

1) The systems approach inspires the managers to conduct logical analysis of different sub-systems of the organisation as well as the organisation as a whole.
2) It provides a strong foundation for grasping the problems and challenges faced by the organisations.
3) This approach helps in analysis, synthesis, integration and differentiation of the organisational sub-systems by relating them from the lowest level of the hierarchy to the highest level.
4) It combines several management approaches in a significant manner.

Weaknesses of Systems Approach

The weaknesses of systems approach are as follows:

1) It is considered as a theory which does not have any practical implications but only has intellectual appeal.
2) The systems theory of management has been criticised by the management gurus as they view it as vague, conceptual, theory-based and non-figurative.
3) It is a method of thinking and is not appropriate for solving problems.
4) The systems approach is not capable of differentiating between the various systems and is also inefficient in offering any techniques or methods for analysing and integrating other systems.

1.7.4. Contingency Approach

Contingency approach can also be termed as situational approach. This theory is of the view that there cannot one specific action or response for different situations faced by the organisation. The best action for every situation is the one that meets the requirements of internal and external environment. The developers of contingency approach are of the view that systems approach is not effective in describing the relationship between the organisation and its external environment. Contingency theorists have attempted to meet this limitation of the systems approach by proposing an appropriate action that should be taken in response of an event occurring in the environment. The basic theory behind the evolution of contingency approach states that management effectiveness is contingent or dependent upon the interaction that occurs between the specific organisational situations and behaviour of management in dealing with the situation. This approach suggests that managers should manage a particular situation according to the changing circumstances surrounding them. The famous phrase, one size does not fit all, goes well with the above explained concept.

The contingency approach was invented by the people from different walks of life like managers, researchers, consultants, etc., after their attempts of applying other management theories were unsuccessful. They discovered that the real life situations and the concepts developed by major schools of management are not compatible with each other. This lack of applicability of management theories led to the development of contingency approach.

Many questions were raised during the practice of the concepts of major schools, **e.g.,** what was the reason behind the success of the organisational growth plan in one situation and reason behind its failure in other situations. Supporters of the contingency approach offered logical answers for these questions. The answer was clear; the results were different as the situations were different every time. A solution which worked under one scenario may not necessarily work under other or all given scenarios. It is the manager's responsibility to identify the right solution that will be suitable for working under a given situation/circumstances and at the given time to produce the desired results for achieving the organisational goals. Managers from different management school thoughts would handle a given situation in ways or by different techniques. **For example**, when workers need motivation to increase the productivity levels, different theorists belonging to different management schools would practice different techniques. The classical theorist would suggest a new scheme to simplify the given work, whereas the behavioural scientist would try to enhance the psychological environment of the workers.

The manager specialising in contingency approach will consider the situation and will try to find a solution that will give quick and efficient results according to the situation. He will first determine that whether the workers are skilled or not. If they are unskilled and the training and development resources are also limited then he may suggest the management to opt for work simplification technique for increasing the productivity. If the workers are skilled and are confident in their ability to handle the situation then adopting a job enrichment programme would be a better alternative. The contingency approach is a significant development in the modern management theory as it describes each organisational relationship according to a specific situation.

Contingency approach is a situation based approach which compels the managers to examine, analyse and identify the situation. It encourages the managers to prepare inventories of management theory, principles, techniques and concepts in the light of the analysed situation. Different situations demand different responses from the management. It is necessary to check legitimacy and applicability of management tools in terms of a given situation. Thus, this approach suggests that the management tools should be tailored and customised according to the situation.

Implications of Contingency Approach

The contingency approach holds a significant place in the modern theory of management. It is a refined approach that helps in understanding and in minimising the organisational complexities. It stresses on the dynamic nature of organisations and tries to understand and analyse the ways in which the organisation conducts its operations in the ever changing business environment. Contingency approach proposes organisational plans and the suitable managerial actions for specific situations.

The major viewpoints of contingency approach are as follows:

1) Management is broadly based on current situations and the concept of universal principles of management is not applicable in the ever changing scenario. There is no specific method that is best for carrying-out a particular activity.
2) This approach proposes appropriate options for those managerial actions that are affected by the internal and external factors of the business environment.
3) The organisation has to continuously interact and communicate with its environment. This interaction restricts the organisation and its departments from taking independent and absolute actions.

Merits of Contingency Theory

There are certain merits or advantages of the contingency approach which are given below:

1) Contingency approach has proved its importance time and again, as a logically sound approach. Due to its practical applicability, it has helped the managers in becoming effective leaders. Apart from **Fielder**, many researchers have certified the legitimacy of the contingency management approach.
2) This approach has increased the scope of leadership theories. It has encouraged the managers to apply different theories and styles in different situations.
3) This approach has the ability to predict and identify which leadership style will be more effective at which particular situation.
4) Leaders cannot be effective at any and all given situations and therefore the approach proposes that the organisations should evaluate the performance of the leader in optimal situations and on the basis of their leadership style.
5) The theory provides the necessary information regarding leadership styles, which can be helpful for the organisation in developing leadership profiles.

Demerits of Contingency Approach

There are certain demerits or disadvantages of the contingency approach which are given below:

1) Contingency approach does not have a theoretical base.
2) Because of lack of underlined principles, the manager working according to the contingency approach has to consider all the possible options or solutions.
3) Contingency approach is not pro-active and only recommends the alternatives to be undertaken in a given situation.
4) This theory sounds to be simple but converting it into a practical approach is a difficult task due to the presence of several contingent factors.

1.7.5. Social System Approach

Social system approach was founded by a sociologist named, **Vilfredo Pareto**. Social systems approach is an extension of human relations approach. Pareto's concept was further developed by Chester Barnard, who combined the social systems approach with the human relations approach. This concept considers an organisation as a system based on cultures, where people from different backgrounds work with cooperation and harmony.

Understanding the behavioural patterns of different people working in an organisation helps achieving a cooperative system which further aids in attaining the organisational objectives set by the management. This approach is based on the theory of cooperation which explains that an individual employee tries to satisfy the basic biological, physical and social needs by cooperating with other employees. This concept of inter-relationships is termed as "formal organisation".

This system of formal organisation is different from the authority based management concept. Formal organisation is a system of consciously coordinated actions working towards achieving mutual organisational objectives. According to this approach, people who are a part of a formal organisation work together in cooperation, share rewards and also help each other in achieving the overall organisational goals.

Social systems approach is formal in nature. It shares a lot of similarity with the behavioural approach which is against the concept of an "economic man". It views an organisation as a social organism which is liable to the pressures and struggles of the cultural environment. It studies and analyses the impact of social behaviour of an individual and behaviour of a group on management concepts.

1.7.6. Decision-Making Approach

The decision-making theory concentrates on the managerial decision-making process in an organisation. It considers it as a central management task of prime importance. All the functions of management are based on sound decision-making. **Herbert, A. Simon,** a leading supporter of decision theory school, considers "managing" and "decision-making" as similar concepts.

The features of decision theory are as follows:

1) Management is basically decision-making.
2) All the members of an organisation are decision-makers and problem solvers.
3) Organisation is divided into different decision centres. The level and significance of a member in an organisation can be defined, based on the significance of decisions taken by them.
4) Organisational effectiveness is influenced by the quality of decisions.
5) Factors affecting decision-making process should be studied and analysed.

1.8. MANAGERIAL COMPETENCIES

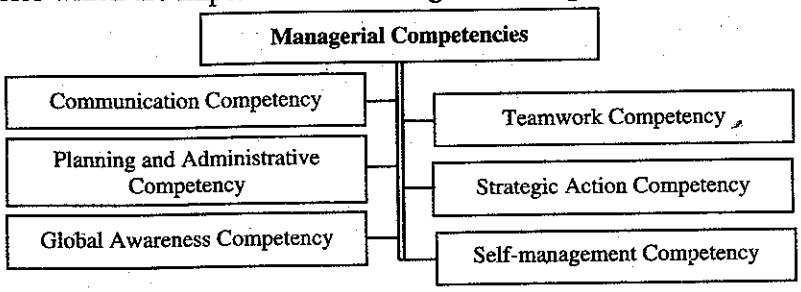
1.8.1. Introduction

During 1990s, managerial competency was established as a theory of competence-based strategic management which explains the new ways through which organisations develop competitive advantage in a systematic manner. This theory is integrative as it involves organisational, economic and behavioural aspects under a systematic, dynamic, holistic and cognitive framework. Competence under this theory is defined as the ability of sustaining coordinated allocation of resources in an efficient way so as to accomplish the organisational goals. Thus, competency-based management is an all new way of enhancing organisation's performance for a particular time interval.

According to Hellriegel, managerial competencies are defined as "a combination of knowledge, skills, behaviours, and attitudes that contribute to personal effectiveness and area set of knowledge, skills, behaviours, and attitudes that a person needs to be effective in a wide range of positions and various types of organisations."

These sets of knowledge, skills, behaviour and attitude are part of our daily lives, and no particular person can have all the qualities together. In an organisation, the manager is required to have the above set of elements for

executing his responsibilities and dealing with other organisational environments in an effective manner. The six specific competencies which are important for a manager in an organisation are as follows:



The above mentioned competencies are transferable in nature, i.e., they can be transferred from one organisation to another. The managers should be capable enough to use these competencies without being much concerned about how, when and where these competencies have been developed.

1.8.2. Communication Competency

Communication is the basic need of all human beings and living creatures. It is a natural drive that connects living beings with each other. At present time, communication is playing an essential role in the complex, dynamic and socially-oriented organisations, as an effective communication fosters the smooth growth and development of the organisation.

According to Peter Little, "Communication is the process by which information is transmitted between individuals and/or organisations so that an understanding response results".

Communication competency is referred to as the effective transfer or sharing of information in a way that fosters the establishment of clear understanding between communicators. Developing such understanding is significant for enhancing the managerial performance and enabling smooth coordination while getting work done through other individuals. Thus, communication is a dynamic and exchangeable process which involves sending and receiving of messages between individuals thereby connecting them with each other. Communication competency is the most basic competency which connects all other managerial competencies. The effectiveness of managers depends on their understanding of the information, and how well they exchange such information with others. Communication is not merely having face-to-face discussion, but involves use of various other means such as verbal, written, telephonic, electronic, conferencing, personal communication, body language, etc., in an effective way.

Dimensions of Communication Competency

Formal communication, informal communication and negotiation are some of the dimensions used under communication competency. Detailed explanations of these dimensions are as follows:

1) **Formal Communication:** A kind of communication accomplished through a proper chain of command is known as formal communication. Formal communication is a method of communication that is generally controlled and directed by the employees or managers of a company. Formal communication is carried-out keeping in mind the organisational hierarchy of the organisation. Communication is carried-out through formal channels that are the well-known official positions in the organisational hierarchy. In order to put organisational communication in sequence and to ensure uninterrupted, correct and in-time flow of information as and when required, the communication path is intentionally created. It can either be in written (memo, report, policy) or in oral (speech, meeting) form. Many organisations maintain written records of formal oral communication in the form of copies of speeches, minutes of meetings.

2) **Informal Communication:** The communication that is beyond the realm of formal communication is known as grapevine or informal communication. Informal communication does not function in the lines of authority like formal communication. It is all about communal relationships among the members of the organisation. The top management receives necessary feedback from employees through informal communication. This process helps them to get acquainted with the employees in an easier way while keeping in mind the various functions of the organisation.

   The general manager of a company can be in touch with the workers or employees working at the bottom of the hierarchy, and can communicate the relevant information directly to them without the assistance of any middle level official. Informal communication can be understood as the genuine need of people to

communicate with others when they meet each other frequently. When people working in an organisation meet and communicate directly, it automatically leads to formation of a small group. The communication system developed by such a group is termed as informal communication. Informal communication is mostly oral but it can be in the written form also. Considerable use of internet and e-mail facilities across the globe has increased popularity of informal written communication.

3) **Negotiation:** The term "negotiation", in simple words, is a problem-solving method, which helps two parties to accept a common decision after sorting out the differences among them. It is an essential management skill through which one can discuss or bargain with another individual. Negotiation helps in gaining mutual satisfaction for both the parties. In an organisation, a manager performs negotiation activities such as determining the prices for services and products, varying terms or agreements, or settling the disputes arising in the organisation. In order to reach such outcomes that hold acceptance and support of all the involved individuals, negotiation explores all the possible opportunities and positions. Hence, individuals entering into negotiation should plan their strategy in advance as achieving successful outcomes greatly depends upon their ability to attain acceptance, and give commitments for complying with the ideas and actions.

1.8.3. Teamwork Competency

The term 'team' in general is referred to the groups involved in games like football, hockey, cricket, etc. The group members will be able to work as a team only when they interact with each other by understanding the role of each person in the group. In the present business scenario, organisations manage their work by delegating it to separate teams. Hence, teams have become the primary mode for organising work in organisations. Creating team spirit among employees is considered as one of the most important functions of a manager.

Teamwork refers to the completion of tasks through group efforts, where the work of all individuals is interdependent on each other. It can also be referred to as working together with other individuals (outside the normal authority) in order to identify and resolve issues, and thereby accomplish the organisational goals. To work effectively in a team, one needs to have the ability to work as a team member so that optimum results can be obtained. Approximately, all managerial works in an organisation require inputs, cooperation as well as collaborative skills from different individuals in order to manage challenging relationships with team-mates, co-workers, managers, suppliers, customers, project teams, etc. Thus, an efficient team-mate listens actively to his team members, contributes his ideas, helps in accomplishing the team goals, and knows how to show disagreement tactfully.

Requirements of Teamwork Competency

An effective manager ensures the achievement of organisational goals by efficiently assigning tasks to different teams. Managers can successfully achieve teamwork competency by properly designing and distributing teams, establishing a supportive team environment and managing team dynamics. These teamwork competencies are described in detail as follows:

1) **Designing Teams:** The first step towards the completion of a team project is to design a team. Usually, the manager or the team leader holds the responsibility of designing teams. However, in case of self-managed teams, the whole team participates in its designing. The process of team designing involves setting team goals, defining tasks and recognising team members for the achievement of set goals. Under a well-designed team, the members are aware of various tasks assigned to them and know how their performance will be measured. They are never confused between the tasks assigned to them and the tasks assigned to other teams. In a well-designed team, the number of team members required to accomplish the team goals is accurately identified. However, in case of an inefficient team designing, some of the members may leave the team, or may face stress with their incapability to accomplish assigned tasks. On the contrary, the team members under a well-designed team are capable of attaining high performance levels with the help of supportive environment.

2) **Creating a Supportive Environment:** By creating a supportive environment, team members become empowered to use their judgements for taking appropriate actions without needing frequent approvals from their team leader. Creation of such supportive environment involves promoting the team members with unique competencies, and identifying, appraising and rewarding their accomplishments. A good teamwork competency enables the managers or team leaders to respect others and earn respect in return. On the contrary, team leaders who lack teamwork competency seem to be rude, unsympathetic, and try to make others feel resentful and low. Creating a supportive environment generally involves mentoring and training the team members to enhance their performances in the short-run, and preparing them for anticipated future challenges.

3) **Managing Team Dynamics:** In order to attain team competency, it is essential for the manager or team leader to manage the team dynamics. For this purpose, resolving the conflicts and disagreements arising among team members becomes necessary. In order to manage team dynamics, the team leader should recognise and understand the strengths and weaknesses of every team member. After this, their strengths are utilised for achieving the assigned tasks. In addition, team disagreements and conflicts are required to be identified, and used for enhancing quality of judgements. Moreover, it is important to ensure that the advancement towards achieving the team goals should keep progressing in the right direction.

1.8.4. Planning and Administrative Competency

Planning simply refers to the predetermination of future actions which involves 'thinking before doing'. It involves setting objectives and actions which are essential to be undertaken for ensuring the accomplishment of overall organisational goals. The planning process can be described as steps taken for anticipating future conditions and planning activities in accordance with it. Planning helps in bridging the gap between the current and expected future status. Hence, planning can be described as predetermining about what to do, how to do, when to do and by whom will it be done.

Planning is one of the most essential managerial functions. Furthermore, it can set right directions for other functions such as directing and controlling with appropriate execution. Planning is a formal procedure of:

1) Determining strategies to accomplish organisational goals.
2) Determining vision, mission, short-term as well as long-term goals and objectives.
3) Formulating departmental, divisional as well as individual objectives based on the organisational goals.
4) Distributing resources such as financial resources, human resources, equipments, and facilities required for achieving set goals and strategies.

General organisational goals involve flexibility and innovation for improving productivity, maintaining organisational stability, and implementing required changes in the existing managerial activities. By achieving these general goals, an organisation ensures its long-term productivity, survival and growth. Similar to other competencies, planning and administration competency involves identifying and determining what tasks are required to be achieved, how they are going to be achieved, which resources enable such tasks, and how to monitor their fulfilment and growth.

Aspects of Planning and Administration Competency

Various aspects of planning and administration competency are as follows:

1) **Gathering Information, Analysing, and Problem-Solving:** Colleting information from different sources, analysing and evaluating it to solve various organisational issues is very essential for achieving planning and administration competency. The process of gathering and analysing information depends upon the effective use of technology for which the manager is required to:
   i) Have knowledge of basic technologies used in the organisation such as e-mailing, scheduling.
   ii) Have appropriate knowledge about various technical equipments, and information related to technological expenses for making effective purchase decisions.
   iii) Formulate strategies with the help of technology supporting decision-making. **For example,** using artificial intelligence systems.
   iv) Have proficiency in operating data storing softwares, and organisational communication systems.
   v) Know the impact of various technological changes, and updation taking place in the organisation.

2) **Time Management:** Another aspect of planning and administration competency is time management. Time is a limited and constant factor as every individual has 24 hours in a day. Hence, planning and managing time in an efficient way becomes essential for managers and leaders so as to maximise its utility, especially while dealing with stressful jobs having excessive workloads. The negative impacts of inefficient time management include wastage of valuable time, increasing pressure to complete the work, indecision or vacillation, delay in set deadlines, lack of time for personal or social life, etc. Lack of clarity in planning of schedules that involve important organisational visions and goals is the main reason behind inefficient time management. There are mainly three central concepts of effective time management:
   i) Clear goal statement,
   ii) To-do list, and
   iii) Schedule.

The managers are required to prepare a clear goal statement, and review the same on periodic basis. The to-do list involves prioritising, and accordingly deciding what tasks are needed to be completed first, and followed by the other. However, schedule helps the managers in assigning time required for the completion of a specific task. The scheduling of tasks can also be done on the basis of the productive timings of the individuals (i.e., when the productivity of individuals alters between maximum and minimum).

3) **Budgeting and Financial Management:** Proper planning of the budget and efficiently managing the finances are significant for planning and administration competency. Planning based on forecasting is considered as the most appropriate way for preventing financial problems. Efficient budgeting enables the managers to gather information and utilise it in routine business functions. This helps in tracking the problems before they disrupt any business plan or activity. The managers need to have understanding with the budgets, cashflow statements, and financial reports and should use this financial information on regular basis for achieving planning and administration competency. Besides, the efficiency of such competency can be ensured by keeping an appropriate track of all such financial records and creating budgetary guidelines.

1.8.5. Strategic Action Competency

The strategic action in an organisation requires understanding of the business environment and taking the required actions accordingly. The managers are required to create an understanding with the organisational values and mission. They must ensure that employees' actions are in harmony with the organisational values and mission. Thus, the strategic action competency involves creating understanding with the overall organisational values and missions, and ensuring that the actions of all individuals associated with the organisation are aligned with company's values and missions.

Aspects of Strategic Action Competency

There are mainly two aspects of strategic action competency, firstly, understanding the industry and secondly, understanding the organisations, which are explained as below:

1) **Understanding the Industry:** In modern organisations, employees and managers at all organisational levels are required to adopt strategic approach for enhancing their job performance. They need to understand that organisations are required to progress towards right strategic direction. By doing this, the managers and employees working in metropolitan cities develop understanding about latest strategic trends which prepare them for future needs. They understand the requirement of industries and do not tend to change their jobs.

2) **Understanding the Organisation:** This aspect of strategic action emphasises on creating understanding with the organisation on a whole, and not merely understanding a particular unit operated by the manager. The manager should know that an organisation has several interrelated parts and considering all of them is essential. It involves gaining knowledge regarding the functioning of different departments and divisions, how they are interrelated with each other as well as how alteration in one department or division affects the other. With the help of a well-developed strategic action competency, a manager can analyse and resolve expected managerial issues. Thus, the required changes in an organisation should be identified by the manager. Also, he should be prepared in advance for taking right strategic actions.

1.8.6. Global Awareness Competency

Knowledge, understanding, openness and sensitivity regarding culture are the constituents of global awareness competences. Modern managers need to be aware of prevailing multi-cultural beliefs, values, and practices among their organisational members, clients and associates. They are required to be culturally sensitive and competent in the way they interact with the organisational members, clients and associates. Global awareness competency is essential for managers involved in management of organisations operating in multiple countries and using their financial, human, technological, and information resources from different geographical locations. Usually, under MNC culture, the employed workforce is so diverse that in order to effectively manage the organisation, the manager must have a global awareness competency.

Aspects of Global Awareness Competency

There are two aspects of global awareness competency which are as follows:

1) **Cultural Knowledge and Understanding:** Managers working with organisations that have global business operations must develop knowledge and understanding of prevailing cultures and beliefs. Such knowledge includes religion, values, beliefs, and local customs, history, geography and climate, economic trends, political cultures which form the basis of an individual's or group's life in a particular culture.

2) **Cultural Openness and Understanding:** Having openness and sensitivity towards cultural differences is very significant for individuals who deal across different cultural boundaries. The culture of a nation or region is composed of several tangible, intangible, and symbolic elements of a cultural group or organisation. It involves various customs, traditions, values, ceremonies, symbols, beliefs and practices that are followed by the members of different organisations. Thus, managers should understand such cultural differences for developing global awareness competency.

1.8.7. Self-Management Competency

Effective managers are expected to have self-management competency, i.e., they must have the ability to take responsibility associated with various aspects of work (both organisational and personal). Self-management competency involves work-life balance, integrity and ethical conduct, self-determination and flexibility, need for self-awareness and personal development. A manager who possesses self-management competency is responsible towards his professional as well as personal life, i.e., his work life and things beyond. In difficult times, people generally have a tendency to blame others or the situation in which they find themselves. However, the effective managers who possess self- management competency, and take responsibility of their own actions, and self-development do not reflect such tendencies.

Dimensions of Self-Management Competency

The dimensions of self-management competency are as follows:

1) **Integrity and Ethical Conduct:** Success of an organisation can be evidently ensured when the customers and employees respect its integrity which is reflected through the company's management. Integrity and ethical conduct should be reflected by the management of any organisation. These elements help the organisations to earn respect in the eyes of employees and customers, which ultimately helps in taking the organisation on the path of success. Integrity is the actual image of an individual. Many-a-times, lack of ethics leads to indecisiveness which can further put an organisation into difficulty. While recruiting new employees who have no technical knowledge and experience, the organisation can use quality of integrity as the basis of selection.
2) **Personal Drive and Resilience:** Personal drive and resilience help a person to take such actions which no one has ever taken before. This usually happens when the person has faced various setbacks and difficulties. Managers who have such qualities act as the competitive advantage for the organisation. Such managers have the willingness to foster innovations and take risks.
3) **Work-Life Balance:** Managers in an organisation are required to have the capability of maintaining and implementing a work-life-balance so that their personal lives do not suffer from the dynamic workload. Such competency proves fruitful for the managers as they take care of themselves (both mentally and physically), and use productive ways to reduce tensions and frustrations.
4) **Self-Awareness and Development:** Self-awareness and development are very important under a dynamic work environment. Achieving such dimension involves both work-related learning (which can directly help in enhancing performance) as well as self-introspection (which enables individuals to take better decisions regarding their choice for jobs). Research studies reveal that the managers who take advantage of the training programmes provided in the organisation have more learning opportunities, as compared to those who do not undergo such trainings.

1.9. HOW IS THE MANAGER'S JOB CHANGING

1.9.1. Introduction

External and internal changes occurring in an organisation have always been a major issue to be taken care of by managers. The only thing that is persistent with time is change as in the present scenario managers across the world are coping with changing workplaces, economic and political variability, technological developments, and environmental issues in connection with climate change and global warming, security risks and offences related to corporate ethics and standards. Issues related to corporate governance, like increased openness and pressure of following regulations have become major concerns for the managers. Similarly, maintaining a proper balance between personal and professional life is also a difficult task to attain. Another factor adding to a manager's stress levels is constant technological modifications. A manager's efficiency levels are tested by how the firm tackles the influence generated by these changes.

1.9.2. Importance of Customer to the Manager's Job

Having a customer base is the basic requirement of every firm. Nearly all firms will not be able to survive without the customers. Still marketers are the only ones who always are held accountable for handling the customers. But the level of customer satisfaction is largely based on way of thinking and conduct of employees.

Suppose a bank customer is questioned about his necessary wants in relation to banking, he will have lot of factors that he wishes to obtain being a customer. These factors can include fast service, security and protection of money and other items deposited in the bank, staff that is friendly towards the customers and effective disposal of their requirements, availability of correct information and assistance at the right time. Giving a thought to all the aforesaid requirements included in the list, it can be concluded that it is affected by the activities of bank employees. In recent times it can be witnessed that service sector offers high percentage of jobs in developing nations. Service sector offers job opportunities, such as front desk clerks, bank tellers, technical support officials, sales executives, financial planners, consultants, workers and servers working at fast food counters, teachers, computer repair technicians, credit officials, nurses, repair technicians and purchasing agents.

The increasingly competitive environment witnessed in recent times has helped managers identify the fact that in order to continue existence and achieve success, it is necessary to provide high quality customer service on a continuous basis. And employees serve an important role in achieving it. Thus, it can be evidently inferred that managers should develop a firm that always acknowledges customers' needs and wants promptly. And while doing so, the staff members have to be well informed, amiable and polite with customers, keen to do whatever is necessary to satisfy the customers and acknowledge customer requirements in a timely manner.

1.9.3. Importance of Innovation to the Manager's Job

There is complete possibility of failure or loss if one is unwilling to innovate. Taking risks, checking out new avenues, performing things in a distinct manner is referred as innovation. Hi-tech and technologically progressive companies are not the only ones who can be innovative and creative in their work. Companies from other sectors, such as McDonalds are also obligated to respond to market alterations or be sensitive towards modifications in customer likings. An apt example of innovation can be McDonald's Australia, a part of huge conglomerate across the globe, identified as number one in innovation. Other McDonald's outlets across the globe replicated its earlier extremely successful and productive initiatives like, nutritional labelling and McCafes. This counterpart of McDonalds in Australia is currently working towards new methods and revolution, like restaurants credited with Green Star having facilities, such as rainwater harvesting, solar panels, energy effective LED lighting. They are also coming up with other strategies in connection with proper use of energy and water and decreasing wastes. All these initiatives in near future will be accepted by other McDonalds outlets worldwide.

Many such examples of innovation can be witnessed globally. Our very own globally famous brand, Tata, is such an example. Its senior most executive, the Chairman, Mr. Ratan Tata, appealed to his employees during the economic crisis to 'reduce costs incurred and think different, despite businesses all around are coming to halt, be adventurous and brave and think large'. And we all know his employees clearly understood the message through the example of launch of $2000 mini-car, TATA Nano in the year 2009. This vehicle became the hot topic of discussion of the automotive industry worldwide.

Significance of motivation is evident from the above mentioned examples. Motivating employees to be in search for novel concepts not only for products and services the firm offers, but also for everything else it does is one of the important jobs of all managers working across levels and spheres in recent times. The process of innovation can be accelerated by developing a culture that fosters innovation and creativity in the firm.

1.9.4. Importance of Sustainability to the Manager's Job

Modern companies accept the fact that managers now have to adapt to green management as well as sustainability. As stated by the World Business Council for Sustainable Development, 'sustainability' is to do with 'meeting the needs of people today without compromising the ability of future generations to meet their own needs'. An organisation's potential in accomplishing organisational objectives and escalating shareholder

value in the long-term by combining social, economic and environmental opportunities into its business plans is defined as sustainability from a business point of view. All the current century global societal challenges and environmental matters that is the green management can be incorporated under the idea of social responsibility and which is possible as it is broadened by the above mentioned point of view.

A good example of successful sustainability is ANZ Banking Group that is capable to retain carbon neutrality throughout its business worldwide from the year 2010. They have made it possible by using electricity from sources, like, solar, wind, and natural gas *i.e.*, lower carbon-intensive sources and decreasing the total amount of energy it is presently consuming. They were also successful in decreasing its travel emissions by 25 per cent in the year 2012. This was achieved by reducing travel connected with a continued roll out of 50 videoconferencing units covering five nations. Cost savings of $15 million was possible just by decreasing travel emissions. The bank has accepted the chance of manifesting leadership in estimating, decreasing and offsetting its carbon footprint meanwhile learning that it is not a major greenhouse gases emitter.

Another example is of Volvo, a Sweden based firm that redeveloped its Gliteborg truck plant that can now be operated only on bio-fuel and wind power. Volvo's mission of making all its plants carbon neutral was further accomplished by constructing an identical plant in Ghent, Belgium. Volvo claims that it is the foremost firms having carbon-free automobile producing plants across the globe. One of the top executives, managing director of Volvo Trucks Europe, Patrick Collignon, states that, they aim to motivate other firms to follow their footsteps and come up with such similar projects, thus making automobile manufacturing carbon free, as the technology is easily available so it is just the matter of being brave.

Hence, sustainability has become a conventional affair for managers as pronounced by aforesaid activities undertaken by big corporates. The idea of managing corporate affairs in a sustainable way is becoming prominent in the twenty first century. This has influenced expansion of corporate responsibility to acknowledge an extensive variety of environmental and societal challenges in addition to regulating them in a systematic as well as productive manner. Hence, corporate sustainability can be understood as this addition in management responsibility.

1.10. EXERCISE

1.10.1. Very Short Answer Type Questions

1) What do you mean by management?
2) Who is a manager?
3) Define organisation.
4) Write any two features of administrative management.
5) What is time study?
6) Define managerial contingency.
7) Discuss the meaning of communication competency.
8) What are the aspects of global awareness competency?

1.10.2. Short Answer Type Questions

1) Write a short note on management as a process.
2) Why management is needed?
3) Discuss the important functions of manager.
4) "A manager should possess skills to discharge his duties and responsibilities effectively." Explain the statement.
5) Explain the nature of organisation.
6) What are the components of organisation?
7) Discuss the importance of sustainability to the manager's job.
8) Explain management thought jungle.

9) Mention the features of scientific management.
10) Differentiate between the management approach given by Fayol and Taylor.
11) There are four main principles of coordination given by Mary Follett. Explain them.
12) What is quantitative approach?
13) Write a note on social system approach.
14) Highlight the dimensions of communication competency.
15) Discuss the dimensions of self-management competency.

1.10.3. Long Answer Type Questions

1) Explain the nature and the scope of management.
2) What are the purposes and the levels of management?
3) Discuss the functions and significance of management.
4) "The application and uses of management concepts and principles are universal." Is the statement true? Support your answer with a suitable explanation.
5) Explain the Mintzberg's managerial roles.
6) A manager has to manage various responsibilities at his workplace. What are those responsibilities?
7) What are private organisation and public organisation? Also highlight their types.
8) Discuss the importance of customers and innovation to the manager's job.
9) Explain the Robert Owen, Charles Babbage and Henry Robinson management thoughts.
10) What is scientific management? Explain its principles.
11) "There 14 principles of management given by Fayol." What are those principles? Explain them.
12) Explain the bureaucracy approach to management. Explain its features and advantages.
13) What is behavioural approach? Explain the contribution of Chester Barnard in the management.
14) Describe Hawthorne studies. Explain its experiments and findings.
15) Discuss system approach. Explain its types, weakness and strengths.
16) What is contingency approach? Elaborate the merits and demerits of contingency approach.
17) Explain team work competency and strategic action competency.

UNIT 2

Planning

2.1. PLANNING

2.1.1. Concept of Planning

Planning is the primary function of management. Management planning may be defined as the process of drawing up a roadmap to achieve certain goals or objectives. A plan can be defined as a 'future course of action'. It is a particular path for achieving the pre-determined goals. Planning helps the managers in systematically, rationally and realistically preparing a plan of action. Planning facilitates optimum utilisation of tangible and non-tangible resources. It helps the managers in – assessing the resources, evaluating strengths, minimising all the threats, considering various possibilities and choosing the most appropriate alternative.

According to Henry Fayol, "Planning is deciding the best alternatives among others to perform different managerial operations in order to achieve the pre-determined goals".

According to Koontz and O' Donnel, "Planning is deciding in advance what to do, how to do it, when to do it, and who is to do it. Planning bridges the gap from where we are to where we want to go. It makes it possible for things to occur which would not otherwise happen".

It is said that 'well plan is half done'. Effective planning forms a foundation for other functions of management. Hence, planning can be defined as a logical process of achieving goals and minimising risks, wastages and uncertainties.

2.1.2. Nature of Planning

Planning has the following features:

1) **Planning Assists in Achievement of Goals:** Planning is goal-oriented. The very purpose of planning is to achieve the pre-determined goals. Without a goal in mind, the entire exercise of planning will go to waste. It is through the process of planning that organisations seek to achieve their objectives and goals.
2) **Planning is a Basic Function:** Planning is the primary function from which all other organisational functions originate and flow. All the other functions of management (like organising, staffing, directing and controlling) are based on the plans developed through the planning process. Hence, planning precedes all other functions and activities.
3) **Planning is All Pervasive:** Planning is needed at all levels of the organisational hierarchy, irrespective of the management levels, departments or divisions. The planning process is not restricted to the top-level management or a particular functional area; its scope is different for different organisational levels and departments. Corporate level managers may draw up long-term plans and executive level managers may prepare plans for day-to-day operations.
4) **Planning is Flexible:** Planning process is always based on assumptions and forecasts and hence, plans are modified with the changes in the business environment. These changes in the plan are made for realising the predefined goals. Therefore, planning is always subjected to mid-course modifications.
5) **Planning is a Never-Ending Process:** Planning is a continuous process. Plans are prepared for a specific period of time and at the end of the term, new plans have to be chalked out. These new plans are prepared according to the new organisational goals and changing business environment.
6) **Planning is Future-Oriented:** Planning is always conducted on the basis of a future course of action. Organisations prepare plans for where they foresee themselves in future. Planning involves anticipating the future changes, evaluating them and predicting their outcomes. Hence, planning is essentially a futuristic endeavour.

7) **Planning involves Choice:** Planning process is conducted only if there is more than one alternative for realising a particular goal. Without choice, planning is of no use. In practice, planning assumes that more than one possibility or alternative is available. Planning involves choosing the best and most suitable alternatives.

8) **Planning is an Intellectual Exercise:** Planning is essentially a logical and mental exercise that predicts a future course of action. It involves thinking before doing. The prerequisites for sound planning are intelligence, creativity, knowledge, judgement, foresightedness and imagination.

2.1.3. Need of Planning

Need of planning can be understood with the help of the following points:

1) **Mitigate the Uncertainty:** By preparing for contingencies and future situations, planning seeks to reduce the element of uncertainty of the future.

2) **Bring Cooperation and Coordination:** Planning improves coordination amongst various units of an organisation. For this, it takes into account the demands, requirements and aspirations of all the departments. Hence, planning is a holistic exercise that facilitates cooperation and coordination.

3) **Utilise Resources Optimally:** One of the major objectives of planning is to ensure effective utilisation of resources by selecting the best possible alternative. If the resources are efficiently utilised, then the organisation is able to realise its objectives and attain economy in operations.

4) **Prepare for Contingencies:** Unpredictable situations can disrupt the flow of work in the organisation. A major objective of planning is to enable the organisations to deal with these unforeseeable circumstances or contingencies. Planning also involves drawing up contingency plans to deal with accidents, natural disasters, labour unrest, etc.

5) **Achieving the Predetermined Goals:** Planning is all about achieving pre-determined organisational goals and targets. Organisational goals, under a specific period of time, can be achieved only through rational and logical planning.

6) **Reduce Competition:** Planning also aims at developing strategies against existing and potential competitors. Planning helps organisations to face competitions in order to survive and grow.

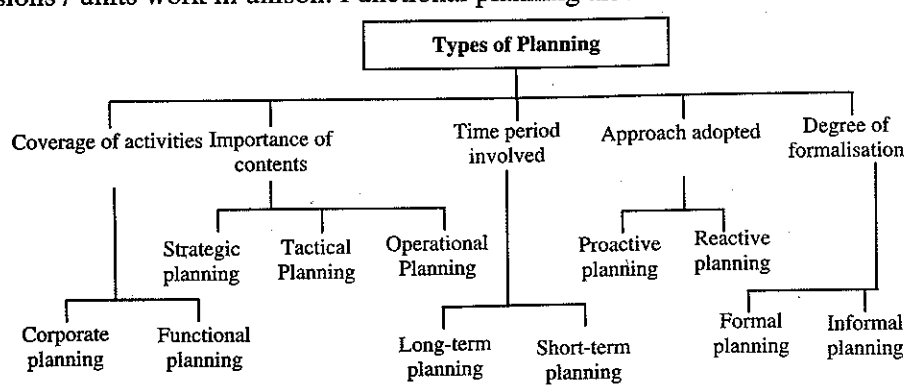
2.1.4. Types of Planning

Based on their purpose and scope, organisations use different ways to draw up plans. Some of them are explained below:

1) **Coverage of Activities**

   i) **Corporate Planning:** The scope of corporate planning encompasses the entire organisation. This type of planning involves taking decisions related to the growth of the industry, organisation, society, environment, etc. Corporate planning is generally undertaken by the top-level managers, keeping in mind the factors affecting the external environment. Corporate planning activities are related to the formulation of vision, mission and strategic plans for achieving the organisational objectives.

   ii) **Functional Planning:** Functional planning is conducted to satisfy the work related requirements of various organisational departments and to achieve the organisational goals. Functional planning facilitates the managers in maintaining standardised managerial practices so that all departments/ divisions / units work in unison. Functional planning also contributes towards better coordination.



2) **Importance of Contents**
   i) **Strategic Planning:** Strategic planning is conducted for determining the future course of action in order to realise the long-term objectives. Strategic planning focuses on the larger picture and outlines the framework within which the operational plans and decisions are to be taken.
   ii) **Tactical Planning:** Tactical planning is generally undertaken for one business year. Largely focused on operations (production and selling), tactical planning is short term in nature and deals with immediate operational issues and matters like product distribution, production decisions (during peak season), etc.
   iii) **Operational Planning:** As compared to tactical planning (task or goal specific), operational planning is related to short-term business strategies, annual budgets and implementation of operational plans.

3) **Time Period Involved**
   i) **Long-Term Planning:** Long-term planning is conducted to achieve the long-term objectives. This type of planning can be for 3, 5 or even 20 years, depending upon the nature of organisational goals. These are comprehensive plans that usually cover all operational departments of the organisation. Long-term planning is affected by the changes in the external business environment.
   ii) **Short-Term Planning:** Their tenure is short, generally upto a year. Short-term planning is related to the functional areas (like finance, human resource, marketing, production, etc.) of the organisation. They are undertaken to achieve the short-term objectives.

4) **Approach Adopted**
   i) **Proactive Planning:** Proactive planning helps the organisation in predicting the result of future events and how they are likely to affect the organisation. Such planning is always advisable as it mitigates the elements of uncertainty that usually accompany the unexpected events. These events often have a damaging or adverse impact on the organisation. In other words, proactive planning is all about anticipating risks and taking adequate measures to minimise them.
   ii) **Reactive Planning:** Reactive planning is the opposite of proactive planning. Reactive planning is done to deal with the current situation, i.e., reactive plans are prepared to take corrective measures in case of occurrence of unpredictable issues and problems.

5) **Degree of Formalisation**
   i) **Formal Planning:** Generally large and professionally managed organisations adopt formal planning which is a scientific and logical approach to planning. It is based on empirical data and realistic assessments and assumptions. This kind of planning calls for great sophistication and analysis
   ii) **Informal Planning:** Small businesses rely on informal planning which is based on intuition, common sense, and experience of the owner. Such planning is short termed and unstructured.

2.1.5. Types of Plans

Various types of plans are as follows:

1) **Standing or Repeated-Use Plans:** Standing plans are prepared to solve issues related to the day-to-day functioning of the organisation. They are meant for repeated-use and act as a guide manual for the organisation. They are helpful in outlining a predictable response related to recurring problems. They guide the employees at every level of management so that they could anticipate the problems and respond according to the standing plans. Organisations that are closely linked and integrated use these plans to enable the employees to predict the actions of others.

   Different types of standing plans in an organisation are as follows:
   i) **Mission or Purpose:** Organisational mission, as a standing plan, identifies the primary purpose of the organisation. Mission is the reason for existence of the organisation. Mission highlights the basic tasks or functions of the company. Every organised activity should have a mission or purpose. Without a mission, the organisation may lose its credibility in the market.
   ii) **Objectives or Goals:** Goals are prepared to give direction to the functions of the organisation. The planning process should be based on specific objectives or goals. Managers should follow the concept of 'management by objective' for achieving success and growth.

iii) **Strategies:** Plans should be strategy-oriented. Strategies are prepared by studying the strategic plans of the competitors. Strategies are prepared according to the changes in the competitive business environment.

iv) **Policies:** Policies are guidelines against the frequently occurring issues and problems. They help in hassle-free realisation of objectives. They are generally prepared by the top-level managers.

v) **Procedures and Methods:** Procedures are plans that define the sequence of activities to be performed over a particular course of action. Methods are a part of the procedures and depict the ways in which the tasks should be performed.

vi) **Rules:** Rules are specific directions for dealing with particular issues. They help the management in ensuring smooth functioning of business activities. These are related to office timings, discipline, leaves, etc. They are the do's and don'ts for a particular situation.

2) **Single-Use or Operating Plans:** Standing plans are meant to deal with common recurring situations and cannot be trusted to deal with all possible situations and scenarios. They are mostly used for situations where management decision-making is required.

Therefore, to deal with specific unique situations, **operating or single use plans** are required. Once the situation is over or has been dealt with, a new plan is prepared to achieve the next objective. Such plans are an effective way of managing dynamic and unforeseen scenarios within which the organisations are required to operate.

All single use plans must incorporate the following features and aspects:

i) **Programmes:** Programmes aim at specifying a sequence of steps to be followed for realising a goal within a particular time-period. These plans are action-based and are followed as per polices, objectives and procedures of the organisation.

ii) **Budgeting:** A budget is a plan in numeric terms and is the fundamental tool of a single-use plan. It is prepared for assessing the tangible and non-tangible resources required for proper execution of programmes. Budgets are prepared for a particular time period and after the term is over, a new budget is prepared.

iii) **Project Plans:** A project can be defined as a particular task related to the overall programme. They are a series of different tasks to be followed in a programme. Projects are implemented with respect to a specific task and are terminated after the task is accomplished. Hence, they can be termed as an operating plan.

3) **Contingency Plans:** Contingency plans are used when a company faces an anticipated future risk. These plans include a number of steps that minimise or manage the harmful effects of the risk. A company can face dire consequences in the absence of contingency plans. In their absence, management may be forced to take and accept decisions in haste. These decisions may prove to be hazardous and costly for the company.

Contingency plans, equip the company to combat with the emergencies that are likely to have a negative impact on the organisation. Such emergencies could be a fire, a natural disaster, scarcity of raw materials, labour issues, power failure, break downs, etc. The idea behind such plans is to mitigate the negative impact or damage. They are likely to increase the success rate of the business projects.

2.1.6. Planning Process

The process of planning involves the following steps:

1) **Perception of Opportunities:** This step is not mandatory in the process of planning. But it is important that the managers are aware about the opportunities and threats related to a specific plan. This step helps the managers in anticipating the possible opportunities while keeping in mind the organisational strengths and weaknesses. The plans can be drawn up only when managers visualise or perceive an opportunity to establish a new unit or to grow and expand. Hence, this stage is a prerequisite for the planning process.

2) **Establishing Objectives:** Once an opportunity has been identified, the next step is to establish the organisational or departmental objectives. Objectives provide a sense of direction to the organisation. They help in identifying the areas that require special attention and also indicate the results that are necessary for the overall success of the organisation.

3) **Planning Premises:** Once the goals are set, it is time to make assumptions and lay down parameters or the boundaries, i.e., the planning premises. Premises are the situations under which the planning process has to be implemented. Planning premises include assumptions related to internal and external environmental conditions. Internal premises include organisational resources, capabilities, strengths, structures, policies, etc., whereas external premises are related to factors like employment, price levels, technological changes, government policies, etc.

4) **Identification of Alternatives:** The next step is to identify the alternatives for achieving the set goals and objectives. A particular objective can be realised by adopting different alternatives. In this step the manager must identify all those alternatives that may help the organisation in fulfilling its predefined goals. **For example,** if the objective is to go for international business, then a company can establish its position in the international markets by adopting different strategies like – joint venture, merger, management contracting, local manufacturing, exporting, etc.

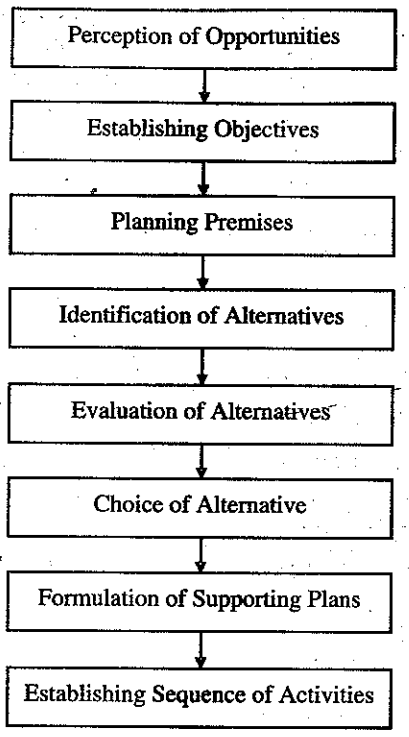


Figure 2.1: Process of Planning

5) **Evaluation of Alternatives:** In this step, the identified alternatives or options are analysed on the bases of their relative feasibilities, depending on the various constraints or assumptions set by the manager. In this particular step, each alternative is evaluated in terms of their contribution towards the achievement of the predefined objectives as well as in terms of the strengths and weaknesses of the organisation.

6) **Selection of Alternatives:** This step deals with the selection of an alternative that meets all the requirements for realising the objectives. Often, more than one alternative are selected to deal with the changes in business environment, **e.g.,** changing land prices, new government policies, natural disasters, etc. These alternatives or stand by plans are kept ready the unpredictable future changes can be dealt with.

7) **Formation of Supporting or Supplementary Plans:** Once the fundamental plan has been prepared, it is time to draw up supplementary plans for achieving specific targets. These supporting plans can be plan for buying land, for hiring, supply of raw materials, etc. These derivative plans are prepared on the basis of the primary plan and play a significant role in achieving the organisational objectives.

8) **Establishing Sequence of Activities:** Once the primary and supplementary plans are developed, it is the responsibility of the manager to set a course of action for implementing the plans. This step involves deciding what will be done by whom and when. Budgeting is also a part of this step so that the plan has a concrete meaning and can be implemented successfully.

2.1.7. Approaches to Planning

Methods of planning differ; else the fact is that every company undertakes planning. It is important to retrieve earlier method of planning utilised in the firm and also take into consideration how it exerted an impact on the organisational culture. All this has to be done before a new well thought out planning process is undertaken. The existing planning process can be productive and successful only when all these cultural issues are handled properly.

1) **Top down Approach:** Top down approach implies top management of the firm is responsible to plan out things and take decisions, whereas the execution aspect is left for the lower level of the hierarchy, *i.e,* subordinates. Managers with conventional or middle-of-the-road thought process or family managed businesses usually act in accordance with top down approach. In order to accomplish organisational mission, the top level management first establishes goals, devises fundamental strategies and develops a

method of working. Managers working at the lower level of the hierarchy are involved in the execution of these goals and are not concerned with the planning process. An extremely centralised approach of planning is undertaken and top level managers are always engaged in developing schemes and practicing authority. Top level managers being very skilled and professionally certified form the premise of the top down approach. In reality, by giving their ideas and recommendations, managers working at the lower levels can also implicitly become a part of the planning process.

2) **Bottom-up-Approach:** This approach to planning believes in the famous saying that contemplating and executing are connected to each other, as it tries to engage employees who will be in charge of the execution part in the planning process also. Also known as participating planning, under this method of planning, employees working at lower levels work out the preliminary calculations which are later on conveyed to higher authorities.

   A thorough analysis of the calculations, obtained from the lower authorities, is carried out by the top management before sanctioning the plan. If the lower level managers possess imaginative power, necessary knowledge and awareness regarding the necessities to undertake planning, the bottom up approach can achieve positive outcomes. The different plans suggested by lower levels are integrated and collaborated by the top management. Thus, lower level executives will assist in introducing as well as executing the plans.

3) **Team Approach:** Under the team approach, involvement of a lot of managers can be witnessed in the formulation phase of the planning process. It is obvious that managers involved of the planning process will be proficient in executing them also. Managers in charge of particular areas of operations are requested to formulate preliminary plans for their respective areas and later on forward the same to their Chief Executive or superior. It is the Chief Executive who agrees to and gives the final nod. Hence, it can be concluded that a group of lower level managers act as mastermind of the Chief Executive and recommend different proposals. Plans that particularly demand expert knowledge and skills of various spheres require this team approach of planning.

4) **Composite Approach:** An approach that is an integration of top-bottom and bottom-up approaches is called as composite approach. Under this approach, the lower and middle level managers are supposed to devise preliminary plans on the basis of parameters, directives and restraints provided by the top management. The top management then analyses and gives their consent to these plans as they have the final power to devise plans and strategies. Hence, engaging lower level executives in the brainwork and formulation of preliminary plans under stipulated parameters is one of the benefits that can be derived out of this approach.

2.1.8. Planning in Dynamic Environment

It is essential for present day managers to interpret the technique required to plan in rapidly changing and unpredictable situations in order to become effective and successful planners. The various ways in which the external environment is modifying can be explained as below:

1) Firms are putting Internet to use in various ways, ***e.g.,*** by employing it in product logistics, design, etc.
2) Various industries such as, automobiles, airlines and consumer electronics, etc., are getting transformed by a wireless networking technology, known as Wi-Fi.
3) A new currency named 'Euro' has been adopted by several nations belonging to the European Union.
4) The frequency of eating outside is increasing a lot as against that of eating home cooked food which is decreasing day by day.
5) Intellectuals are of the opinion that the global economy of the 21st century will be transformed by two Asian countries namely, India and China.

A question generally arises as to the technique to be employed by present day's managers in order to plan in the rapidly changing business environment as a result of these trends.

The answer is firstly, the secret of attaining success here is following the phrase, 'flexible but particular'. Planning should be a continuous process is what is to be learned by managers because it is just not possible to formulate an annual plan in one week's time in a conference hall, for example.

The next step would be for the managers to acquire the skill of planning year after year as suggested by specialists, instead of undertaking planning throughout the year. Performance can be enhanced by undertaking continual planning. Managers can become efficient planners by gaining understanding from experience.

And lastly, there is a need for compact organisational hierarchies with less number of required levels. By now, it has been understood that top level management is responsible for developing plans that are later on passed on to the next level and so on, under the conventional planning technique. However, now there is that much time to pass on objectives or strategies like this. Employees should obtain training under managers for formulating plans and determining objectives and then have faith in them that they will successfully execute those plans and achieve objectives.

Wipro Limited of Bangalore, India is an obvious example of an organisation that has learned it in the right manner. About 10 years back, Wipro was operating as a consortium with an integration of several unexpected business activities, such as sale of personal computers, cooking oil. With yearly income of $2.3 billion, Wipro now is a multinational corporation with 90 per cent of its business coming in from information technology services. Wipro has now become a major threat for other big players in the market including IBM, Accenture, EDS and huge accounting firms from the US. The employees of the organisation work for a comparatively less pay package as against their Western peers even though being equally talented and well informed. They are also responsible for contributing majorly in the firm's planning process.

Employees associated with Wipro have acquired knowledge to study the environment and accurately describe the magnitude and extent of a client's problems in order to provide ideal resolutions while keeping in pace with the dynamic information service industry. The employees are on the front end with the customers and not the managers or someone from the corporate planning division. Hence, the employee is obligated to find out activities to be undertaken and methods to complete them. And irrespective of the industry dynamism, this approach has helped Wipro place itself at one of the top positions in the market successfully.

2.1.9. Planning and Performance

Looking to achieve beneficial and productive outcomes proves there is an obvious connection between planning and performance. The activity of locating and putting right the difficulties in the pursuit of accomplishing objectives is known as planning, whereas performance is principally accomplishing the objectives. Understanding the relation with things one performs and things one wishes to attain in alignment with the firm's operations and goals is referred to as planning. There is absolutely no point in toiling for long hours to analyse and rework if the plan on which one is working is not effective and sound.

This will in turn decrease the performance levels. Distinctly established targets lead to performance and it is obligatory to properly determine targets and mission to be accomplished. Hence, an effective and sound plan is a must to increase productivity and subsequently be successful.

It is a matter to be usually considered if a firm that does not plan attains success as against the firm that does systematic planning. However, it has been observed that firms undertaking planning outperform firms that do not plan. Firms undertaking formal planning inevitably always perform better than firms that do not would be an obtrusive comment. It is possible to deduce the following points on the basis of several researches and studies conducted on the influence of planning on performance levels of employees:

1) Studies show that organisational environment was the reason in those firms where systematic planning is unable to achieve better performances. These firms could not achieve higher performance due to various reasons namely; labour unions, stringent regulations laid by the government and other unfavourable circumstances.
2) Formal planning can help achieve increased profits, increased returns on assets and various other favourable financial outcomes.
3) It is not the extent or the level of planning but the quality of planning and the proper execution of plans and strategies that deliver better performances.

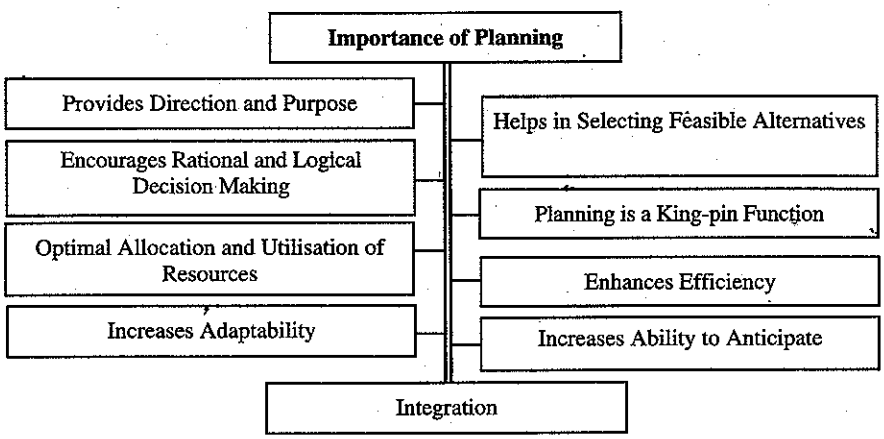
Lastly, the period of time required for planning, exerts an impact on the performance-planning interrelation. It looks like performance begins to get influenced only after minimum of four years of formal planning.

Unavailability of enough time is the main reason of several overloaded small-scale businesses to not carry out the planning function. Majority of them subsequently become conscious of the fact that it is unfeasible to calculate their performance levels in the absence of a minimum of a fundamental business and strategic plan. It is even out of question to define success in the absence of pre-determined targets and game plans to match up to the written measurement standards and win against the rival players. There is a lot of importance attached to planning and employing the game plan selected to attain better performance.

Efficient functioning of the firm is largely influenced by the effects of integrating business planning with performance. Usually, several small scale owners manage their business with the existing resources to develop to more effective levels by computing their performance in irrational terms without proper orientation or definition. Business owners who fail to plan are unable to interpret their goods and services, the level of competition, mission accomplishment and effective strategies than those owners who integrate performance estimation with business planning. Generally, the impact of this large gap is strikingly exhibited while comparing constant success and net earnings.

2.1.10. Importance of Planning

The importance of planning may be summarised as under:



1) **Provides Direction and Purpose:** Planning seeks to give a sense of purpose and direction to the organisation. It provides the employees with answers regarding the direction of the organisation, role of managers, responsibilities of employees, etc. It provides rationale to all the activities that are to be undertaken by an organisation for realising its pre-determined goals.

2) **Helps in Selecting Feasible Alternatives:** Planning helps the management in anticipating and to be prepared for the future business conditions. Managers are able to evaluate options, estimate consequences and therefore exercise better judgement while selecting alternatives and choices with the help of proper plans. It also helps the organisation in selecting the best course for realising the set objectives.

3) **Encourages Rational and Logical Decision Making:** Planning provides all the necessary inputs to decision-makers, so as to enable them to take judicious and rational decisions. Planning discourages decisions that have baseless assumptions, luck and chance. Thus, planning minimises the risk of failure and errors, provides necessary flexibility, and above all, infuses a sense of discipline during decision-making and problem-solving.

4) **Planning is a King-pin Function:** Planning is a primary function from which all other functions originate. All activities are based on the planning process. Organisational plans form a base for developing organisational structures and delegating authorities. All the elements of direction (which are leadership, motivation, supervision and communication) are exercised to ensure the proper execution of organisational plans. Hence, it can be said that planning is the function around which all other functions of management are carried out.

5) **Optimal Allocation and Utilisation of Resources:** Planning also enables organisations to optimally allocate and utilise their human and non-human resources. Scarce and expensive resources can be judiciously allocated and utilised in a planned way.

6) **Enhances Efficiency:** Planning as a function of management also helps in enhancing the efficiency of the organisation. It enhances organisational efficiency in the following ways:
   i) By adopting the best alternative or course of action.
   ii) By judicious and optimal use of resources while ensuring minimal wastage.
   iii) By undertaking all activities with due diligence and consideration.

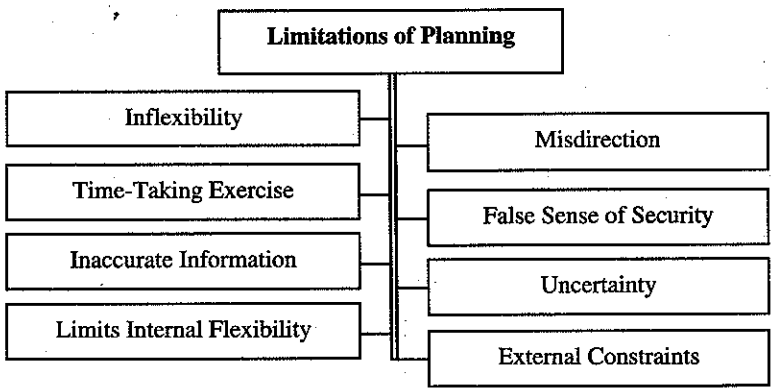
7) **Increases Adaptability:** Organisations that emphasise on planning, especially proactive planning, are better equipped to deal with the business changes. They tend to be more flexible and adaptable. An organisation that is able to adapt according to the changes in the business environment, is able to achieve growth and success. **For example,** a company should be able to adapt to the changes in the technological environment.

8) **Increases Ability to Anticipate:** Planning also enables the organisations to anticipate changes, either internal or in the environment and to take necessary preventive measures. Planning helps in scanning the environment so that the organisation is able to predict the future opportunities and threats. These predictions help in attaining an advantage over the competitors and in exploiting the opportunities. Organisations that emphasise on planning are in a better position to control the situations, rather than being controlled by them.

9) **Integration:** Planning also serves as a great unifying force as it seeks to bring unison and integrity in all the activities of an organisation by providing a common framework. Planning seeks to give a common purpose and direction to the organisational activities. It helps in integrating the activities of different functional areas toward the realisation of common organisational goals.

2.1.11. Limitations of Planning

Despite the acknowledged utility and indispensability of planning, it also tends to have certain limitations or disadvantages. Some of these are:



1) **Inflexibility:** Sometimes planning takes away the ability of the management to be flexible. Once a plan has been agreed upon, it is not easy to deviate from the selected course of actions. This rigidity acts as a barrier for the employees in successful implementation of their functions.

2) **Misdirection:** Sometimes planning efforts are not successful due to the misdirection of an individual or a group of individuals. Planners or managers try to formulate the objectives and plans to serve their personal interests rather than achieving the overall goals of the organisation. Hence, the personal biasness of the managers acts as a limitation in implementing the planning process.

3) **Time-Taking Exercise:** Planning involves collection of data, its analysis, forecasting and making assumptions. Hence, it is a time taking exercise which involves considerable intellectual efforts. This makes planning impractical in emergencies, which require immediate response and action.

4) **False Sense of Security:** The very existence of a plan induces a false sense of confidence and security within the organisation as the employees believe that the plan would take care of all eventualities. Although employees are contended with the set plan, yet they are not encouraged or motivated to improve their performance and productivity. Further, they are at a loss when situations change and the plans fail to achieve the predefined objectives.

5) **Inaccurate Information:** Planning is essentially a futuristic exercise that is based on assumptions and forecasts made by the planners or managers. Despite the use of the most sophisticated modelling tools available to planners, assumptions and forecasts can still go wrong, rendering the entire plan ineffective and inadequate.

6) **Uncertainty:** Planning process also suffers from the uncertainty of change. Planning is for the future but is based on present business conditions. Changes in business conditions like unanticipated risks, obsoletion of technology, changing consumer behaviour, unfavourable market conditions, etc., limit the successful execution of plans.

7) **Limits Internal Flexibility:** Planning process outlines the framework within which the managers have to carry out their roles and functions. This outline limits the internal flexibility of the organisational activities as well as the ability of the organisation to change with the changing business environment. Primary constraints that make the organisations inflexible are:

   i) **Psychological Inflexibility:** This could take the form of resistance to change, or cultural prejudice, etc.

   ii) **Limitations Set by Policy and Procedures:** The policies and procedures laid down by an organisation also serve as barriers in designing and implementing the planning process.

   iii) **Capital Investment:** Capital investments are an important part of the planning premises as these are generally fixed and only a limited number of options are available for adopting an alternative course of action. These fixed investments are not easy to dissolve and can become flexible if the organisation is able to change its course of action. In extreme cases, such assets are either liquidated or simply written off to make way for more suitable assets.

8) **External Constraints:** There are several factors or variables in the external environment that are essential for planning, but over which planners have little or no control. External variables are dynamic and cannot be easily or correctly predicted. The factors which add an element of uncertainty to the planning process are:

   i) **Political Climate:** Politics affects businesses and their planning processes in many ways, **e.g.,** governmental policies, regulatory and tax laws, political instability, etc. These factors act as constraints for any planning process.

   ii) **Trade Unions:** Trade Unions also have a great bearing on businesses and their planning processes. They set the agenda regarding wages, productivity, work rules, benchmarks, etc. Managers have to perform their activities under the rules and guidelines set by the trade unions.

   iii) **Technological Changes:** One of the most dynamic business environment variables is technology. Rapid changes in technology may restrict successful implementation of the planning process.

2.1.12. Reasons for Failure of Planning

Planning often fails to meet its objectives, largely on account of the following reasons:

1) **Lack of Support:** Many times, planning efforts fail due to lack of encouragement from the top-level managers. Planning process may fail if it is not supported by the management in terms of adequate staff, materials, finance, resources, etc. The managers at all organisation levels should be committed towards proper execution of the planning process.

2) **Lack of Integration:** Sometimes, planning is not integrated with other activities of the organisation which may lead to non-achievement of objectives. Planning should be incorporated into the management system, strategic plan and the operational plan.

3) **Lack of Understanding:** Often, the various facets or dimensions of planning like, budgeting, operations, marketing, strategy, etc., are not properly understood by planners or managers. This results in failure of the planning process.

4) **Lack of Direct Involvement:** Many times, planning process is carried out by specialists, without the involvement of managers who are at different management levels. This renders the planning process in isolation. This lack of involvement reduces the responsibility and accountability of the line managers.

5) **Exclusive Responsibility of Planning Department:** In many organisations, planning is the sole responsibility of the planning department. This restricts the involvement of managers in the planning process thereby limiting their role in planning activities.

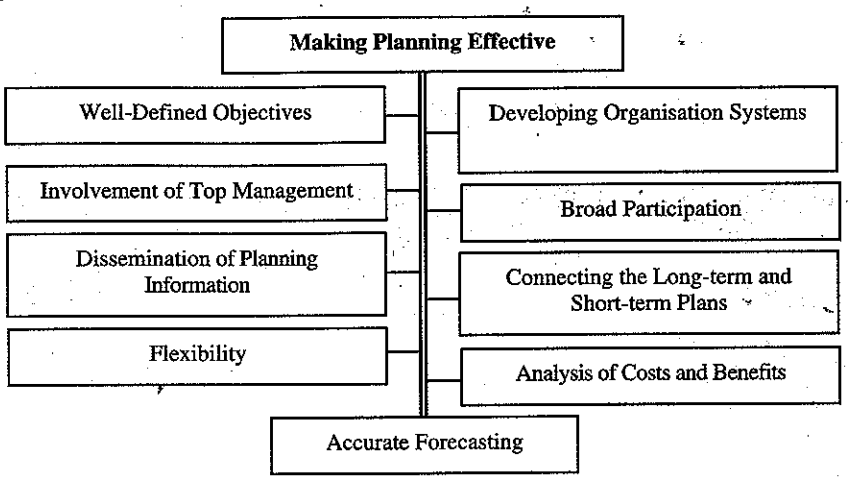
6) **Too Much Planning:** Sometimes, too many activities and programmes are planned at the same time. This hinders the smooth implementation of the planning process.

7) **Inflexibility:** At times, the top managers ignore the planning premises. They tend to forget that the assumptions behind planning can change or go wrong thereby necessitating modifications and corrections. Planners often expect that the plans will give the exact same results as they had documented and hence there would be no need for modifications.

8) **Lack of Interest to Implement the Plan:** Sometimes, management simply fails to implement the plan because either they do not involve themselves in the process or have no inclinations to implement it. This shows their complete lack of interest in the planning process.

2.1.13. Making Planning Effective

Despite limitations and shortcomings, planning is indispensable for any organisation. Therefore, it is imperative that steps should be taken to overcome the limitations and shortcomings. Following points should be kept in mind for effective planning:



1) **Well-Defined Objectives:** The starting point of a sound planning process is the setting up of well-defined objectives. Objectives should be clearly stated, realistic and attainable. Properly defined objectives provide a definite path for the plans and their successful implementation.

2) **Developing Organisation Systems:** Effective planning can also be achieved by developing organisational systems that provide assistance in implementing the plans. These organisation systems should be created to motivate the managers to actively participate in the planning process.

3) **Involvement of Top Management:** The top management should be actively involved in the planning process and should lay down broad parameters for the organisational plans. Strategic plans should be developed by the top management and departmental plans should be developed by the middle and operational level managers. These departmental plans should be prepared in accordance with the strategic plans.

4) **Broad Participation:** Planning can be made more effective and meaningful by encouraging the involvement of employees at different levels of management. Lower level managers should be given free-rein to prepare plans related to their areas of expertise. Operational and supervisory level employees can be involved in the planning process by implementing the following steps:
   i) Managers and workers should work collectively for setting goals and objectives.
   ii) Planning committees may be formed to ensure wider participation. This would provide all subordinates an opportunity to contribute in the planning process.
   iii) Grass-root budgeting is another effective method of ensuring participation of all employees in the planning process. In this type of budgeting, all departments prepare their separate performance budgets and these separate budgets are incorporated in the master budget of the organisation.

5) **Dissemination of Planning Information:** For achieving effecting planning, it is necessary that all the relevant information regarding organisational plans (such as goals, targets, road map, budgets, timelines etc.) is shared with all the stakeholders.

6) **Connecting the Long-term and Short-term Plans:** The short-term plans may be viewed as supplements to the long-term plans. These short-term plans pave the way for the achievement of long-term plans. Hence, it can be said that integration of short and long-term plans is essential for the success of the planning process.

7) **Flexibility:** All organisational plans should be flexible so that they can be modified with the changing business circumstances. Hence, the managers should continuously monitor and evaluate the implementation of plans. Managers should also prepare alternative and contingency plans for foreseeable future risks. Any resistance regarding changes in the plans should be handled with tact and effective leadership skills.

8) **Analysis of Costs and Benefits:** Planning needs to be cost effective, which means that the value of benefits or outcomes expected from the plan should be more than the cost incurred in formulating and implementing them. Cost-benefit analysis can help the managers in taking necessary steps for minimising planning costs. A company can take measures like formulation of quantitative objectives, effective decision-making, timely modifications, etc., in order to ensure that the benefits are more than the costs.

9) **Accurate Forecasting:** One of the most important fundamental steps in planning is forecasting. Forecasting is the ability to accurately and scientifically predict the future with respect to the changing factors of business environment. Effective forecasting to be effective should be based on accurate and complete data provided by the management.

2.2. GOALS AND PLANS

2.2.1. Meaning and Definition of Goals

Also known as the fundamental function of management, planning determines the foundation for every other function a manager carries out in a firm. It will not be possible for a manager to understand what he/she has to arrange for, direct, or manage in the absence of appropriate planning. As a matter of fact, there would not be anything left to arrange for, direct and manage without any specific plans or strategies. Hence, goals and plans are the two significant factors of planning.

Every person, employee or whole company wants to accomplish certain goals or targets. Goals are also known as objectives and these two words can be substituted or exchanged for each other. All management decisions taken by top management are guided by these goals and the amount of work completed currently can be computed against these goals that act as the benchmark. And this is the reason goals are usually referred to as basis of planning.

Goals serve as important motivational factors and are regarded as important instruments for monitoring one's own performance as well as that of the others. The objective of goal-setting is to motivate employees of the organisation to achieve their goals. This is done by making employees enthusiastic about goal achievement, assisting them in value identification as well as identification of their long-term and short-term goals.

Moreover, employees are made aware of the goals that are most significant to them. Goals enable people to enjoy the feelings of self-achievement, which can be effectively used to motivate them to achieve their goals.

According to Robey, "An organisation falling short of its tartest might set up a task force to develop new policies for achieving a higher level of goal attainment. Goals can also provide a rationale for designing the organisation. A goal of rapid growth through introduction of new products may lead and organisation to create a strong R&D department and to create a mechanism for close integration among the engineering, marketing and R&D departments".

According to King and Cleland, "Goals is to establish a venereal tone or organisational climate; to serve as a focal point for those who can identify with the organisation purpose and direction and to defer those who cannot, from participating in the organisation's activities; to facilitate the translation of the broad purposes and mission into identifiable tasks and their assignment to responsible groups within the organisation and to help in allocating organisational resources".

2.2.2. Features of Goals

The goals of an organisation are characterised as follows:

1) **Specific:** The goals should clearly specify targets to be achieved and the tasks to be fulfilled. This would help the managers in evaluating the performance at regular intervals. An ideal goal should address major issues that are critical for success of the organisation.

2) **Realistic and Challenging:** An organisational goal should be realistic as well as challenging. If the goal is unrealistic, the employees may find it unachievable and may get demotivated. But, the goal should also not be too easy. It should be challenging enough so that it can encourage the employees to improve their performances by searching new and creative ways of carrying-out the organisational activities.

3) **Time Constraint:** Another important characteristic of an organisational goal is that there should be a time-period associated within which it has to be completed. It provides a deadline to the employees and managers so that they are motivated to improve performance for achieving success within the time constraint. However, it is not necessary that every goal is time bound.

4) **Measurable:** The goals should be quantifiable. It implies that the goals should be measurable so that the outcome could be evaluated and the progress can be estimated. Measurable goals act as a yardstick for the managers and their team members to evaluate their performance.

5) **Level-Oriented Goals:** A goal should be set to address important issues only. The top and middle level managers are accountable for such long-term goals. On the other hand, the short-term goals should be addressed by lower-level managers. **For example**, quality control and cost reduction are the goals of upper and middle level managers. Employee motivation and performance evaluation are the goals of lower level managers.

6) **Commitment:** The members of the organisation should be committed for the achievement of set goals. The employees should also get involved into the goal setting process. If the management does not include the employees in setting of goals, then every aspect related to goal-setting should be communicated clearly to them.

2.2.3. Types of Goals

Organisational goals are of three types:

1) **Official Goals:** Official goals are the common objectives of the organisation. These goals validate the activities of the organisation and stabilise the organisation in its environment. These goals are mentioned in the documents published in the organisation periodically, such as memorandum of association, annual performance report, etc. The top level management addresses these goals in their public statement.

2) **Operative Goals:** Operative goals indicate the actual targets that an organisation wishes to achieve. These can be considered as the operating policies. These goals help the managers in reducing the possibilities of uncertainty while remaining attentive. The operating goals help in selecting the alternative designs for organisation.

3) **Operational Goals:** These goals are set by the middle level managers for supervising or controlling the subordinates. These goals help in measuring the performance of the employees.

2.2.4. Setting Goals and Developing Plans

Formulation of a plan of action prepared with a view to encourage and direct an individual or a team towards achieving a goal constitutes goal setting. The criteria of SMART are an example of goal setting benchmark or set of rules that direct towards goal setting. Management literature and individual development largely make up goal setting.

Various benefits are derived by goal setting, an influential and effective method, namely:

1) Escalates confidence levels,
2) Helps one concentrate,
3) Guides one's endeavours by offering a specific direction, and
4) Stimulates endurance levels of an individual.

It also provides an individual the long run vision of where they desire to be in the future, various measures to be taken to gain that position and also encouragement required to start the journey. It basically helps one to pay attention to things one wishes to accomplish and accordingly assists him/her to arrange his/her time and available resources to the greatest advantage possible. Personal and organisational performance both can be well managed by goal setting and planning for development. An employee is able to get a distinct and computable impression about their current position and the direction they are heading towards with the help of these two factors.

2.2.4.1. Approaches to Setting Goals

Management related decisions to be taken on a daily basis are guided by goals/objectives. Performance can be calculated with the help of these goals as they form the benchmark or the standards. Employees and top level managers performing each activity within an organisation, preferably see to it that the objectives are achieved. Goals serve the following roles; it helps organisational managers to formulate better strategies by offering a guideline to be followed by the firm and offer a standard against which existing performances can be computed.

Activities undertaken by a firm are all directed towards accomplishing a specific goal. It is likely to make use of various types of techniques by the managers for the firm with a view to accomplish pre-determined objectives. There are two main forms under which goal setting can be classified, namely:

1) **Management by Objectives (MBO):** On the basis of a supposition of determining individual goals in order to increase the feeling of dedication of the employee resulting in more excellent performance, Management by Objectives (MBO) is an approach and ideology of management dependent on transforming an organisational goal into an individual goal. A cohesive hierarchy of objectives is developed all round within the complete organisation with the help of goal setting in MBO. The process of goal setting under MBO includes the below mentioned four steps:
   i) General objectives are discerned by subordinates in conjunction with seniors of the firm.
   ii) Outcomes to be attained by subordinates are fixed.
   iii) Examination of individual contribution of employees, and
   iv) Merging employees with the firm so that available resources can be used optimally.

   Hence, aiming to accomplish organisational objectives, it can be understood that goal setting in MBO includes engagement and coordination between different levels of the firm.

   MBO has been proved to be a successful technique by the various studies and researches conducted. One of the research conducted, indicated that 68 out of 70 MBO programs lead to increased productivity and constructive levels. However, taking into consideration the dynamic nature of market, MBO may fail to prove its effectiveness.

   Certain amount of constancy is essential for the process of establishing goals and then assessing efficiency levels of employees in achieving them. Various factors such as fast technological changes, currency fluctuations or volatile energy rates can be reasons why goals need to be re-established and because of which it would be difficult to calculate development made on the initially determined goals.

2) **Traditional Goal Setting:** A technique wherein top level management determines objectives that are divided into sub-objectives for every level of the organisational hierarchy is called as traditional goal setting. This technique can be further understood with the help of following example where a widget-manufacturing firm's Vice Presidents are informed about the number of widgets to be manufactured and sold in the subsequent year by the final authority, *i.e.,* President of the firm.

   These goals are further divided by the Vice Presidents into sub-goals for each level of the organisational hierarchy, and the lower level managers as a result determine goals for their subordinates. This process goes on, till the last ranked file workers have goals they are responsible to meet. An annual evaluation will be done by the top level management at the year end to gauge how effective the firm was at achieving the set goals.

Top level management envisioning the 'bigger picture' is one of the suppositions of traditional top down approach. Another supposition is that the breaking of goals into sub goals for each level of the organisation functions, rather in an effortless manner.

Even though there are exceptions, particularly of big business houses where this approach is not very much effective. It is very difficult to try and keep organisational goals in accordance with goals assigned to every employee and therefore, particular initiatives have been worked out by few companies to understand ways to perform more effectively. Seagate Technology, a firm producing disk drives based in California, US, **for example**, has especially engaged its Chief Financial Officer to be in command of such initiatives and find out how to do it better. Traditional goal setting has other limitations such as goals determined by top level management are generally very comprehensive and lower level managers can find it difficult to interpret the exact expectations of top management.

2.2.4.2. Steps in Setting Objectives

The process of setting objectives is as follows:

Step 1: Categorise the Objectives: The first and foremost task in setting the objectives is to categorise the objectives in various categories such as long-term, medium-term, short-term, etc., as per the time-period of the objectives. These categorised objectives should be divided into the departmental, sectional, and individual objectives, based on the type of objectives. These objectives should be divided into a hierarchy to clarify the roles and responsibilities of people at different levels of the organisation.

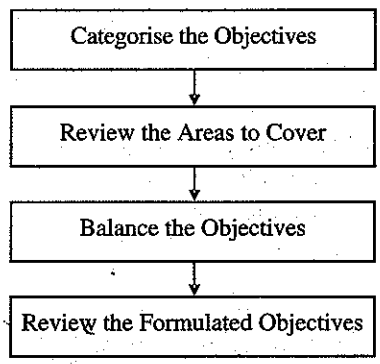


Figure 2.2: Process of Setting Objectives

After dividing the objectives, the strategic leaders need to see whether or not these objectives qualify in the criteria of good objectives. If the objectives qualify then the strategic leaders can proceed to the next step. However, if the objectives do not qualify in the criteria, then necessary modifications are done so that they can become achievable.

Step 2: Review the Areas to Cover: Once the objectives have been divided, the next thing is to enlist the areas which need to be addressed. **According to Peter Drucker**, "there are eight areas in which objectives of performance and results have to be set – market standing, innovation, productivity, physical and financial resources, profitability, manager performance and development, workers' performance and attitudes, and public responsibility".

The strategic leaders should review the objectives and should check whether these areas are being covered or not. It should be noted, that the objectives are feasible and realistic, else the entire effort behind setting objectives will get wasted.

Step 3: Balance the Objectives: As soon as the objectives are divided and areas are reviewed, the strategic leaders should focus on balancing the objectives. It is very essential to balance the objectives for enabling smooth operations within the organisation. It should always be kept in mind that short-term objectives should be treated as distinctive steps that lead to fulfilment of long-term objectives. The objectives should be prioritised as per their urgency and significance. Hence, special attention should be paid to the short-term objectives instead of long-term objectives.

Step 4: Review the Formulated Objectives: In the final step, the strategic leaders should review the objectives that have been formulated. The external environment is quite dynamic and changes frequently which imposes certain challenges on the organisation. It is the responsibility of the strategic leaders to analyse whether the objectives meet the challenges existing in environment. If necessary, required adjustments should be made.

2.2.4.3. Developing Plans

Planning approach alongwith three contingency elements exert an impact on the process of developing or generating a plan. Planning is influenced by three contingency elements namely – level in the firm, extent of unpredictability in the environment, and extends of obligations to be met subsequently.

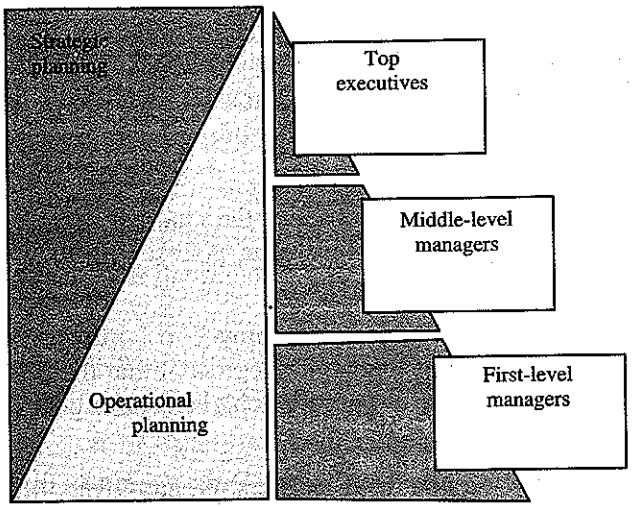


Figure 2.3: Planning in the Hierarchy of Organisations

1) The **first** element is the common association shared by form of planning done and the position held by a manager in the firm as indicated in the **figure 2.3**. Mostly, top level executives are in charge of carrying out strategic planning, *i.e.,* well thought out planning and lower level officers are responsible for operational planning. The level of operational planning (*i.e.,* a point when an idea is put to a practical test) done by manager decreases as the rank or position held by the manager rises. That is to say a manager will be in charge of strategic planning (*i.e.,* the big picture) that holds a higher rank in the firm.

2) The **second** contingency element influencing planning is unpredictability of the environment, *i.e.,* the external environment of the firm. There are various elements that are external to the firm that can influence functioning of a business, such as labour markets, commercial real estate markets, energy costs, commodity prices, government rules and directives, interest rates, etc. 'Particular but adaptable' should be the tactic followed by managers while planning as they encounter extreme environmental unpredictability.

   There are times when they are forced to alter or revise their plans or at times discard them altogether. However, the goal or objective is never abandoned. Paying attention to the on-time flights was the main objective of Gordon Bethune while he was the Chief Executive Officer (CEO) of Continental Airlines. Bethune and his associates were aware that this is the fact of concern of customers travelling with the airlines. It is possible to gain a competitive edge by accomplishing this goal. Professionals suggest continuous formal planning for firms, despite of unknown external environment. Formal goal setting actually takes a long time, a minimum of four years for getting established in a firm according to research conducted. It would be at length or down the line for several stages of environmental unpredictability to come around.

3) And the **third** and last element of contingency for managers is a specific time period. Managers should look after if their plans continue in the future as well due to increasing influence of existing plans on future obligations. The obligation concept should be taken into account as the managers' plan. The idea that plans made by managers must continue a long way into the future to fulfil the obligations made now is referred to as commitment concept.

   This element can be explained by taking an instance of Pomona Valley Medical Centre located in California, US that increased the capacity of its data centres from 30 servers to 70 servers. It was a requisite to have a larger data centre and the extension strategy was an 'existing plan' at a given point of time.

   However, the air conditioning system of the data centres was overburdened by the heat released by the extra servers installed. The 'obligation' of extending the data centre had this out-turn that the managers should have planned for but the fact being, they did not plan anything of this sort.

2.2.5. Importance of Goal-Setting

Goal-setting is important because of the following reasons:

1) **Mobilises Energy:** Goal-setting helps in mobilising the overall energy of the organisation. When the organisation is directed towards achieving small number of important targets, then the organisation's energy is focused towards achieving strategic objectives.

2) **Increases Chances of Success:** Goal-setting enhances the chances of success. By setting definite targets and laying down specific methods for their achievement, goal-setting reduces the scope of bogus excuses that are given at the time of failure.

3) **Increases Concentration:** Goal-setting enables an employee to improve his concentration by focusing on critical success factors. For achievement of a goal, it is essential that the person must express his desire for accomplishment. After expression of a goal, a path for achievement of goal can be created for the employee to follow.

4) **Assess Performance:** Goal-setting, on one hand, enables the employee to monitor his work, while on the other hand, it facilitates management to measure the development level. Goals can be used at the time of employee assessment to determine the level of achievement against the laid down goals. Further, goals enable the management to identify critical changes necessary to bring improvement in the future.

5) **Provides Motivation:** Goal-setting is structured to motivate employees to meaningful action and thereby improve their performance. When the employee is engaged in the process of goal-setting, he develops special interest in the achievement of that goal. This engagement at the emotional level serves as a great motivating force in achieving the stated goals and can help the employee achieve greater success.

6) **Increases Awareness:** Goal-setting makes a person aware of his own strengths and weaknesses. While working towards goal achievement, employees get aware of the areas that need improvement. Moreover, goal-setting enables identification of strengths which can be effectively used for improving results or achieving results more quickly.

7) **Specifies Priorities:** Some employees face problems in completing their targets because they are not aware of their priorities. In the absence of definite goals, employees tend to spend time on distracting things than on meaningful tasks. These distractions may include computer games, web surfing, etc. Goal-setting creates a clear action plan for the employees that force them to define their priorities and reduce distractions.

2.3. MANAGEMENT BY OBJECTIVES (MBO)

2.3.1. Meaning and Definition of MBO

Peter F. Drucker gave the concept of **MBO** in the year 1954 in his seminal work "The Practice of Management". This concept envisages a management viewpoint which puts a great premium on the contributions of employees. This concept is recently being applied in the area of performance appraisal.

Management by Objectives (MBO) is a managerial approach for promoting participation of managers and employees towards the common goal fulfilment. Here, focus is on defining objectives so efficiently that both management and employees of the organisation understand their role and position and collectively work towards organisational objectives. MBO is responsible for incorporating goals and objectives of the organisation in order to improve the operational capability of the organisation. All the employees have total clarity on the objectives and get strong indications regarding the framing of their objectives, and implementation plan etc.

Through MBO each operational unit within the organisation, clearly identifies its role in attaining strategic goals. People know what is expected of them for the organisation to achieve its objectives. MBO makes a distinction between achieving an objective and getting the job done. The emphasis should be on achieving an objective. The role of the managers is to guide their assistants in the accurate direction and ensure that the right environment is created in the organisation.

According to Prof. Reddin, "MBO is the establishment of effectiveness areas and effectiveness standards for managerial positions and the periodic conversions of these into measurable time bound objectives linked vertically and horizontally and with future planning".

2.3.2. Features of MBO

The features of MBO are as follows:

1) For effective management, the objectives of employees and organisation should be integrated. MBO is an attempt by the management towards the same.
2) Short and long-term objectives are combined with the help of MBO.
3) Through MBO, management can relate the objectives of the organisation with the objectives of the society.
4) Along with organisational goals, MBO also focuses upon effective performance of the business.
5) MBO lays continuous attention on filtering, modifying and enhancing the objectives and changing the techniques used for achieving such objectives.
6) The ability of organisational goal accomplishment is improved at all levels.
7) MBO helps in motivating and satisfying the manpower of the organisation.
8) It enables the identification of manpower involvement in the process of establishing organisational goals.
9) Through MBO, authority is replaced by discussion.
10) MBO creates and encourages an environment that promotes performance, goodwill and trust.

2.3.3. Process of MBO

The process of MBO includes steps as shown in **figure 2.4**:

1) **Set Organisational Goal:** The first step is to set goals and objectives in the organisation. These goals may be set jointly by the superior and subordinates or they may be decided by the superiors alone. The goal is the desired outcome that the organisation wants to achieve.
2) **Joint Goal Setting:** The next step is the setting of the short term objectives. This is done by means of a joint meeting between the superior and the subordinates. The manager needs to keep in mind the roles and responsibilities of his subordinates. He may use an organisational chart for this purpose. The subordinate writes down his personal goals and these are then aligned to the goals that the manager has set for the subordinate. The final goals are then decided and put in writing.
3) **Performance Review:** The performance standards for the decided goals are then set. These pertain for a particular time period. The subordinates thus have clarity on what is required to be done, how much has been done and how much remains.

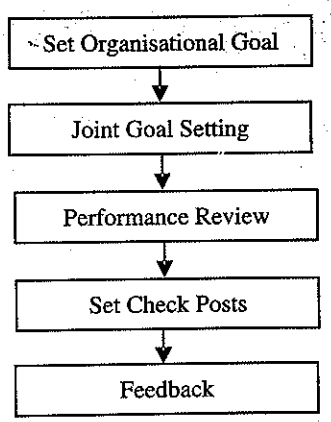


Figure 2.4: Process of MBO

4) **Set Check Posts:** The performance is reviewed periodically to the standards set to check if the progress is commensurate with expectations. This also highlights training needs of the subordinate and also brings to the fore events which affect the organisation's performance but which cannot be controlled by the subordinate.
5) **Feedback:** It has been found that employees who get regular and timely feedback over their job performance are more motivated than those employees who work in a haphazard environment. It also helps the employees to know where they stand in the organisation in terms of their performance against the expectations set.

2.3.4. Guidelines for Effective MBO

The guidelines for effective MBO are as follows:

1) **Support of Top Management:** For an effective implementation of MBO, it is very important to have an effective involvement of the top management. These practices will be implemented in the entire organisation, if the top management adopts these methods for better control.

2) **Education about MBO:** When the objectives of MBO are clearly determined and the methods for achieving these objectives are suitable, predicted results can be accomplished. Therefore, the concept of MBO must be understood and well-read by every staff member.

3) **Active Participation in Goal Setting:** During the process of goal determination, there must be an open or face-to-face communication between subordinates and their superiors about re-analysing the performance of employees, discussing problems and re-determining organisational objectives. Thus, a two-way communication must be supported in an organisation.

4) **Decentralisation of Authority:** Proper authority must be delegated to the employees, who have agreed upon challenging the work assignments after discussing with their superiors. Employees may refuse new assignments, if they do not have adequate authority, or they can even oppose the establishment of well-defined organisational objectives, if the manager does not delegate authorities to his subordinates. This will ultimately result in the failure of MBO.

5) **Orientation of Executives:** As the managers are responsible for efficient implementation of MBO, they must be accurately oriented towards it. Moreover, proper trainings should be provided to the managers for proper implementation and execution of MBO.

6) **Integration of MBO Programme:** A MBO programme must be integrated with other organisational programmes such as product planning and development, production control, human resource planning, human resource development, financial planning, etc.

2.3.5. Advantages of MBO

Advantages of MBO are as follows:

1) **Motivates and Encourages Employees:** MBO helps in motivating and encouraging the employees for achieving their individual goals. With the implementation of MBO, employees know what is expected from them and also get clarity on the overall objectives of the organisation.

2) **Managers are more Likely to Compete with themselves than with Other Managers:** MBO helps in reducing the internal conflicts and minor disputes that arise between the managers of the same company for limited resources. Furthermore, it helps in increasing the morale of the managers as they compete with themselves for better performances.

3) **Yields a "Means Ends" Chain:** The objectives of lower-level employees are connected with the objectives of immediate higher level. This results in a "Means Ends" Chain. MBO integrates this chain and helps in moving towards accomplishment of the overall objectives of the organisation.

4) **Gives Criteria for Objective Appraisal:** A rational criteria of objective appraisal is provided by the targets resulting from the MBO process. This criterion is useful in evaluation of managers' performance by appraising them on completion of certain objectives.

5) **Facilitates Planning:** MBO facilitates the planning structure of the organisation by assisting the top management in establishing objectives and strategies. It also helps the managers in fixing targets and building strategic plan.

6) **Prior Identification of Problems:** MBO has a frequent review mechanism through which it identifies and resolves the problems before their occurrence.

7) **Identifies Performance Deficiencies:** The frequent reviews in MBO allow the managers to identify various deficiencies in performances and plan remedial actions accordingly.

8) **Facilitates Leadership Development:** The MBO process helps the managers to develop their leadership potentials. It also improves their mentoring skills, and associated aspects of listening, counselling, motivating and evaluating.

2.3.6. Disadvantages of MBO

Disadvantages of MBO are as follows:

1) **Pressure-Oriented:** In the long-run, MBO can be self-defeating as it fosters a reward-punishment methodology. It tends to violate the personality of the subordinate. At times it has also been found to wrongly punish superior performers.

2) **Time Consuming:** It demands a lot of time from managers and subordinates in setting up joint objectives which have to be then aligned to the overall objectives of the organisation. The management also has to hold many meetings to train subordinates in the philosophy of MBO and also to gain the confidence of the employees. The periodic review mechanism of MBO also takes up lot of time of the management.

3) **Increased Paperwork:** Alongwith the time consuming aspect, MBO also increases the paperwork that is required to be maintained. MBO programs require a lot of data to be maintained in the form of questionnaires, instruction booklets, performance data, training material and reports. The managers also need to spend a lot of time in designing formats and implementing them across the organisation.

4) **Goal-setting Problems:** The joint setting of goals is a very important and critical aspect of the MBO program. These goals have to be verifiable and quantifiable. Many a times this becomes more important than the importance of the goal itself. There is also a tendency to give greater importance to short-term goals than long-term goals in MBO. Goals also have a problem of being rigid.

5) **Organisational Problems:** MBO is not a panacea for all the problems that the organisation faces. It becomes a major failure when the concept is introduced without proper explanation and training. This failure often defeats the purpose of the exercise and increases resistance.

2.4. EXERCISE

2.4.1. Very Short Answer Type Questions

1) What are the types of goals?
2) Define planning.
3) Explain the meaning of goal.
4) What do you mean by MBO?

2.4.2. Short Answer Type Questions

1) Discuss the nature of planning.
2) Why planning is needed?
3) Write a note on 'planning in dynamic environment'.
4) Explain planning and performance.
5) Describe the steps involved in setting objectives.
6) Discuss the approaches to setting goals.
7) What do you understand by developing plan?
8) Describe the importance of goal setting.
9) Highlight the features of MBO.

2.4.3. Long Answer Type Questions

1) What is the process of planning? Also explain different types of planning.
2) Discuss the types of plan and also highlight the approaches to planning.
3) Explain the importance and limitations of planning.
4) What are the reasons behind the failure of planning? Also suggests some measures to make planning effective.
5) Highlight the process of MBO. Explain the guidelines for effective MBO.
6) Describe the advantages and disadvantages of MBO.

UNIT 3

Organising

3.1. ORGANISING

3.1.1. Meaning and Definition of Organisation

For understanding the notion of organisation, it is important to interpret the meaning of "organising". Organising means the process of forming a framework or a structure which helps the employees to work effectively for achieving the objectives, vision or goals laid down by an organisation.

Organising comprises of assigning various jobs to the relevant units, departments and sections of the business, so as to attain the organisational objectives. It also requires proper coordination between these business units, departments and sections, in order to obtain an integrated process.

The process of organising is relatively simpler in small-scale organisations. It consists of deciding the necessary tasks to be performed and accordingly assigning the same to various employees.

On the other hand, the process of organising is complicated in large business organisations. Here, the organising procedure involves division of work, assigning the jobs to respective business units, departments and sections and delegating the authority to different positions in different departments.

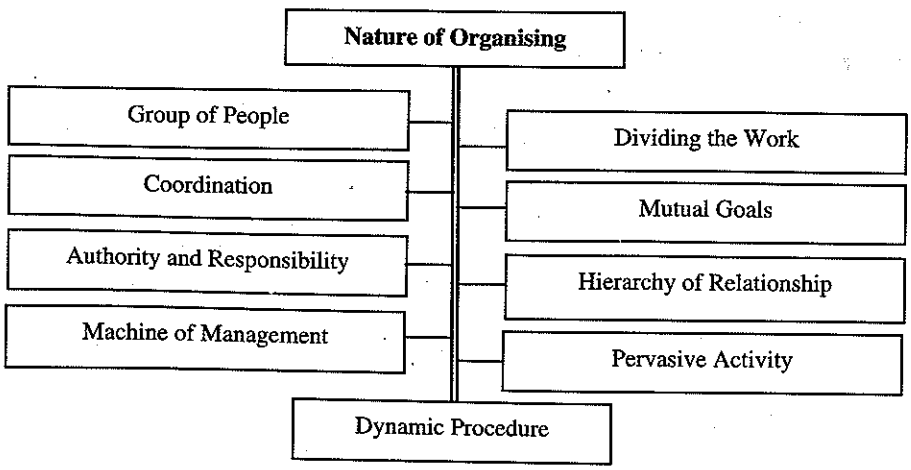
In fact, the process does not end at these activities, but it also includes setting-up efficient information and communication systems for ensuring coordination among all departments and activities to achieve the pre-determined objectives of the organisation.

According to Ralph C. Davis, "Organisation is a group of people who cooperate under the direction of leaderships, for the accomplishment of a common end".

According to Gary Johns, "Organisations are social inventions for accomplishing goals through group efforts".

3.1.2. Nature of Organising

The nature of organising can be highlighted through following heads



1) **Group of People:** When many people come together and strive to achieve the common goals, it is called as an organisation. Thus, an organisation consists of a group of people and cannot be formed by the presence of a single person only.
2) **Dividing the Work:** Dividing the work into smaller tasks is one of the fundamental activities in any organisation. The prime job of any organisation is to allocate the responsibilities among various departments and divisions. The jobs are then sub-divided into smaller tasks to make the work-flow easier.
3) **Coordination:** Organising involves allocation of different works to different employees who are working with the common objective to attain the organisational goals. Each activity is correlated and dependent on each other, even if conducted separately. This ensures coordination among all activities of different departments.
4) **Mutual Goals:** There are various departments which consist of number of people. All these employees perform different jobs, but are directed towards the same organisational goal. Therefore, it can be said that an organisation's employees share the common mutual goals.
5) **Authority and Responsibility:** In every organisation, a hierarchy is established from top to bottom, connecting every position. Every position is associated with a well-defined authority and responsibility. It implies that every person working in an organisation is assigned some amount of authority for fulfiling the responsibilities efficiently. It also denotes that the same person is considered responsible for the inadequate performance.
6) **Hierarchy of Relationship:** Every organisation follows a certain hierarchy, where a clear definition about the relationship between the superiors and subordinates is outlined. Apart from the employees at top-most and lower-most levels, each individual working in an organisation is a subordinate and a superior at the same time. An important concept here is that the top level has no superior and lowest level has no subordinates.
7) **Machine of Management:** Organisation is referred as a 'machine' of management. In this machine, each and every component should be functional and well-suited as per the requirements of the organisation. It is said that if the division of work is not performed properly or the positions are created incorrectly, then there can be a possibility of breakdown of the entire management system.
8) **Pervasive Activity:** The process of organising is required in both the business and non-business organisations. Even if the organisation has two employees, organising is needed to ensure proper execution of works. Hence, it can be said that organising is a pervasive activity.
9) **Dynamic Procedure:** Organisation is a social unit dependent on people and their knowledge. Knowledge and experience are the factors which change frequently. These changes affect the functions of an organisation. Hence, an organisation cannot be rigid, as it needs to be flexible to adjust itself with the changing environment. **For example**, a department can be created to handle the urgent requirements of an organisation which can also be removed when there is no urgency.

3.1.3. Process of Organisation

The process of organisation consists of following steps:

1) **Determining the Objectives:** The first and foremost step in the process is to identify the reasons or purposes for the establishment of the organisation. It also decides the nature of work undertaken by the organisation.
2) **Division of Work:** After determining the objectives, the next step is to divide the jobs into smaller tasks. These jobs are assigned to different departments according to the functions. In a typical organisation, the work is divided into few major departments such as production, finance, sales, marketing, purchasing, human resources, etc.
3) **Grouping of Activities:** The subdivided similar tasks are grouped and assigned to a certain department. Now, these departmental tasks are again subdivided into smaller activities. Various principles are considered for dividing and sub-dividing the tasks into groups. Primary grouping is performed on the basis of activities, such as sales, production, finance, etc. After that, the factors which form the basis for secondary grouping are geographical areas, types of consumers, processes undertaken, etc.

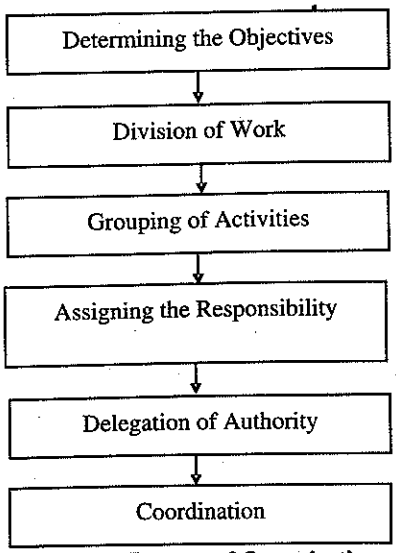


Figure 3.1: Process of Organisation

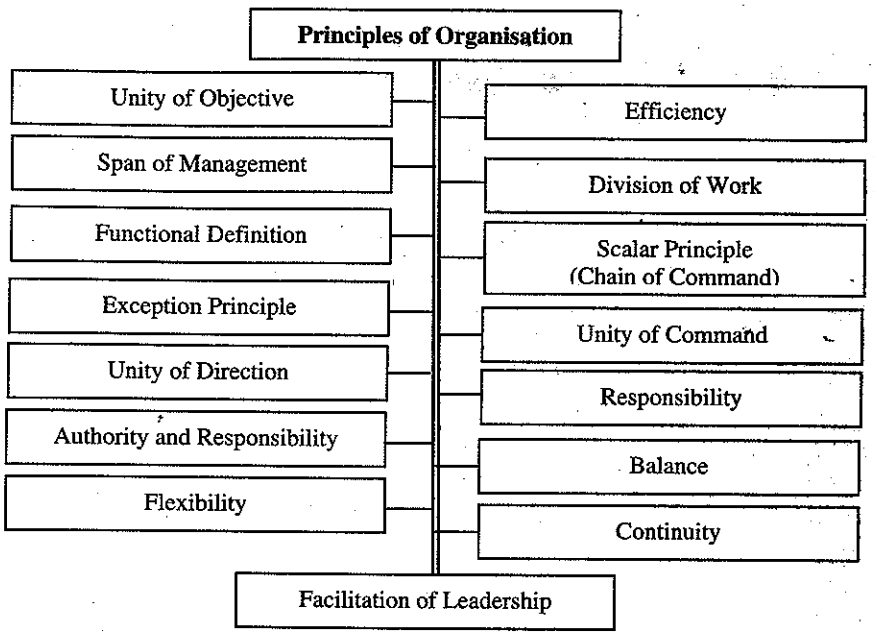
4) **Assigning the Responsibility:** At this stage, the sub-divided smaller jobs are assigned to different employees in the department so that the tasks can be completed efficiently.

5) **Delegation of Authority:** In this stage, authority is delegated to the responsible employees. Authority without responsibility can be risky or harmful. Similarly, responsibility without giving the necessary authority can prove to be of no use. Thus, when responsibility is given, correspondingly authority also needs to be given to enhance the work performance.

6) **Coordination:** The final stage is achieving coordination among various departments. It is an essential function which integrates the entire organisation into a single entity. It is required to ensure the coordination among various departments so that individual and overall performance can be assessed and the common organisational goals can be achieved.

3.1.4. Principles of Organisation

An organisation can perform in a better way if the following principles are followed:



1) **Unity of Objective:** Every section of the organisation and the organisation as a whole shall focus and strive to attain the core objective laid down for the organisation.

2) **Efficiency:** The definition of efficiency differs according to different perspectives. There are basically three perspectives which define the term 'efficiency'. From the business point of view, a company is considered as efficient when it is able to achieve the objectives in minimum possible cost.

   From the perspective of an individual, an organisation is considered as efficient when it is able to provide job satisfaction to the employee. From the social perspective, an organisation is considered efficient when it contributes significantly to the social welfare.

3) **Span of Management:** Direct supervision by the manager is possible only for a limited number of executives. Therefore, optimum number of executives are required who would be answerable to the top management. Usually, six executives should be there for an efficient span of management.

4) **Division of Work:** A successful organisation consists of various departments which assist in breaking-down several jobs into smaller tasks for efficient functioning of organisation. A sound organisation always focuses on a proper departmentation process.

5) **Functional Definition:** The responsibilities entrusted and the authority provided should be clearly defined to avoid confusion and overlapping. Hence, functional definition delineates work responsibilities and authority related to a position in the organisation.

6) **Scalar Principle (Chain of Command):** An organisation should have a proper chain of authority that would run from the top level to the bottom level of management. Each employee working under an organisation structure should know his superior and subordinates. An employee should also know the responsible authority to which he should refer for the matters outside his purview.

7) **Exception Principle:** A proper and efficient arrangement of positions in an organisation gives scope for easy dealing of routine activities by the subordinates without any indulgence of higher authorities. Only complex matters are discussed and dealt by the senior executives. This process is referred to as "exception principle".

8) **Unity of Command:** Each employee in an organisation should receive orders from only one superior. This is very important, in order to prevent confusion and conflicts regarding assigned tasks. It also helps in assigning responsibilities to the positions.

9) **Unity of Direction:** Every department or division of an organisation should follow the same plan of action. This helps in reducing the conflicts and confusions among employees. It also improves coordination among various departments. If the departments start formulating their individual plans or programmes, then there would always be a possibility of confusion.

10) **Responsibility:** Every organisation has superiors who assign the jobs to their subordinates and are responsible for the assigned jobs. Similarly, the subordinates are considered responsible for their own performance regarding the assigned job.

11) **Authority and Responsibility:** Every responsibility should be associated with an authority. Therefore, the subordinates should possess necessary authority to discharge their duties in a rightful manner.

12) **Balance:** In a good organisation, a balance between centralisation and decentralisation should be achieved. Some of the routine decisions can be left to the subordinates, while some major decisions should be taken by the top-level only.

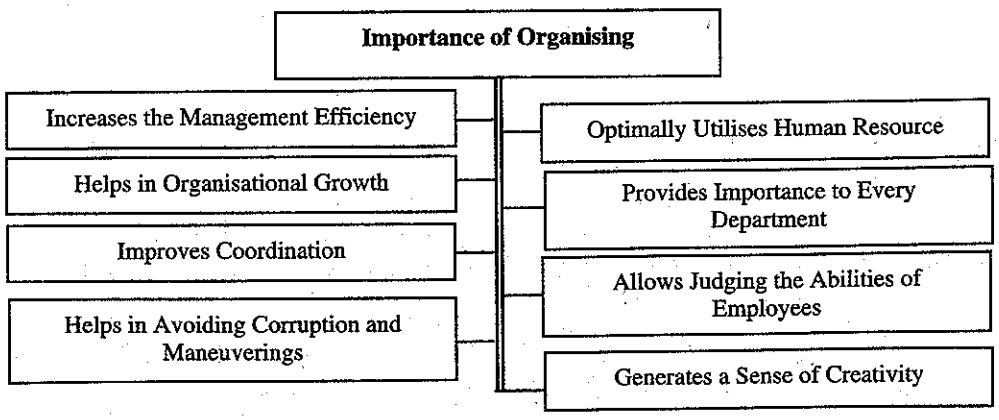
13) **Flexibility:** Various business activities conducted in an organisation, including technical activities should be designed in a manner which can be flexible enough to adapt itself with the constant changing environmental factors. Thus, it should avoid complicated processes, complex controlling mechanisms, and red-tapism in order to maintain flexibility.

14) **Continuity:** The organisational structure should be formulated in a manner so that it helps in its continuity and survival. Efficient provision of training and development activities should be conducted to ensure continuity.

15) **Facilitation of Leadership:** The management should be provided right opportunities to lead the organisation in an effective manner. Thus, the organisational structure should be designed according to the above requirements.

3.1.5. Importance of Organising

Organising is important due to following reasons:



1) **Increases the Management Efficiency:** Organising improves the efficiency of an organisation's management by optimally utilising the available resources. A good organisation enhances the productive capacity of material resources with the help of human resource efficiency. This can be achieved by an organisation by refraining from delay, duplication and confusion of work.

2) **Optimally Utilises Human Resource:** For an organisation to be effective there should be right people at the right job. Effective organising facilitates coordination among the employees and optimum utilisation of human resource. This in turn, increases the overall productivity of the organisation.

3) **Helps in Organisational Growth:** When organising is done efficiently, it provides a great support for expansion, growth, and diversification of the organisation. Most of the large enterprises are the examples of efficient organising.

4) **Provides Importance to Every Department:** Organisation divides the major organisational goals into activities and assigns them to different departments. Each department plays its different role towards the achievement of organisational objectives. Importance is given according to the role played by each department, irrespective of the level of activity or contribution made by it.

5) **Improves Coordination:** Effective organising enables coordination among different departments. This in turn creates a sense of cooperation among different functional areas instead of competition.

6) **Allows Judging the Abilities of Employees:** If employees are placed in different departments, it will allow the organisation to test their abilities according to which their training can be conducted. This will aid in judging the talent of employees and then placing them in the suitable departments.

7) **Helps in Avoiding Corruption and Maneuverings:** A good organisation helps in developing principles of honesty, good morale, devotion and sense of belongingness with the organisation. This helps in avoiding corruption and manoeuvrings.

8) **Generates a Sense of Creativity:** Organisation offering good working condition promotes a sense of independence and creative thinking within the employees. This results in the evolution of new and improved techniques or methods of conducting business activities.

3.2. ORGANISATIONAL STRUCTURE

3.2.1. Introduction

The term 'organisational structure' reflects the collaborative efforts by the personnel of the firm for attaining the set objectives. Its main aim is to clearly define the roles and responsibilities of every employee. The definite structure of the firm makes it quite simple to find the role expected by each worker and whom to approach when things do not move as per the plan.

Organisational structure is an arrangement or pattern of jobs within the firm, which reflects the work arrangement. It shows the direction of flow of orders in a firm. It also shows the functioning and working environment of the firm. A structure which is extremely centralised indicates top down authority. It may be run by a central head who is accountable for most of the decision-making.

According to Robbins, "An organisational structure defines how job tasks are formally divided, grouped, and coordinated."

Organisational structure can be defined as, "The typically hierarchical arrangement of lines of authority, communications, rights and duties of an organisation". It can also be defined as "a formal system of job relationship that coordinates employees to achieve a company's goals."

Though the term 'structure' might appear abstract and intangible, yet, it is actually present in the firm and affects the managerial operations of the firm. The relationship between different levels and the working of the firm is ascertained through the structures.

Hence, in simple terms, an organisational structure is the relationship between employees and various departments of the firm. It helps in finding out how the positions, authority and liabilities are allotted, managed and harmonised; and how the command flows from one level to the other in an organisation.

3.2.2. Importance of Organisational Structure

The importance of organisational structure is as follows:

1) **Specialisation:** Organisational structure efficiently organises and divides work into different specialised segments. Jobs which are similar in nature are clustered together into separate divisions or departments. Thus, an organisation with a proper organisational structure can manage its tasks in an organised way through specialisation.

2) **Optimum Use of Human Resources:** An organisational structure clearly defines and differentiates all the jobs alongwith their roles. This enables the organisation to select the right person who can be employed at the right job. This also helps the employees to achieve job satisfaction and their talents can be utilised for the growth of organisation. Organisational structure also eliminates duplication of tasks and overlapping of responsibilities among different departments and employees, as every individual has a specific job to perform.

3) **Coordination:** The efforts of different employees and workgroups are integrated and synchronised through organisational structure. It maintains coordination and cooperation among all the levels of management. Managers at higher level of hierarchy maintain coordination with subordinates by implementing control over interrelated activities. The chain of command of the organisational structure acts as the communication channel which clearly specifies the roles and responsibilities of every manager and subordinate. This minimises work confusions and facilitates cooperation among employees.

4) **Support and Security:** Managers as well as workers achieve a sense of satisfaction, support, and security from an effective organisational structure. It provides them with a specific position and care.

5) **Growth and Expansion:** The framework which promotes the growth and expansion of an enterprise is provided by organisational structure. It helps the organisation to gradually increase its strength by holding control over various important processes and functions. Hence, an effective organisational structure increases the controlling power of the organisation to simultaneously monitor different processes and operations without disruption. This certainly results in organisational growth and development.

6) **Adaptation:** An efficient organisational structure is flexible in nature. It adjusts according to the changes in the external business environment which alter the workload. Such changes can be technological, operational, or market-oriented. New technology can be adopted which would introduce innovative techniques of doing the same work. Thus, an efficient organisational structure is flexible enough to adapt changes and innovations.

7) **Employee Development:** An effective organisational structure stimulates creativity among employees, which facilitates their development. Through proper delegation of authority, lower level talents can be identified and developed. It also aids in identification of the merit which becomes the basis for promotion and reward distribution among employees.

8) **Facilitates Management:** Management's attention towards achieving the goals of the enterprise is drawn by its organisational structure. It also provides a proper direction to all the efforts and work activities of the employees. With a proper organisational structure, company can efficiently predict and forecast different work activities of various departments to avoid upcoming business threats. Effective management starts with an efficient organisational structure. It helps the top management in delegating authority and responsibility to various lower level employees for maintaining coordination in daily operations. The condition of daily management can become worse if the organisational structure is not well-defined. Hence, organisational structure is crucial for management and can result in business failure, if not implemented accurately.

9) **Centralisation and Decentralisation:** In an organisation, the extent to which decision-making is focused on one particular point is called centralisation. On the other hand, decentralisation is the process of scattering the authority to several decision-makers. Both of them have shown important roles in the history of various societies and hence can be implemented by using efficient organisational structure.

10) **Standardisation:** Organisational structure facilitates the standardisation of business processes and operations. Through standardisation, jobs gain a proper direction which defines their standard procedure. With this, the employees get a clear picture of what needs to be done without getting confused. Workers do negligible or minimum mistakes when jobs are highly standardised. It results in highly reliable performances with minimum time consumption.

3.2.3. Mechanistic and Organic Structure

An organisational framework dependent on an official and centrally controlled authority is known as mechanistic structure. Also called as bureaucratic structure, it is ideally appropriate for firms functional in definite or fixed and sound circumstances. If a firm functions in well balanced conditions, a mechanistic framework in most cases hardly ever requires any alterations. Also, such type of framework can be maintained with minimum efforts.

An evidently described organisational hierarchy is demonstrated in firms following the mechanistic structure where almost all important decisions are made by the senior most executives of the firm. There is no need of decision-making processes that are complicated and engage many parties due to comparatively well-grounded conditions. Management will be in charge of giving instructions to all subordinates and they are expected to follow these instructions without doubting their motives. Similar to decisions that follow the general rule of organisational hierarchy *i.e.,* from top management to lower level, communication also flows through the same hierarchical path *i.e.,* from top to lower level.

On the basis of mechanistic structure, the fundamental attributes of a firm includes the following:

1) **Well-Defined Hierarchy of Authority:** A higher level authority is responsible for regulating and managing every lower level executive. Each assistant is answerable for his own decisions, as well as activities conducted by his assistants to his senior authority.
2) **Division of Labour by Functional Specialisation:** It is likely to make the highest possible use of division of labour with the help of professionals entirely obligated for successfully meeting their responsibilities in every link of the firm. These professionals offer expertise in every function of the organisation.
3) **A System of Procedures for Dealing with Work Situations:** Such processes should be evenly relevant under identical conditions at work in addition to being effective over a long period of time.
4) **A System of Rules Covering the Duties and Rights of all Employees:** The rules and regulations including the rights and responsibilities of all employees should be distinctly defined. The duties of every employee associated with the organisation should be definitely explained and allocated and most importantly complied with in a rigid manner.
5) **Impersonal Relations among People:** Instead of exercising various prejudiced practices, like personal preferences, nepotism, etc., the reward system of an organisation is contingent on efficiency levels and performance of employees. The involvement of biases, sentiments and individual considerations are ruled out in case of firms whose operations are based on coherent and impartial principles. Maximum productivity levels can probably be achieved by practicing the impartial approach.
6) **Selection and Promotion of Personnel Based Upon Technical Competence and Excellence:** A perfect match of employee competencies and job requirement forms the rationale on which an employee is chosen and recruited. Employee promotion schemes are in accordance with calibre or rank/ superiority or both in some cases. Employees are provided full security in case of erratic demotion or sacking due to the rules and procedures regulating the firm.

Contrary to mechanistic structures, organic structures are flexible enough to survive in dynamic situations. Also known as 'adhocracies', organic structures can be highly successful in case the circumstances are frequently changing and demanding regular modifications in the firm with a view to accommodate the new modified environment. Organic structures can be applied in case the employees looking for a cooperative environment, creativity support, new opportunities to learn novel techniques, autonomy, innovation, change and open work environment.

Creative organisations can select organic structure as it fosters horizontal type of interactions and communication. It can be described as an informal, decentralised network which gives chance to employees functional at all levels to get involved in the decision-making process of business related matters. Sharing of duties and responsibilities, work and group activities are always encouraged in organisations with organic framework. There is a free flow of communication between owners, managers and employees of the business hence, employees working across the organisational hierarchy are regularly in touch with each other. In comparison to mechanistic structure, low-level employees in this structure have more interaction with high-level officials of the organisation. Organic frameworks usually employ oral form of communication.

Following are the attributes of businesses with organic frameworks:

1) **More Decentralised Decision-Making:** This structure facilitates decentralised decision-making and removes the assumption that employees from lower levels of the hierarchy are less informed than employees from higher levels. Here all the important decisions are taken at the place of operations.

2) **Flexible Departmental Boundaries:** Organisations following organic structure have flexible departmental boundaries. It is possible to maintain friendly horizontal ties through all divisions of the organisation that are evenly significant foe maintaining vertical relationships or chain of command.

3) **Tasks and Roles are less Rigidly Defined:** Organic organisational frameworks give hardly any significance to official job descriptions and specialisations. Competent employees are given the responsibility to resolve issues regardless of the rank or authority they hold.

4) **The Atmosphere is More Collegial:** Organic structure gives more freedom to employees of maintaining amiable and courteous relations with each other. Instead of giving orders, decisions and commands, communication flow from top executives consists of offering recommendations and information to the executives working at lower levels.

Difference between Mechanistic and Organic Organisation

	Mechanistic Organisation	Organic Organisation
1)	The principle of hierarchy of command is followed under mechanistic organisation.	The principle of hierarchy of command is not followed under organic organisation.
2)	Centralised decision-making consisting of top executives is followed under mechanistic organisation framework. Thus, it is a pyramid shaped structure.	Decentralised decision-making including lower level executives is followed under organic organisation framework. Thus, it is a flat shaped structure.
3)	Division of labour is intense and tasks are segregated into jobs designed based on specialisation.	Work is segregated into common jobs and these jobs are not designed based on specialisation.
4)	The entire focus of mechanistic organisation framework is on limited span of control	The entire focus of organic organisation framework is on broad span of control
5)	Under this structure, individual objectives are regarded distinct from organisational objectives.	Under this structure, there is a coexistence of individual employee and organisational objectives.

3.2.4. Factors Affecting Structural Choice

It is impossible to find a perfect structure capable of satisfying requirements of firms as every firm has distinct features and needs. For that reason, the best organisational structure would be the one that is efficient in fulfilling the organisational goals and the one which matches the current business situations. Various elements such as size of the firm, technology used, environment wherein the firm operates, etc., together contribute towards a satisfactory organisation design. The basis of organisation structure would be established by the aforesaid three elements that help decide the strategy and policy of central management of the firm. Following points can help demonstrate:

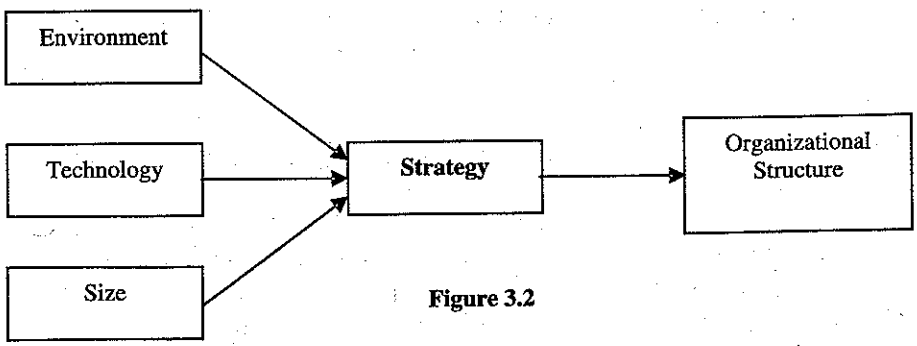


Figure 3.2

3.2.4.1. Strategy of the Organisation

Strategy works as a blueprint of an organisation that defines its vision, mission, and also helps in determining the future course of action. Strategy helps an organisation to minimise the strengths of competitors by maximising its own strengths. Strategy is formulated to achieve current goals of an enterprise by optimum allocation and utilisation of internal resources and by collaborating different organisational pursuits.

Growth strategy and stability strategy are the two fundamental strategies of the organisation. There are components of uncertainty and complexity in growth strategies, as they focus on business expansion. Organic structures can help in managing the complexity and help the firm in succeeding while selecting growth strategies.

3.2.4.2. Size

In order to determine the kind of organisational structure most useful for the firm, it is important to consider the size of the organisation *i.e.,* the total number of employees working in the organisation. With the increase of business size following factors will also increase namely,

1) The total number of functional divisions
2) Number of employees with varied duties and authorities
3) Level of specialisation, and
4) The number of managerial levels.

All these factors will lead to rise in the extent of cooperation needed between the employees working in the organisation and in which in turn leads to rise in issues in connection.

3.2.4.3. Technology

Organisational structure is largely dependent on the technology utilised in the organisation which is an integration of methods, mechanisms and knowledge. A mechanistic structure would be highly prudent if the technology employed is easy to comprehend and standard necessitating hardly any mundane jobs. On the other hand, organic structure would be more successful on operational basis, when the technology employed is complicated, progressive and comprehensive and where employees seek support from each other.

3.2.4.4. Environmental Uncertainty

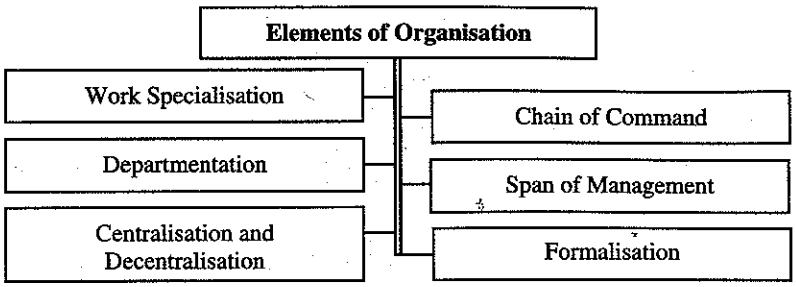
A number of firms encounter complicated and rapidly changing circumstances with a high level of uncertainty whereas other firms encounter hardly any uncertainty as the circumstances are uncomplicated and constant. An important task of managers is to make adjustments in the organisational structure in order to reduce external environment uncertainty. The adaptability feature of an organic structure is required by a firm in case of higher level of uncertainty, whereas mechanistic structures can be successful to a great extent in case of uncomplicated and stable environment.

An apt **example** explaining the above scenario can be of oil industry where oil companies are required to be adaptable due to uncertain nature of this industry. The previous CEO of Royal Dutch Shell PLC, Jeroen van der Veer, made changes in the corporate structure so as to deal with the industry's volatile nature. The procedures employed to enter into agreements with OPEC countries and other large oil producing firms were quite inefficient and too inquisitive. He removed such procedures to increase efficiency and flexibility.

The reason present day managers are changing their organisational structures to be more adaptable, quick and lean is the proof the environment-structure relations. Environmental forces are witnessing rapid changes, such as increased worldwide competition, global decline in economic activity, rise in customer requirements of rapid and better quality services and escalated product experimentation by market rivals. One can observe lot of firms adapting organic structure as mechanistic designs are unable to acknowledge environmental uncertainty and make quick modifications in the environment.

3.3. ELEMENTS OF ORGANISATIONAL STRUCTURE

The work relationship which exists between vertical and horizontal collaboration of different groups and individuals within an organisation has the capability of influencing the manner in which the different managerial tasks are accomplished and coordinated. Having expertise in a large variety of vital concepts such as authority, span of control, work specialisation, delegation, centralisation versus decentralisation and chain of command is very important to ensure the efficient organisation. Most of these principles were developed and propagated by **Henri Fayol**. During the determination of organisational structure, a manager has to consider six different elements which are described as below:



3.3.1. Principles of Work Specialisation

The basic principle that if the employees are permitted to develop the expertise, the efficiency of their performances will be quite high is seen as one of the most popular organisational concept. Work specialisation is alternatively known as division of labour, and it can be defined as the extent by which organisational activities can be fragmented into individual jobs. Depending upon the specialisations, different activities can be performed by the employees in any organisation.

In situations where specialisation is extensive, employees are involved in a single task only such as performing manufacturing operations on a certain machine in the assembly line. The performance of workers will become quite efficient as the job activities tend to be small. On the other hand, the performances of employees will be inefficient, if the entire automobile is assembled by a single employee or he is responsible for performing all unrelated activities in a bottling plant. Despite having a number of benefits, most of the organisations are not favouring the principle of specialisation. When employees are too specialised, they can perform only small narrow and boring activities and thus can face isolation. Similarly, all the expertise will be lost for the organisation if that employee resigns and leaves the organisation. In order to facilitate higher challenges, job enlargement activities are being promoted by many firms so that different jobs can be assigned to different employees.

3.3.2. Chain of Command

The unbroken line of authority by which all the employees of an organisation are connected with each other is known as chain of command. It depicts the reporting system followed in an organisation. Unity of command and scalar principle are the two main principle of this chain:

1) **Unity of Command:** According to this principle, every employee should have one and only one senior to whom he or she is accountable. Unit of command states that a single employee should not report to two or more officials. Otherwise the employee will face conflicting demands and priorities from different seniors at a single time which can create chaotic situations.

   In some special cases such as formulation of a project team, this chain of command can be breached by the organisation itself. In these cases, there will be two seniors, one the immediate superior and other the team leader to whom a certain employee will be reporting. This can be understood by another example when a sales person reports to a marketing specialist, who is dealing with introduction of new products from home office and regional sales manager.

   However, all the above examples are just implemented in some special cases. Such situations prevail only in some special events and with few employees. Most commonly, it is the responsibility of the management to ensure that every employee has to report to only one and one boss in case of allocation of group or individual activities.

2) **Scalar Principle:** The clearly defined line of authority which incorporates all the manpower of any firm is known as scalar principle. According to the classical school of management, an organisation should have a clear and uninterrupted chain of command which connects each and every employee with sequentially higher authorities including the top management. The organisations become taller when their sizes increase and thus there will be different levels of management. Also, a lot of overhead costs will be generated; direct impact will be observed on the understanding, and access between the members of top and bottom level of management, and additional layers of communication will be observed. Decision-making will evidently become very slow in such conditions.

3.3.3. Departmentalisation

"Departmentation" or **"departmentalisation"** refers to a process of grouping two or more jobs into various groups. It is one of the essential processes of an organisation. The prime objective of departmentalisation is to divide the overall activities of an organisation into various functions and sub-functions, creating a department on the basis of similarity or dissimilarity of functions, and thereafter assigning people and processes into various departments, as per their functionalities. The resources are so allocated in a department that they form an independent unit of work.

According to Louis Allen, "Departmentation is a means of dividing the large and monolithic functional organisation into smaller flexible administrative units".

According to Ivaneevich, "The process of combining jobs into groups is termed departmentation".

According to Koonts and O'Donnell, "A department is a distinct area, division or branch of an enterprise over which a manager has authority for the performance of specified activities".

Departmentation strives to provide a smooth flow of business operations in an efficient manner by categorising the activities and dividing the authority, responsibility, and accountability.

3.3.3.1. Factors Affecting Choice of Departmentation

Some of the factors that influence the departmentation are as follows:

1) **Decentralisation:** Departmentalisation acts as a means to achieve decentralisation. To ensure the success of decentralisation, it is necessary that the authority should make better organisational plans. Formulating strategies and controlling the organisation-wide activities, should be the responsibility of top-level management. Conversely, it is also necessary to delegate adequate authority to the departmental managers so that they can run their departments smoothly.

2) **Specialisation of Activities:** Specialisation provides numerous benefits to an organisation. Hence, the management should give proper attention to this issue while selecting a pattern for departmentation. An important aspect to be considered here is that departmentation should be performed in such a manner that it is in proportion to the operational authority provided to the departmental heads for proper functioning of their respective departments.

3) **Overall Development of Managers:** Departmentalisation influences the training and development of managers in various functions. Managers of different departments get training regarding their concerned functionalities only, which restricts them in getting overall development.

   Therefore, the implementation of product or territory departmentation pattern is important as every product department works independently as a small business unit, which provides an opportunity to the manager to get exposure in various aspects.

4) **Coordination among Groups:** While performing departmentation, it should be kept in mind that it facilitates coordination among various groups. It is very important for an organisation to enable coordination so as to attain the organisational goals in possibly the most efficient way. Coordination is said to be maximum when the pattern of interaction is in line with the needs and requirements of organisation.

5) **Controlling:** Departmentalisation should be performed in such a way that it allows the managers to assess the performance levels of subordinates. It should also facilitate managers with a power to hold an employee responsible for his performance. For implementation of a successful departmentation, it should facilitate comparison of performance with each other. Various related aspects such as measurement of results, identifying the non-conformity, and the corrective measures should be given due importance.

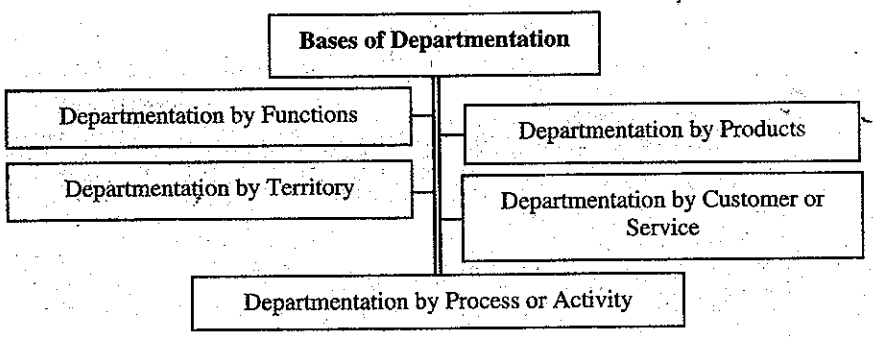
6) **Adequate Attention to Various Aspects:** While performing departmentation, proper attention towards every aspect of organisational processes is crucial. It is necessary to ensure the effective performance and non-repetition of activities. Adequate focus should be given to the key areas of business.

7) **Attention to Local Factors:** For departmentation to be successful, adequate attention should be given on various local factors such as availability of human resource, interpersonal relationships, types of customers to be served, and many more. Departmentalisation should be formed in such a way that it becomes capable of adapting the changes prevailing in the external environment.

8) **Consideration of Human Factors:** Human factors should be given due importance during departmentation, as these aspects affect the work culture and performance of employees in an organisation. Some of the important human factors are interpersonal relationships, values of employees, cultural pattern, leadership style, etc.

3.3.3.2. Bases of Departmentation

Departmentation is performed on the following bases:



1) **Departmentation by Functions:** Many organisations consider it as one of the most desired techniques of grouping the activities in an organisation. In this system, activities planned to be performed are grouped together as per their functions. For instance, the fundamental functions in a manufacturing organisation include production, finance, marketing, etc. In a wholesale business, the grouping can be done on the basis of buying, selling, finance, etc.

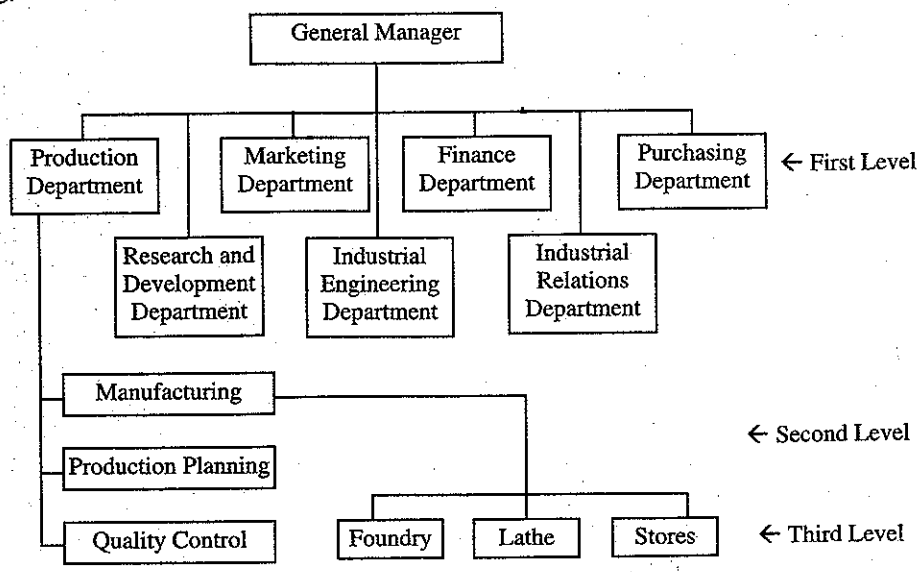


Figure 3.3: Departmentation by Functions

Merits of Departmentation by Functions

The merits of departmentation by functions include the following:

i) It is one of the most reasonable, verified for a long-time period and the most original type of departmentation.

ii) This pattern of departmentation is considered as the most logical, time-saving, and regular one.

iii) This departmentation utilises the human resources optimally, by assigning activities as per their functionalities.

iv) Departmentation by function allows the organisation to perform the necessary activities that are important to attain organisational goals. It also assigns a position to major functions.

v) It allows delegation of authority to subordinates in the hierarchy.

vi) It facilitates the managers to control the functions efficiently.

vii) It minimises repetition of work in the organisation.

viii) It makes the process of training and development easier, as the managers need to achieve expertise in one function only.

Demerits of Departmentation by Functions

Departmentation by function has following demerits:

i) Too much stress on specialisation is given. Since, an employee gets training in a single functionality; hence, it is difficult for the employee to have an overall expertise.

ii) Duties and responsibilities of every department are dependent on each other, which raises the chances of conflicts and confusion.

iii) Growth in functional departments may incur a huge cost.

iv) Since, the department heads do not get adequate exposure; the scope for their development is somewhat limited. One single functional head cannot be held accountable for establishing the outputs or results of an activity.

v) Establishment of coordination among various functional groups can be a tedious task, because of the presence of rigidity and complication in processes.

2) **Departmentation by Products:** In this pattern of departmentation, for each major product manufactured by the company, an independent unit consisting of all the departments is created. Such departments include production, human resource, marketing, sales, etc. Departmentation by products is shown in **figure 3.4**:

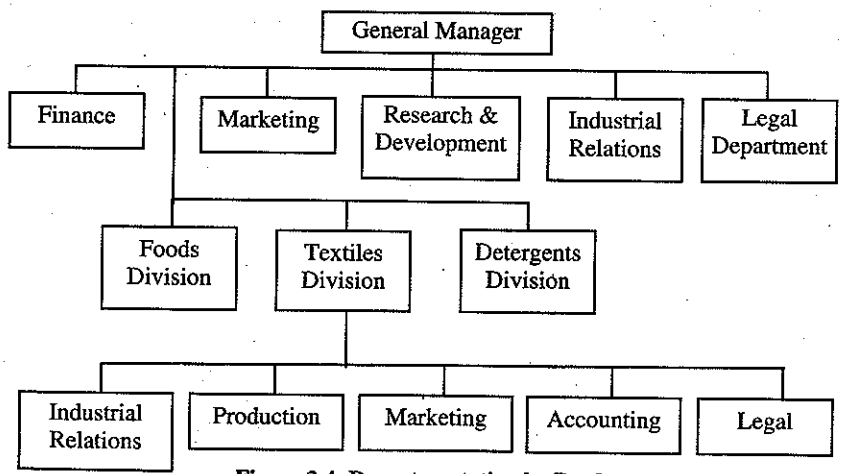


Figure 3.4: Departmentation by Products

Merits of Departmentation by Products

Departmentation by products has following merits:

i) Departmentation by products allows the organisation to specialise in various aspects such as production facilities, skills and knowledge of employees, and many other activities.

ii) Various managers of different product divisions are held responsible for the effective and systematic operations of their respective divisions.

iii) It allows complete development of managers as they operate small independent units of business.

iv) For the large enterprises involved in production and marketing, it becomes easier to handle the challenges of their large corporate structure through departmentation.
v) Departmentation facilitates the ability to coordinate the activities related to a particular product.
vi) It allows an organisation to adapt the changes in the external environment with greater flexibility and modifications.

Demerits of Departmentation by Products

Departmentation by products suffers from following demerits:

i) The employees of a particular division become excessively division-oriented, which proves to be harmful for the organisation as a whole.
ii) This pattern of departmentation requires high quality managerial resources, which is quite costly.
iii) Departmentation by products may fail if a product department is not sufficiently big to accommodate sub-departments. Moreover, it may increase the overhead costs.
iv) Product departmentation makes it complicated to monitor, coordinate, and control the operations of several divisions.

3) **Departmentation by Territory:** Departmentation by territory divides the organisation on the basis of geographic region. It classifies the organisational activities in different groups according to territory or region. It is suitable for those organisations where similar jobs are performed in different units. **For example**, an organisation where different plants are located at different cities, then departmentation by territory is suitable. The structure of departmentation by territory is depicted in **figure 3.5**:

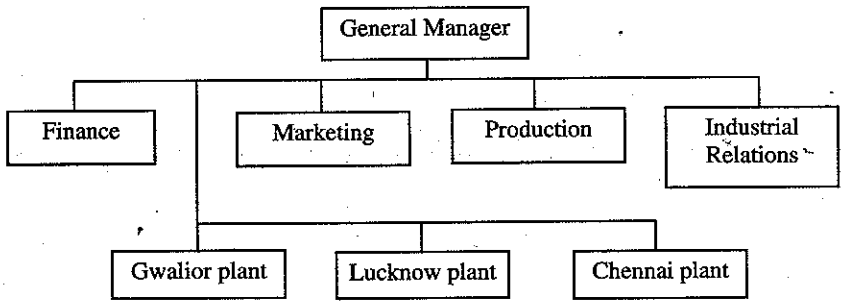


Figure 3.5: Departmentation by Territory

Merits of Departmentation by Territory

Departmentation by territory has following potential merits:

i) This pattern of departmentation helps in saving time, effort, and money. It provides economies by spending less in freight, rents, and labour costs.
ii) It allows the organisation to obtain in-depth knowledge about customers in the domestic markets.
iii) It provides the management to maintain an efficient and flexible span of control.

Demerits of Departmentation by Territory

Departmentation by territory has following potential demerits:

i) This pattern of departmentation requires large number of management personnel.
ii) It minimises the control of headquarters.
iii) It causes repetition of activities.

4) **Departmentation by Customer or Service:** In departmentation by customer or service, various departments on the basis of different customer groups are designed. This structure is suitable for those organisations which serve diverse customer groups. **For example**, Indian Railways has different policies for booking the tickets for first and second class customers. The structure representing departmentation by customer or service is shown in **figure 3.6**:

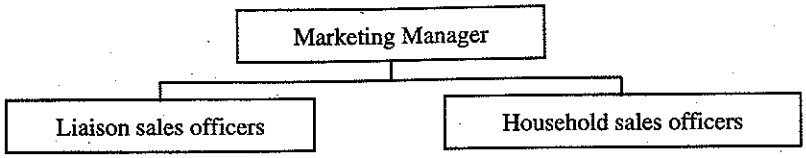


Figure 3.6: Departmentation by Customer or Service

Merits of Departmentation by Customer or Service

Merits of departmentation by customer or service are as follows:

i) It considers the needs and demands of all the categories of customers.

ii) It allows the employees to become highly specialised in certain areas.

iii) The organisation can get an in-depth knowledge and understanding about various customer segments.

Demerits of Departmentation by Customer or Service

The demerits of departmentation of customer or service are as follows:

i) Coordination among various departments becomes a tedious task.

ii) In certain departments, it may cause wastage of resources.

iii) It results in repetition of many activities.

iv) The human resource of the organisation may become wasted especially when the demand of particular customer segment decreases.

5) **Departmentation by Process or Activity:** Departmentation by process or activity is used in product-oriented industries. In the product-oriented firms, production of goods takes place in different stages, where each department is allocated for different stages of the process. Here, the output of one department becomes the input for another department. **For example**, in oil companies different departments are allocated for different stages such as exploration, drilling, refining, transporting, distributing, etc. The production departments of a steel mill are depicted in **figure 3.7**.

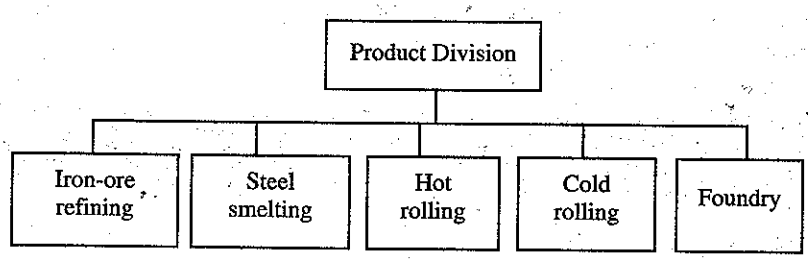


Figure 3.7: Departmentation by Process or Activity

Merits of Departmentation by Process or Activity

Departmentation by process or activity has following merits:

i) Departmentation by process provides better coordination among various departments by grouping the activities which are essential for the completion of each stage.

ii) It facilitates effective utilisation of specialised equipment and specialised skills.

iii) It places complete charge on the process department for accomplishing each phase of the production process.

iv) The heads of each process department are held accountable for the performances of their respective departments.

v) It is commonly used due to its simplicity.

Demerits of Departmentation by Process or Activity

Demerits of departmentation by process or activity are as follows:

i) Coordination among departments becomes more difficult. As it follows a sequential work pattern, failure in one process department can hamper the functioning of remaining process departments.

ii) Staff of each department tends to concentrate too much on their own departmental goals instead of organisational objectives, which may cause disputes among different departments.

iii) The process departments are not concerned with the profits and revenues. Hence, these departments cannot take the responsibility of profit-making.

iv) It results in repetition of general equipment and machinery. Moreover, it may also cause the under-utilisation or wastage of resources.

3.3.3.3. Significance of Departmentation

Following points describe the significance of departmentation:

1) **Efficiency in Work:** When an individual specialises in a particular area of the assigned work, he concentrates only on that aspect. This facilitates expertise in that area. This, in turn, results in more efficient work by the employees.
2) **Fixation of Responsibility:** Departmentalisation facilitates ease in fixation of the responsibilities for the performance by clearly dividing the activities into smaller tasks and delegating the authority.
3) **Development of Managerial Personnel:** There are two factors that help in the development of managers. First, managers get adequate on-the-job training, which makes them more efficient in their work. Second, since the managers are concerned with a single area of specialisation, hence, the need for future training can be easily identified. This helps in getting expertise in that particular area.
4) **Aids in Employee Appraisal:** Departmentalisation helps in deciding the activities to be performed as well as allows setting a standard for measuring the performances of employees.
5) **Sense of Independence:** Departmentalisation encourages the employees by providing a sense of independence in their departments. When departments are created, adequate authority and freedom are given to the managers so that they can take their own decisions. This motivates the staff and makes them more associated with the work.

3.3.4. Span of Control

The number of subordinates or juniors, placed under the direct supervision and control of a manager or senior executive, is known as the **span of management** or **span of control**. This principle states that a limited number of subordinates can be placed under the control of a manager, which varies according to the changing business situations. Usually, a manager's span is decided by analysing his managerial abilities such as ability to manage, nature of work, ability of subordinates, potential of the manager, past performances, etc.

According to Dimock, "Span of control is the number or range of direct. habitual communication contacts between the Chief Executive of an enterprise and his principal fellow officers".

According to McFarland, "A span of control is the number of subordinates that an executive supervises".

In simple terms, span of management represents the number of individuals to be managed by a manager. It is also responsible for determining the members of managerial levels of the organisation. If there are more individuals to be managed, then there will be less management levels and vice versa.

3.3.4.1. Need for Span of Control

The need for span of control is as follows:

1) **Better Supervision and Control:** Span of management provides limited number of subordinates to be managed by a superior, thereby ensuring better supervision and control.
2) **Increases Efficiency:** As a superior manages his subordinates with better supervision and control, it, thus, increases the productivity and overall efficiency of the firm.
3) **Increases Goodwill:** As span of management increases the overall efficiency of a company, it is evident that good quality of products and services will be produced. When such products will be distributed in the market at fair prices, they will produce high profits and increase the goodwill of the company.
4) **Good Professional Relations:** With proper span of management, good professional relationships are developed between managers and their subordinates as they get enough time to analyse each other's abilities and knowledge.
5) **Team Spirit and Morale:** Span of management builds good professional relations between managers and juniors, thereby improving team spirit and morale among them.
6) **Good Communication and Coordination:** A superior will have enough time to communicate with each of his subordinate, when an accurate span of control is implemented. With this, managers and subordinates will maintain good communications, thereby fostering improved coordination in the organisation.
7) **Facilitates Quick Action:** A proper span of control facilitates good communication, coordination and better professional relations between employees. This results in quick managerial actions and speedy decision-making processes.

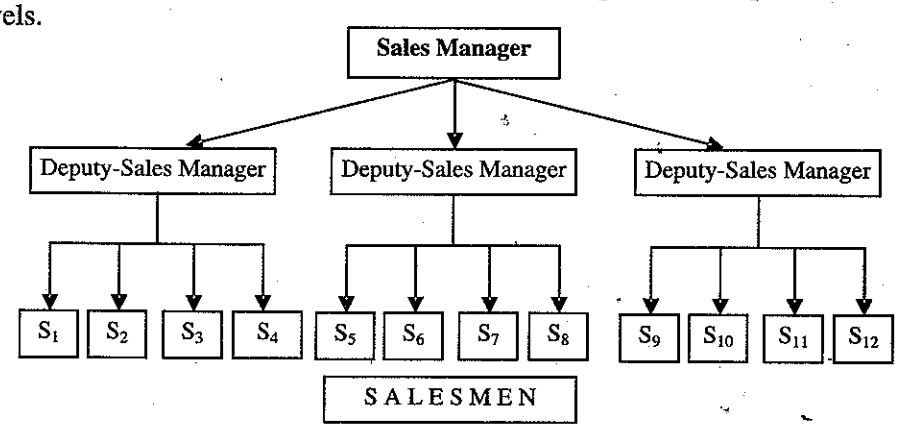
8) **Develops Discipline and Mutual Trust:** With a proper span of management, subordinates will feel more comfortable in discussing their thoughts and viewpoints with their seniors, thus, creating a relationship of mutual trust. This will also develop discipline and a formal coordination will be maintained.

9) **Superiors can Focus on Important Managerial Work:** With a proper span of management, superiors can focus on other important managerial actions. However, there should be a manageable number of subordinates under a span, so that a manager can efficiently manage it.

3.3.4.2. Types of Span of Control

There are two types of span of control:

1) **Narrow Span of Management:** Under narrow span of management, less number of subordinates report to a single manager. When a limited number of subordinates are managed under a single span, it leads to a tall organisation structure with many hierarchical levels. Narrow spans are implemented usually at higher management levels.



Advantages of Narrow Span of Control

A narrow span has following advantages:

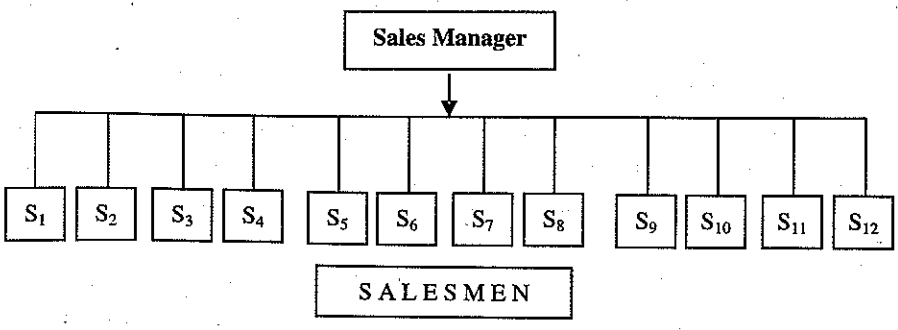
i) It provides increased possibilities of close observation and control.
ii) Subordinates with low competency levels can also be effectively managed.
iii) It becomes comparatively easier to monitor and control subordinates' performances.
iv) A narrow span usually fosters speedy communications between personnel.
v) It provides increased possibilities of promotions to subordinates, and hence, motivates them.

Disadvantages of Narrow Span of Control

A narrow span has following disadvantages:

i) Taller organisational structure with many hierarchical levels has high probabilities of delays, distortions and filtering of communication processes. This often creates confusions and misunderstandings.
ii) Most of the times, superiors get excessively involved in the work of their subordinates, which hinders their work efficiency.
iii) Due to large hierarchical levels, a narrow span of management has increased overheads and high operational costs.

2) **Wide Span of Control :** Under a wide span of management, comparatively large number of subordinates report to a single manager. These spans usually have flat organisational structures, with few hierarchical levels, as compared to tall structures under narrow span of management.



Advantages of Wide Span of Control

A wide span of control has following advantages:

i) Due to less hierarchical levels, these spans have low overheads.

ii) As superiors have to manage a large number of subordinates, they are enforced to delegate their attention with optimal interventions.

iii) Due to flat organisational structure, an undistorted communication is achieved.

Disadvantages of Wide Span of Control

A wide span of control has following disadvantages:

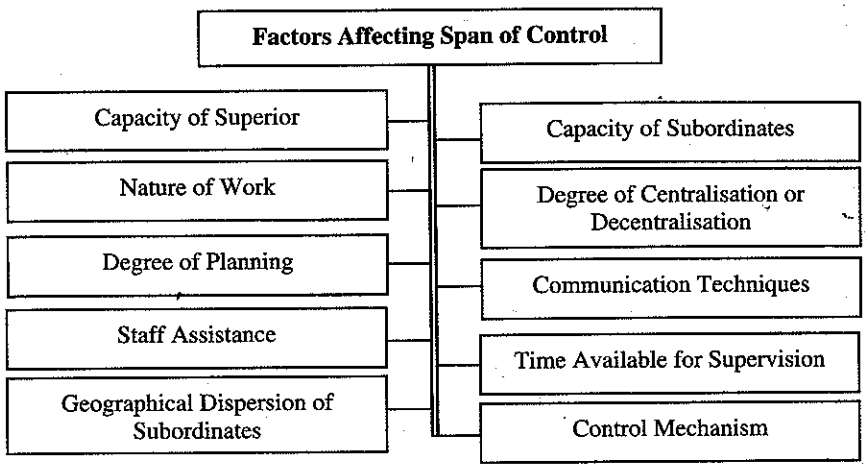
i) Subordinates with low competency levels cannot be effectively managed; rather, it requires managers and subordinates with high competency levels only.

ii) Manager's work efficiency is often decreased as they are allotted with large number of subordinates alongwith numerous managerial responsibilities.

iii) Close observation and control is not possible as it is difficult for a manager to effectively manage large number of subordinates.

3.3.4.3. Factors Affecting Span of Control

Factors affecting span of control are as follows:



1) **Capacity of Superior:** Span of control is greatly affected by the capacity of the superiors. Every superior has his own capacity to manage subordinates. Different managers have different qualities of leadership, decision-making, supervision, etc. Hence, a span of management largely depends upon the abilities of the manager.

2) **Capacity of Subordinates:** Span of control does not solely depend upon the capacity of the superior, but is also influenced by the capacity of subordinates. Inefficient and unskilled subordinates may not be able to perform their functions effectively, without the involvement of the superior. Such subordinates require proper directions and trainings, which require more time and guidance from a superior. On the other hand, competent and skilled subordinates only need the basic guidelines to perform managerial tasks. Thus, span of management is also affected by the capacity of subordinates.

3) **Nature of Work:** Span of control is also affected by the nature of work, as different managerial functions require different management approach. Every management approach and technique requires different degree of time and efforts from superiors and subordinates. As nature of work defines the role and responsibilities of the involved persons, hence, it affects the span of management up to a great extent.

4) **Degree of Centralisation or Decentralisation:** Span of control is also affected by the extent of centralisation or decentralisation, as it influences the involvement level of superiors in various decision-making processes. Hence, the level of span of management increases with the increase in the level of decentralisation.

5) **Degree of Planning:** Plans are generally responsible for formulating rules, methods, procedures, etc., for performing a particular task. These plans also affect the level of span of management and are directly linked with the level of planning. Hence, the level of span of management increases with the increase in the level of plans.

6) **Communication Techniques:** Span of control is also affected by the type of communication technique. The means, pattern and media of communication largely affect the time required and quality of communication between subordinates and the manager. Besides, a face-to-face communication technique requires comparatively more time to communicate. Therefore, a span of management should also be decided according to the adopted communication techniques.

7) **Staff Assistance:** When staff members assist managers in reducing their workload, managers can efficiently manage a large number of subordinates. However, such assistance varies from company to company. Hence, it can be said that a span of management is also influenced by the degree of staff assistance.

8) **Time Available for Supervision:** Alongwith supervision, a manager also has to perform numerous other managerial operations such as planning, organising, coordinating and controlling. Thus, the span of management is also affected by the manager's time and available for supervision.

9) **Geographical Dispersion of Subordinates:** Employees of an organisation will be naturally distributed at diverse locations when the organisation has different branches at different places. For an effective supervision, a narrow span of management is suitable in such cases. Thus, the span of management is also affected by the geographical dispersion of subordinates.

10) **Control Mechanism:** Every organisation makes use of a different control mechanism, which is best suitable for its organisational structure. This control mechanism is either monitored through reporting or by personal supervisions. Hence, a span of management is also influenced by type of control mechanism, implemented by the organisation.

3.3.5. Centralisation and Decentralisation

"**Centralisation**" and "**Decentralisation**" are two distinct approaches to management concerning the point of decision-making. In other words, centralisation and decentralisation indicate the authorities entitled to take necessary decisions in an organisation. While centralisation indicates that the decision-making authority is vested with the top-level management, decentralisation denotes delegation of authority to the lower levels of management.

However, these two approaches are not mutually exclusive and are generally adopted together in varying degrees. Generally, smaller organisations like proprietary concerns tend to be highly centralised with all decisions lying in the hands of the proprietor. But even then, there are certain routine decisions which need to be delegated to managers, down the line.

On the other hand, large corporates tend to have a decentralised system in place. In fact, large organisations have to decentralise out of sheer necessity as their size makes it impossible to centralise the decision-making authority. Converse to small organisations, there are certain limits in the decentralisation as certain key decisions like formulation of policies and strategies are always controlled centrally by the top management. Therefore, all organisations have to adopt both the approaches in varying degrees.

3.3.5.1. Centralisation

Centralisation can be defined as the concentration of all power and authority in the hands of few top-level managers. In effect, all the decisions are taken by these top-level managers and the employees at the lower levels are expected to merely implement those decisions. According to **Henri Fayol**, all the policies and procedures, which reduce the involvement of subordinates, come under the purview of centralisation.

In modern management practice, centralisation is not considered to be a progressive approach. When an organisation is in its early stages, it adopts centralised approach for decision-making. But, as the organisation grows, the organisation structure also grows.

It poses many challenges in front of the management regarding decision-making, which the existing centralised system cannot support. Therefore, it becomes important for the top-level management to delegate the authority of taking decisions, and thus, the concept of decentralisation emerges.

Advantages of Centralisation

Centralised decision-making system has following advantages:

1) **Common Vision:** Centralised structure allows the organisation to set a vision and objective that is shared by each employee at each level. This helps the employees in staying focused towards a single vision. The decisions passed down and communicated to the lower levels of hierarchy facilitate coordination and cooperation among employees.

2) **Quick Decision-Making:** With only a handful of people engaged in decision-making, it is always easier for them to take quick decisions. Therefore, centralised structure responds quickly to the frequently changing market scenarios.

   The top-level experts take the decisions after discussing the potential benefits and limitations regarding each available option. This makes it a more efficient approach. After making the decisions, the orders are passed down to the lower levels for execution.

3) **Minimised Conflicts:** Decision-making is often a potential source of conflict. Larger the number of people engaged in decision-making, the greater the chances of conflict. In centralised organisations, where such authority is in the hands of few top-level managers, chances of conflict are greatly minimised.

   It also improves the relation between employer and employee. On the contrary, decentralised organisations where a large number of persons are involved in decision-making, the scope for conflicts and differences of opinion is huge.

4) **Ease in Control of Operations:** Centralisation lends its control exercise more naturally over the lower levels. With power and authority in few hands, it is always easier for the top-level managers in command to keep a tight control over operations and organisational culture. Besides, it is always easy to fix accountability for them. In decentralised decision-making, decisions are not only delayed, but it also becomes difficult to fix accountability.

Disadvantages of Centralisation

Centralisation suffers from following disadvantages:

1) **Lack of Creativity:** Centralisation often causes limited scope for employees to take initiative. Since, there is a close control over the employees, the creativity and innovation of the employees gets diminished. New ideas and approaches do not emerge as the employees are reluctant to suggest their ideas to the top level management.

2) **Communication Gap:** Another disadvantage of centralisation is the lack of communication. In a centralised decision-making system, the employees may become reluctant to communicate with the head office, as they may become comfortable with their immediate superiors only. This creates a communication gap between the top and lower levels of management.

3) **Inflexibility:** Seeking approval from the top management while doing crucial tasks creates a degree of rigidity in the system. This results in delays in the organisational processes as well as involves high cost.

4) **Misinterpretation of Orders:** In centralised structure, top-level managers depend upon the line managers so as to communicate the orders to the lower levels of hierarchy. But, line managers may interpret the orders differently and may miscommunicate the directives. This may create a hurdle in smooth flow of operations.

3.3.5.2. Decentralisation

Decentralisation may be defined as the conscious and systematic diffusion of power to the lower levels of management hierarchy for taking necessary decisions. Unlike centralisation, in decentralisation, only major decisions like formulating the vision, setting goals in line with the vision, planning a strategy to achieve those goals, etc., are taken by the top-level management. The rest of the powers and authority are systematically delegated to lower levels so that the directions can be effectively implemented.

Centralisation and decentralisation are opposite to each other. Both the concepts simultaneously exist in an organisation and support each other. Large organisations typically implement both concepts at the same time in order to increase the efficiency in activities.

The decision-making authority is passed on to the lower levels in a systematic and organised manner. All the possible authorities except the broad organisational decisions are delegated to the lower level managers. An important point to be noticed is that the authority is not delegated to a single line manager, but to different departments and their respective managers. However, adequate control mechanisms are put in place to prevent misuse and abuse of the delegated authority.

According to Henry Fayol, "Everything that goes to increase the importance of the subordinate's role is decentralisation; everything that goes to reduce it is centralisation".

According to Louis A. Allen, "Decentralisation refers to the systematic effort to delegate to the lowest levels all authority except that which can only be exercised at central points".

Advantages of Decentralisation

The potential advantages of decentralisation are as follows:

1) **Reduced Workload of Top Management:** With routine operational tasks and responsibilities delegated to employees down the line, the top management can focus on more important issues like formulating policies and strategies, directing and controlling.

2) **Development of Personnel:** By providing authority and responsibility to the line managers, the top management is able to utilise the skills and abilities of its employees. Moreover, the freedom to run their own units or divisions not only makes them more responsible but also fosters their personal development and growth.

3) **Quick Decision-Making:** The authority is delegated to the lower levels of management, which reside close to the workers. Therefore, they can take the decisions in a better way. The reason behind this is the fact that lower-level managers are well-known about the problems and complications of the workers. Hence, the decisions are taken quickly and efficiently, as they need not to wait for the top management's approval.

4) **Ease in Performance Appraisal:** Since, the line managers and workers perform according to the pre-set objectives conveyed to them by the top management, hence, these objectives act as the targets to be achieved. This, in turn, makes the performance appraisal easier.

Disadvantages of Decentralisation

Decentralisation suffers from the following disadvantages:

1) **Dependence on Personnel:** Since the ability to take correct and quick decisions is totally based on the skills of executives, hence there would be a possibility of wrong decision-making. Therefore, for successful implementation of decentralised structure, the executives should be properly trained and skilled. Moreover, the managers should be experienced so that they can take decisions more effectively and without confusion.

2) **Not Appropriate for Small Organisations:** Decentralisation is suitable for the larger organisations only, where it becomes muddled for the management to handle all the issues centrally. But, this structure is certainly not appropriate for small organisations, as fewer managerial personnel and small organisational structure has no scope for the implementation of this concept.

3) **May Pose Challenges:** Implementation of decentralised structure in small organisations that have been centrally run over the years and have expanded internally may pose challenges in the organisational process as personnel are habituated with the old system only.

4) **Ineffective in Emergencies:** Decentralised organisations may be ineffective in dealing with emergencies, which require immediate decisive action which can come only from the top. In decentralised systems, decision-making process is too diffused to enable quick decisive actions.

5) **Requires Information:** Decentralised structure requires readily available information about the concerned department and related aspects. If the decision-maker does not have the required information in hands, then it may make the system weaker.

6) **Tedious to Monitor and Control:** Decentralisation requires the organisation to be divided into profit centres or investment centres adequately. In the absence of this factor, it may become tedious to monitor and control activities.

3.3.5.3. Centralisation *Versus* Decentralisation

The difference between centralisation and decentralisation is as follows:

Basis of Distinction	Centralisation	Decentralisation
1) **Meaning**	Concentration of decision-making authority in the hands of selected managers at the top.	A systematic diffusion of decision-making authority down the line of hierarchy through a process of delegation.
2) **Authority of Top Management**	Complete control and command is in the hands of the top management who take all the decisions and exercise all powers excluding the lower-level managers.	Top Management decides vision, strategy and policy leaving the implementation on managers down the line. Only major decisions are taken by top management. It provides direction and retains overall control.
3) **Authority of Middle and Lower Management**	Implement decisions taken at the top. No discretion or authority to deviate or innovate.	Within the broad guidelines provided by the top, middle & lower management have the freedom to take decisions involved in implementing the decisions. Generally, these managers have the freedom to innovate.
4) **Freedom of Action**	Little or no freedom of action. All actions are done as per the guidance from the top. The employees are closely monitored and controlled.	Freedom to act as per discretion and as required by the circumstances. Employees have the scope to innovate. Control and supervision is non-intrusive in nature, more in the form of facilitation to perform.
5) **Flexibility**	No flexibility to respond to new emergent situations, challenges or emergencies. Have to look up to the top management to respond to such situations. No innovation and creativity in trouble-shooting and problem-solving.	Flexibility in problem-solving, trouble-shooting and responding to operational challenges. Managers have the freedom to respond and act as per the situation on the ground.
6) **Significance**	Better controlling and monitoring as the performances are measured by the top management itself.	Quick decision-making, flexibility, and development of creativity and innovation are the prime advantages.

3.3.6. Formalisation

Formalisation comprises of elements that are similar to standardisation like formally noted regulations, processes, strategies, policies etc. Formalisation is usually a part of huge bureaucratic organisations that formulate and plan the rules on the basis of which the existence of central staff members is decided. Nuclear power stations, hospitals, etc., are some of the examples where formalisation is found.

While formalisation ensures that there is uniformity in activities and provides legal protection to the organisation, it does not allow innovation and experimentation and any kind of alterations. However, this predicament can make formalised organisations imprudent and eventually, obsolete.

The level of differentiation between organisational roles and the employees executing these roles helps in understanding the concept of formalisation. Several levels of supervision and inspection, starting from senior most directors or head of department, middle level executives to operational-level executive usually constitute a formalised structure.

In formal organisations, employees perform their delegated tasks and duties in cooperation with other personnel and staff members. As they communicate with one another during their tasks, they eventually develop interactive relationships among them.

These relationships become the basis of various social workgroups of interactive employees. This network of social workgroups is known as informal organisation. Therefore, informal organisation is a structure created through friendly or social relations between individuals. It automatically comes into existence within formal organisations without making any deliberate effort.

3.3.6.1. Advantages of Formalisation

1) **Easy to Fix Accountability:** In formal organisations, it is easy to detain unproductive individuals and fix accountabilities as authority and responsibility of every member is predetermined.
2) **No Overlapping of Works:** Everything happens in an organised way under formal organisations. There are fewer chances of activities being ignored or overlapped, without any reason.
3) **Unity of Command:** Under formal organisations, the principle of unity of command can be easily followed as authorities of each member are well-defined according to the management hierarchy.
4) **Easy to Attain Objectives:** It is easy to attain organisational objectives as the human and material resources are utilised in the best possible manner.
5) **Stability:** Each individual acts according to the prescribed rules and stays within their authoritative limits. This facilitates the formation of good relations thereby ensuring the organisational stability.

3.3.6.2. Disadvantages of Formalisation

1) **Job Dissatisfaction:** Working in a formal system may result in job dissatisfaction, as it is very inflexible. Non-creative and antisocial work conditions are significant factors that often demoralise individuals.
2) **Suppress Social Needs:** There is less scope of social connections and emotional needs within formal organisation. The rules and policies framed under such originations are formed only for the organisational gains. This ultimately suppresses the social needs of individuals. Members who have greater needs of social association get highly discouraged. In addition, the communication process also gets disturbed due to the absence of social affiliation.
3) **Suppresses Creativity:** Formal organisations have methodical and inflexible structures that assign fixed jobs and duties. This hampers the creativity of individuals. Those originations which need employees to show creativity and unique ideas get highly affected by formal systems. Precisely, formal organisation and its inflexibility do not give enough opportunity to be creative.
4) **Operational Delays:** An organisation and its arrangement often need to be ignored for speeding up the work. But, as formal organisations tend to perform every task under a well-defined arrangement, it can lead to operational delays. All managerial activities are performed according to hierarchy of authority and responsibility, i.e., scalar chain. Workers can easily interact and report to the senior most officials, when there are no rigid formal limitations. However, this rarely happens. Thus, formal system often slows down operational activities, particularly in contrast to informal systems.

3.4. COMMON ORGANISATIONAL DESIGN

3.4.1. Introduction

Organisational design can be defined as the design of the organisational structure. The term structure is used here in the broadest sense. Organisational structure can be regarded as emerging out of the order of functions and positions in the firm. Organisational structure and designing of organisational processes, especially decision-making, are the two constituents of organisational design. Although the organisations are not similar to each other due to variation in their individual fields and types, yet there are some fundamental aspects which have to be taken into account while formulating or changing organisation structure.

It can be regarded as the procedure that facilitates the managers to select the dimensions of organisation structure and culture. Organisational designing seeks to control the activities that are needed to accomplish organisational goals. Organisational design helps to know how and why different means are selected. The design and principles lying behind the operation of the organisation result in organisation's behaviour. It is a job which calls for maintaining a balance by the managers between the internal pressures coming out of chosen technology and the external pressure from the organisational environment. Attaining a fine balance between the two will help in ensuring sustainability in the organisation. Thus, organisational designs can be related with allotment and structuring of assets and employees to attain particular goals or objectives. Following are the two classes of organisational designs:

1) **Traditional design:** These designs further comprise of divisional structure, functional structure and simple structure.
2) **Contemporary design:** These designs further comprise of project structure, learning organisation, team structure, boundary less organisation and matrix structure.

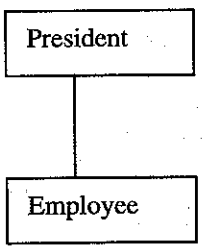
3.4.2. Traditional Organisational Design

Generally, a traditional organisational design in a business entity is hierarchical, where top level management has the authority and decisions and power flows from top to bottom towards the subordinates. Traditional organisations are inevitably rigid and fixed in nature. In a traditional organisation employees are differentiated on the bases of departments and a chain of command is followed by them. Here a head is appointed for each department and is responsible for monitoring the staff under his/her department. Divisional head is answerable to the manager. An apt example of systematic controlled form of behaviour and hierarchical can be of the military system. Each employee has specific job description and is answerable to his/her senior and each division is expected to follow a set of rules and regulations. Business plan determined for each annual economic year is followed by all the employees. Plans deciding the course of action to accomplish targets are per-determined and cannot be easily altered.

3.4.2.1. Simple Structure

The first basic form of organisational structure is the simple structure. It is mostly adopted during the initial entrepreneurial phase when the organisation is ready to portrait its objectives and personality. The main characteristics of a simple structure include centralised authority, limited rules, horizontal hierarchy and low work specialisation. Under this structure, the top management has a wide span of control and a low level of differentiation between the sub-activities. A centralised authority system is followed in such structures by a single person, who is often the organisation's owner. There is a direct control and supervision over the work with low authorisation. The structure has only 2 or 3 vertical levels having rigid workers who are unable to perform different types of activities.

This type of structure is most suitable for small firms where a less number of activities can be systematically coordinated by few decision-makers. They can effectually and rapidly coordinate activities. Since, the simple organisational structure is less complicated the receptiveness towards upcoming challenges is more and the coordination between the activities becomes simplified. Conversely, it is inappropriate for large organisations where the business environment is highly complex.



1) Owner-manager makes decisions.
2) Little specialization of tasks.
3) Few rules, little formalization
4) Advantages:
   i) Provides high flexibility.
   ii) Rapid product introduction.
   iii) Few coordination problems.

Figure 3.8: Simple Structure

Advantages of Simple Structure

1) Simple structure allows experimentation and promotes creativity.
2) It encourages proper management of all business operations.
3) It is formal in nature.
4) It promotes rational decision making.

Disadvantages of Simple Structure

1) As the size of organisation grows, it becomes more and more incompetent and limited.
2) The owner managing the business affairs finds it quite challenging and taxing.
3) Rather than emphasising on strategic aspects, the CEO of the company is involved in routine functions.
4) No encouragement for growth and development of managers.

3.4.2.2. Functional Structure

The kind of organisation in which line authority, staff authority and functional authority co-exist is known as "**functional organisation**". In this structure, a portion of the authorities of the line managers are given to the functional experts for some special activities. Here, they are directly accountable to the top management. The functional experts are the managers of certain departments where they have the authority to issue orders or command the subordinates. They are not immediately supervised by the line executives. **For example**, in a line

and staff organisation, the personnel manager is the staff specialist who is vested with the authority of staff advisor. But, his role changes in case of a functional organisation and his line authority gets simply confined to checking the adherence to personnel policies in all divisions of the firm.

Here the example cited is of functional authority given to the personnel manager. In case of line and staff, a personnel manager is similar to the line manager. But, in case of functional authority, the same authority is limited to a specific area of activities.

Similar to the personnel manager, there are some other financial authorities such as legal advisors, quality control managers, maintenance experts, etc. Functional organisational structure is given in **figure 3.9**.

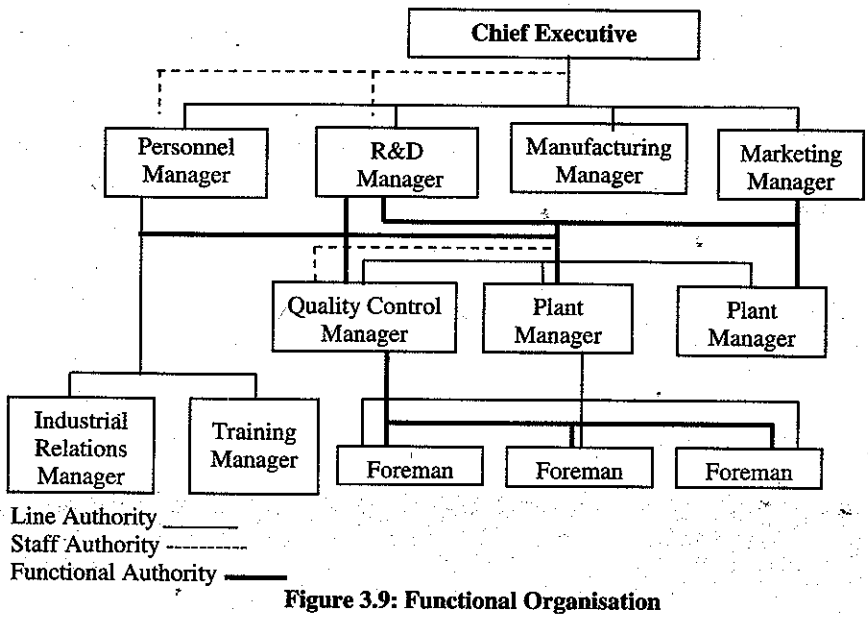


Figure 3.9: Functional Organisation

Advantages of Functional Structure

Following are the advantages of functional organisation:

1) **Expertise:** A functional organisation aids in expertise, as all the managers have specialisation in their own areas, which provides benefits to all the employees of the organisation. Every manager is vested with functional authority of his area of functionality over the employees.

2) **Effectiveness:** Due to the presence of both the advice and guidance given by the staff specialists, improved and rational decisions are taken. It is possible to apply specialised knowledge in every aspect of work. Better levels of competence are attained on the ground that each of the personnel is focusing solely on the single significant task. Increased productivity springs due to expertise and benchmarking. All the functions are consistently carried-out in the entire enterprise.

3) **Easy Process of Recruitment:** The process of recruitment, selection and training becomes easier, as in this structure experts are needed who are specialised in one area.

4) **Great Relaxation for the Officers:** The chief executives are not overloaded with a number of tasks as every official is needed to focus on single specific task. Sole proprietorship is avoided thereby decreasing the centralisation to a great extent. Regulation is carried-out in the firm on a joint basis. In order to keep the organisation in proper environment, various checks and trade-offs are conducted and analysed.

5) **Growth and Development:** There is no obstruction in the way of growth and development of the organisation as each employee gets the chance to progress in his own area of specialisation. It offers wider chances of development for the firm as there is no dependence on the abilities of only few managers.

Disadvantages of Functional Structure

The disadvantages of functional organisation are as follows:

1) **Confusing and Overlapping Authorities:** The presence of cross relationships among employees creates ambiguity and overlapping of authority. It gives rise to issues related to fixing the responsibility for attaining desired objectives.

2) **Problems in Maintaining Discipline:** Maintaining discipline in the organisation becomes difficult, due to the presence of more than one supervisor for every employee. A subordinate may get confusing orders, which may divide his attention and loyalty. This situation may lead to double subordination, which in turn decreases the morale of the personnel.
3) **Absence of Coordination:** It becomes quite difficult to ensure cooperation and coordination in the firm due to rivalry existing among various staff experts. All the specialists work independently and might adopt a narrow perspective of the firm. Therefore, departmental coordination becomes low and conflicts may arise.
4) **Costly:** It proves to be a costly affair as there is a lot of clerical work. Additionally, a huge amount of money is wasted on the salaries of staff experts.
5) **Delay in Decision-Making:** There might be a delay in decision-making as the managers need to consult many experts. Dullness and absence of ideas might emerge due to over expertise. This possibility is raised in case of presence of a number of specialists.
6) **Limited Training:** There are no chances for overall development or growth of the executives as they have to attain specialisation in a single task. It might lead to challenges in their promotions to higher positions.
7) **Unsteadiness:** Inconsistency in the firm may arise due to from alteration the role of the employees.

3.4.2.3. Divisional Structure

An organisation adopts a divisional structure when it tries to serve diverse customer segments, or plans to introduce a new product, or tries to enter in diverse markets. It is also known as "profit decentralisation" and is established around different divisions of the business. In this structure, the organisation is divided into independent business divisions, where division has the capability and assets to carry-out independent operations.

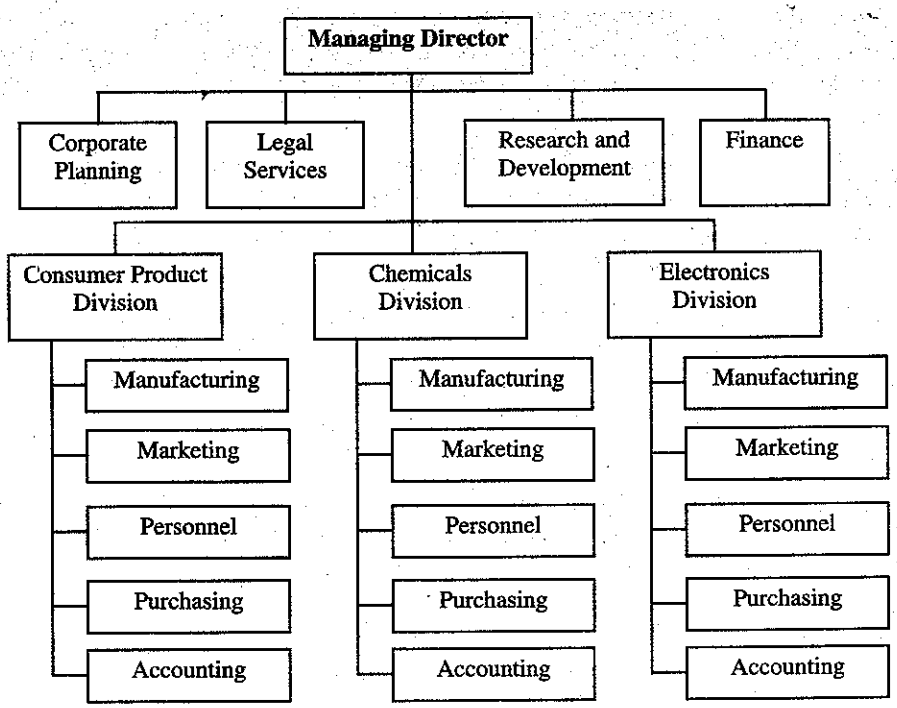


Figure 3.10: Divisional Organisation

The clustering of different divisions in case of a divisional structure is done on the basis of particular demands of markets, products or customers. The prime objective of a divisional organisation is to attain better level of expertise in particular divisions, so that the organisation can adapt the change rapidly, as per the dynamics of business environment. This level of flexibility is attained by a divisional organisation with the help of adequate resources and independence given to each division, through which the organisation is able to meet the requirements. In a divisional structure, every division has a structured format. Each division has its own sub-divisions or SBUs (Strategic Business Units) focusing on a certain market, segment of customers or products. The divisional structure of an organisation is above in **figure 3.10**.

Advantages of Divisional Structure

Following are the advantages of divisional structure:

1) **Responsibility:** By adopting this structure, it becomes easier for the executives to assign the responsibilities to the personnel. Since, each division has its own independent management system, therefore best interests are taken care of.
2) **Sense of Competition:** It results in good functioning in case of the markets having tough competition. By adopting this structure, the local managers can immediately alter the course of their businesses.
3) **Conducive Culture:** This type of organisation structure can be used to establish a kind of culture at divisional level which is able to satisfy the needs and demands of the market.
4) **Decision-Making at Lower Level:** There is a shift in decision-making towards the lower level of management, which might help to enhance the capabilities of the organisation in order to meet the demands of the market.
5) **Diverse Offerings:** This organisational structure is quite suitable for the firms which try to offer diverse products or wish to serve diverse markets.
6) **Speedy Responses:** By adopting this structure, the organisation can respond rapidly and adequately to the changing market needs.

Disadvantages of Divisional Structure

Following are the shortcomings of a divisional structure:

1) **Increased Costs:** The design of a divisional structure offers autonomy to each division. This implies that each division can have departments for marketing, accounting, manufacturing, research and development, and human resources. This might be practical in case of big firms, but in case of small organisations, it can prove to be quite expensive as the efforts are doubled, and so are the costs. Rise in funds can also emerge due to the difficulty in sourcing from other divisions of the same organisation. A division which requires some resources needs to source it from other companies, which proves to be costly, while sourcing from other divisions can be cheaper.
2) **Lack of Communication:** Autonomy of divisions results in lack of proper communication channels between different divisions inside the organisation. In case, complementary products are offered by two different divisions, but they have not coordinated with each other to ensure the compatibility of the products, then it can be quite disconcerting for the organisation.
3) **Contradictory Goals:** Those organisations which have contradictory product units are likely to have issues related with office politics. There is a possibility that the units may place their divisional goals prior to that of the organisation. Personnel of the division may not know the goals of the firm as they are concentrating mainly on the accomplishment of their own divisional goals. This is particularly true when financial gains are attached with the divisional gains.
4) **Absence of Technical Expertise:** There are chances that technical expertise is entirely missing in the firm as the employees are mainly concentrating on attaining the goals of their particular division. The duties of personnel are confined to their own unit and they might face difficulty when shifting to other divisions. The number of personnel working on a single project can also be significantly less, due to which organisational processes can get delayed.

3.4.3. Adaptive Organisation / Contemporary Organisational Design

There is a decline in adapting procedural or bureaucratic structures due to their non-viable underlying assumption. Motivating and directing present day employees with limited values offered by the mechanical rules and regulations is not feasible for business organisations in general.

Adaptive organisation structures and innovative designs that depend on several presumptions are being followed by lot of companies with a view to overcome the limitations of bureaucratic structure. An organisation functions in a rapidly changing environment is one of the assumption of the adaptive structure. This structure also presumes that workforce, job, and environment are interconnected and should be compatible to each other to attain maximum output and perfect structure.

With a view to adapt with the changing environment in a more successful manner, modern organisations are revising their structure. Top level management even then requires a premise for measuring the actual and estimated results because the process of organising is just capable of combining work and the employees.

It is very essential to have an adaptive organisational structure in order to withstand the extremely complicated and rapidly changing environment. Managers are of the opinion that the complicated and rapidly changing environment usually cannot be handled by the conventional designs. Firms should rather try to adopt organic structure and focus on becoming creative, adaptive and lean. Therefore, various designs including project structure, matrix structure, virtual organisations, team structure and boundary less organisations are being adopted by managers in an attempt to discover innovative methods to frame and arrange work.

3.4.3.1. Matrix Structure

The most recent organisation design is the matrix structure which is designed in order to attain a number of goals related to the project and which ensures flexibility of organisational structure. The growth of matrix organisation, also called "grid", can be attributed to meeting the needs evolving from increasing size and complications of the organisation, which requires more flexibility in the structure and technical orientation, in comparison to the conventional organisational structures such as functional or line and staff. The matrix organisational structure is depicted in **figure 3.11.**

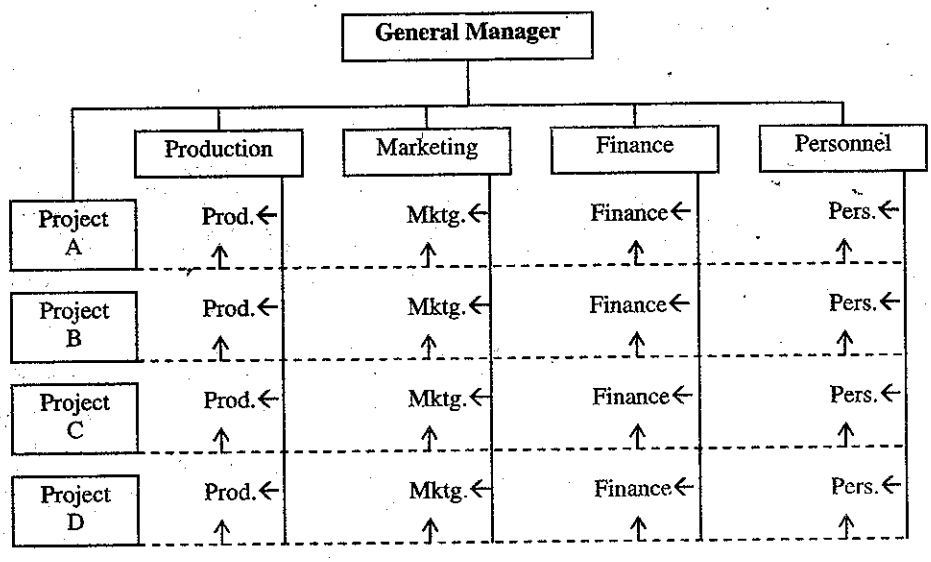


Figure 3.11: Matrix Organisation

Advantages of Matrix Organisation

Matrix organisation has following advantages:

1) **Double Advantage:** It offers an amalgamation of functional divisions and purpose divisions, along with technical expertise and focus on the organisational objectives.
2) **Improved Arrangement and Control:** It helps in ensuring improved arrangement and control as the resources of the firm are mainly allocated on particular projects.
3) **Adaptable to Environmental Changes:** It is one of the most suitable structures which immediately responds to the needs of the changing external environment and provides the best guidance for framing rules and procedures.
4) **Flexible Approach:** It has a very flexible approach in relation to the observance of procedures, rules, etc. Experience acts as the best teacher for framing rules and procedures in this organisational structure.
5) **Best Source of Inspiration:** It is a great source of motivation as all the units and sections together have to put the effort for successful completion of a project.
6) **Chances for Growth and Development of Employees:** It presents a better organisational structure for growth and development of capable managers who otherwise have limited functional expertise.

Disadvantages of Matrix Organisation

Matrix organisation structure suffers from following disadvantages:

1) **Multifaceted Relationships:** Since in a matrix organisation, the principle of "unity of command" is not followed, therefore usually personnel are accountable to many superiors. This leads to a state of chaos where juniors fail to recognise their immediate superior.

2) **Struggle for Authority:** There are serious chances of struggle for authority among different executives of functional departments and project executives. The situation may raise the chances of delayed accomplishment of the projects.

3) **Extreme Stress on Joint Decision-Making:** With respect to issues like sharing of business resources, a matrix organisation needs group decision-making. In case, the tendency to adjust and accommodate is found missing, decision-making would be delayed. Moreover, too much expertise and specialisation may lead to chaotic decisions.

4) **Absence of Homogeneity:** As a matrix organisation is temporarily framed by employing people with different skills from different units, there are challenges related with coordination and controlling the working of a heterogeneous group, which is specifically true in case of absence of line authority.

3.4.3.2. Team Structures

It is an organisation structure which merely operates in teams or work groups. There is no fixed chain of command or central authority to manage the work and team members have the utmost right to take decisions which automatically affects them.

In large organisations, team-based structure has been introduced recently as a new form of organisational structure. The most fundamental component of a team structure is 'the team' which consists of individuals who preferably have compatible skills and coordinated efforts which work towards a common goal. A huge business organisation can have number of teams and with time they can be changed. The work groups or teams involve individuals from distinct area of specialisation, which are termed as cross-functional teams.

Under a team-based organisational structure, different departments can freely communicate with each other. During a decision-making process, a representative from each department is involved in order to work for a common goal. The team-based approach helps the organisation to take quick and smart decisions. Since, employees can express their views on various decisions so they feel more interested to attain their targets more efficiently. In addition, it also lowers the administrative costs of the organisation as it replaces a multi-level management tier with efficient workers.

Advantages of Team-Based Organisation Structure

1) **Teamwork:** Instead of only one person responsible for controlling a business domain or decision-making, decisions can be made by reaching a quorum *i.e.,* minimum number of members' present to validate the working. Team based structures help in taking quick decisions as the duties and responsibilities are distributed among team members. Some team members as a result of this distribution can carry on paying attention to the existing conditions or business practices, whereas others can be entrusted to explore areas of demands, execute changes or try to resolve other issues. Decisions made by one person are not always well planned and very efficiently executed than those made by a team.

2) **Less Overhead Management:** A traditional lateral structure and team-based organisational structure are based on same principles which involve less overhead management that results in interruption in execution of innovative concepts or ideal practices and also in decision-making. Under this organisation structure it is possible to quickly make required modifications without following the chain of command so as to obtain permission for making alterations in the business model or adopting a new idea.

3) **Eliminate Delays:** The conventional scalar chains of command that lead to frustrations and delays due to long communication channels can be eliminated under the team based organisational structure. It is possible for the team to put forward their apprehensions to management as a team without seeming upset or aggrieved for discussing about individual problems. Hence, this can help employees to speak their mind in relation to the issues and inadequacy they face in the workplace.

Disadvantages of Team-Based Organisation Structure

1) **Less Contact with Other Functions:** In a team based structure members are selected on the bases of the functions that they perform. Teams that can operate independently pay attention to their individual work restricting communication and exposure to other functions. Each team working in seclusion can come up with innovative concepts and products without taking into consideration its effect on other products, services, employees, or customers. This in turn could result in incurring more costs, less customer satisfaction, decline in sharing best practices, rise in wastes, low collaboration levels, etc.

2) **Increased Need for Effective Leadership:** It is imperative for team members to identify the importance of effective allocation of resources; efficient project management and effective communication as team based organisational structures do not follow management structure by design. Well qualified and expert leaders should guide these teams. Also plans and methods describing the implementation of work should be adopted by these teams.

3) **Less Organisational Consistency:** Decreased consistency in organisation is one of the drawbacks of team based organisational structure. There is a lacking of organisational consistency as every team is self-contained and operates separately without coordinating with other teams. It is acceptable that a team follows principles of entrepreneurship which aids in developing more creative and innovative solutions but decline in organisational consistency may lead to less cooperation.

4) **More Change and Instability:** There is a dynamic environment in the team as team based structure facilitates fast decision-making. The team leader may at times lack in terms of regularly communicating with the team members, stakeholders and sponsors. This lack of communication due to unstable conditions leads to doubt and disorder in the team.

3.4.3.3. Project Structure

The project organisation structure is the one which has various horizontal organisational divisions for accomplishing the long-run projects. Since, all the projects are significant for the firm, therefore, an expert panel, including specialist from various fields, is formed for every project. The team for every project may vary in size. Each project team has a manager who is responsible for monitoring and controlling the activities of team members, who can take the assistance of various experts from inside or outside the firm.

The idea of project organisation revolves around assembling an expert panel for working on and accomplishing a specific project. The personnel of the project are quite different and are free from the functional division. Project organisation is used in organisations like aerospace, aircraft production, building and construction, management consultancies, etc. In these organisations, projects demand high levels of performance and a lot of emphasis is given on developing horizontal relationships between the experts. In organisations dealing in industrial goods, the specialised project teams can be formed which can design and develop new products. A project team is temporary in nature and as the project finishes, the experts are assigned some other projects.

The structure of project organisation is depicted in **figure 3.12** below:

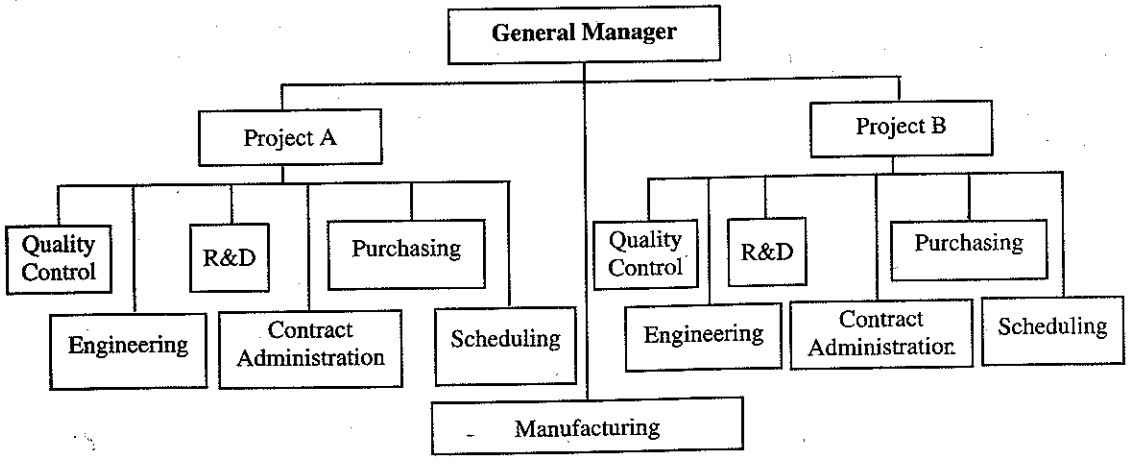


Figure 3.12: Project Organisation

Advantages of Project Organisation

Following are the major advantages of the project organisation:

1) **Allows Strong Attention:** Complicated projects demand undivided attention and concentration towards the work, which is possible through project organisation. It allows on-time accomplishment of the projects without disrupting the routine activities of other divisions of the firm. In project organisations, the organisational hierarchy can be altered as per the requirements, to deal with the various activities with the help of functional experts.
2) **Logical Approach:** A project organisational structure allows the organisation to adopt a logical approach, as each project has a clear beginning and end-points, with definite results. It also reduces the workload of a manager, and allows taking decisions and communicating through horizontal relationships.
3) **Motivates Creative Ideas and Innovation:** The project organisation achieves success because highly skilled people are required for it. It is highly encouraging for the team members to work with a panel of experts. Staff personnel get motivated to generate ideas and innovate, on getting freedom for completing the task.
4) **Suitable for Changing Conditions:** It has been seen that the project organisation is apt for frequently changing conditions, such as those in the case of constructors, accounting firms, advertisement agencies and consultancies. Highly expert knowledge is required with rising complication, and quick variations from one project to another require adaptability which is provided by project structure.

Disadvantages in Project Organisation

The disadvantages of the project organisation are as follows:

1) **Ambiguity:** A project organisation is ambiguous as a project manager has to handle skilled people coming from different areas, who generally have varying concerns and means. Well defined roles, proper channel of communications and benchmarking standards are absolutely missing. In the absence of properly described procedures, the project managers find their task very tedious. The threat of over expertise is continuously present. Moreover, the project may become vulnerable due to the biasness of project manager regarding the issues related to the project.
2) **Restricted Authority:** The responsibility for the results of the project lies with the manager of the project. Since, freedom of exercising power is not with the project manager as per the traditional organisational structure, therefore, serious issues related to funding, human resource and control may arise.
3) **Interdepartmental Clashes:** Ambiguity within the organisation can arise due to interdepartmental clashes. Since, the project structure is created separately, hence the employees feel insecure about their positions. There may be conflicts in job roles as well as wastage of available resources. Over regulation and commands coming from a lot of supervisors can cause frustration among the personnel.

3.4.3.4. Boundary-Less Organisations

Here, an organisation uses e-mails, telephones and other virtual methods to communicate with other business divisions instead of using a conventional face-to-face communication technique. This helps to eliminate all geographical barriers and ensures high productivity level and scheduled flexibility. An organisation with an indefinite hierarchy can rapidly adapt to satisfy customer requirements and can function effectively, by sorting out skilled and talented employees in groups and delegating them the power of decision- making. Along with this, it also eliminates the vertical and horizontal boundaries in the organisation. As soon as the vertical boundaries are removed by the management, the organisational structure appears to be a silo (tower) than a pyramid.

Types of Boundary-Less Organisation

1) **Virtual Organisations:** An association of individual firms that jointly make use of costs, expertise and utilise to each other's marketplaces is known as a virtual organisation. A network of constantly developing individual firms constitutes virtual organisations.
2) **Network Organisations:** Organisations where formal authority lines, managers and market mechanisms are used for coordinating different functions are known as network organisations. Instead of focusing on definite relations pronounced by an organisational chart, more attention is paid to individuals and the work they can perform in an efficient and cost-effective manner.
3) **Modular Organisation:** In a modular organisation, supplementary tasks are outsourced to vendors or experts and fundamental core tasks are performed within the organisation. Data processing, accounting, production of parts, trucking, and catering are few examples of services that are generally outsourced by such organisations.

Advantages of Boundary-Less Organisation

Boundary-Less Organisations derive have the following advantages:

1) This type of organisation facilitates intra-organisational and inter-organisational communication among employees, customers, vendors, suppliers, etc.
2) It encourages global competitiveness.
3) Emphasising on only one objective helps in adapting to the market changes.
4) Encourages intra-organisational teamwork.
5) Helps in developing harmonised 'win-win' approaches that are advantageous to team partners, customers and important vendors.
6) Make use of skills of employees to maximum advantage of the firm.
7) Sharing of crucial information, collaboration and teamwork between external constituencies, SBUs, departments and functionaries can be improved under boundary less organisations.

Disadvantages of Boundary-Less Organisation

1) Can face cooperation issues due to absence of powerful leadership and common vision.
2) There is lack of trust among the members of the organisation which may lead to low performance levels.
3) It is difficult to control authority and political aspects that effect the organisation internally and externally.
4) Consists of democratic processes that are unmanageable and takes a lot of time.

3.4.3.5. Network Structure

A new and to some extent fundamental organisational design, is the network structure which can be considered as an example of "non-structure", due to the absence of in-house activities. It outsources several functions. Such an organisation is generally known as a virtual organisation as it consists of a wide range of collaborations or project group which are interrelated by ever changing network, which is free from the ladder of commands. Such kind of the network structure is most beneficial in case the environment of the organisation is expected to remain unstable. Such a condition calls for creativity and readiness in response. It may appoint contractual staff for a particular project or for a time-period instead of regular staff. Instead of having prolonged contracts with those supplying raw material and distributing goods, the company can have the top-down amalgamation. There is reduction in costs of business transaction due to the development of online market and refined information system. It thus justifies the act of outsourcing instead of manufacturing everything in-house.

Such an organisation moves out of the four walls of the area and is extended all over the world. In this way, the organisation acts as a miniature headquarters playing the role of the broker; and is connected through electronic media with a number of self-owned units, few autonomous organisations and a partly-owned supplementary service.

This way, the network organisation in its final structure can be considered as a number of autonomous organisation or self-sufficient organisational divisions which are interrelated through information technology used for the purpose of deciding, manufacturing and marketing goods or services. A number of companies like Reebok, Nike, and Benetton avail the benefits of the network structure while operating their functions. They give the contract of manufacturing to other firms in places with low cost of manufacturing, across the world. With an objective to keep a check over the functional operation of other manufacturing units, the organisation like Benetton use a method like "umbilical cord". It gives them assurance regarding the maintenance of quality at par with their standards and for this purpose they plan out assets; and give them bills of raw material and manufacturing cost along with the technical assistance.

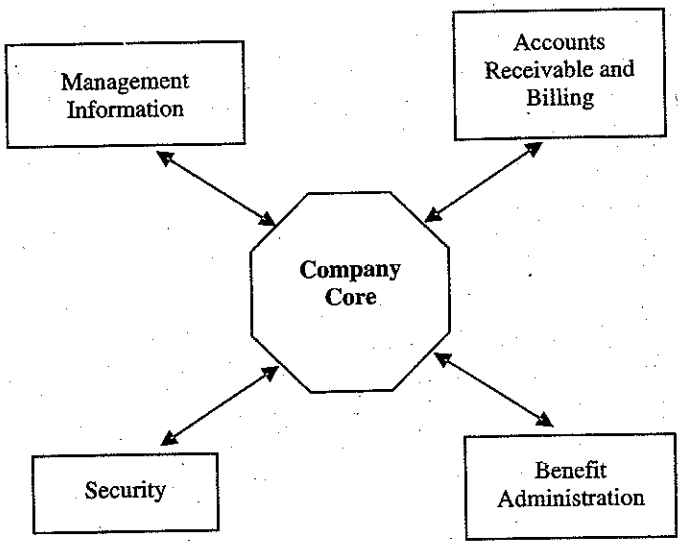


Figure 3.13: Network Structure

The organisations become more flexible and adaptable by adopting a network organisation structure as it helps them in dealing with changing technology and the changing manner of competition and international trade. It helps the organisation to focus on its distinctive competencies along with availing the benefits of the organisations which are working diligently towards enhancing their expertise. Yet, there are also some disadvantages of the network organisation structure. The accessibility to a number of prospective partners can be a problem themselves. It can create difficulty to synergise the efforts of many suppliers or distributors. In some cases, the organisation may become overspecialise only is some functional areas, for the rest of the task in case it selects the incompetent people, there are chances that it may lose in competition.

Advantages of Network Structure

Network structure provides the following advantages:

1) **Flexibility:** A network structure provides one of the major benefits *i.e.,* flexibility. An organisation has the freedom to engage requisite services including engineering maintenance or design that can be altered within a span of months. There are no restrictions on the organisation to from owing any equipment, facilities, plant and machinery. Innovative products and emerging market opportunities can be tapped by a firm by regularly redesigning its processes. Network structure needs hardly any supervision and therefore, it is possibly the leanest of all organisational structures.

2) **Rapid Advances in IT:** Fast progress in the field of Information Technology is making network structure more and more famous, although there are certain disadvantages to be regarded in this kind of organisational framework. Establishing particular directives with respect to developing, organising and managing network relations can also lead to more avenues in the field of information technology.

3) **Competitiveness on a Global Scale:** Global competitiveness is the major benefit derived by the network structure. Including small scale organisations, all network organisations have a potential of developing a universal presence. Network organisations are capable of accessing optimum resources at best price from all over the world and to sell its products and services at the global level.

Disadvantages of Network Structure

Network structure has the following disadvantages:

1) **Uncertainty:** Network structure has high level uncertainty due to unavailability of required services at the same location and under the control of management. This uncertainty may result in decrease in employee loyalty as the workers believe that they can be replaced by contract services. The level of commitment between the organisation and the employee psychologically is very low thereby, decreasing the probability to create a consistent corporate culture. It may become necessary for the firm to reorganise its workforce at any given point of time with a view to have an ideal mix of employee skills. This need may arise due to dynamic market conditions and product variations.

2) **Limited Control:** One of the major shortcomings of this organisational structure is restricted explicit control of the organisational functions. Besides, proper collaboration between different jobs and various sub-contractors is also very troublesome. If a sub-contractor is changed it results in lack of coordination between the new contractor and the organisation. It can be difficult to trust these newly appointed sub-contractors as it can be very challenging to keep control over them from a distinct location. Thus, in case the sub-contractors perform badly it may generate feelings of discouragement and frustration in the employees.

3) **Difficult to Control:** Network structure is just unable to provide proper regulation and control over the operations of the firm. It is very difficult for the managers to depend on electronic messages, contracts, negotiations and teamwork for controlling the overall functions that are not accessible at the same location. There are certain conditions under the sub-contractor when the head office of the firm can no longer operate as a commercial business namely,
   i) A sub-contractor's plant is destroyed with fire, or
   ii) A sub-contractor is not successful in delivering as per the stipulated terms, or
   iii) A sub-contractor ceases operations as a commercial business.

   The above mentioned cases can make it difficult for the manager to have proper control and operate business in an effective manner under the network structures.

3.4.3.6. Virtual Organisations

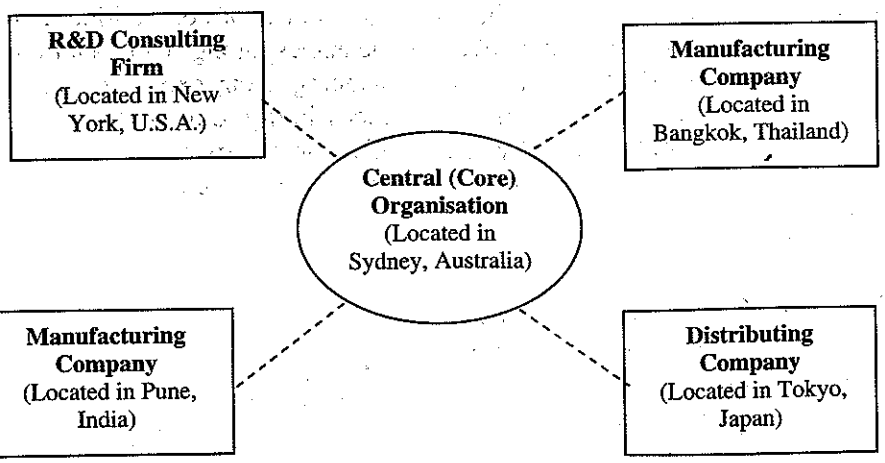


Figure 3.14: Virtual Organisation Structure

A network of connected independent firms where the purpose is the production of a good or service is known as virtual organisation. However, this association is generally not permanent in nature. Virtual leadership, virtual teams, and virtual office are some other terms with which virtual organisation are related. Overall, the prompt offering of high-quality and innovative goods and services to cater to the demands of customers is the prime aim of virtual organisations.

The origin of the term 'virtual' in this regard is from the computer industry. When the storage capacity of a computer appears to be more than actual, then it is known as the virtual memory of the computer. In a similar sense, a virtual organisation appears to possess greater competences and abilities than its actual when the resources from different businesses and firms are assembled together.

Therefore, when participants or individuals from varied organisations and geographies team up towards the achievement of a common objective, then it is described as virtual organisations. These organisations achieve the task by making use of a blend of different communication and information technologies.

Advantages of Virtual Organisation

The advantages of virtual organisation are as follows:

1) The response time is quick with regards to new products being developed in the local and international markets.
2) As per the determined objectives, the organisation gets the opportunity to swap workforce and suppliers.
3) The expenses and costs related to the use of workspace like insurances, rent, maintenance, etc., get significantly reduced.
4) The office space is efficiently utilised in situations when some workers choose telecommuting system while other employees opt for the traditional way of work.
5) The expenses of utilities like water, electricity, gas, etc., are reduced.
6) The consumable materials are consumed less.
7) The salary expenses get reduced because the payment of the virtual team members is done not on the basis of hours spent at work but on the basis of their jobs and tasks.

Disadvantages of Virtual Organisation

There are certain disadvantages of virtual organisations. These are:

1) Limited face-to-face communication and varied geographically distributed participants add complexities.
2) Since participants are from different geographical locations, the organisational and cultural differences give rise to communication barriers.
3) Lack of shared meaning reduces productivity. Moreover, the cohesiveness between the organisation and the members, produced by the shared meaning, also gets reduced.
4) Excess of disturbances and interferences in the home and lack of self-discipline results in reduced productivity for those who prefer working from home, i.e., telecommuting.

3.4.3.7. Modular Organisation

According to few people, the structure of organisation evolves from the matrix to network, followed by cellular (or modular form) organisational form. **In the words of Miles and Snow *et al.,*** "A cellular organisation is composed of cells (self-managing teams, autonomous business units, etc.) Which can operate alone but which can interact with other cells to produce a more potent and competent business mechanism". With the help of fusion of interdependence and independence, the cellular or modular organisation is able to produce and contribute knowledge and expertise necessary for establishing creativity and innovation on an ongoing basis. It consists of the discrete entrepreneurship, existing in a division, the response of the customers towards the matrix, knowledge regarding the self-organisation and sharing of the resources within the network.

For example, as in case of Bombardier. The organisation divided its Continental business jet into twelve divisions consisting external contractors and internal divisions. The manufacturing of the centre, cockpit and forward fuselage was done in-house, whereas the other chief parts were outsourced from the companies across the globe. Such type of structure is most suitable when the product can be broken down into independent parts or modules; and where it is quite feasible to provide an interface to specify that the modules or cells would work when they are combined. The force which drives for novelty in the structure emerges from stress for constant innovation in all the business.

Every module/cell is responsible towards the whole organisation. In addition to the creation and sharing of knowledge, the modular/cellular form is also valuable as it helps to make most of the knowledge assets of the firm as compared to other types of structure. Its value is mostly recognised in those organisations which are dealing with speedy product and novelty in service; and they provide it by introducing distinct or high-tech products like bicycle manufacturing, automobile production, electronic goods, computer products, household appliances, software and power tools.

3.4.3.8. Learning Organisation

The organisation which adopts an open learning approach for the betterment of its employees as well as the whole organisation is known as learning organisation. These organisations not only believe in creating and acquiring knowledge, but also transfer it to all the levels of the organisation. They make modifications frequently in order to develop new skills and viewpoints. These skills are then used to prepare the organisation to adapt themselves according to the changes and improvise the present as well as future performance of the members. Thus, it can be said that these organisations expand their capabilities in order to have a successful future.

According to Sandra Kerka, "Learning organisations seem to work on the assumption that learning is valuable, continuous, and most effective when shared and that every experience is an opportunity to learn".

According to Handy, "Learning organisation is one that both learns and encourages learning in people. It creates space for people to question, think and learns, and constantly reframes the world and their part in it".

According to Senge, "Learning organisations are organisations where people continually expand their capacity to create the results they truly desire, where new and expansive patterns of thinking are nurtured, where collective aspiration is set free, and where people are continually learning to learn together".

Benefits of Learning Organisation

Benefits of learning organisation are as follows:

1) **Motivates Employees:** Learning organisations give equal importance and admiration to creative thinking, capabilities, knowledge and values of all its members. This makes them realise their significance within the organisation and motivates them to put in more efforts to perform better. These organisations appreciate all its employees equally which provide them with greater job satisfaction. Besides this, it also encourages all the employees to search out for mutual solutions for various organisational problems.
2) **Increases Flexibility:** Learning organisations offer flexibility to its employees in order to prepare them to adapt themselves according to the changing environment. It offers its employees with new knowledge and skills so, that they can understand and perform different roles and tasks of different departments. These organisations have flexible structures so, that the employees are not bound to their specific job and can work freely and confidently within the organisation.

3) **Inculcates Creativity:** Since the perspective and new ideas of the employees are effectively recognised by the learning organisations, the level of creativity also increases within the organisation. These organisations promote experimenting creative ideas, and ignoring the mistakes made by the employees. The contribution of the employee in developing something innovative is given huge importance.

4) **Enhances Social Interaction:** Social interaction plays a very important role in making the learning process effective. Learning organisations motivate their employees to become more social and communicate with large number of people. More the employees interact with other people, their performance becomes better.

5) **Facilitates Teamwork:** The healthy and motivating work environment provided by the learning organisations is most suitable for the growth and development of its employees. This environment encourages the employees to perform as a team and accomplish the desired goals successfully.

6) **Improves Customer Relations:** Learning organisations are capable enough to change themselves rapidly as per the requirement of their clients. This shows that these organisations give importance to their customers. There exist very less number of official procedures that increases the direct contact between the organisational members and their clients.

7) **Makes People Independent:** Unlike most of the organisations where people are dependent upon others in order to get their work done, learning organisations try to make its employees independent. These organisations ask their people to interact with others on their own, and identify the roles played and tasks performed by other members. This identification helps them in proper management of time which further improves their work process. Rather than depending upon others, these organisations inspire its people to have confidence in themselves and be self-dependent.

8) **Breaks Traditional Communication Barriers:** Earlier most of the organisations follow the traditional way of communication or in other words a communication barrier, where the managers used to command their subordinates. But learning organisations have absolutely changed the scenario by breaking this communication barrier between the managers and employees. The awareness of the employees about whatever is going on within the organisation makes them realise that they are also an important part of the organisation. Open and free interaction among all levels of the organisation motivates them to work mutually and helps in making their performance better.

Problems of Learning Organisations

Major problems concerned with learning organisations are as follows:

1) **Focuses Mainly on the Cultural Dimension:** In order to make an organisation a successful one, all its aspects need to be paid equal attention. But learning organisations often ignore various aspects of the organisation such as organisational structure, work management, policies and procedures, etc., and focus entirely on the cultural dimension of the organisation.

2) **Favours Individual and Collective Learning Processes:** Renowned theories based on organisational learning suggest that the learning process must be linked with the organisation's objectives. Besides the fact that learning organisations encourage personal as well as collective learning, these learning are not properly aligned with the planned goals of the organisation. **According to Finger and Brand,** this disadvantage of learning organisation can be eradicated by creating some measurement scale, using which the contribution of learning towards the accomplishment of organisational goals can be measured.

3) **Remains Rather Vague:** The organisational learning functions are required to be defined clearly. Strategic objectives of the organisation can be accomplished through organisational learning. Creating a learning organisation is also an objective, therefore, continuous learning and capability to learn is a necessary condition for surviving in the modern environment. So, the ability of an organisation to function like a learning organisation should be more definite and systematised in order to make learning in organisation effective. According to **Finger and Brand,** "a true management system of an organisation's evolving learning capacity" also needs to be developed. This can be attained by defining both individual and collective indicators of learning and by associating them with the other indicators as well.

4) **Difficult to Establish in Large Organisations:** Establishment of learning organisations on a small scale or introduction of organisational learning in new businesses is comparatively much easier than its creation in large organisations. In small learning organisations, the leader of the organisation is responsible for the growth of entire organisation as well as the employees working in it but in big organisations, it is difficult for the leader to perform the task of development alone.

5) **Organisations Lack a Questioning Approach:** In order to select a leader for any organisation, it is important that he should be interviewed about his knowledge, education, experience, etc. But in case of learning organisations, this questioning approach is not followed. In fact, they are made leaders because of their proficiency shown at previous level. The skills of those leaders are not helpful for the development of the employees as well as the whole organisation. People having new ideas and thinking and better ways to deal with several organisational problems receive few benefits from such leaders.

6) **Long-Term Changes take a Lot of Time:** Transformation of an organisation into learning organisation is not an easy task. It is a lengthy process which is very time-consuming as large changes are to be made within the organisation and a lot of time is required for training and development programmes. Though there are some organisations that have certain characteristics of learning organisation, but in today's time where the organisations are result-oriented and the pressure of time as well as environment is increasing, organisations avoid wasting their time in making conversion decision.

3.4.4. Techniques to Deal with Demand of Today's Environment

The environment presents unique demands in front of the contemporary organisations and the organisations adopt various techniques to cater to such demands:

3.4.4.1. Organising for Collaboration

In today's era, flexibility is required on the part of the organisations in getting things done, and this should be done in an effective and efficient manner. Moreover, it is important to innovate and introduce innovative products in the markets. However, this could not be achieved through the narrowly articulated functional arrangement and the conventional approach of decision making where the top management takes decisions which in turn have to be adhered to by the lower level management.

Collaborative work environment is now being encouraged in several organisations such as 3M. The collaborative efforts of an organisation can be **internal** (i.e., among the organisational employees) or **external** (i.e., with an external entity like suppliers, stakeholders, etc.) In either forms, it is critical for the managers to not only understand the way in which the organisational structure and the collaborative efforts 'fit' together, but also overcome the challenges so that everything works out fine.

The internal collaborative efforts could result in the formation of the following:

1) **Cross-Functional Team:** Employees from different functional departments come together to form a work team known as a cross-functional team.
2) **Task Force:** A team or committee formed for a temporary time period with the objective of resolving a particular short-term problem is known as a task force.
3) **Communities of Practice:** These are groups of individuals who have a common problem, concern or share the same amount of passion regarding a subject matter. These groups come together and communicate on a continuous basis in order to enhance their expertise and knowledge about that common subject matter.

The external collaborative efforts could result in the formation of the following:

1) **Open Innovation:** Through this structural option, innovations easily flow inside and outside the organisation and the quest for new ideas is no longer limited with the boundaries of the organisation.
2) **Strategic Partnerships:** When two or more than two organisations come together and combine their capabilities and resources for achieving a certain objective, it is referred to as strategic partnerships.

3.4.4.2. Contingent Workforce

When an organisation hires individuals on the basis of demand and brings them together to form a labour pool, it is known as contingent workforce. Individuals comprising the contingent workforce can be consultants, contractors and freelancers. They are not the full time or regular organisational employees, therefore they are not listed on the payroll of the company. Contingent workforce can be hired by the organisations themselves or through a staffing or consultancy agency. This workforce is added to the current workforce of the company on an ad-hoc basis and operates either remotely or on-site. Contingent workforce is also referred to as 'independent workforce' by some scholars. This is because both the organisation and the workers are not dependent on one another.

Contingent workforce carries some practical and legal risks which the employers fail to comprehend because of the sheer benefits which the workforce offers. Following are a few practical risks which the contingent workforce carries:

1) **Decreased Loyalty and Productivity:** It is believed that contingent workforce is neither much productive nor loyal and do not deliver quality work since they work independently, i.e., they are not dependent on a specific employer to earn their living. Even normal or average opportunities of advancement are a source of motivation for such workers.
2) **Status:** It is felt by some contingent workers that they are not at par with the regular employees when it comes to status. They feel left out since they believe that they are not being considered as part of a team. Moreover, they think that they are given the treatment similar to that of "second class citizens." As a result, these workers start to believe that the company is not rewarding or recognising their efforts and contributions in an appropriate manner.
3) **Impact on Employees:** For whatever reason(s), contingent workers are resented by some employees. It is believed that these workers take away not only the opportunities of overtime from the regular employees, but also a full time job from a more deserving candidate. It may also lead the employees to believe that contingent workers are hired to fill the positions of the regular employees who were earlier discharged from their duties.
4) **Confidentiality:** It is not certain that contingent workers would not switch to work for any rival firm. This is more likely to happen when specialised expertise and skills are possessed by these workers due to which the number of companies that can hire them becomes limited.
5) **Increased Training Costs:** The attrition rate when it comes to contingent workers is quite high as compared to regular employees. This results in an increase in the training costs.

3.4.4.3. Flexi Work/Flexible Work Arrangement

An aspect of work structure in which the place and/or time of work is altered so that a more variable work schedule can be offered to the employees is referred to as Flexible Work Arrangement (FWA). A flexible work arrangement encompasses the following:

1) Flexibility in the location of work, e.g., flexibility to work from a satellite location or home.
2) Flexibility in the number of working hours, e.g., sharing of job or part-time job.
3) Flexibility in the scheduling of number of hours worked, like alternate schedules of work (e.g., compressed workweeks and flex time), and arrangements with respect to break and shift schedules.

Flexible work arrangements aim to solve the problems that are faced by employees when it comes to maintaining a balance between their work and family. Further, the prospective employees view organisations with flexible work arrangements as more attractive. On the other side, it is also believed by some critics that an organisation has to bear serious consequences if the plans for flexible work arrangements are not properly considered.

Primary Flexible Work Programs

There can be numerous types of flexible work arrangements. They are as follows:

1) **Flextime:** Under flextime programme, a range of working hours is available and from that range, employees can choose their starting and end time. Such range is generally at either extreme of a "peak" time during which most of the business of the company takes place. This workplace arrangement was once considered as pioneering and rare. However, a large number of industries are now practising flextime.
2) **Compressed Work Week:** Under compressed work week, a normal working week is squeezed into less than five working days. One of four 10-hour days is a popular form of this system. There are other forms of compressed work week whereby employees have to devote 12 hours at work for three days, or 9 or 10 hours for a period of two weeks. In the latter form, employees are given compensation along with a time-off of one or two days during that two-week time frame.
3) **Flexplace:** Under flexplace system, an employee can either choose to work from home or a location which is not the office. One of the popular forms of flexplace working arrangement is telecommuting.
4) **Job Sharing:** Under job sharing, the responsibilities and duties of a single full-time job are shared between two individuals in a voluntary manner. Therefore, these two individuals also share the salary and benefits regarding that position on a *pro rata* manner.

5) **Work Sharing:** Under this system, instead of letting go of some employees, the salary and the number of working hours of those employees are reduced by the organisations. Therefore, organisations that do not want to consider layoffs increasingly use such programmes.

6) **Expanded Leave:** Under this system, an extended amount of leaves can be requested by the employees along with preserving all of their employee rights. Remuneration for expanded leave may or may not be provided. There are numerous reasons to use such leaves, *viz.*, medical reasons, family issues, community service, education, study leave, etc.

7) **Phased Retirement:** Under phased retirement system, a schedule is agreed upon by both the employer and an employee, whereby there is a gradual reduction in the full-time work obligations of the employee over a certain time period.

8) **Partial Retirement:** Under this system, the older employees are allowed to work without any fixed date of end. However, this work is on a part-time basis.

9) **Work and Family Programmes:** Under such programmes, the facilities of elder-care and child-care are offered by the organisations. There have been reports of good performance in those large organisations where pioneer initiatives in this aspect were taken. However, there is still rarity of such programmes. In-house facilities offering care for the employees' children is one such popular programme. However, the logistics of child care can be also eased through basic flextime programmes.

10) **Telecommuting:** Changes in the external environment has made it mandatory for organisations to utilise telecommuting. Moreover, it has also become possible since the introduction of information technology. Under such system, employees choose to work from home and through computers, are connected to the workplace. However, telecommuting cannot be applied to any job.

3.4.4.4. Teleworking

Under teleworking, employees choose to work from home and through computers, are connected to the workplace. Both full-time and part-time employees can be encompassed under teleworking. Different forms of communication like dial-up lines, the Internet, etc., can be utilised by the employees. Locations of teleworking are of two types:

1) **Home Location:** Under this system, employees work from homes remotely and connect to the workplace if necessary through the use of telecommunications medium. Some examples of telework are given below:
   i) An employee working at the office on Tuesday, Wednesday, Thursday and Friday and teleworking from home on Monday and Saturday.
   ii) Working from home might be preferred by a tailor who does his sewing work at home for three days a week. However, computer or telephone connections to the workplace may not be involved in this type of work.
   iii) Working from home might be preferred by policy researchers when they are engaged in detailed and complicated documents so as to get rid of unnecessary interruptions.
2) **Satellite Location:** A particular satellite location can be chosen by an employee for the purpose of working. **For example**, for avoiding a long and hectic work commute, an employee may choose to work from a nearby internet café.

Advantages of Teleworking

Numerous advantages are offered by teleworking:

1) **For Employer**
   i) An employee can be retained if allowed part-time work from home. This happens in cases where personal situations of employees change.
   ii) Reduction in the stress levels and absenteeism from work due to improved levels of motivation.
   iii) If there are less interruptions at home than at work, then the productivity of teleworkers could be more.
   iv) Since teleworkers work from home, therefore costs regarding providing the office space are substantially reduced.
2) **For the Employee**
   i) A balance between family and work life can be properly maintained by the employees.
   ii) Flexible working opportunities around responsibilities of the career.
   iii) The cost of travelling to work is saved. Moreover, the travelling time can be utilised for something more productive.

Disadvantages of Teleworking

There are certain disadvantages of teleworking:

1) **For Employer**
   i) There can be some works which could not be brought home.
   ii) The security of the work or information brought home by the teleworkers might be at an increased risk.
   iii) Installation of telecommunication devices and computer equipment may incur increased costs for the organisation.
   iv) Managing and evaluating the performance of teleworkers can be difficult.
2) **For the Employee**
   i) It is possible that the teleworker is not disciplined, to work without any proper supervision.
   ii) A suitable working environment might not be present if there is lack of proper space at home.
   iii) Distractions at home might reduce the effectiveness of work.
   iv) Since the social interaction among the colleagues (found at the workplace) is not present at home, therefore, a teleworker might feel lonely and isolated at times.

3.5. GLOBAL ORGANISATION

3.5.1. Introduction

Trends and conditions of global business environment should be considered while developing an organisational structure and its hierarchical arrangement. The merits and demerits of each structure should be examined prior to the selection of the best structure. Big global enterprises which are simultaneously operating and managing their business units in different countries face difficulties in handling single organisational structure and thus, adopt combination of different structures. These combinations are based on the need of external business environment and tasks undertaken by the company. Hence, every company must include provision for organising, implementing and controlling in their marketing plan. It is very essential for all marketing firms, especially for globally operating firms to organise and implement such plans so as to anticipate any unforeseen difficulty.

While deciding the type of organisation, global activities or size of exports should be considered. The type of organisation depends upon product, matrix, area, or function. Often, it depends upon the type of marketing plan (whether centralised or decentralised) and on the implemented control method. These control methods can be both formal and informal methods and largely depend upon environmental differences, product characteristics, and distance of market from seller. Formal control methods involve budgeting while informal capital methods involve auditing elements.

A flexible organisational structure or framework is vital for superior organising, planning and controlling in international marketing. Such framework facilitates a firm in responding to variations of business markets and simultaneously outlining clear relationships between employees and other parts of the firm. It is often difficult to determine the most suitable planning framework, control method, and organisational structure.

Thus, it is quite obvious that companies can function in the most constructive manner when control method is easily understood, structure is well-interpreted, and all the necessary standards of performance are developed and communicated to every concerned member. However, it does not imply that the structure should be rigid or completely inflexible.

Today, formal structure is not the agenda of modern marketing as several informal systems are created inside a formal structure. Large numbers of companies determine their corporate strategy way before setting up their organisational structure by mistake. It compels the firm to adjust selected strategy according to the organisational structure, which is often hazardous for business.

3.5.2. Organisational Characteristics of MNCs

Every multinational corporation operates in a distinct manner despite of the fact that they have similar organisational structures. There are various factors, such as local conditions, overall strategy, employee viewpoints, that explain these differences.

The organisational features which are essential to be considered are explained as below:

1) **Formalisation:** Formalisation means use of well-defined organisational structures in decision-making processes, clear conveying of ideas, and controlling business operations. There are many global firms which formalise more than other companies consequently influencing their daily business operations. **For example,** a comparative research was conducted for finding out whether Japanese firms have more formalised approach than U.S. firms. The research concluded that Japanese firms are less formalised as no statistical data confirmed their claim. However, it was also found that Japanese companies prefer to use systems which employ more workforce in areas like administrative functions, book-keeping, etc. Formalisation is further categorised into two parts, as per another study conducted in Taiwan on Japan and U.S. firms:
   i) **Objective Formalisation:** Objective formalisation was measured by various documents and official papers given to staff members and employees. They usually included operating instructions, workflow plans and programmes, written job explanations, information booklets, procedure manuals, organisational charts, and written policies and regulations.
   ii) **Subjective Formalisation:** Subjective formalisation could be measured by the degree to which organisational objectives are indefinite or undefined, while employing informal control systems and also using culturally influenced values in achieving their goals.

   The study also revealed that U.S. firms have a tendency to depend on budgets, financial data, and other formalised tools for controlling their subsidiary operations. Whereas, Japanese firms widely use face-to-face, informal controls, etc. These conclusions also disclose that the external structural design of foreign subsidiaries may seem similar, but their internal functioning are quite dissimilar. These formal and informal characteristics of international firms have gained increased attention in past few years. This is because the multinationals have understood that there are two major aspects of formal and/or informal approach namely; internal and external, that need to be considered, Moreover, these characteristics require a different type effective networking to a large extent.

   According to Yoshino and Rangan, "There are two approaches that firms must compete globally – and that includes most major firms – employ to achieve the layering of competitive advantages:
   i) Development of extensive internal networks of international subsidiaries in major national or regional markets; and
   ii) Forging external networks of strategic alliances with firms around the world. These approaches are not mutually exclusive, and increasingly firms are striving to build both types of networks."

   Both of these networks lay down a different range of demands on the global enterprise. The characteristics of internal networking reflect that informality is less powerful than formality. It explains that company depends upon progressive systems and lines of authority, transparent organisational directives and a clear vision. On the other hand, external networking usually includes indefinite lines of authority, less importance on systems and more on human resource and confusing organisational directives.

2) **Specialisation:** Specialisation is one of the organisational characteristics which means delegating precise and well-stated jobs to employees. In terms of international business, specialisation can be categorised into two main types, which are as follows:
   i) **Vertical Specialisation:** In vertical specialisation, the jobs are delegated to different departments and workgroups in such a way that every employee is equally responsible for the overall performance of the group. It is commonly described by the differences between various levels of the organisational hierarchy. **For example,** those positioned at higher levels of authority enjoy greater power and status than those at lower levels. Vertical specialisations usually have tall organisational structures. Under the research study of firms of the U.S. and Japan, lower grade functional specialisation of employees was observed in Japanese firms.

      Precisely, out of the total listed functions allotted to specialists, three fourth were allotted to experts in the U.S. and one third was allotted to Japanese manufacturing plants. The research also concluded that in comparison to the firms of the U.S., Japanese companies are more dependent on vertical specialisation and have distinguished divisions and sections. U.S. companies have flat organisational structures in comparison to tall structures of the Japanese companies. Vertical specialisation can also be

computed or measured by the level of group activity in the organisation. It results in high level job standardisation. As every individual is mutually accountable for the assigned task, it focuses on the performance of jobs in a pre-determined manner instead of trying new methods. This ensures instant commencement of work followed by a short training period.

ii) **Horizontal Specialisation:** In horizontal specialisation, employees are delegated with separate tasks and responsibilities for which they are individually responsible. Usually, they tend to perform their delegated tasks within the limits of this specified area. This specialisation allows individuals to develop expertise in their functional areas. **For example,** people working in sales, purchasing, training, customer service, marketing research, recruiting, etc., are experts in their domain.

3) **Centralisation:** Centralisation is the management system under which top management takes all the key decisions of the organisation. The value of centralisation varies with the objectives of international firms and their external business environments. However, various U.S. companies involve their lower-level subordinates in decision-making processes and are inclined towards decentralisation. Also, many MNCs of Germany decentralise their functional decisions as per the local circumstances of the host country and centralise their critical headquarters decisions without considering environmental factors of the host country. The overall performance of German firms has been very encouraging using decentralisation technique. There are several other instances wherein big organisations have been quite successful by functioning under a decentralised strategy.

For example, the world famous brand Nokia was illustrated as "one of the least hierarchical big companies on earth, a place where it is often profoundly unclear who is in charge". This very system wherein there is no direct control or intervention of the top management encourages individual responsibility, entrepreneurial efforts, and innovation. Also, it maintains a regular discipline on various activities for implementing a proper financial control. On the other hand, analysts have observed that U.S. companies delegate more formal authority than companies of Japan. It is also revealed that Japanese companies have greater involvement of lower-level employees in their decision-making processes as compared to U.S. companies. They also keep greater control over lower-level employees by restricting delegated authority and properly governing their engagement in organisation.

Most of the global enterprises arrange their global activities similar to their operations organised in their home country. Similarly, the global ancillaries and subsidiaries of these enterprises will also have attributes which are similar to the organisational attributes employed at their headquarters.

3.5.3. Global Organisational Structures

Mostly, all major multinational corporations use the following five organisational structures:

1) **International Division:** A global business can have an "international division" for catering to the needs of foreign market, whose functioning and business operations are handled by its designated Vice-President. This structure is suitable in cases where the firm has subsidiaries in only few countries and the global sales are a small portion of the total sales.

2) **Geographic Structure:** Under this organisational structure, various geographical regions around the world are selected and clustered together for assigning manufacturing and selling business functions. The corporate management receives account of all the operations carried-out in each group through their respective line executives. All the operational decisions are decentralised, while the policy decisions are taken by the central management.

3) **Product Structure:** Under product structures, every product has a product manager who operates with the area specialist allocated by the corporate personnel of the central management. All the product groups are globally managed and controlled, while each sub-group product of a particular area is controlled and managed by area specialist and product manager.

4) **Matrix Structure:** Under matrix organisational structure, the functional levels of the organisation are determined by geographical firms and the central workforce is functionally oriented.

5) **Focused Structure:** Focused organisational structure is a market-oriented structure which focuses on identifying and fulfilling the needs of its customers irrespective of their geographical positions. This structure tends to serve all the global customers of the organisation.

3.6. EXERCISE

3.6.1. Very Short Answer Type Questions

1) Define organising.
2) What is organisational structure?
3) Explain scalar principle.
4) Write any two demerits of departmentation by territory.
5) Define span of control.
6) What is centralisation?
7) Explain decentralisation.
8) What do you mean by matrix organisation?
9) Mention the types of boundary less organisation.
10) Explain virtual organisation.
11) What is modular organisation?
12) Define learning organisation.
13) Explain the advantages of teleworking for employer.

3.6.2. Short Answer Type Questions

1) Explain the process of organising.
2) Why organising is important?
3) What is principle of work specialisation?
4) Explain unity of command.
5) Why departmentation is important?
6) What are the demerits of departmentation by products?
7) Discuss the factors affecting span of control.
8) Write a note on project organisation.
9) Differentiate between centralisation and decentralisation.
10) Highlight the advantages of centralisation.
11) What are the advantages of simple structure?
12) Explain the disadvantages of matrix organisation.
13) Write a short note on organising for collaboration.
14) What are the primary flexible work programs?
15) Highlight the disadvantages of teleworking for employer and employee.
16) Explain the global organisational structure.

3.6.3. Long Answer Type Questions

1) What are the nature and principles of organising?
2) Discuss mechanistic and organic structure. Write differences between mechanistic organisation and organic organisation.
3) Explain each factor which affects structural choice.
4) What is departmentalisation? Explain the factors affecting choices of departmentalisation.
5) Explain the merits and demerits of departmentation by functions.
6) Highlight the merits of departmentation by products and territory.
7) What is departmentation by customer or service? Explain its merits and demerits.
8) Explain the needs and types of span of control.
9) Discuss the advantages and disadvantages of decentralisation.
10) Describe formalisation. Mention its advantages and disadvantages.
11) Explain functional and divisional organisation. Also highlight their advantages and disadvantages.
12) What is network structure? Highlight its advantages and disadvantages.
13) Highlight the advantages and disadvantages of virtual organisation.
14) What are the benefits and problems associated with learning organisation?
15) Explain global organisation. Also highlight the organisational characteristics of MNCs.

UNIT 4

Decision Making

4.1. DECISION-MAKING

4.1.1. Meaning and Definition of Decision-Making

All human activities revolve around making choices or taking decisions. Decision-making may be defined as the process of deciding to adopt a certain course of action from various alternatives, to achieve a set of pre-determined goals. Decision-making is future oriented, as the sole objective of making a decision is to guide organisational and human activities towards achieving the future objectives. Decision-making process involves investing the organisational resources in realising a predetermined goal or solving a problem by following a specific course of action.

According to George R. Terry, "Decision-making is the selection based on certain criteria from two or more alternatives".

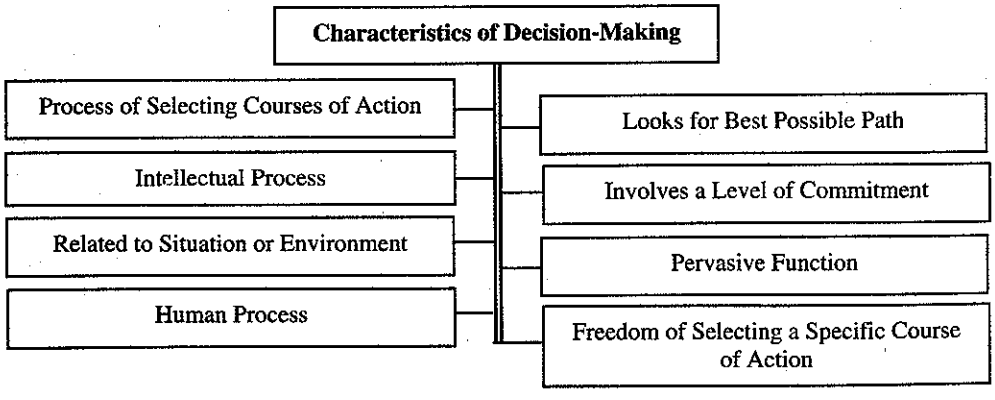
According to Mary Cushing Niles, "Decision-making takes place in adopting the objectives and choosing the means and again when a change in the situation creates a necessity for adjustments".

According to Heinz Weihrich and Harold Koontz, "Decision-making is defined as the selection of a course of action among alternatives; it is the care of planning".

In organisations, decisions are required to be taken to either solve problems or achieve certain results. Decision-making helps the managers in resolving problems and exploiting business opportunities by minimising the gap between desired and actual situations. Decision-making is judgmental in nature. A decision is an end result that is achieved by analysing the situation, formulating alternative solutions and selecting the best one for achieving the desired results.

4.1.2. Characteristics of Decision-Making

Decision-making has the following characteristics:



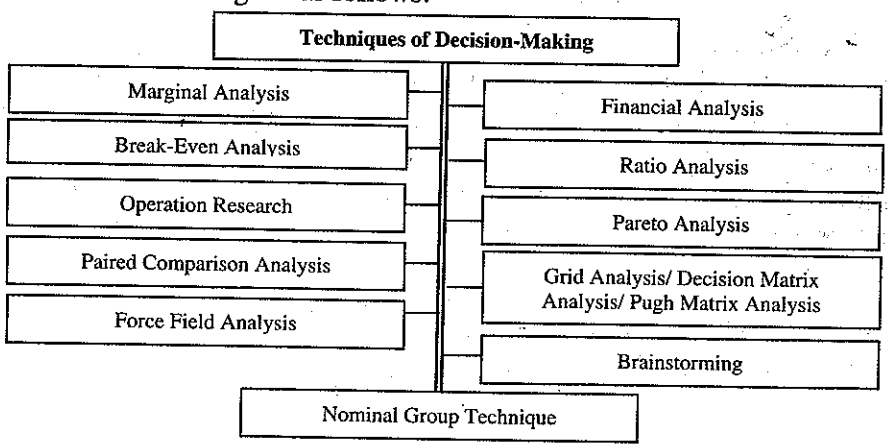
1) **Process of Selecting Courses of Action:** Decision-making involves selection of a particular course of action among the available options. The process of decision-making is carried-out only when a problem has more than one solution.

2) **Looks for Best Possible Path:** Decision-making involves evaluating all options and choosing the most appropriate one. It is a rational process and its steps are directed towards achievement of the organisational objectives. Decision-making process always has a purpose to achieve, and to realise the purpose, it involves series of steps to select the best course of action by analysing the available alternatives.

3) **Intellectual Process:** Decision-making is an intellectual process involving careful evaluation, deliberation and selection. Hence, it is a logical and intellectual exercise. The success of the decision-making process depends on the reasoning ability and sound judgement of the manager.
4) **Involves a Level of Commitment:** Decision-making involves a level of commitment from the organisation on following a particular course of action. As the decision-making process is a time based process, the term of commitment (short or long) may depend upon the nature of the decision.
5) **Related to Situation or Environment:** Environmental factors and situations have a great bearing on decision-making. The nature of decisions is also altered with the changes in business situations. The decision that is suitable for one situation may not be appropriate for the other.
6) **Pervasive Function:** Decision-making is a pervasive activity of all employees engaged in an organisation. The complexity of decisions varies from level to level, but there is no alternative to the decision-making process. It is an on-going and all pervasive process.
7) **Human Process:** Although decision-making is considered to be an intellectual process, it is conditioned by several other human factors like – individual perception, bias and prejudice, cultural and social background and its influences, educational and intellectual level of the decision-maker, his knowledge and experience and so on. The techniques of decision-making are helpful to a certain extent but no tool or technique can undermine the importance of perception, experience, judgement and knowledge of the decision-maker.
8) **Freedom of Selecting a Specific Course of Action:** Judicious decision-making requires the freedom to choose the best course of action from the available alternatives without any pressure and influence. However, uncertainty is inherent in all decisions as the outcome can only be anticipated but never known for sure.

4.1.3. Techniques of Decision-Making

Different techniques of decision-making are as follows:



1) **Marginal Analysis:** Marginal analysis is an important decision-making technique as it helps in determining the level of increase in the output by addition of a variable like – machine, material, man, etc. But simply it seeks to find out the difference one extra unit of a specific input would make to the output, while other inputs remain the same. This technique is extensively used by decision-makers to analyse the impact of various alternatives in the decision-making procedure.
2) **Financial Analysis:** This analysis specifically focuses on the financial aspects of a problem like – the cost involved, the returns expected, the expected time required for the return, etc. This is an invaluable tool in the hands of decision-makers for evaluating various financial alternatives or financial aspects of the alternatives by analysing cash inflows and outflows.
3) **Break-Even Analysis:** Break-even point is that point of sales at which the investments made and the profits generated by the firm are at equilibrium. Break-even analysis is another powerful tool used by economists to determine the scale of operations required to make a unit cover the costs and start making profits. This helps decision-makers to select and choose the most economical alternative.
4) **Ratio Analysis:** This technique is used for determining the link between two variables and for achieving a better understanding of accounting information. Ratio analysis technique is used by financial analysts to determine various financial parameters like profitability, debt, financial strength or weakness, etc. This tool also helps in studying the relationship between past and present financial reports.

5) **Operation Research:** This is perhaps the most scientific technique to understand industrial or commercial operations and predict outcomes. Operations research is a scientific method to understand all the systems and sub-systems involved in an operation. It uses mathematical tools and modelling to predict outcomes that help in simulating real life situations that may arise as a result of decisions. Operations research theories and models like, decision tree analysis, stimulation models, queuing model, game theory, transportation model, etc., are extremely significant for making sound decisions.

6) **Pareto Analysis:** Pareto analysis helps in identifying the areas in the business that will help in raising maximum profits. The basic idea behind Pareto principle is that 80% of the benefits can be achieved by putting 20% of efforts. **For example,** 80% of sales are generated from 20% of the clients, in agriculture, 80% of the production comes from 20% of the plants and so on. The utility and significance of this principle is that decision-makers can identify and focus on the vital 20% segment. It helps the management in determining the problematic areas that require prompt attention. Pareto analysis also helps in categorising various alternatives, to determine whether they fall in the 20% or the 80% category.

7) **Paired Comparison Analysis:** Paired comparison analysis is helpful in framing a decision when accurate data is not available to solve a particular problem. Instead of comparing a large number of options, this approach believes in reducing all available alternatives into pairs and then selecting the better option. It is a useful tool for making comparison of related as well as unrelated options like – decisions regarding purchasing a new machine or adopting latest technology or venturing in new markets. Paired comparison analysis facilitates the decision-maker in setting priorities in case there is a dispute regarding utilisation of limited resources.

8) **Grid Analysis/ Decision Matrix Analysis/ Pugh Matrix Analysis:** This analytical tool is especially useful in taking complex decisions when there are a large number of alternatives, the choice is not obvious and there are multiple factors to contend with. It is a highly evolved technique which helps the decision-maker in making decisions where the desired alternatives are not available.

9) **Force Field Analysis:** This is a technique of weighing all the pros and cons of an issue, i.e., the factors and forces in favour or against of a particular decision. By comparing the two set of options decision-makers arrive at the decision which would have the least negative or adverse impact.

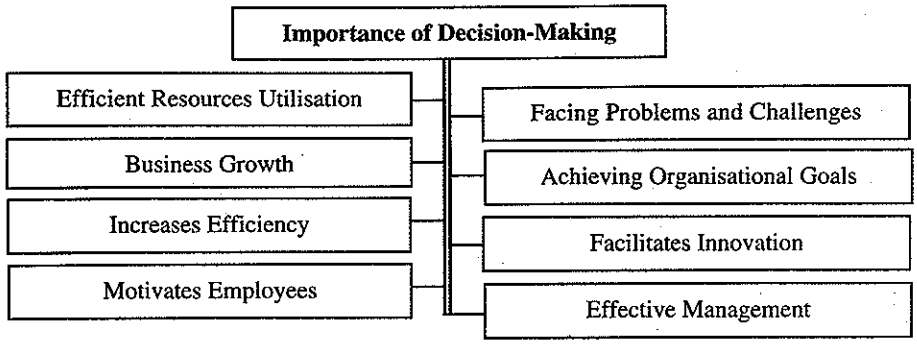
10) **Brainstorming:** Brainstorming is a creative process that is free from group pressures and traditional decision-making process. This is a time tested technique to broaden the base of decision-making process by involving a large number of persons and generating as many ideas as possible. This is a technique to generate uninhibited ideas without the fear of rejection or criticism.

11) **Nominal Group Technique:** In the nominal group technique any form of communication or information sharing is restricted. Here the members put forth their suggestion on individual basis and finally all the suggestions are put to vote. The most popular suggestion is then accepted. In this technique individuals contribute their inputs individually and reach an unbiased decision as a group to approve the most favoured idea or solution.

4.1.4. Importance of Decision-Making

Decision-making is one of the most significant tasks of management and its importance can be understood with the help of following points:

1) **Efficient Resources Utilisation:** Efficient resource utilisation is essential for the success of the organisation. Decision-making helps the organisation in realising its goals while ensuring the effective use of organisational resources like men, machines, materials, methods, money, and markets (6 Ms). The decision-maker must frame correct decisions in order to efficiently utilise all these resources.



2) **Facing Problems and Challenges:** All businesses are faced with challenges and problems, either internal or external. Sound and prompt decisions enable the management in successfully facing and resolving problems and challenges.

3) **Business Growth:** The objective of all businesses is not only to make profits but also to achieve growth and development. This is possible only by quick, timely and sound decision-making. A business can expand and grow if it is able to exploit available opportunities and earn profits in a time-efficient manner. Sound decision-making helps the organisation to resolve problems and reach new growth avenues.

4) **Achieving Organisational Goals:** Organisational goals can be achieved by making quick decisions. Rational and logical decisions help the organisation in realising organisational goals by defining the problem and evaluating available alternative solutions.

5) **Increases Efficiency:** Efficiency means achieving the maximum output with the minimum input. High returns with low investments can be achieved only by sound and deliberated decision-making.

6) **Facilitates Innovation:** Rational and sound decisions help the managers in developing innovative and creative solutions to the identified problems. Decision-making aids innovation as it helps in rejecting impractical ideas, generating new ideas, launching new products, etc.

7) **Motivates Employees:** Sound, rational and transparent decisions go a long-way in motivating employees and in improving their performance. Rational decisions help the organisations in earning higher profits due to which employees develop a sense of faith and trust in the decision-making process.

8) **Effective Management:** The significance of sound decision-making on management effectiveness can never be undermined. The decisions taken by the management have an immense impact on the thinking and work performance of the employees. While making decisions, the mangers should make sure that the organisational resources and time is utilised efficiently and effectively. Management decisions impact the overall policies and culture of the organisation.

4.1.5. Decision Making Process

A series of phases or steps adopted and followed by decision makers (either as individuals or teams) so as to ensure the optimality of their decisions is known as the decision making process. The goals and objectives will be attained to the maximum when the decisions that are taken are optimal.

The process of decision-making involves several steps or phases which the managers undergo so that the underlying issue or problem can be carefully thought through and various alternative solutions can be developed. The decision-making process is illustrated in the following **figure** with the help of which an optimal decision can be reached. However, it should be noted that the decisions which are non-programmed are generally more benefitted through this process than the decisions which are programmed. It becomes necessary that the whole process of decision-making is carried out by the managers for the problems which arise in an infrequent manner and carry a large amount of uncertainty. On the other hand, the standard rules, procedures and policies generally take care of the problems which arise in a frequent manner and carry a large amount of certainty. As a result, formulating and evaluating the alternatives for such situations and problems becomes unnecessary. An **example** is provided with the help of which the process of decision-making can be explained.

Example 1: A person takes up a job in a school in an attempt to obtain high salary – the process of decision making is illustrated below:

4.1.5.1. Identifying a Problem

Decision-making process is conducted either to solve a problem or to achieve some goal. Hence, identifying the problem or the objective is the starting point of arriving at a decision. While defining the problem, it is the responsibility of the decision-maker to identify in detail the possible alternatives to the problem in structured format.

The difference between an existing state of affairs and the desired state can be known as a problem. However, while identifying the problem, the following aspects need to be considered:

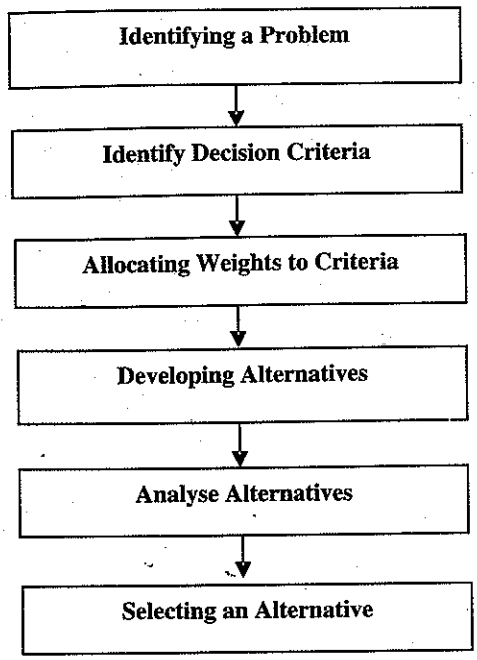
1) Identification of a problem is subjective in nature.

2) Ensure that the problem is genuine because sometimes, managers fell into the trap of considering problem symptoms as the real problem.
3) If managers do not possess the necessary resources, information or authority, then it is highly unlikely that a discrepancy would be considered as a problem by them.

Therefore, in this case, the problem to be identified is – "to acquire a position in a school in attempt to obtain higher benefits and salary."

4.1.5.2. Identify Decision Criteria

A decision criteria need to be identified after a problem has been identified by the decision maker. The problems are solved with the help of decision criteria. At this stage, what is applicable or relevant in decision-making is assessed by the decision maker. As a result, all of the values, interests and personal preferences of the decision maker are integrated at this stage. Identification of the decision criteria is crucial since it is not necessary that what is relevant to one individual will be relevant to others.



Hence, pertaining to the problem, in this case, given below are the factors relevant in problem-solving:

1) Timings,
2) Location,
3) Job securities,
4) Facilities,
5) Incentives,
6) Environment of the job,
7) Development opportunities, and
8) Salary.

4.1.5.3. Allocating Weights to Criteria

The relevant factors are assigned weights once the decision criteria are identified. This implies that the criterion which is considered to be most significant to the process of decision-making is ranked. This is done so that the criteria which are considered to be most significant is given due importance. All the factors are weighed so that they are given the relevant priority in the decision-making process if the criteria hold no equal importance. Generally, the criteria are assigned numerical weights as illustrated below:

Table 4.1: Criterion Weights

Criterion	Weights
Timings	06
Location	06
Job securities	07
Salary	10
Incentives	08
Environment of the job	08
Development opportunities	09

4.1.5.4. Developing Alternatives

At this stage, all the feasible alternatives capable of resolving the issue or problem are listed by the decision maker. The assumption in decision making process states that the decision-maker will produce every likely alternative solution to the problem. The assumption is however impractical since every business problem can have a number of likely solutions. In order to develop alternatives, decision-makers have to use their education, knowledge and experience. They can also see their peers, subordinates and supervisors as sources of information and guidance. For obtaining clues, the decision-makers can also evaluate the symptoms of the problem. Also, they can entirely rely on intuition and judgement for generating alternative clarifications and solutions.

The decision maker lists all the feasible alternatives (not yet evaluated) in order to finalise the school name:
1) The Educators,
2) IBA Community College,
3) Dawn Academy, and
4) Unique Grammar School.

4.1.5.5. Analyse Alternatives

After the development of the alternatives, the next step involves evaluation of alternatives which comprises of analysing and assessing every likely alternative against the set decision standard. An ultimate decision standard or criterion can be "does this alternative will forward us to our goal?"

The decision-maker has to analyse every alternative for clues or indication in a way to decrease the difference between the actual and desired state. The process of evaluation mainly involves:
1) Explaining the estimated results (benefits) from every likely alternative;
2) Assessing the estimated costs associated with every alternative, and
3) Anticipating the risks and uncertainties of every alternative.

The strengths and weaknesses of all the alternatives are evaluated and appraised with the help of decision criteria and evaluation given against the weighted criteria. As per the example in this case, every likely alternative is analysed and assessed against the set decision standard. Therefore, all the schools are evaluated against the decision criteria set earlier.

Table 4.2: Assessed Values Using Decision Criteria

Name	Salary	Opportunity to Progress	Job Environment	Incentives	Job Securities	Location	Timings
Unique Grammar School	8	9	6	7	10	7	8
Dawn Academy	7	7	10	5	9	5	8
IBA Community College	9	6	8	9	5	9	8
The Educators	9	8	10	7	8	7	8

4.1.5.6. Selecting an Alternative

Generally, selecting an alternative is considered as the most critical phase in the process of decision-making. It involves identifying and choosing that alternative which has the maximum possible lay-off depending upon the costs, risks, profits, and uncertainties of every alternative.

The best alternative is chosen. In this case, the one with the highest aggregate weight, i.e., 'The Educators.'

Table 4.3: Evaluation Against Weighted Criteria

Name	Salary	Opportunity to Progress	Job Environment	Incentives	Job Securities	Location	Timings	Total
Unique Grammar School	80	81	48	56	70	42	48	**425**
Dawn Academy	70	70	80	72	35	54	48	**429**
IBA Community College	90	54	80	72	35	54	48	**433**
The Educators	90	72	80	56	56	42	48	**444**

4.1.5.7. Implementing the Alternative

With the help of implementation, a decision is converted into action. Implementation can be achieved with the help of motivation and commitment of people involved in the process of decision-making. For an effective implementation, good managerial expertise and proper utilisation of resources are essential. The best alternative is implemented and communicated to all the concerned individuals after it is chosen. Also, the decision maker expects the commitment of all those individuals towards the alternative. Therefore, it can be seen that 'The Educators' emerge out to be the best alternative since its aggregate is the highest implying that it best fits the criteria of the decision maker.

4.1.5.8. Evaluating Decision Effectiveness

In the last stage, the results obtained from the decision are compared and analysed against the desired outcome. The decision-maker can restart the entire decision-making process or can repeat the present one if any difference occurs between the actual and the desired results. If not satisfied with the outcome, the decision maker can also alter the consequent decision-making process in order to avoid any further mistakes. Changes can be thus made at any phase of the decision-making process. Thus it can be said that decision-making is a self-correcting, dynamic, and continuous organisational process.

4.1.6. Managers Making Decision

Though decisions in a firm can be made by everyone, yet those taken by managers are crucial. This is because decision making is an integrated element of all the four functions of management, *viz.,* planning, organising, directing, and controlling. This is why managers are known as decision makers when they get involved in the process of all the four management functions.

In spite of the fact that every managerial task involves decision making, it is not necessary that decision making has to be complicated, time-consuming, or apparent to others. In fact, most of decisions taken by managers are part of their day to day task, ***e.g.,*** allocation of shifts to workers, data to be included in annual reports, ways to handle complaints of the customers, etc. It is important to note here that a decision is still a decision, no matter how simple it seems or how many times it has been tackled by the manager before. Following are the four aspects which are duly considered by managers while taking decisions:

4.1.6.1. Rationality

Good decision making involves recognising the underlying issues, duly considering different options, acquiring data and acting wisely. The good decisions are said to be taken when it is taken on these lines. Therefore, certain decision making characteristics have to be possessed by the decision makers. The managers are said to be good decision makers when they are competent and intellect in decision making. It is important on the part of managers to take rational decisions. Such a decision making involves being consistent and rational in making choices for getting maximum benefits. The rational approach to decision making is an ideal situation, as it is based on some important decision making assumptions.

Assumptions of Rationality

The assumptions of rationality are described below:

1) Firstly, it is presumed that the process of decision making is rational and objective. It confronts the problematic issue in clear and precise terms by considering all the possible alternatives.
2) Secondly, it is presumed that the decision makers possess knowledge about all the possible alternatives alongwith their pros and cons. Such assumptions are applicable to every type of decision making, be it managerial or personal.
3) One more vital assumption can be added to managerial decision making, *i.e.,* decisions are taken by the decision makers keeping in mind the organisation's best interest. Although, rational model may fail to fit in real life situations.

4.1.6.2. Bounded Rationality

Herbert Simon developed the concept of bounded rationality in decision-making to illustrate the actual decision-making process adopted by real managers in real organisations. The term "bounded rationality" represents constrained mental abilities of individuals, integrated with uncontrollable external influences, which restrict them from taking sensible and rational decisions. Bounded rationality is the kind of rationality adopted by managers in difficult conditions, which are beyond their cognitive limits. Due to these restrictions, managers adopt experimental or intuitive decision-making strategies.

Simon proposed the bounded rationality model of decision-making, which states that individuals have cognitive restrictions that prevent them from analysing relevant information essential for taking a decision. It simply means that a person may restrict his/her information search before taking a decision. **Dequech** has also explained the concept of bounded rationality as explained below:

1) Multiple objectives followed by individuals might prove conflicting. For this purpose, they need to choose an appropriate alternative from the available courses of action. Since, the decision-maker is not provided with such alternatives, he/she adopts a procedure to create multiple alternatives to choose from.
2) The decision-maker's intellectual ability as compared to the complex environment of decision-making creates various hindrances in considering the possible alternatives. Such limitations also prevail in conditions when consequences of alternatives have to be evaluated.
3) At last, a "satisfying" strategy is chosen by the decision-maker instead of an "optimising" strategy which satisfies a particular business condition, and helps the decision-maker in arriving at satisfactory solutions.

Bounded Rationality Process of Decision-Making

The process of decision-making as per the model of bounded rationality is as follows:

1) Determining goals to be accomplished or defining the problem to be resolved.
2) Setting a criterion or minimum performance level which act as a standard for selecting an alternative.
3) Implementing heuristics for evaluating the alternatives and narrowing down to a particular capable solution.
4) Decreasing the criterion level, if feasible alternatives are not achieved. (Repeat second and third step)
5) Analysing the acceptability of a feasible alternative.
6) Searching for a new solution, if the identified alternative is unacceptable.
7) Implementing the solution, if the identified alternative is acceptable.
8) Checking whether the determined goals are achieved or not with the identified alternatives, and increasing or decreasing the set criterion level for future decisions according to the current solution.

Implications of Bounded Rationality

The scope of bounded rationality is extensive which impacts both marketing as well as consumer decision-making. Marketers should aim at better understanding of weaknesses and strengths of the organisation, and can gain higher benefits by critically analysing the decision-making process in case when they identify the sub-optimality of marketing decision-making. Marketers should recognise that rationality plays an important role when consumer makes decisions about different products and services.

4.1.6.3. The Role of Intuition

The intuition of managers plays a vital role in decision making. It has been found through a survey that decisions taken by nearly half of surveyed managers were based on intuition instead of formal examination and analysis. Such an intuitive decision making is based on the emotions, experience and collected judgement of the decision makers. Intuitive decision making has been called as 'unconscious reasoning'. Different aspects of intuitive decision making have been identified by the researchers which are depicted in **Figure 4.1**.

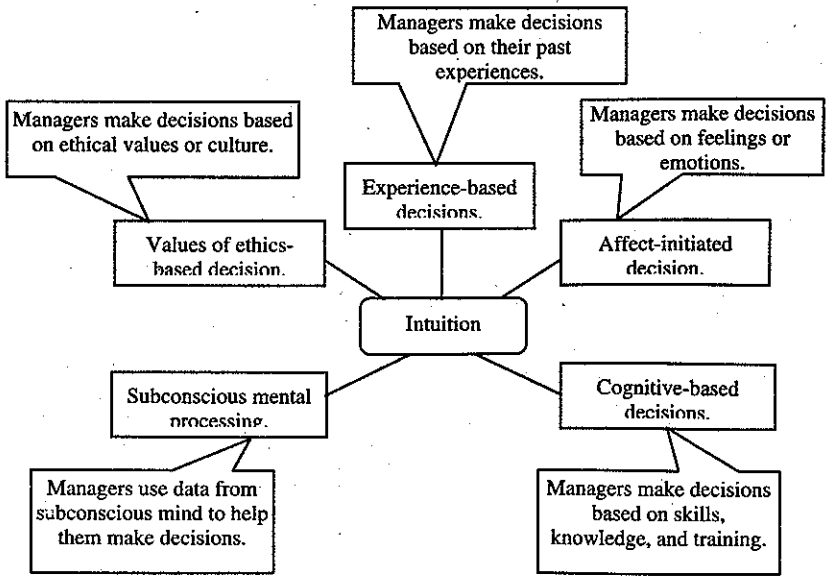


Figure 4.1: Role of Intuition

In fact, intuitive decision making can aid in both rational decision making as well as bounded rationality. Firstly, those managers who have previously undergone similar situations or tackled similar problems generally take the decisions in a prompt manner.

Moreover, it has been shown through a study that those managers who experience deep emotions while decision making are usually able to take better decisions, particularly when they comprehend their underlying emotions at the time of decision making. Hence, the traditional perception that emotion should be kept aside while taking decisions, holds no good today.

4.1.6.4. The Role of Evidence-Based Management

According to Pfeffer and Sutton, evidence-based management "is a way of seeing the world and thinking about the craft of management." **For example**, cosmetic department of a leading store was experiencing high degree of attrition of the sales personnel. However, adopting evidence based management helped the store to retain the employees and in turn resulted in better recruitments.

If a person is experiencing baffling symptoms, it is better to seek advice from medical practitioner who would take decisions based on the appropriate evidence available. In the same way, managers would also like to take decisions based on the appropriate evidence available. Similarly, any decision from buying a birthday gift to a food processor can prove to be best if based on relevant evidence.

Evidence-based management (EBMgt) is also based on similar principle and can be described as "systematic use of the best available evidence to improve management practice."

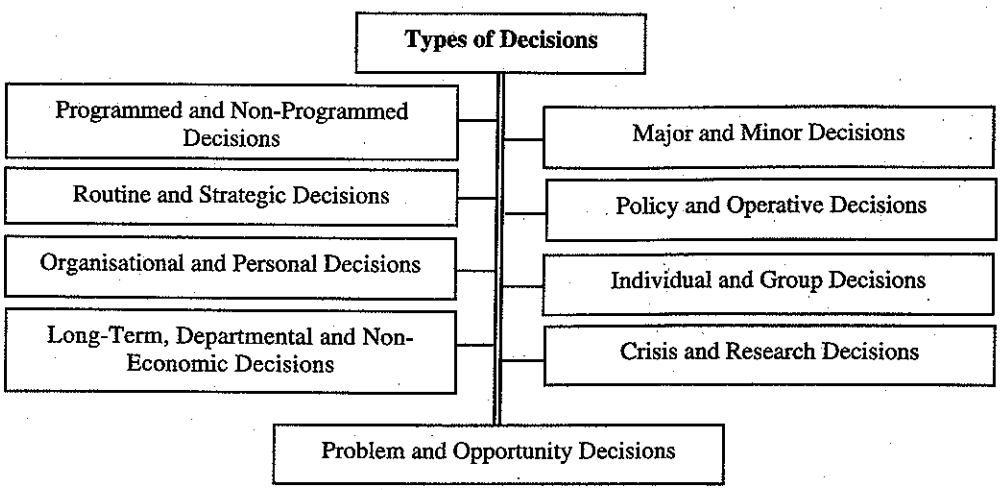
EBMgt also plays vital role in managerial decision making. There are four crucial elements of EBMgt which are as follows:

1) Proficiency and judgment of the decision maker,
2) External evidence that are assessed by the decision maker,
3) Values, ideas and choices of all the stakeholders in decision making, and
4) Internal factors of the organisation like atmosphere, employees and conditions.

Depending upon the kind of decision, all of these elements will have a different impact on a particular decision. At times, the intuition of the decisional maker is predominant, at other times the views of the stakeholders are dominant and at some other times the moral obligations of the organisation based on environmental culture is crucial. Hence, the role of manager is very vital, as it is he/she who decides which elements should be given preference while taking a particular decision.

4.1.7. Types of Decisions

Although decision-making is one of the most significant functions of a manager, not all decisions are equally important or significant. Some have a limited impact, while others have far reaching consequences. Different types of management decisions are as follows:



1) **Programmed and Non-Programmed Decisions:** Some experts have broadly classified all decisions into following two classes:
   i) **Programmed Decisions:** These decisions are taken while formulating the policies of the organisation and are repetitive in nature. The problems and choices related to programmed decisions are predictable and hence responses or outcomes are also as per the plans. There are templates in the form of standard operating procedures, rules, etc., which lay down the decisions that are needed to be taken in a particular situation, **e.g.,** employee orientation and verification procedures. These decisions have low impact and are taken by low level management without the involvement of the top level management.
   ii) **Non-Programmed Decisions:** Non-programmed decisions are unique and unpredictable. They are taken according to particular problems or situations. They are based on logical thinking with sound judgement and are hence normally taken by the top level managers, **e.g.,** decisions related to business expansion, adopting a new technology, launching of new products, etc.
2) **Major and Minor Decisions:** Decisions can also be major or minor. Major decisions are those that carry a high risk or involve a heavy cost, **e.g.,** opening a new factory. Decisions are termed as minor when they involve low risk or low cost, **e.g.,** replenishment of cleaning supplies in the organisation. They are generally taken by the low level management.
3) **Routine and Strategic Decisions:** Routine decisions are those common day to day decisions that do not require any great evaluation or deliberation. Being low on risk, they also do not involve any substantial cost. They do not require a lot of time and are monotonous in nature. Strategic decisions are also known as basic decisions and involve high risk and cost. They are related to the formulation and implementation of strategies and policies. They are non-monotonous in nature and are taken keeping in mind a particular problem or situation. Such vital decisions are in the hands of the top management and require higher level expertise, knowledge, evaluation and experience. **For example,** the decision taken by Reliance Industries to set up Asia's largest Refinery in Jamnagar was one such strategic decision.
4) **Policy and Operative Decisions:** The primary task of the top management is to set goals and formulate policies. Policy decisions give direction to the organisation and have great significance in long-term functioning of the organisation. Operative decisions are taken within the ambit of the policy decisions. They relate to daily operations and are generally taken by the executive and supervisory level management as they are responsible for the day to day functioning of the business.
5) **Organisational and Personal Decisions:** Organisational decisions relate to achievement of organisational goals, whereas personal decisions are taken to achieve personal goals. Organisational decisions are taken by the middle level managers on the bases of the organisational policies. These decisions can be delegated to the employees of the organisation. Personal decision cannot be delegated and are taken by the managerial personnel on individual level. Personal decisions vary from person to person.
6) **Individual and Group Decisions:** As the name implies, individual decisions are taken by individuals on the basis of rules, procedures, policies and standard operating procedures of the organisation. Decisions that require due deliberation and diligence are known as group decisions. They are generally taken by the Board members or a specially formulated committee. They are extremely significant for the success of the organisation and require willing involvement of the group members.
7) **Long-Term, Departmental and Non-Economic Decisions:** The decisions that are high in risk and can impact the organisation in the long run are known as long-term decisions. Departmental decisions are related to a particular department and do not necessarily influence other departments or the organisation as a whole. Non-economic decisions are related to the conduct of moral and ethical behaviour, technical values, etc. While making decisions the manager should remain unbiased and should make conscious efforts to provide justice to all the members of the organisation.
8) **Crisis and Research Decisions:** As the name suggests, crisis decisions are required to be taken in response to a crisis or an unanticipated situation, which inherently carries a threat and demands an immediate response. Hence, such decisions are unexpected, have high risk and require quick response. However, many organisations draw up contingency plans so that they have some protection against the sudden crisis or problem. On the other hand, decisions that involve research and study of a problem are called research decisions. They do not require prompt response and the decision-maker can take time before handing over the results.

9) **Problem and Opportunity Decisions:** Problem decisions are taken in response to a problem that is less severe than a crisis. These decisions are taken by the decision-maker to solve predictable problems. Opportunity decisions are required to be taken to create and exploit business opportunities, **e.g.,** decisions related to cross-selling and up-selling. They are therefore customer-driven and based on a careful study and analysis of customer behaviour. Another example could be the decision to launch a new product.

4.1.8. Decision-Making Conditions

Decision-making is a process in which a certain alternative is chosen among the various available alternatives. The implementation of this chosen alternative is done in the future. Therefore, it can be said that the decision-maker makes a decision for future events. However, long-term decision-making should not be treated as decision-making related to the future; rather it should be seen as the reflection of future needs in the present decisions. As depicted in **figure 4.2**, the future conditions upon which a decision is based have a large range of certain as well as uncertain factors.

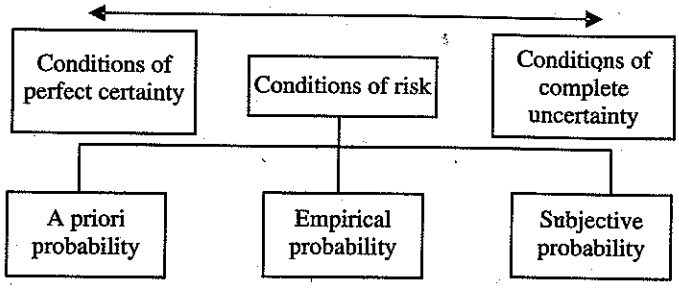


Figure 4.2: Decision-Making under Different Conditions

Based on the availability of information regarding the results or probable chances of each result, decision-making can be categorised under following three conditions:

1) **Decision-Making Under Certainty:** The situation of certainty is said to exist when the occurrences of all the events are precisely known to the manager. This signifies that the manager will be able to make perfectly accurate decisions. The situation of decision-making under certainty exists when the decision-maker has made similar decisions a number of times, and the decision involves activities of near future.

2) **Decision-Making Under Risk:** In this type of decision-making situation, the different details of a particular situation can be specified, and it is quite possible to predict the occurrences of these events in the long run. The information related to various circumstances is probabilistic in nature, which means that there is no certainty of the results (payoff) when a certain action plan or alternative is chosen by the decision-maker. While making decision under risk, it becomes difficult to determine the exact monetary results or payoffs for the various combinations of alternative actions, as there will be several results for each selected alternative or action.

3) **Decision-Making Under Uncertainty:** Under this condition, the states of nature are completely uncertain, and no information is available about their chances of occurrence. In these cases, no relative frequency or historical data is available which can help the decision-maker in determining the probability of occurrence of a certain situation. Launching of a new product or establishment of a new manufacturing plant can be regarded as situations of decision-making under uncertainty. Here, the personality and experience of the decision-maker plays a significant role in the selection of appropriate alternative or decision strategy.

4.1.9. Decision Making Approaches

A decision is taken on the basis of analysis and evaluation, different approaches adopted and the activity of questioning. A decision making process is said to be systematic when the appropriate criteria are recognised and defined and due consideration is given to every relevant alternative. The approach of decision making involves defining criteria, considering alternatives and analysing the decision making process objectively. As a result, the individuals are likely to consider all the possible alternatives in relation to a specific decision. In fact, there are various approaches to the process of decision making. Managers take decisions based on the insights offered by these approaches on the decision making process.

4.1.9.1. Quantitative Approach

As in case of operations management, there are also a number of quantitative methods adopted in project management while carrying out the process of planning, forecasting, scheduling, keeping an eye on activities, etc. The **quantitative approach** involves taking the best possible decision by employing mathematical and statistical tools in the situation full of uncertain outcomes.

In fact, the classical approach to decision making has been extrapolated to give rise to the quantitative approach. The steps involved in the quantitative decision making process are described below:

1) Identifying and defining the scope of a problem,
2) Hypothesis formulation,
3) Using experiments to test the hypothesis,
4) Verification of the solution through analogical reasoning,
5) Carrying out sensitivity analysis,
6) Making predictions about possible solutions to the problem,
7) Execution of the solution, and
8) Formulation of control systems for giving feedback and for reviewing.

Though, these steps take place in sequential order, yet, these steps are interchangeable. Variation in the order of steps can take place on the basis of experience. The mathematical tools are employed in the quantitative approach for finding the best possible solution for the problem in business scenario, while giving due consideration to environmental constraints. It involves problem oriented approach which proves to be especially beneficial for structured decision making. Such an approach is appropriate when it is possible to control the vital factors to some extent and the managers hold command over the decision making process. It is usually found in decisions pertaining to operations. It involves stating the problem in unambiguous terms and segregating the influence of problem and its causes.

Usually several the Operations Research and statistical tools are employed by manager for defining the problem and for finding the best possible solutions for it.
Various methods involved in it are as follows:

1) Regression analysis,
2) Techniques of replacement,
3) Simulation and decision theory,
4) Dynamic programming,
5) Queuing theory

The best part of these techniques is that these help in giving optimum solution for a problem without need of considering the alternatives. This feature is especially beneficial in cases when there are numerous possible alternatives and only few of them are worth contemplation.

4.1.9.2. Environmental Approach: Environmental Decision Making, Risk and Uncertainty

Environmental decision-making appears to be a complex process which can be taken by the specialist. Anyhow, environmental issues affect our day to day lives. Environmental issues become manageable when the societal decision making process is compared with the decision making of family. All the facts are duly considered by the ecologists and various alternatives are analysed for getting the optimum solution. Anyhow even the best possible solution can raise controversies due to conflicting ideas among stakeholders.

Environmental Uncertainty

Uncertainty refers to situation when there is limited knowledge about the existing issues or potential consequences. It involves risk factor. Managerial role revolves around uncertainties, hence, it is important on the part of the manager to lower these risk factors based on his/her proficiency and experience. Risk factors can be managed by lowering or eliminating those factors which can adversely affect the efficiency.

Proximity is one of the primary reasons for uncertainty, *i.e.,* it is easier to estimate those risk factors which are likely to occur in nearby future. For handling uncertainty, the best possible approach is not to take decision till it is possible to acquire relevant information. Obviously, it is not possible to deny the risk involved in waiting, specifically when it can have serious negative impact.

Identifying Environmental Risks

Uncertainties in decision making can be managed through identification, quantification and analysis of the factors which can possibly have an impact on the results. It helps managers to recognise possible risk factors and their influence. Various types of such risks are as follows:

1) **Strategic Risks:** It refers to those risks which come out of money used by company for pursuing its goals. These risk factors are prone to competition. There are three types of such factors *viz., macroeconomic risks* (the alliance of buyers and sellers based on demand and supply), *transaction risks* (the operational risks occurring due to collaboration, possession, business alliance), and *investor relation risk* (the risks occurring due to communication/miscommunication with investors).
2) **Financial Risks:** It refers to those financial losses occurring due to poor allotment of funds, wavering rate of interest, changes in tax policies, rise and fall in prices or changes in value of currency.
3) **Operational Risks:** These refer to risk factors occurring due to design and processes used for the production and supply of goods and services. These involve factors like – defects in production, poor quality of raw material and inappropriate technology/technological breakdowns.
4) **Legal Risks:** These refer to risks occurring due to legal issues or non-adherence to guidelines (or changes in legal framework). These legal issues lead to uncertainty in fulfilling obligations towards stakeholders such as employees, distributors, customer, government and society at large.
5) **Other Risks:** There can be some risks related to *force majeure*, or events or circumstances that are beyond organisation's control. It includes natural disasters in form of floods, earthquakes, landslides or manmade crisis like warfare, etc.

Quantifying Environmental Risks

On recognising a particular type of risk which can influence some decision, the next step is to quantify it. This means that management needs to make estimation about expenditure in case of any risky consequence. In terms of figures, it can appear to be scary especially when it pertains to money. In general terms, risk factor equals to product of estimated sum of the risky results and potential losses. It is quite alike a sensitivity analysis when there is awareness about universe of results.

Managing Environmental Risks

One of the crucial aspects of decision making process is absorbing, transferring and managing risk particularly there can be potential risk. Generally, it is known as risk appetite of the management which helps in determining the tolerance level of risky outcomes, after of course the identification and quantification of risks. **For example**, it is possible to absorb or transfer financial risk by using buffer, however legal risk can be managed through cautious use of language in contract. In case managers consider that the organisation can manage potential risk factors, it means that the firm is competent enough to have large risk appetite.

4.1.9.3. System Approach

Sometimes different kinds of problems in business are solved through the systems approach.

This approach involves considering organisation as a whole. In other words, regardless of the department of the managers, their ultimate objective should be towards attaining organisational goals. For this purpose the mangers are required to interconnect their respective departments with the whole organisation. Managers should maintain lines of communication with fellow beings in other departments. The system approach does not involve functioning within the conventional organisational structure. The managers need to harmonise their activities with the organisational goals. The systems approach emerged for resolve two divergent way of thinking, *i.e.,* classical (organisation without people) and behavioural (people without organisation).

The systems approach to management plays a crucial role in decision-making process. Decision-making refers to selecting the optimum solution out of various alternatives. Faulty decision on part of managers many a times leads to failure of the organisation. The success or a failure of an organisation largely depends upon the kind and quality of decision taken by the manager. According to the systems approach which is based on the principle of unity and harmony, every managerial action should be taken with full caution. As discussed earlier, the system approach is based on the premises that every organisation is made up of interconnected elements. It is essential that these elements should synchronise for enabling the organisation to attain it objectives.

For example, let us consider an automobile and its carburettor, in case there is some problem in the carburettor, the automobile will not work. The reason being carburettor is a vital part of the automobile. Similarly in case in human body, if there is some problem in functioning of heart, the entire body will not function properly.

If the two examples are linked to decision making, one can conclude that systems approach and decision-making are directly related. There are numerous departments, sections and units in an organisation. In order to attain the missions and goals of the company, there should be synchronisation between such different departments and sections of the company.

The head of the department has authority to take decision for his/her department. Obviously such a decision may also affect other departments and the entire organisation. For this reason, the manager should be very careful while taking the decisions, as a single wrong move can adversely affect the whole organisation.

In fact, the decision-making aspect of systems approach to management is applicable everywhere, from a family, nation, region, community to any social unit.

4.1.9.4. Ethical Approach

At any workplace, various decisions regarding day-to-day activities and transactions are taken by the executives and managers. Many a times, decisions are permissible both by legal and ethical codes, whereas some decisions taken by them, due to mandatory pressure for tackling competition and due to some other contingencies of business, are neither ethical nor legal.

But according to various ethicists, researchers and academicians there is still a scope of improvement of ethical standards of businesspeople, apart from the demanding situations and competitive pressures.

In organisation, there exist a set of rules that supervises the concerns like approval from authorities, need of profit maximisation, keeping up the goodwill, considering the stakeholders' interests, etc. It is almost impossible to understand the common bases on which managers and executives take their decision. Yet, an attempt can be made in order to slightly understand the factors that guide their decisions. This can be done by analysing the case studies, reading the experiences of entrepreneurs, research reports, and widely accepted models and approaches of ethical decision-making.

Process of decision-making becomes more challenging in business settings because of intricate circumstances of businesses. Reaching to an ethical decision is comparatively very easy for an individual who makes decision for his private life, than for a manager who needs to keep in mind various complications.

Ethical decision in business should be grounded upon balanced, logical, methodical and clear reasons; because it might be questioned by various stakeholders and then manager might need to explain it in front of all of them.

Guidelines for Making Ethical Decisions

1) **Integrity:** It is necessary for a decision-maker to overall think autonomously to make an ethical decision. It is largely possible for him to take an unethical or immoral decision if he does not feel able to make the decision on his own but rather thinks that he should make a particular decision owing to external forces and provocation.

   A decision-maker most probably will make a choice that is not his own, but rather one that he has been persuaded or forced to choose and hence he feels that his independence to take decision is abstained. The person who is applying pressure can have a secret plan and the decision-maker can possibly enter an unethical territory by making those particular choices. It is crucial for the decision-maker to find out this as a circumstance and then be directed by integrity.

2) **Legalities:** Decisions are usually taken giving consideration to concerned laws, rules and regulations. An individual must primarily confirm that he understands the laws and other regulations that should essentially influence his selections, in case he is in a decision-making process with legal consequences. This will ensure that the selection he does is in accordance with these laws.

3) **Fidelity:** A decision-maker should remain loyal to any obligation made in the past. There is a probability of being considered immoral if in future the decision-maker takes a decision that is contradictory to this obligation. This will prove him deceitful in regards to his commitments. **For example,** the ethics of a decision made will be questionable if the decision-maker promised to continue with one vendor for a given time period but shifts to another vendor before the stipulated time period.

4) **Consideration of Impact:** The effect a decision can cause upon others should be the primary concern of a decision-maker while making decisions. He can boost his probabilities of making an ethical decision where all impacted peoples' requirements are fulfilled to the optimum level possible, with due regards to the long-term influence of his decision.

5) **Input Receiving:** According to ethics, the decision-maker should take into account all the needs and wants of people while taking any decision. A decision-maker involved in ethical decision making should be one who gives everyone an equal chance to express their views and take into consideration the needs and demands stated by them before landing on final decision. This is a very important step towards optimal moral decision-making.

6) **Fairness:** There should be no scope of letting prejudice impact the decisions made by decision-makers. **For example,** an individual's decision can be biased or unethical if he authorises his beliefs for a specific individual or group of individuals to affect his decisions.

4.1.9.5. Intuitive Approach

There can be very diverse approaches to the process of decision making, such as classical and rationalistic, or flexible structured and intuitive. The process of rational decision making involves a step-by-step approach for attaining the desired rational solution. On the contrary, the nature of intuitive decision making is subconscious and subjective and is based on instinct.

Intuitive approach depends upon the skills and experience of decision maker in problem recognition. It refers to 'an unconscious process emerging out of the previous experiences of a person'. Even with scanty data, the decision maker is able to take decisions instantly. Decision makers often take help of trends and intuition for taking the decisions quickly.

Usually decision makers resort to the intuitive approach when the problem is ill-structured, environment is highly altering, time is less, or if there is high risk factor. It is based on knowing the trends based on experience. It is often termed as "fingerspitzengefuhl" or "d'oeil" under military regime. Intuitive decision making is largely used in the research field of Naturalistic Decision Making (NDM) and is defined as "decision taken by people based on their experience."

Intuitive decision is taken promptly and is taken independent of intelligence and awareness. Irony is that it is not common to have good intuition and it constantly requires improvement. People find it difficult to make use of intuition for solving simple problems or take simple judgements.

The intuitive decision making is based on knowledge and experience. Intuitive decision making is confined not only to managers and business owners; rather it is widely used in academic profession, such as by teachers and professors also.

In fact, intuition is widely used in every situation though its degree varies from situation to situation. The intensity of intuition to be used in a situation depends upon internal factors (*i.e.,* personality traits of decision makers, his/her skills, attitude towards life and experience) and external factors (circumstances under which decision is taken, the kind of problem, organisational culture). The intuitive decision making often occurs at sub-conscious level anyhow, it helps in making the decision process more precise and effective. If intuitions are used at conscious level, it can help in making it more effective. In the first place, it helps in identifying the relevant information pertaining to decision making. It can also help in knowing more in case of missing information. It gives direction to a decision maker for reaching at the optimum solution. Generally, it helps in gearing up and simplifying decision making process by lowering the extent of numerous options available.

4.1.9.6. Case Study Approach

A case study refers to a research method which helps in drawing intensive and extensive insights pertaining to complicated issues of real life. It is a well formulated research design which is widely employed in an array of disciplines, specifically social sciences.

Case study helps in explaining, describing, or exploring incidence occurring in day to day life. It can help in knowing and explaining relationship between various facts and underlying causes. The case study approach helps in getting detailed information in terms of how, what, when, why, and where. **For example**, why intervention is needed and how it is implemented. Besides case study approach helps in knowing how intervention is lacking in some respect and why one strategy is preferred over others.

A case study refers to detailed analysis of a business situation whereby problem has to be solved or decision has to be taken. It may be a real life situation or part of it concealed in order to maintain confidentiality. Generally, case study is written in a way to keep the reader in the shoe of manger who is liable to take decision for solving some problem. Mostly, case studies involve taking decision, though the decision can be to not do anything and leave the circumstance intact.

4.1.10. Decision-Making Styles

Decision-making styles can be divided under the following three categories:

1) **Reflexive Style:** Reflexive style is based on the criteria of quick decision-making in which the decision-maker neither takes much time while collecting all required information nor gives consideration to all possible alternatives. Such decision-makers are decisive in nature and do not postpone or procrastinate. However, this style of decision-making often leads to duplication and wastage of resources since all alternatives have not been given proper consideration.
2) **Reflective Style:** Contrary to reflexive style of decision-making, a decision-maker adopting a reflective style of decision-making takes sufficient time in collecting relevant information and analysing various possible alternatives. Reflective style does not involve jumping to hasty decisions, but often leads to procrastination, and indecisiveness. It often results in wastage of time and organisational resources.
3) **Consistent Style:** This style of decision-making does not involve making hasty decisions or wasting time and organisational resources. Rather, decision-makers with consistent style have sufficient knowledge regarding the various information and alternatives needed for making effective decisions. Consistent style of decision making is usually regarded as the best style for making sound decisions.

4.1.11. Linear-Nonlinear Thinking Style Profile

Decision making is greatly affected by the thought process of the person. Following two are reflected through the thought process of the person:

1) The source of data one is likely to use (external data or internal sources, like emotions and intuition), and
2) If information is processed in a linear manner (rational/logical/analytical) or a nonlinear manner (intuitive/creative/ insightful).

Out of these four dimensions, emerge two styles, *i.e.,* **linear thinking style** and **nonlinear thinking style**. The former is marked by choice of an individual regarding external data and facts, *i.e.,* using rational and logical thinking to process this information. The latter is marked by choosing internal sources of information (*i.e.,* emotions and intuition) and processing this information using insights, emotions, and instinctive feelings.

It is essential for managers to know that decision-making styles vary from employee to employee. Few staff members are likely to weigh pros and cons of various options. On the other hand, few employees have to think rationally prior to decision making. This is not to say that one approach is better than the other instead it tells about different decision making styles.

4.1.12. Making Biases and Errors

As the process of decision-making holds great significance, choosing the best of the available alternatives is still not known to most of the corporate executives. They simply use computer software evaluations or personal intuition for making decisions. They do not know that these decisions are affected by their own cognitive

biases. A good judgment is more crucial nowadays as modern corporate environment is full of challenges and complexities. The two common sources of judgmental errors are the limited capacity of the human mind and the natural biases depicted by many managers in the decision-making process. Nonetheless, more rational choices can be made by the managers if they are aware of the six biases which are given under:

1) **Being Influenced by Initial Impressions:** When decisions are considered, a very uneven preference is given to the first information which is received by the mind. This first information, in the form of initial estimates, statistics or impressions, serves as anchors, and therefore, guides the consequent judgments and thoughts of the humans. An anchor can be anything, from a statistic in a magazine, random opinions of a co-worker, to even the previous trends and events. **For example**, the most common method of sales forecast is looking at the sales figures for the past years. However, managers should not rely much on the past since this can result in making inaccurate decisions and poor sales forecasts.
2) **Seeing What You Want to See:** Generally, only such information is sought by individuals, which tends to assist their present viewpoint or instinct. Conversely, the information which contradicts their existing viewpoint is avoided. Such bias influences the sources of information for decision consideration and the manner in which the information is interpreted. Very less preference is given to the information which contradicts with the existing point-of-view. Honesty on the part of the managers regarding their purposes and motives is essential. Moreover, all the proofs and evidence need to be examined with the same amount of precision and diligence. This decision trap can also be avoided by having a devil's advocate, i.e., by expressing debate-provoking opinions.
3) **Justifying Past Decisions:** Choices justifying the previous decisions are made by most of the people, irrespective of the invalidity of those decisions in the present. **For example**, a lot of energy and time may be invested by managers in the improvement of poor-performing employee who should never have been recruited. Likewise, huge amounts of money are put in by the investors in declining businesses in the hope of turning the venture into a success. Humans make mistakes, but this fact is difficult to be accepted. As a result, erroneous decisions are continued to be taken by people so that they can rectify their decisions taken in the past. Hence, the phrase, 'throw good money after bad' aptly fits in such situations where further losses are incurred in order to recover losses of the past.
4) **Overconfidence:** One of the decision-making biases is the overconfidence of the managers regarding their ability to predict the uncertain future outcomes. Unrealistic expectations are possessed by managers regarding their capability in comprehending risks and taking the correct decision. **For example**, people overestimated their accuracy when they were asked about topics in which they had less knowledge (*viz.*, value of exports (in dollars) in a specific industry. Therefore, a wrong alternative can be chosen by managers since they might overestimate their capability of forecasting uncertain consequences.
5) **Perpetuating the *status quo*:** New alternatives, technologies and information might not be fully explored by managers if their decisions are based on what has worked out in the past. **For example**, DuPont was kicked out of the market by Celanese because of the fact that DuPont stuck with nylon and Celanese went ahead and started manufacturing polyester which was a better material for tyres. As a result, 75 per cent of the tyre industry was quickly captured by Celanese.
6) **Being Influenced by Problem Framing:** Just by the way the problem is framed, it can influence a manager's decision response. **For example,** suppose a three barges' cargo sank off an ocean shore and a decision has to be taken by a manager. He/She is offered the following approval options:
   i) A plan where the cargo of all three barges, valued at 300000, can be saved with a one-third possibility, and nothing can be saved, with a two-thirds possibility, or
   ii) A plan where there the cargo of one of the three barges, valued at 100000, can be saved with a 100 per cent possibility.

   Option (ii) is chosen by most of the managers. However, the following choices are available with managers when the same issue is framed in a negative way:
   i) A plan where all the three cargoes are lost with a two-thirds possibility, but no cargo is lost with a one-third possibility, or
   ii) A plan where all the three cargoes, valued at 400000, is lost with a 100 per cent possibility.

   Option (i) is chosen by most of the managers with this kind of problem framing. Both are similar problems and the way the problem is framed strictly determines the decision choice.

4.1.13. Effective Decision Making In Todays World

Decision making is the central point of today's world of business. Decisions can be risky or sometimes taken under extreme pressure or without complete information. There are some managers who take decisions in succession. This is both dangerous and challenging. Millions can be lost if poor decisions are taken.

Therefore, the following guidelines should be kept in mind so that the decisions taken in today's world are effective:

1) **Defining the Goals:** It is very important for a decision-maker to clearly define the goals of making a particular decision. The objectives that the decision-maker wants to achieve, by making a decision, should be clearly stated. Such individual objectives should contribute and coincide with the achievement of organisational goals.

2) **Ensuring that the Decision Contributes to the Goal:** When the goals behind making a decision are clearly stated, it is ensured whether such decisions contribute towards the stated goals or not. A wide variety of goals are aimed to be achieved by the managers, while making a decision.

   For example, the objective behind any sales promotion activity is not only to have a larger market share and eradicate the market competition, but also to improve profit of the organisation. Hence, it is not necessary that all the goals are complementary to each other. It is the ability of decision-maker to maintain a proper equilibrium among the contradicting goals through decisions which can fulfil their own objectives.

3) **Adopt a Problem-solving Approach:** It is important for a decision-maker to have good analytical skills. Alongwith recognising and explaining various business problems, he must be able to determine the extent, type and source of information required for analysing a business problem. For this purpose, the decision-maker should be analytically sound for effectively analysing both internal as well as external business environments.

4) **Involving Subordinates in Decision-Making Process:** Various important objectives can be accomplished by involving subordinates in the process of decision-making. The quality of decision-making can be enhanced, especially in situations where a manager lacks required skills for taking a particular decision.

   As many decisions have various dimensions such as technical, financial, human resource, administrative, etc., the chances of effective decision-making increase when subordinates with different potentials and fields are involved. Not only the new dimensions of a problem are explored, but a level of commitment towards the execution of decision is also identified, when subordinates take active participation in decision-making.

5) **Ensuring Successful Implementation of Decision:** In practical business environment, the expected results cannot be achieved even from the best possible decisions, if not implemented efficiently. A better understanding of problems and their consequences is one of the essential prerequisite for successful implementation of a decision. By promoting upward communication, a manager can successfully implement the decisions in both the directions.

   A manager should have a clear idea of when and what kind of support is required by subordinates and should also be ready to provide any kind of assistance to them. This objective can be accomplished more effectively when the manager forms a team of his subordinates and leads them towards a right direction.

6) **Evaluating the Results:** Many individuals and organisational goals are associated with a decision-making process. Thus, the outcomes of any decision must be analysed on the basis of predetermined goals.

7) **Being Flexible:** The decision-maker should take decisions in a flexible manner by efficiently understanding the business conditions. Such flexibility should be expressed by the manager in the process of decision-making as well as in their execution. The decisions must be altered, discarded or replaced with new decisions, which are more likely to accomplish the goals, if the existing decisions cannot achieve desired results.

4.1.14. Administrative Problems in Decision-Making

Correct and accurate decision-making should be executed by the management. The entire business can suffer if one poor decision is taken at any managerial level. However, the process of decision-making is plagued with certain problems. They are described below:

4.1.14.1. Correctness of Decision

The very first issue which the management faces is to know if the decisions which it took are accurate or not. All the efforts and money will go in vain if the decision taken is not accurate. There are certain factors which determine the accuracy of a decision, like decision maker's potential, proper availability of information and the correct analysis of the information. The whole premise of the decision will not be correct when there is unavailability of proper facts and details. Decisions will be accurate if they are taken upon an accurate issue with its appropriate analysis.

4.1.14.2. Decision Environment

The process of decision-making gets influenced by the prevailing physical and the organisational environment. Mutual confidence and trust among the managers will exist when the general environment is conducive. Moreover, a satisfactory environment will ensure that the subordinates fully cooperate with the management in the process of effective execution of the decisions. Also, greater amount of opportunities will be present for carrying out studies on the factors which influence decisions. If suitable environment is present, then managers do not avoid decision-making, instead, they are encouraged to execute the decision-making process with confidence.

4.1.14.3. Timing of Decisions

Timing is crucial in the process of decision-making. Mere taking decisions is not the only problem, the proper time to take the decisions is also an issue. The usefulness of the decisions will be lost if they are not taken at the appropriate time. **For example,** there is a possibility that the competitors will seize the market share if decisions regarding introduction of a new product are not taken by the concerned firm at the proper time. Hence, it can be said that timing has a crucial role to play in decision-making.

4.1.14.4. Effective Communication of Decision

Another administrative issue which the management faces is communicating the decisions to the concerned individuals in an effective manner. The receiver should properly understand the language in which the decision is communicated. The decision will serve no purpose and will remain on papers if it is not properly communicated to the individuals who are responsible for executing it. A lot of communication barriers are to be crossed for the proper communication of the decisions.

4.1.14.5. Participation in Decision-Making

Viewpoints of all the concerned individuals should be obtained before arriving at a final decision. The problem at hand and its proper analysis will be viewed from a wider perspective when viewpoints from different individuals are obtained. The function and authority of decision-making usually lie with the top level management and a few other persons. This is the general tendency. But it is believed that there will be problems in the implementation of the decisions if this tendency continues to prevail. It is also possible that proper consideration is not given to the points-of-view of those individuals who will be directly affected by the decisions. There will be many unfilled gaps and voids in those decisions. Therefore if possible, a large number of concerned individuals should be involved by the management in the process of decision-making.

4.1.14.6. Implementation of Decision

Another issue which the management faces is the proper implementation of decisions. After the conclusion of the process of decision-making, it is necessary that honest efforts are put in so that the decision gets implemented in an effective manner. The process of implementation should be carried out through the collaborative efforts of both the managers and the subordinates. External experts, as well as staff personnel can be consulted by the manager but he/she will be the one to take the final decision. It will be the responsibility of the manager to implement the decisions. The manager is criticised if the decision does not go as per plan. On the other hand, he/she might not even be appreciated if everything goes well. As a result, numerous issues are to be taken care of when it comes to implementing the decisions.

4.2. EXERCISE

4.2.1. Very Short Answer Type Questions

1) Define decision making.
2) Explain the role of intuition in decision making of a manager.
3) What is grid analysis?

4.2.2. Short Answer Type Questions

1) What are the characteristics of decision making?
2) Why decision making is important?
3) Mention the assumptions of rationality.
4) Write a note on evidence based management.
5) Explain different styles of decision making.
6) Discuss the effective decision making in today's world.

4.2.3. Long Answer Type Questions

1) Discuss the techniques of decision making.
2) Explain the process of decision making.
3) What is bounded rationality? Explain its process and implications.
4) Describe decision making under different conditions. Also highlight the different types of decisions.
5) Explain the system and environmental approach of decision making.
6) What is ethical approach to decision making? Suggest some guidelines for making ethical decisions.
7) Write a note on intuitive approach and case study approach.
8) Explain linear- nonlinear thinking style profile. Also highlights some important biases or errors of decision making.
9) Discuss in detail the administrative problems in decision making.

UNIT 5

Controlling

5.1. CONTROLLING

5.1.1. Meaning and Definition of Controlling

Controlling is considered to be an indispensable function of management in an organisation. The process of management remains incomplete without proper controlling. It seeks to make sure that all other processes likewise planning, organising, staffing, and directing are properly executed and conducted to achieve the same organisational goal. Controlling is a function of management that strives to measure the performances and take the remedial actions when needed. Thus, it can be concluded that controlling is a process which facilitates measuring the actual performance against set standards.

According to Henry Fayol, "Control of an undertaking consists of seeing that everything is being carried out in accordance with the plan which has been adopted, the orders which have been given, and the principles which have been laid down. Its object is to point out mistakes in order that they may be rectified and prevented from recurring".

According to EFL Breach, "Control is checking current performance against pre-determined standards contained in the plans, with a view to ensure adequate progress and satisfactory performance".

According to Robert N. Anthony, "Management control is the process by which managers assure that resources are obtained and used effectively and efficiently in the accomplishment of an organisation's objectives".

According to H. Koontz and O'Donnell, "Controlling is the measuring and correcting of activities of subordinates to ensure that events conform to plans".

5.1.2. Planning-Control Relationship

Though planning and controlling are considered as two distinct management functions as they are closely linked to each other. Controlling activities will lose their significance if they lack effective planning. Similarly, planning will become a worthless activity if not backed-up with effective controlling, as no objective can be accomplished without having a proper control. Thus, planning and controlling are two mutually supporting concepts.

According to Koontz and O'Donnell, "Planning and control are inseparable – the Siamese twins of management. Unplanned actions cannot be controlled, for control involves keeping activities on course by correcting deviations from plans. Any attempt to control without plans would be meaningless since there is no way any one can tell whether he is going, where he wants to go – the task of control, unless first he knows where he wants to go – the task of planning. Planning thus furnishes the standards for control".

In order to have an effective control, planning is the fundamental imperative. It involves establishing various objectives and determining suitable strategy to achieve them. Whereas, controlling means to check whether the pre-determined objectives have been achieved or not. Once a plan is implemented, it is very crucial to analyse its progress. This also helps in identifying deviations from the set objectives in order to take remedial measures. The relationship between planning and controlling is depicted in **Figure 5.1.**

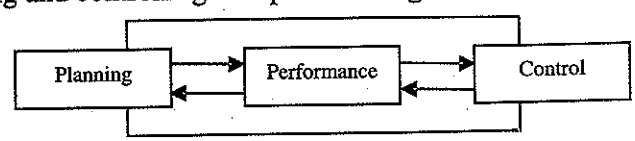


Figure 5.1: Planning-Control Relationship

Planning is the foundation of all controlling activities. This is the main reason due to which planning is conducted before control. It is essential to maintain the sequence of planning followed by control in order to ensure proper execution of plans. Planning is insignificant if it is not supported by control and control becomes an undirected activity without planning.

Therefore, desired results can only be obtained when effective controlling is implemented on good plans. Control establishes a variety of benchmarks against which the actual performance is evaluated. Hence, planning should precede the process of actual implementation, and various other control activities should be adopted only when the planning and actual implementation processes are completed.

According to Billy E. Goetz, "Managerial planning seeks consistent, integrated and articulated programs while management control seeks to compel events conform to plans".

An organisation must ensure a sound relationship between their planning and controlling activities in order to tackle the continuously evolving business environment. Due to uncertainties of external business environment, various unpredicted situations are likely to result in failed planning.

This situation can be avoided by implementing proper control. It provides a positive thrust towards the establishment of effective plans. Therefore, planning and controlling are the two main functions in any business organisation which cannot be separated.

5.1.3. Characteristics of Controlling

The principal characteristics of controlling are as follows:

1) **Pervasive Function:** Controlling is a pervasive function in the overall management process. It is carried-out as a follow-up activity for other functions of management. Managers at all the levels of management perform controlling functions to keep a control over activities in their respective areas.

2) **Unveils the Mistakes:** Controlling evaluates the activities already undertaken. Therefore, it is a process which looks back in the past. By appraising the past activities, controlling unveils the mistakes and errors in various processes. This activity of unveiling the errors is known as "feedback information". It uncovers the reasons due to which the mistakes occurred, on the basis of which remedial measures are adopted.

3) **Continuous Process:** Controlling is not a short-term process, but is rather a continuous analysis of actual performance and measuring the deviation against the set standards. It also modifies the plans, policies, objectives, procedures, etc., to handle the negative implications of such deviations.

4) **Positive Purpose of Control:** As stated by, **George Terry**, "The function of controlling is positive – it is to make things happen, i.e., to achieve the goal within stated constraints or by means of the planned activities". Controlling should not be considered as a hurdle in the way of achieving the objectives. It is an essential requirement and acts as an assistance and not as a barrier.

5) **Exercised at All Levels:** Controlling is not only carried-out by the top-level managers, but takes place at all levels of management, i.e., from the top-level to the lowest-level in the hierarchy. However, the purpose and scope of controlling may vary as per the levels of management.

6) **Evaluates Performance:** The basic motive behind controlling is to evaluate the actual performance and compare the outcomes against the planned results. This allows the managers to establish the necessary principles so that action can be taken smoothly in future.

7) **Allows Coping with Environment:** Controlling analyses the environmental factors and predetermines the future changes in those factors so that it can guide the employees to tackle the future uncertainties.

8) **Three-Dimensional Process:** Controlling is three-dimensional as it looks back to evaluate **past** activities, takes corrective actions if required, to continue those activities in **present** as well as concerns the activities which would be conducted in the **future**. Therefore, considering it only as a uni-dimensional process is a mistake.

5.1.4. Need of Control/Need for Control System

For making sure that the work performance is as per the organisational programs and plans, it is important to understand the need of control. The need of control can be understood from the following:

1) **For Effective Planning:** An effective planning comprises directing the teams, measuring the progress of the workforce and offering adequate feedback. This can be achieved through a control system which will ensure smooth functioning and eventual success of the organisation.
2) **For Ensuring the Consistency of the Organisational Activities:** Thorough implementation of organisation policies and procedures plays a pivotal role in maintaining consistency across various activities in the organisation. This leads to least possible disparity and discrimination of functioning.
3) **For Making Organisations Effective:** It is important to have strict policy adherence and control in order to achieve effectiveness in the organisation which leads to accomplishments of the objectives.
4) **For Achieving Organisational Efficiency:** It has been observed that more than other management functions; efficiency depends on the control systems.
5) **For Providing Feedback on Project Status:** It is an obvious inference that behaviour is influenced through honest and periodic feedback. Moreover, an important element of control is feedback. Control systems offer feedback to the participants as well as measure progress.
6) **For Providing Assistance in Decision-Making:** One of the vital aspects of an efficient organisation is appropriate decision making by the managers. Through control systems, the managers get to know of the problems and receive relevant information which is necessary for the process of decision making. Assisting managers in making better decisions is the primary objective of control systems.
7) **For the Application of Corrective Measures:** Corrective measures prevent the recurrence of mistakes which were earlier committed. Through control mechanisms, deviations in the desired and the actual results can be identified as well as appropriate corrective measures can be applied.
8) **For Gaining Maximum Cooperation of Human Resource:** There is no denial to the fact that the workforce or the human resource contributes the most in work completion and objective accomplishment of an organisation. Hence, it is absolutely necessary to acquire maximum cooperation from them. This can be achieved through proper control mechanisms.
9) **For Maximising the Utilisation of Material and Machines:** Optimum utilisation of machines and material is as important as the proper utilisation of human resources. Therefore, through control mechanisms, managers can put a check on the misuse and wastage of resources.
10) **For Fixing Responsibility:** Depending on the work, the employees of an organisation are given adequate authority. This delegation of authority is determined through the control systems. Moreover, owning the accountability regarding improved or poor performance in work is also fixed by the control mechanisms.
11) **For Motivating Employees:** The key to a successful work culture is understanding and motivating the employees in order to enhance their performance and productivity at work. Employees can be motivated through the process of control. Employees demonstrate full dedication towards work when they are aware of the fact that a control system is in place and that their performance will be evaluated. This will in turn be the basis of a desired appraisal.
12) **For Encouraging Decentralisation:** Decentralisation refers to raising the significance of subordinates through obvious actions. Decentralisation is crucial for the carrying out of organisational tasks in a successful manner. However, the system of decentralisation works well only when the performance of the subordinates is properly monitored. This can be achieved through proper control mechanisms.
13) **For Establishing Coordination among Objectives, Resources, and Efforts:** Through control systems, a necessary balance can be maintained among the organisation's objectives, its resources and employees' efforts. The organisation will face failure if control mechanisms are not able to maintain proper coordination and balance among these three aspects.
14) **For Dealing with the Changing Environment:** The business world is dynamic. Continuous changes keep on occurring in the business environment. As a result, the organisation also needs to accordingly adjust its plans and strategies. Through control mechanisms, one can get to know about such changes and accordingly, the plans can be modified.
15) **For Keeping a Check on Various Undesirable Activities:** For the purpose of maximising production without increasing the costs and adhering to work ethics, keeping a check on undesirable activities is essential. Through established control mechanisms, the organisation can achieve its objectives through optimum utilisation of resources and eliminating the undesirable tasks and activities.

5.1.5. The Control Process

The elements or stages of control process are as follows:

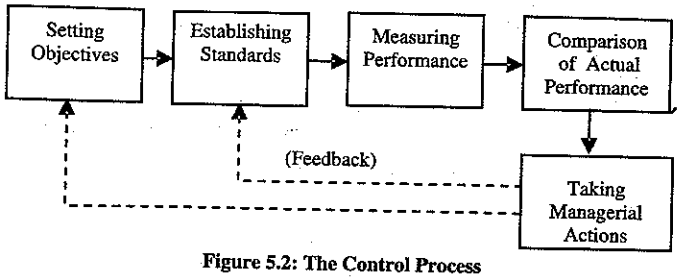


Figure 5.2: The Control Process

5.1.5.1. Setting Objectives

Setting clear, specific, and meaningful objectives is the first step of control process. Some of the general objectives like aiming to achieve high end profits, better quality, etc., are very difficult to interpret and often lead to a situation of conflict and confusion. Thus, in order to exercise effective control, every organisation and individual should set clear and measurable objectives. **For example,** in order to achieve monthly targets, a sales executive in a paint organisation can plan and monitor his objectives to sell specific litres of paint per month (say 500 litres per month). In the same way, an economist in the country works with some specific and clear objective to maximise the GDP of a particular fiscal year. In order to prepare for the examination, a student can make a study plan to study 5 chapters in a month.

5.1.5.2. Establishing Standards

When the objectives are set, the next step is to establish standards. All the firms chase certain targets in terms of revenues, creativity, customer satisfaction, personnel, etc. A standard helps in maintaining the expectancy level of performance for the targets. The standards are the targets which help in reaching the required levels of performance, encourage for better performance, and provide benchmarks for measuring the actual performance levels. A standard can be fixed for any activity such as finance, operational, legal, charitable, etc.

It is important to note here, that the performance is not solely measured on the basis of employees, but the measurement is taken as a combined output of man and machine. Thus, four important factors are highlighted below against which the performance is measured are:

1) Quantity,
2) Quality,
3) Required Time, and
4) Cost Incurred.

5.1.5.3. Measuring Performance

After formulating the objectives, there is a need to evaluate or measure the performance against the set criteria which involves the accumulation of data related to the actual performance. This data is then compared with the targeted results for identifying the gap between benchmarked and actual results. In addition, some points should be kept in mind during evaluation:

1) The measurement units used in the performance evaluation should be similar to the units which have been used in the targets.
2) Throughout the measurement process, the units used should be homogenous, uniform, and easily identifiable.
3) In the control process, the chosen units depend greatly upon the speed with which the controller wants to retrieve the needed information.

5.1.5.4. Comparison of Actual Performance with Standards

The nest stage is a comparison of performance against the standard. This process involves assessment of performance by the manager. In some cases, small variations from the benchmark are tolerable while in a few cases, even minor variation can cause disaster. **For example**, in case of most of the production procedures, a major variation going in the either direction (e.g., a hole which is drilled is either too small or too big) is

undesirable. In some other activities, a variation going in one direction (like falling sales or the lack of customers' satisfaction) is considered to be a major issue, while, variations in the other direction (such as rising sales above the target level, or production beyond the expectations of the customers) reveal a good sign. Thus, it is important for the managers playing the role of a supervisor, to carefully analyse and assess the outcomes.

As per the management principle of exception, it is possible to have better control if the exceptions to the standard performance or deviations from the expected performance can be identified and determined. Therefore, it is important for the management to direct their attention towards handling the exceptions. **For example**, the sales manager may investigate the reasons behind unexpectedly declining sales of a product in one region, while increasing sales for the same product in other region.

5.1.5.5. Managerial Decisions in Controlling: Taking Managerial Action

The goals which are formulated during the process of planning are referred as standards. The standards serve as a base for the process of controlling. Controlling is referred to as the process whereby the actual performance is measured and compared against the set standards. As per the outcomes, a manager can revise or update the standards, rectify the performance or sit idle and do nothing. Since "do nothing" needs no explanation, the other two are described below:

1) **Correct Actual Performance:** The significance of rectifying the actual performance must be realised by the managers. Several corrective measures can be adopted by the managers, depending upon the nature of the problem. **For example**, if deviations in performance result from unsatisfactory work, then corrective measures can be implemented, like changes in the remuneration practices, taking disciplinary actions, conducting training and development programmes, etc.

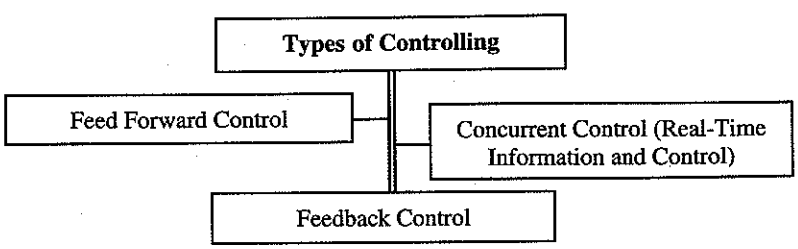
   Managers have to decide whether to adopt basic corrective actions or immediate corrective actions. Through immediate corrective actions, performance can be improved through immediately correcting the problems, whereas, through basic corrective actions, one can find out the reasons and the means of performance deviation prior to rectifying the deviation cause. Usually, managers adopt immediate corrective actions and do not go for basic corrective actions. They support their arguments by stating that basic corrective actions are time-consuming measures. However, effective managers are those who try to find out the 'why' and the 'how' of performance deviation before correcting the source of deviation.

2) **Revise the Standards:** It is very likely that an unrealistic standard (a goal too high or too low) is the cause of deviation in performance. In such situations, it is not the performance which requires corrective measures, but the standards. In the case of employee performances consistently exceeding the set goals, the goals or standards need to be upgraded because these are too easy to achieve. However, if the employees are not able to achieve the goals, they blame the goals/standards for being too high.

   For example, the grade cut-off standards are blamed by the students when they score low in an examination. In the same way, salespersons blame the quota for being too unrealistic, when they fail to fulfil their monthly quota. Such individuals blame the standards for being unreasonable instead of accepting that their performance was not adequate or satisfactory. So, the standards or goals should not be immediately blamed when the performance is inadequate. If the standards are achievable, fair and realistic, then it should be communicated to the employees that improvements are required in their future works, and in order to achieve that, the essential remedial measures are to be taken.

5.1.6. Types of Controlling

In order to manage the organisation effectively, three basic types of controls are exercised:



5.1.6.1. Feed Forward Control

Feed forward control is a type of controlling where the inputs of a process are evaluated and corrective actions are taken before the execution of activities so that the errors can be prevented. In this way, this method maintains the time gap in taking the remedial measures. Feed forward control verifies that whether the inputs to the activities are planned or not, if not, then it adjusts the variables in such a manner that desired results can be achieved.

In order for the feed forward control to be effective, following factors are required:

1) The controlling mechanism should properly investigate and analyse the planning and controlling systems. Moreover, it should also identify more input variables.
2) A comprehensive model should be developed for the overall system.
3) The reassessment of the model should be done from time to time for the purpose of checking if the recognised input variables and the relationships existing among them still represent the reality.
4) The collection of the data related to the input variables should be done on a regular basis. The collected information should be kept in the system.
5) The evaluation of deviation between actual and planned input data should be performed recurrently and the assessment of their effects on the desired results should be done.
6) Steps should be taken to reveal the difficulties faced by people and the needed methodologies should be adopted for solving them.

Advantages of Feed Forward Control

Feed forward control has following advantages:

1) **High Level of Accuracy:** Continuous analysis and evaluation of inputs by the managers reveal the mistakes, which in turn, help in providing specific training to the managers to minimise such chances of errors.
2) **Promotes Self-Control:** Preventive control speeds up the remedial processes due to which the efficiency is increased. It promotes controlling through exercising self-control.
3) **Reduces the Workload of Management:** It is likely that the workload of the managers is reduced due to direct control. It needs comparatively little effort in preventing than curing the variations which have been identified.
4) **Source of Mental Satisfaction for the Subordinates:** At times, subordinates feel that their superiors are biased towards others and they have favouritism approach in rating the performance. These faults can be removed with the help of preventive control.

Disadvantages of Feed Forward Control

Following are the disadvantages of the feed forward control:

1) As it emphasises on producing the reports on a regular basis, therefore consumes more time and effort.
2) Since, it can raise the need for a refined system of forecasting, it can also prove to be a costly affair.
3) It can divert the attention from the routine activities of the firm.
4) It is sensitive to the errors arising from faulty modelling.
5) It needs additional disturbance model and sensor.

5.1.6.2. Concurrent Control (Real-Time Information and Control)

All those activities that aid during the execution of processes are called "concurrent controls" or "steering controls". Concurrent control is the activity which takes place during the execution of processes. All the activities and processes revolve around concurrent control. **For example**, the feature of spelling checker in Microsoft Office Word.

Concurrent control consists of monitoring and regulating the activities that are in execution phase, so that desired outcomes can be achieved. It is structured in such a way that all the operations are accurately executed and provide correct outputs. An important concept in concurrent controlling is that since it analyses and evaluates on-going operations, hence, it needs an in-depth understanding of particular tasks and their interrelationships with desired outcome.

Advantages of Concurrent Control

Concurrent control has following advantages:

1) The feedback information in concurrent control provides valuable insights about the efficiency of planning by evaluating against set standards. If little deviation is shown, then managers can identify the point of error. But if a greater level of deviation is shown, then corrective actions can be taken to prevent the occurrence of errors in future.
2) Feedback control may improve the motivation level of the personnel by appraising their performances in a right manner.

Disadvantages of Concurrent Control

Concurrent control has following disadvantages:

1) There is a need for clear description about the standards at each check-point, because in concurrent control a series of evaluations are performed during the process.
2) A comprehensive and in-depth knowledge about the particular tasks and their relations with the requisite results is needed in concurrent control.
3) By the time, the manager gets the information, the damage may have already occurred.

5.1.6.3. Feedback Control

Feedback control evaluates the results and matches them with the pre-defined standards. This type of control is exercised after the execution of a process. Hence, it is also called "post-action control" or "output control".

A diagram depicting feedback control is shown in **figure 5.3**.

An efficient controlling system is backed by proper feedback. An adequate quantity of feedback information uncovers various errors and mistakes that have been occurred during the execution of process. Therefore, feedback is also referred to as "after the event" information and is essential for taking the corrective actions.

There are situations when measuring the input variables before the execution of process is not possible by the feed forward control. **For example**, value brought by an employee to the job is a factor which cannot be predetermined. Hence, feedback control is needed so that management can take effective decisions and can exercise better control. Feedback information obtained by the management can be either **formal** or **informal**. While the former one includes all kinds of written information related to actual performance such as reports, financial statements, etc., on the other hand, the later one encompasses personal observations, informal discussions, personal contacts, etc.

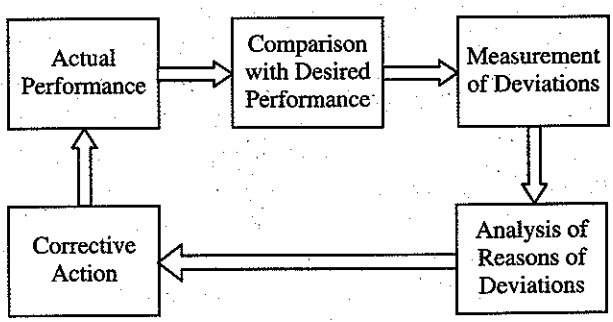


Figure 5.3: Feedback Control

Advantages of Feedback Control

Following are the main advantages of the feedback control:

1) It gives valuable insights that help in planning for the future by aiding the managers in modifying the current plans and design the fresh ones for future.
2) It provides information about the performance of employees that helps in rewarding them, which is quite helpful.
3) In feedback control, the variance from the set standards is measured on the basis of which the corrective measures are taken.
4) It may also improve the motivation level of the personnel by letting them know the effectiveness of their performance.

Disadvantages of Feedback Control

Following are the main disadvantages of the feedback control:

1) It helps in informing regarding a divergence or error which has already happened, which may cause wastage or may ruin the reputation of the firm.
2) A considerable amount of time may already have passed before implementation of remedial action. Hence, at times it can prove to be even risky.

5.1.7. Tools for Controlling

Many tools have been developed to control the activities in management. The list is very long, and it is difficult to describe them all. Some of the important tools are:

5.1.7.1. Financial Control

The evaluation of the actual and concrete outcomes of a company, viewed from various standpoints at different intervals of time and then comparing it against the formulated business plan and the long-, medium- and short-term objectives of the business is referred to as financial control. Such evaluations necessitate the use of adjustment and control procedures so that it is made sure that the business plan is properly followed and that it can be adjusted during times of irregularities or anomalies.

Financial control is exercised through the following:

1) **Control through Costing:** Controlling cost is another method of controlling. It strives to minimise the wastages and establishes predetermined costs. Costs of an organisation can be controlled through setting up the standards and targets and comparing the actual performance against them. After comparison, if deviations are significant, then necessary corrective measures are taken.
2) **Budgeting and Budgetary Control:** "**Budgeting**" refers to preparation of budgets and procedures for various activities of an organisation such as planning, coordination, controlling, etc. A budget is a predetermined statement prepared for a stipulated duration of time, which helps in comparing the actual result with the scheduled one. The term "**budgetary control**" denotes the process of establishing the budgets for different operations and then comparing the actual outcome against the budgets. In budgets, the expected performance is mentioned in monetary terms, due to which it makes the process of comparison easier. Budgetary control is continuous in nature, which helps in on-going processes, i.e., planning and decision-making processes of an organisation. The budget is a technique and budgetary control is the outcome.
3) **Operational Audit or Internal Audit:** Internal audit refers to the on-going process of evaluating the accounts and operations of a firm by its own internal experts. It provides feedbacks regarding the organisation-wide performance, as it includes all the processes and operations of a business. Internal authority follows a definite purpose, which is to inspect and analyse whether the set standards are met by the organisational staffs. This in turn, helps in keeping the employees cautious as well as motivated.
4) **External Audit Control:** According to Companies Act, 1956, it is mandatory for the joint-stock companies to conduct an audit of their financial status and accounts by an external chartered accountant. This audit seeks to ensure that the interests of stakeholders and other parties are kept in consideration during various management practices and none of the illegal practices are being conducted in the organisation. The shareholders jointly appoint the external auditor during the yearly general meeting. It is important for the auditor to authenticate that the profit and loss accounts as well as the balance sheet of the firm depict the real and accurate picture of the actual financial situation of the firm.
5) **Profit and Loss Control:** This is one of the simplest and most widely used techniques to control the overall organisational processes. It helps in determining the revenue and expenses due to which the firm enjoys success or may face failures. It helps in predetermining the revenues, expenditures, and profit, with the help of which management and its operations get influenced. It involves comparing the sales, expenditure and gains of a division with that of the other divisions. The departments or products are considered as the cost centres. The managers of various departments are held responsible for their performances. If any deviation is found, the corrective actions are taken immediately.

6) **Break-Even Analysis:** Another important technique for controlling is break-even analysis, which aids in decision-making and control. It helps in making important managerial decisions. It is beneficial because of following reasons:
   i) It identifies the lowest amount of sales needed to avoid loss or for attaining the target gains.
   ii) Analysing the break-even point provides valuable information regarding the cost and resources which aids in 'make or buy' decisions.
   iii) It provides information regarding the market potential and profit of products which in turn helps in creating or deleting product lines.
   iv) It helps in comparing the budgeted and actual performances.
   v) Break-even analysis finds out the sales mix, channels of distribution, and sales promotion techniques.

7) **Financial Statement Analysis:** Financial statements play an important role in controlling the business operations. Some of the important financial statements are profit and loss statement, balance sheet, income statement, etc. These statements are used in comparing the performance of an organisation with other over different periods of time. These statements also help in analysing the ratios that highlight the financial status of an organisation.

5.1.7.2. Information Control

Secret and confidential information are possessed by generally every organisation. It is very essential to control and handle the use of computer databases. It has emerged out to be a serious issue in the domain of control. There are two ways through which the information is handled by the managers:

1) As an area or domain of the organisation which should be controlled, and
2) As a means to control different activities of the organisation.

The performance and activities of the organisation can be measured and monitored by the managers when they have the correct information in the correct quantity and at the correct time. Information regarding the standards of performance and the happenings within their responsibility area is required by managers so that they can measure the actual performance by comparing it against the set standards. Information is also required to ascertain the acceptability levels of the deviations in performance. At last, information is required for the formulation of suitable action plans. That is why information is very crucial. The management information system of an organisation can be considered as the source from which managers receive most of the useful information. Therefore, the system through which the required information is offered regularly to the managers is known as the **Management Information System** or **MIS**. MIS can be operated manually or through computers. However, computer-based MIS applications are used by most of the organisations nowadays. "System' in MIS encompasses purpose, arrangement and order. Overall, managers receive information (which is analysed and processed data) and not just data (which is the raw and unprocessed facts) through MIS.

News regarding breach in information security can be heard and seen almost every other day. According to a study, last year alone witnessed a reportable data breach inside organisations, as acknowledged by 85 per cent of security and privacy professionals. Information should be protected through extensive and secure control mechanisms since it is crucial for all the activities and operations of the organisation. Control mechanisms should include data backups, firewalls, data encryption, etc. Issues can also be found in areas which were not given due consideration such as social media, search engines, blogs, etc. Search engine results are now plagued with organisational information which is sensitive, embarrassing, confidential or defamatory. **For example**, in a Google search result, the salaries of the employees and their monthly expenditure came up on the website of National Speleological Society. Even equipment like smartphones, Radio Frequency Identification (RFID) tags, and laptop computers are susceptible to hacking and viruses. Therefore, it is important to monitor information controls and ensure that the necessary precautions are established so that significant information can always be protected.

5.1.7.3. Benchmarking for Best Practices

The procedure which involves comparing firms' performance standards and business processes with those which are best practices in the same industry or are the best standards in other industries is known as **benchmarking**. Generally, dimensions which are measured are time, quality and cost. Through the process of

the benchmarking, the firm is able to recognise the best performing firms in the same industry, or those with the similar procedures in the other industries; and can compare their (target firm) results and procedure with that of their own. Thus, this enables them to ascertain the reasons behind the good performance of the target firms and most of all secrets behind their success.

Benchmarking is a method which involves recognising **"the best practices"** in terms of the products as well as procedures, which are responsible for creation and delivery of the products. The quest to find out "best practices" can occur inside a specific industry or can also occur in other industries. The purpose which lies behind benchmarking is to understand and evaluate the present status of a business or an organisation with respect to "best practices" in the industry and recognising areas and ways to ensure better performance.

According to Xerox Corporation, "Benchmarking is the continual process of measuring products, services and practices against the toughest competitors or those companies recognised as industry leaders".

Types of Benchmarking

The types of benchmarking are as follows:

1) **Internal Benchmarking:** When other business units or departments of the same organisation are benchmarked for development, it is known as internal benchmarking. It exists within the same organisation, in which a particular business unit or department makes continuous efforts for establishing good and better policies by observing other successful departments or segments of the organisation.
2) **Competitive Benchmarking:** When competitors of similar industries are benchmarked for observing and learning their business processes, it is known as competitive benchmarking. Under this benchmarking, successful competitors are analysed to adopt and learn their business activities in order to grow and sustain in the competitive market.
3) **Functional Benchmarking:** In a functional benchmarking, the functions performed by various organisations are significantly analysed to benchmark their best business practices. In this benchmarking, the functional areas of successful organisations are benchmarked. These functional areas may include order processing, delivery time, warehousing, logistics, handling customer grievances, etc.
4) **Generic Benchmarking:** When a firm compares and learns cross functional and core business processes such as new product development, customer services, HRD, etc., from successful organisations around the globe, it is known as generic benchmarking.

Importance of Benchmarking

Following points highlight the importance of benchmarking:

1) **Understands Costs:** With the help of benchmarking tools, firms can break their costs into different segments in order to properly understand them. Companies can effectively manage and control their costs, once they know where they are actually involved. Benchmarking also helps a firm to identify:
   i) Where and how it can reduce fixed and/or variable costs,
   ii) How it can compare to other similar companies, and
   iii) Which cost is the most or least profitable.
2) **Improves Working Practices:** A firm can identify its weaknesses and strengths with the help of benchmarking. This improves the business practices of the firm as it compares its methods with other successful organisations. Firms analyse and discuss these comparisons in order to improve their business processes.
3) **Understands Business Drivers:** By comparing their business methods with successful organisations, firms identify and understand many undiscovered business drivers. They acknowledge new business techniques and processes, which can help them to conquer new market segments. Most of the times, firms do not know how to properly use a business technique or to adopt a business driver, which they clearly understand with the help of benchmarking.
4) **Improves Quality:** By understanding and implementing better working techniques, firms can significantly improve their quality of products and services. Thus, benchmarking allows firms to upgrade and improve qualitative aspects of their products.

5.1.7.4. Balanced Score Card

In the early 19th century, balanced scorecard was introduced by **Robert Kaplan** and **David Norton** as a technique of performance evaluation. It helps to evaluate the performance of the organisation from diverse viewpoints. The reason behind such views is that managers are largely identifying the need of evaluating other facets of organisational performance in order to measure their value-creating activities. Currently, the balanced scorecard has adopted a new approach. According to this approach, it is a broad system of performance evaluation which provides a balance between non-conventional financial methods and operational methods. In the recent years, balance scorecard has been able to define itself as a best technique for strategic control. It acts a basis for the firms to validate they have launched the financial and strategic controls for their performance evaluation. It is considered most suitable for business-level strategies and can also be applied to corporate-level strategies.

Perspectives to Balance Scorecard

There are four main perspectives to develop a balance scorecard (**figure 5.2**). They are as follows:

1) **Financial Perspective:** Kaplan and Norton always considered the traditional need for financial data but gave priority to on-time and accurate financial data. Managers also follow the same criteria in case to finance and try to arrange it as soon as possible. Frequently, there is excess financial data for handling and processing. Therefore, it is required to centralise and automate data processing through establishment of a corporate database. But with the increasing stress on finance leads to "unbalanced" situation in comparison with other viewpoints. Thus, there is a necessity to involve surplus financial data like cost-benefit data, risk assessment, etc.

2) **Customer Perspective:** With the changing philosophies of management it is realised that customers are of utmost importance to the company. It is very essential to attain customer satisfaction. The indicators which define that customers are not satisfied can be: they will shift to other suppliers which are more capable to satisfy their required needs. As a consequence, this may lead to future decline even if the company at present is earning profits. For distinguishing customers on different basis, can be in terms of types of customers and types of processes used for developing a product or service.

3) **Business Process Perspective:** This perspective is also known as internal business processes. This process helps the managers to assess the position of the business and whether the products and services offered by the company are able to satisfy the customers or not. Hence, the balance scorecard is mainly designed by the person who has in-depth knowledge about the process and not by the outsiders.

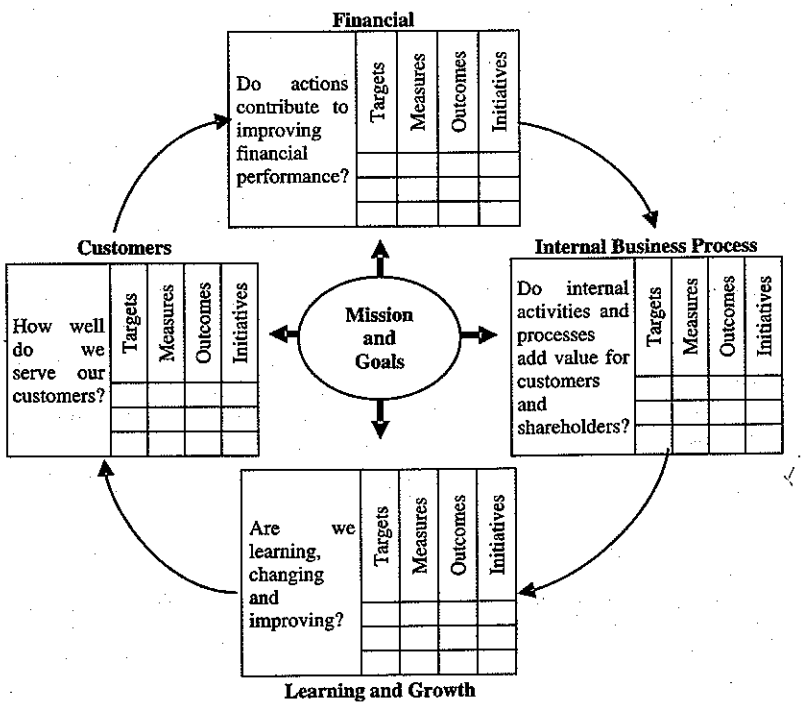


Figure 5.4: Balanced Scorecard

Source: Kaplan and Nortan

4) **Learning and Growth Perspective:** This perspective is associated with the individual and corporate self-improvement, which involves corporate cultural attitude and employee training. In a knowledge-based organisation, people/ workers are the main source of knowledge.

It is essential for such knowledge workers to keeping on learning about the changing occurring in the business environment. Managers can use the scorecard to measure the funds required for training of such people. Learning and growth perspective is considered as a crucial aspect of the organisation for their success.

According to Kaplan and Norton, learning is much more important than training. This process comprises of tutors, guides and mentors from the organisation and it also enables the workers to seek help of them if they come across any problem. It also uses technological tools known as the "high performance work systems" which is called by Baldrige.

Importance of Balanced Score Card

The importance of balance score card is as follows

1) **Consensus on the Strategy at Executive Level:** Building a BSC requires brain-storming at Board/Higher Level where discussions are held on Organisation's Vision and its Core Values. This helps in every-one getting aligned about these basics and helps executives look for growth strategies clearly. BSC discussions sets the priorities for the organisation and senior executives can visualise the future more clearly.

2) **Communicates Strategy to the Organisation:** BSC clearly defines the steps the organization would take to achieve its goals through well thought-of strategy. The working of the strategy, setting priorities in line with various internal and external constraints helps the leadership appreciate the chosen strategy and it's need.

3) **Translates Strategy into Meaningful Goals:** Building a BSC requires determination of specific goals and targets. The organization now has clear vision of what is to be done to achieve its goals. With the priorities and the game plan clearly defined, every one now focuses to achieve the goals.

4) **Employees Identify themselves with Goals:** Employees working to achieve the goals identified in the BSC can clearly identify themselves with how they are helping the organization to achieve its growth. It is very important that employees are explained the BSC at each possible opportunity to help them understand the way their achievements are paving path for the organisation's future. Employees then feel proud to be involved in the efforts they put-in on day-to-day basis. This further helps employees getting aligned to company's vision and mission.

5) **Personal Targets Linked to Strategy:** Achieving goals identified in the BSC requires involvement of various employees and process owners on a continuous basis. Most of the time these would be stretch assignments for the employees. Goals with defined timeline require that the targets be met within schedules. These therefore establish a suitable measurement tool for senior Leadership's achievements and can help in appropriate and justified Rewards and Recognition program of the organisation.

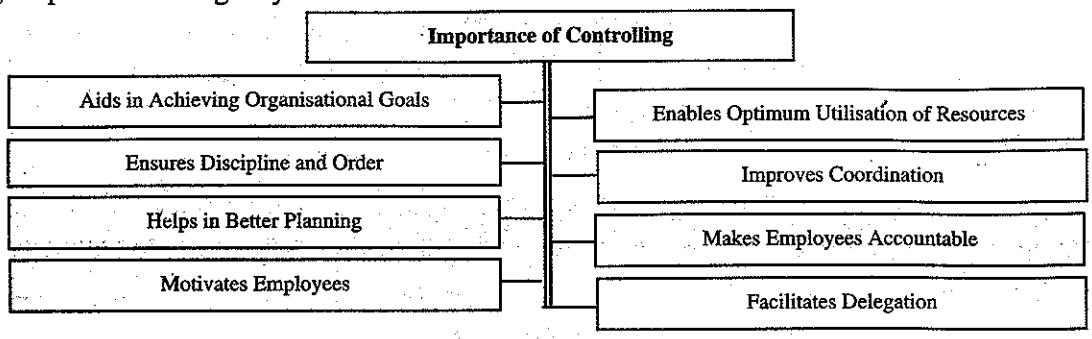
6) **Processes Focus to Achieve Strategic Goals:** Having established a BSC forces various process owners to modify the key processes of the organisation to achieve identified goals. Since these processes directly affect the organisation's performance, they are likely to be the Key processes. With focus concentrated on key processes, the organisation meets the customer's expectations more efficiently and helps make the organisation more competitive.

7) **Periodic Reporting of Status of Strategic Goals:** BSC forms the key part of management system and therefore is discussed periodically. This helps keeping everyone in the organisation aligned and achieve growth through BSC.

8) **Drives Investment/Budget Decisions:** BSC forces the leadership to visualise the future/growth of the company and use appropriate resources and manpower to achieve the Strategic Goals. With wide agreement on BSC among the senior leadership, it is easy to manage the Budget provisions and invest wisely, rather than on a historical basis.

5.1.8. Importance of Controlling

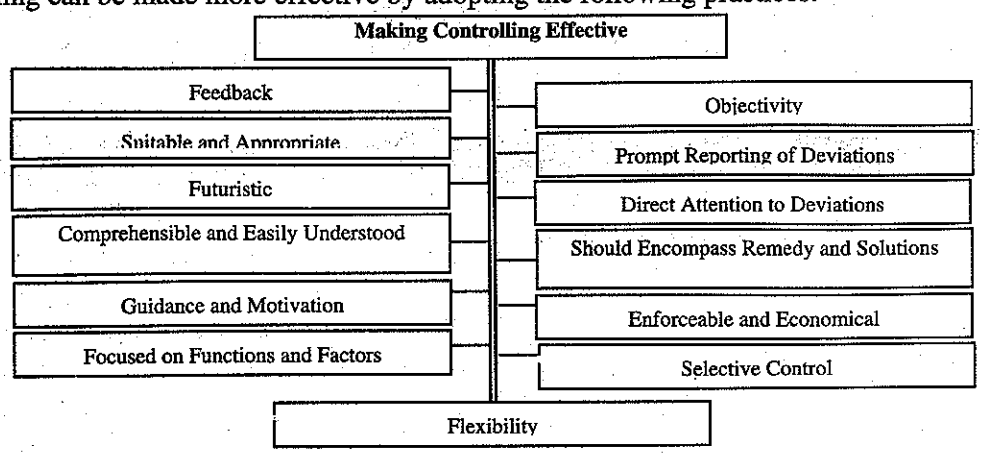
Controlling helps in following ways:



1) **Aids in Achieving Organisational Goals:** Controlling allows the management to ensure that the difference between the outcomes and the benchmark is minimum. This in turn, aids in achieving the intended organisational goals.
2) **Enables Optimum Utilisation of Resources:** Implementation of plans involves utilisation of resources, i.e., men, material, and money. Resources are always limited and scarce and hence have to be judiciously utilised, without wastage or under-utilisation. This is ensured by effective control mechanisms.
3) **Ensures Discipline and Order:** Controlling introduces a sense of attentiveness amongst employees that they are under control and evaluation. This ensures that all are performing as per expectation and working as per the plan.
4) **Improves Coordination:** Controlling also involves integration of all the activities in the organisation. It seeks to ensure that all the units work in coordination, for the achievement of common goals according to plans and procedures.
5) **Helps in Better Planning:** Planning and controlling are two sides of the same coin, each complementing the other. Controlling provides real-time feedback about the implementation of plans, which in turn helps managers to plan in a better way, so that the observed pitfalls and identified errors could be avoided in future.
6) **Makes Employees Accountable:** Control function enables the management to monitor and observe the performance of employees regarding the roles and duties assigned to them. This helps in fixing accountability and holding them responsible for their performance of success or failure.
7) **Motivates Employees:** Controlling enables monitoring the performance of employees. It helps in identifying performers and achievers. Such employees are then felicitated and rewarded by the organisation. This motivates employees to perform as they know that their performances would be noticed and their efforts would be acknowledged.
8) **Facilitates Delegation:** Controlling helps superiors to evaluate the capabilities and performance of their subordinates, which allows the superiors in delegating responsibility to them. Delegation always makes management more efficient, as superiors now have more time for other important tasks and duties.

5.1.9. Making Controlling Effective

Controlling can be made more effective by adopting the following practices:



1) **Feedback:** The feedback system should follow management system, so that it can trace out the past actions and provide necessary information to the management for making effective decisions in future.

2) **Objectivity:** Control should be objective and unbiased. The evaluation and appraisal mechanism should be fair so that controlling can be ensured.

3) **Suitable and Appropriate:** The control mechanism should be suitable to the organisation and its structure. Further, the degree and extent of control should also be appropriate and adequate.

4) **Prompt Reporting of Deviations:** Any deviation from standard should be immediately brought to the notice of the managers. Any kind of delay or carelessness may harm the harmony of the processes.

5) **Futuristic:** Control should also be futuristic in the sense that it should be able to anticipate situations in the future, and as such provide necessary inputs for planning as well.

6) **Direct Attention to Deviations:** Controlling system should pay direct attention to all the deviations as each deviation can cause high impact on organisational processes. Only then, corrective measures can be taken timely.

7) **Comprehensible and Easily Understood:** The controlling mechanism should be simple and comprehensive, so that it is easily understood by all. This makes compliance easier and widely adopted.

8) **Should Encompass Remedy and Solutions:** Control function should disclose the reasons for failure, people responsible for failure, and should also recommend solutions to these problems.

9) **Guidance and Motivation:** Control mechanism should be focused on prevention rather than punishment. It should also be centred on employees, by motivating and guiding them to perform as per expectations. If performance deviations are found, they should be properly guided instead of being punished.

10) **Enforceable and Economical:** The tools and techniques implemented to control should be formulated in such a way that it is easily understandable by the managers. The managers should understand the technicalities of the controlling tools. If complex statistical measures are implemented, then the managers should be given proper training so that they can execute the process.

11) **Focused on Functions and Factors:** Controlling should be multi-faceted, focusing on all the functions like production, marketing, finance, human resource, etc., while considering the four factors of controlling, i.e., quality, quantity, cost, and time.

12) **Selective Control:** The prime focus of controlling should be on the key areas of an organisation, as it is impossible and economically infeasible to control smaller aspects of operations. The organisation should identify the key decision areas and control should be implemented on those areas only. The controlling mechanism should be focused on selective aspects only, instead of all the small and micro factors.

13) **Flexibility:** The control system should be flexible enough so as to adjust the alterations when needed to match the dynamic external environment. An important concept here is that controlling should not be mistaken as the ultimate goal, but should always be considered a means to achieve the organisational objectives. Flexibility of controlling system can be achieved by formulating alternative strategies and preparing budgets.

5.2. EXERCISE

5.2.1. Very Short Answer Type Questions

1) Define controlling.
2) Explain the meaning of feed forward control.
3) What do you mean by feedback control?
4) Mention any two disadvantages of feedback control.
5) What is balanced scorecard?

5.2.2. Short Answer Type Questions

1) Explain the relationship between planning and controlling.
2) Why control system is needed?
3) Highlight the advantages of feed forward control.
4) Write a short note on information control.
5) Why benchmarking is important?

5.2.3. Long Answer Type Questions

1) What are the characteristics and importance of controlling?
2) Explain each step involved in the process of control.
3) Discuss the disadvantages of feed forward control and concurrent control.
4) What is concurrent control? Highlight its disadvantages.
5) Describe financial control and also explain how financial control is exercised.
6) Explain benchmarking and its types.
7) Discuss the perspectives of balanced scorecard. Also explain the importance of balanced scorecard.
8) Suggest some practices to make controlling more effective.

MODEL PAPER - I

MANAGEMENT FUNDAMENTALS

MBA – FIRST SEMESTER EXAMINATION

Time: 2 ½ Hours **Max. Marks: 50**

Note: 1) All questions shall be compulsory with internal choice within the questions.
2) FIVE questions each carries 10 marks.
3) Figures to the right indicate marks for that question/sub-question.

1) **Answer any 5 out of 8:** **(02)**
   a) What do you mean by management?
   b) What are the types of goals?
   c) Write any two demerits of departmentation by territory.
   d) Explain the role of intuition in decision making of a manager.
   e) Mention any two disadvantages of feedback control.
   f) Discuss the meaning of communication competency.
   g) What do you mean by MBO?
   h) Explain meaning of virtual organisation.

2) **Answer any 2 out of 3:** **(05)**
   a) "A manager should possess skills to discharge his duties and responsibilities effectively." Explain the statement.
   b) Describe the steps involved in setting objectives.
   c) Differentiate between centralisation and decentralisation.

3) a) "The application and uses of management concepts and principles are universal." Is the statement true? Support your answer with a suitable explanation. **(10)**

Or

b) What are the reasons behind the failure of planning? Also suggests some measures to make planning effective. **(10)**

4) a) Explain global organisation. Also highlight the characteristics of MNCs. **(10)**

Or

b) What is ethical approach to decision making? Suggest some guidelines for making ethical decisions. **(10)**

5) a) What is concurrent control? Highlight its disadvantages. **(10)**

Or

b) What is bounded rationality? Explain its process and implications. **(10)**

MODEL PAPER - II

MANAGEMENT FUNDAMENTALS

MBA – FIRST SEMESTER EXAMINATION

Time: 2 ½ Hours **Max. Marks: 50**

Note: 1) All questions shall be compulsory with internal choice within the questions.
2) FIVE questions each carries 10 marks.
3) Figures to the right indicate marks for that question/sub-question.

1) **Answer any 5 out of 8:** **(02)**
   a) What is time study?
   b) Explain the meaning of goal.
   c) Write any two features of administrative management.
   d) What is grid analysis?
   e) Define span of control.
   f) What is centralisation?
   g) Explain the meaning of feed forward control.
   h) What is balanced scorecard?

2) **Answer any 2 out of 3:** **(05)**
   a) Why benchmarking is important?
   b) Explain different styles of decision making.
   c) There are four main principles of coordination given by Mary Follett. Explain them.

3) a) Highlight the process of MBO. Explain the guidelines for effective MBO. **(10)**

Or

b) What is network structure? Highlight its advantages and disadvantages. **(10)**

4) a) Explain functional and divisional organisation. Also highlight their advantages and disadvantages. **(10)**

Or

b) What are the characteristics and importance of controlling? **(10)**

5) a) Describe financial control. Also explain how financial control is exercised. **(10)**

Or

b) "There 14 principles of management given by Fayol." What are those principles? Explain them. **(10)**

SAVITRIBAI PHULE PUNE UNIVERSITY

MBA - FIRST SEMESTER EXAMINATION - 2019

MANAGEMENT FUNDAMENTALS

Time: 2 Hours **Max. Marks: 50**

Note: **1) Assume Suitable Data if necessary.**
2) Black figures to the right indicate full marks.
3) All questions are compulsory.
4) All questions have internal options

1) Solve any Five: **(10)**

a) First step in planning process is to: (02)
i) Set an objective
ii)Evaluate alternatives
iii) Determine strength and weaknesses
iv) None of above

b) Bottom line of any business plan is: (02)
i) Marketing plan
ii)Financial plan
iii) Personnel plan
iv) Production plan

c) The systems approach _____. (02)
i) Emphasises the technical requirements of the organisation and its needs.
ii)Emphasises the psychological and social aspects.
iii) Encourages the managers to view the organization both as a whole and as a part of larger environment.
iv) All of the above.

d) Describe environmental approach of decision-making. (02)

e) The objective of control is: (02)
i) Take corrective actions,
ii)Make plans,
iii) Prepare manpower planning,
iv) Influence and persuasiveness,

f) The management process functions consist of: (02)
i) Planning, Organising, Staffing and Directing
ii)Planning, Organising, Leading and Directing
iii) Planning, Organising, Leading and Staffing
iv) Planning, Organising, Leading and Controlling.

g) Define and explain the term 'Planning'. (02)

h) Define organisation. (02)

2) Solve any Two: **(10)**

a) Identify factors affecting structural choice. (05)

b) Classify and explain types of decisions. (05)

c) Explain feed forward, concurrent, and feedback controls and provide an example for each. (05)

3) Solve any One : **(10)**

a) Compare and contrast between behavioural theory and contingency theory. **(10)**

b) Demonstrate how control responsibilities differ according to managerial levels? **(10)**

4) Solve any One: **(10)**

a) Prepare a Strategic plan for an organisation. **(10)**

b) Explain the contrast between Programmed and Non-programmed decisions. As a restaurateur, identify and explore the 3 conditions of decision making that you will face. **(10)**

5) Solve any One: **(10)**

a) Define 'Controlling'. State the requirements of an effective control system. **(10)**

b) Explain some criteria that can be used to determine the nature and extent of decentralisation in an organisation. **(10)**

About the Book

This book **"Management Fundamentals"** has been designed strictly according to the latest syllabus of **Savitribai Phule Pune University**, Pune for the students of **MBA First semester**. The material in this book is designed to provide maximum flexibility of use for teachers and students alike. Each topic has been started with fundamental introduction and developed steadily up to the standard form. Contents of book are arranged systematically using headings, sub-headings and figures. Sufficient number of examples and model question papers are included to make the concept clear.

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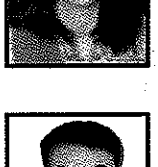

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